

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

COMPLAINANT'S APPENDIX

TABLE OF CONTENTS

Document Name	Pages (Prefix CX)
Declaration of Shlomo Y. Hecht	1-7
Ex. 1 – an article from https://www.bloomberg.com/opinion/articles/2022-05-23/shipping-s-500-billion-profit-can-take-on-amazon .	8-13
Ex. 2 – an article from https://www.ttnews.com/articles/maersk-rides-highs-and-lows-shippings-roller-coaster-year .	14-15
Ex. 3 – an article from https://www.maersk.com/news/articles/2022/05/04/maersk-reports-record-q1-results-while-further-developing-customer-relationships .	16-23
Ex. 4 – an article from https://www.whitehouse.gov/briefing-room/statements-releases/2022/02/28/fact-sheet-lowering-prices-and-leveling-the-playing-field-in-ocean-shipping/ .	24-27
Ex. 5 – https://www.cnbc.com/2021/12/04/how-amazon-beats-supply-chain-chaos-with-ships-and-long-haul-planes.html .	28-33
Ex. 6 – https://www.supplychaindive.com/news/biden-port-of-los-angeles-ocean-shipping-reform-act-ripoff-is-over/625315/ .	34-37
Ex. 7 – HS-014034 – HS-014043	38-47
Ex. 8 – HS-013974 – HS-013984	48-58
Ex. 9 – an article from https://www.freightwaves.com/news/vessel-group-rejects-allegations-of-threats-against-us-exporters .	59-62
Ex. 10 – Order to Show Cause dated September 8, 2022, in FMC Dkt. 21-05.	63-65
Ex. 11 – an ocean carrier alliance chart from https://ajot.com/premium/ajot-the-tripartite-of-ocean-carrier-alliances-face-multitude-of-challenges .	66
Ex. 12 – HSDG’s Answer to Amended Complaint dated March 1, 2022.	67-87
Ex. 13 – portions of the deposition of Juergen Pump of Respondents, taken in this proceeding.	88-100
Ex. 14 – Affidavit of Michael Gast, Jr., filed by Respondents on January 18, 2022.	101-102
Ex. 15 – an article from https://www.usfunds.com/resource/bad-news-is-good-news-for-container-shipping-investors/ .	103-118
Ex. 16 – the Parties’ Service Contract for 2020-2021, identified as HS-013086 – HS-013102	119-135
Ex. 17 – the Parties’ Service Contract, Agreement No. NOAQ1006436, effective date March 3, 2021.	136-146
Ex. 18 – HS-000001	147
Ex. 19 – HS-007794 – HS-007800	148-154
Ex. 20 – HS-0011342 – HS-011345	155-158
Ex. 21 – demand letter to Respondents from OJC, dated October 16, 2020	159-160

Ex. 22 – HS-012926 – HS-012932	161-167
Ex. 23 – HS-005299 – HS-005312	168-181
Ex. 24 – HSNA’s Answer to Amended Complaint dated March 1, 2022	182-202
Ex. 25 – HS-010443 – HS-010444	203-204
Ex. 26 – portions of the deposition of Andrea Casanova of Respondents, taken in this proceeding	205-208
Ex. 27 – the undersigned’s email and demand letter to Respondents on behalf of OJC, dated April 28, 2021.	209-211
Ex. 28 – HS-011678 – HS-011685	212-219
Ex. 29 – HS-012567 – HS-012573	220-226
Ex. 30 – HS-011474 – HS-011475	227-228
Ex. 31 – HS-011725 – HS-011727	229-231
Ex. 32 – Respondent’s Answers and Objections to Complainant OJ Commerce, LLC’s First Set of Interrogatories, dated April 7, 2022.	232-241
Ex. 33 – HS-014857 – HS-014864	242-249
Ex. 34 – Objections and Responses of HSDG to Complainant OJ Commerce, LLC’s Second Set of Interrogatories, dated August 31, 2022.	250-258
Ex. 35 – document entitled TPEB Agreements Valid Jan 1 2021 to Present, identified as HS-014865 – HS-014890	259-284
Ex. 36 – HSDG’s Response to Complainant OJ Commerce, LLC’s First Set of Requests for Admission, dated August 31, 2022.	285-291
Ex. 37 – demand letter from OJC to Respondents regarding demurrage fees, dated September 2, 2021.	292-294
Ex. 38 – portions of the deposition of Michael Gast of Respondents, taken in this proceeding.	295-296
Ex. 39 – Order dated June 29, 2022	297-300
Ex. 40 – Order dated August 31, 2022	301-312
Ex. 41 – Order dated September 30, 2022	313-319
Ex. 42 – HS-013466 – HS-013467	320-321
Ex. 43 – HS-004494	322
Ex. 44 – email chain between OJC and Respondents	323-333
Ex. 45 – Notice of Deposition of Soren Skou, CEO of Maersk, dated October 6, 2022.	334-335
Ex. 46 – email chain between OJC and Respondents	336-348
Ex. 47 – Joint Motion for Amendment of Protective Order and Confidentiality Stipulation and Proposed Protective Order, dated June 21, 2022.	349-365
Ex. 48 – Response and Objections of Respondent to Complainant OJ Commerce, LLC’s Second Set of Requests for Production of Documents, dated July 22, 2022.	366-370
Ex. 49 – Objections and Responses of HSDG to Complainant OJ Commerce, LLC’s Third Set of Requests for Production of Documents, dated August 31, 2022	371-380

Ex. 50 – Maersk CEO Soren Skou on Q2 2022 Results – Earnings Call Transcript.	381-408
Ex. 51 – portions of the deposition of Kevin Li of Respondents, taken in this proceeding.	409-412
Declaration of Richard Berning	413-414
Ex. 200 – Expert Report of Richard C. Berning	415-459
Ex. 201 – Supplemental Expert Report of Richard C. Berning	460-465
Declaration of Jacob Weiss	466-477

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**DECLARATION OF SHLOMO Y. HECHT
IN SUPPORT OF COMPLAINANT'S BRIEF**

I, Shlomo Y. Hecht, do hereby state and declare as follows:

1. I am an attorney and am one of Complainant OJ Commerce, LLC's ("Complainant," "OJC," or "OJ Commerce") attorneys in this proceeding. I have personal knowledge of the facts described below. I am submitting this Declaration in Support of Complainant's Brief in this case.
2. Attached hereto and incorporated herein as **Exhibit 1** is a true and correct copy of an article from <https://www.bloomberg.com/opinion/articles/2022-05-23/shipping-s-500-billion-profit-can-take-on-amazon>.
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6. Attached hereto and incorporated herein as **Exhibit 5** is a true and correct copy of <https://www.cnbc.com/2021/12/04/how-amazon-beats-supply-chain-chaos-with-ships-and-long-haul-planes.html>.

7. Attached hereto and incorporated herein as **Exhibit 6** is a true and correct copy of <https://www.supplychaindive.com/news/biden-port-of-los-angeles-ocean-shipping-reform-act-ripoff-is-over/625315/>.

8. Attached hereto and incorporated herein as **Exhibit 7** is a true and correct copy of a document identified as HS-014034 – HS-014043, produced by Respondents in this case.

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52. Attached hereto and incorporated herein as **Exhibit 51** is a true and correct copy of portions of the deposition of Kevin Li of Respondents, taken in this proceeding.

53. The proposed date given for the Maersk pricing management witness was Yom Kippur, on which neither OJC nor undersigned counsel would not be available. Yom Kippur, October 5, 2022, was one of the most important Jewish holidays of every year. The second date offered by Maersk, was Friday, October 7, 8:45 am to 11:15 am, a mere two and a half hours the Friday after Yom Kippur.

54. Maersk refused to produce any documents – including all internal and external communications – concerning their policies, procedures, or plans concerning blank sailings (which are used to manipulate pricing and space), documents showing their actual spot market rates charged for 2021-2022, and documents showing their service contract rates for 2021-2022.

I DECLARE UNDER PENALTY OF PERJURY THAT THE FOREGOING IS TRUE AND CORRECT.

Dated: November 9, 2022

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht

Opinion
Chris Bryant

Shipping's \$500 Billion Profit Can Take on Amazon

Container lines are using pandemic windfalls to fashion themselves into logistics giants. But their empire building risks a backlash.



Container shipping lines powering ahead. *Photographer: picture alliance/picture alliance*

By Chris Bryant

May 23, 2022 at 12:00 AM EDT

When French container-shipping giant CMA CGM Group announced a cargo partnership with Air France-KLM last week, the real surprise was its plan to acquire only 9% of the airline.

Having made 18 billion euros (\$19 billion) of net profit last year, the world's third-largest container line by capacity could afford to acquire all of Air France with plenty of change to spare. And because the world's ports are still chockablock and freight rates remain sky-high, it will probably earn even more this year.

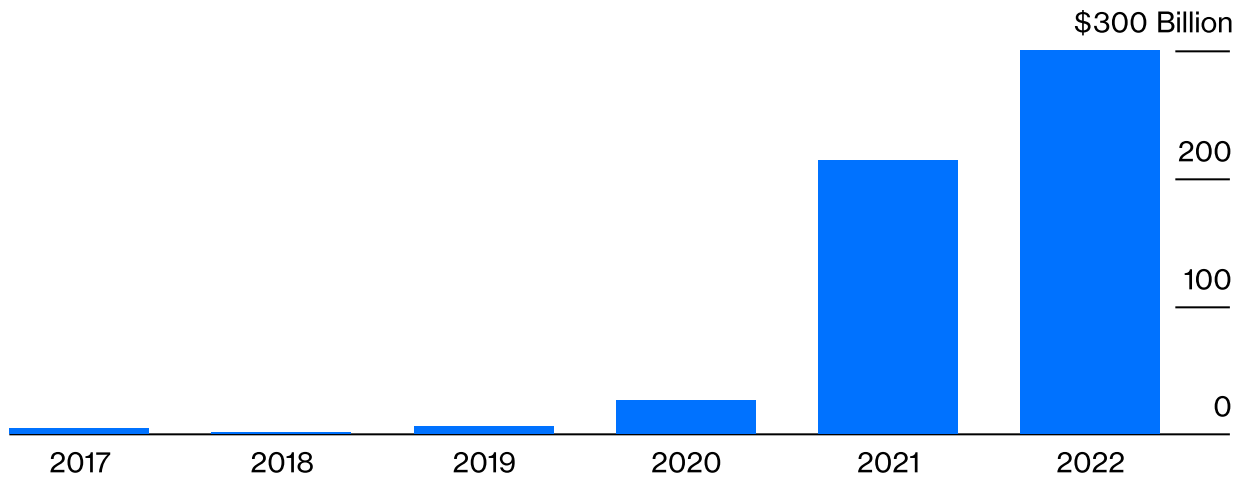
CX008

Indeed, by the end of 2022, the container-shipping industry will have earned a staggering half a trillion dollars of operating profit from two years of supply-chain misery, estimates research firm and consultancy Drewry.

Shipping Windfall

Container shipping profits are expected to reach \$300 billion in 2022

Operating profit



Source: Drewry

Besides splurging on dividends and share repurchases, the once scarcely profitable container lines are planning to use this once in a lifetime haul for acquisitions and investments. Some aim to turn themselves into end to end logistics giants, in the vein of Amazon.com Inc. or FedEx Corp.

In theory, this should make them more resilient when shipping freight rates normalize, which is bound to happen one day. Shipping costs have already come down a bit, but due, in part, to the spread of omicron in China, some industry observers now don't expect port congestion to ease until next year.

Freight Fright

Shipping a 40 foot container remains very expensive

Source: Drewry

Composite index of spot container rates on eight major east-west trade routes.

Of course, the big risk is these hungry hippos waste their epic windfall on empire building, and an industry that's already on the defensive due to its inflation-stoking profiteering may end up stoking an even greater political backlash.

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MoviePass Was Not a Good Business

The Party Label Is What Matters Most to Voters

Hedge Funds Forego Round Two in Philip Morris Takeover Fight

Only Republicans Can Rescue American Democracy

It's a sign of how the ambitions of the shipping industry have been transformed that a container liner joining forces with an airline no longer seems unusual: Mediterranean Shipping Co. is angling to acquire a controlling stake in Italian flag carrier ITA Airways, while the billionaire principal shareholder of Germany's Hapag Lloyd, Klaus-Micheal Kuehne, has built a 10% stake in Lufthansa AG. In addition to expanding its own air-cargo fleet, Maersk agreed to acquire air-freight forwarding specialist Senator International in November.

Shipping's splurge extends far beyond aircraft to include warehouses, ports and delivery trucks. Connecting the myriad deals announced recently, a few of which I've highlighted in this table, is the idea of vertical integration – a fancy way of saying controlling every stage in the supply chain.

Shopping Spree

A selection of the deals container lines have struck in 2021 and 2022

Source: Bloomberg Opinion research

While not everyone's pursuing this approach – Hapag Lloyd is sticking to shipping, perhaps because Kuehne already owns a logistics company, Kuehne & Nagel International AG – the marine companies frame it as a win-win. They get a bigger share of their customers' transportation budget, in return for providing a more joined-up, reliable service.

Being seen as a logistics integrator, rather than just a shipping firm, might also help lift Maersk's stock market valuation. Currently, the Danish giant is valued at less than three times its earnings because investors think its bumper shipping earnings are unsustainable. (MSC and CMA CGM are closely held).

From an investor perspective, it's refreshing change because historically this industry tended to splash all of its spare cash on new ships, leading to profit-sapping overcapacity (customers didn't mind, of course, because it meant shipping rates were generally very low).

Though the assortment of toys they're acquiring has changed, it doesn't necessarily mean the money is being better spent. Logistics groups know the shipping companies have plenty of cash so can force them to pay top-dollar. And shipping's previous forays into logistics, such as Maersk's Damco unit, haven't always gone well.

Opinion. Data. More Data.Opinion. Data. More Data.Opinion. Data. More Data.

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It makes sense for these groups to grow via diversification because container shipping is already highly consolidated. Just eight companies control 80% of the world's container shipping capacity, and they're organized into three major alliances. More than four-fifths of the international trade in goods is carried by sea, so this high level concentration – made possible by the sweeping antitrust exemptions they enjoy -- confers immense power.

No wonder smaller logistics and freight forwarding companies are antsy. One worry is shipping companies will prioritize larger customers that have full-service contracts, leaving smaller players out in the cold.

Vertical integration is "unfair and discriminatory" as carriers exempt from normal competition rules are using windfall profits to compete against sectors that don't have such advantages, says Cleclat, a trade body for Europe's freight forwarding and logistics industry.

As I've noted before, some European shipping groups also pay hardly any taxes on their windfall profits because – rather ridiculously – their taxes are assessed according to the size of their ships, not how much they earn.

Big Profits, Low Taxes

Thanks to tonnage taxes, these shipping giants retain more of their profits

Source: 2021 financial reports, Opinion calculations

The clamor to do something about this power imbalance is growing louder, especially in the US where foreign-owned container lines have become a favorite trustbusting boogeyman for the Biden administration, though so far to little effect.

While container-shipping companies are hellbent on getting bigger, it's fair to ask if they're not too powerful already. Recapitalizing pandemic losers like Air France is a eye-catching use of their windfall profits. But don't confuse it with charity.

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[Tesla Is Hedging Its Global Supply Chain Bets: Anjani Trivedi](#)

[Taxpayers Miss Out on Shipping's Pandemic Profit Bonanza: Chris Bryant](#)

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Christian Wienberg and Jonas Ekblom | Bloomberg News

October 11, 2022 9:40 AM, EDT

Maersk Rides Highs and Lows of Shipping's Roller-Coaster Year



Patrick T. Fallon/Bloomberg News

[Stay on top of transportation news: Get TTNews in your inbox.]

A.P. Moller-Maersk A/S is having either the greatest year in its 118-year history or the worst in more than a decade, depending on whether you look at its profits or stock performance.

While much of the discrepancy is due to investors anticipating a drop in future earnings, the contrast is stark for the transport giant, which is making so much money at the moment that its net income is equal to about 9% of the entire gross domestic product of Denmark, its home country.

Maersk profits have surged because a shortage of shipping capacity, amplified by supply chain





RoadSigns · RS94: How Can Companies Properly Wint...

Winter is coming. Bill Lindsay of Clean Harbors and Brian Antonellis of Fleet Advantage join host Mike Freeze to talk about winterizing fleets. Tune in above or by going to RoadSigns.ttnews.com.

As a result, the company's earnings are likely on a roller-coaster ride. Net income will almost double from 2021's already high level to a record \$29.3 billion this year, according to the latest survey by Bloomberg, which includes 13 analysts. That will make it the third-highest earner in the Stoxx Europe 600 index.

Next year looks very different, with analysts predicting net income dropping more than 70% to just \$7.97 billion.

At the heart of the quandary over its stock valuation is the question of how sustainable

Maersk's earnings are, and what its booked contracts — around 70% of its long-term business — are really worth going forward as spot rates plummet.

Maersk's shares are heading for their worst year since the financial crisis of 2008. The stock is down 38% so far, close to double the average in the Stoxx Europe 600.

Anders Redigh Karlsen, shipping equity analyst at Kepler Cheuvreux, said in a phone interview that spot-rate volatility has led to "uncertainty around the earnings forecast," and that there is a debate over how much of an impact such rates will have on Maersk's contracts going forward.

"I believe there is some merit to the contracts," Redigh Karlsen said. "There will likely be some people trying to renegotiate. There may be some concessions on a case-to-case basis, for instance against a longer contract duration."

Others are more pessimistic. Barclays analyst Alexia Dogani, who has one of the few sell-equivalent recommendations for the Danish shipping firm, said in emailed comments the spot-rate trajectory, which is currently plummeting, is "the closest read to future earnings prospects."

The outlook for shipping comes amid a looming recession, in which higher consumer prices are seen leading to lower global demand for the goods Maersk transports in its ships. As supply-line congestions ease around the world, capacity will also rise, meaning more vessels will compete for fewer goods.

Want more news? Listen to today's daily briefing above or go here for more info

Barclays's Dogani sees "significant" earnings risks if the upcoming recession is similar to the global financial crisis of

2008. And while Maersk has in past years worked strategically to reduce its exposure to volatile shipping rates by investing heavily in land-based transportation, she is skeptical it will fuel an outperformance due to the segment's commoditized characteristics.

Analysts are taking an increasingly gloomy view on the container line and have on average cut their 12-month price targets by 12% over the last two months, according to data compiled by Bloomberg, even if most still recommend buying the shares.

A.P. Moller-Maersk A/S is ranked No. 4 on the Transport Topics Top 50 list of the largest global carriers.

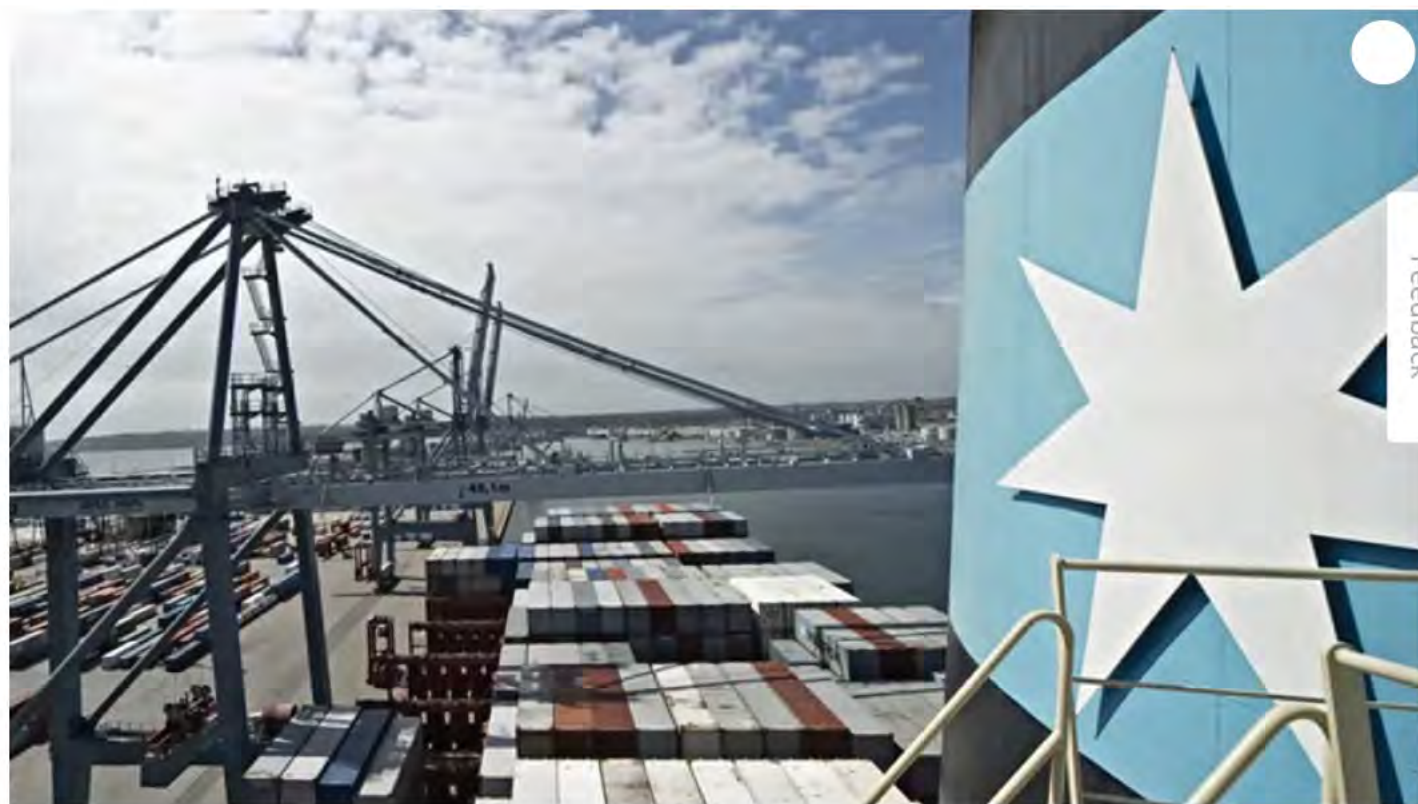


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A.P. Moller - Maersk reports record Q1 results while further developing customer relationships

04 May 2022

Financial Results

Share 

Copenhagen: A P Moller - Maersk (Maersk) delivered record results for Q1 2022 across its businesses, driven by higher rates and strong long term partnerships with customers seeking end to end supply chain support. Revenue was up 55pct to USD 19.3bn, EBITDA more than doubled to USD 9.1bn and free cash flow increased to USD 6bn.



Hecht Decl.
Ex. 3

In Q1 we delivered the best earnings quarter ever in A.P. Moller - Maersk with growth across Ocean, Logistics and Terminals. The increased earnings are

CX016

driven by freight rates and by contracts being signed at higher levels. While global supply chains remain under significant pressure, we continue to demonstrate superior ability to help customers overcome logistic challenges. In Logistics, we enjoyed strong demand for products and solutions across our portfolio leading to the 5th quarter in a row with organic growth of more than 30pct. while Terminals presented its best quarter ever.

Søren Skou
CEO of A.P. Moller - Maersk

In Ocean, revenue increased 64pct. to USD 15.6bn during Q1 as strong rates more than offset a 7pct. decline in volumes. Revenue for the full year is expected to continue to be strong as the increase in freight rates on our long-term contract portfolio will add approximately USD 10bn to revenue in 2022 compared to 2021. This will more than offset the significant increase in costs, which were up 21% in the first quarter given higher fuel costs and inflationary pressure on network and container handling costs.

In Q1, revenue in Logistics grew 41pct. to USD 2.9bn compared to same quarter last year as both existing and new customers continue to buy into the full value proposition of integrated solution. At the same time Maersk continues to invest in acquisitions that add capabilities within technology and e-commerce and strengthen the portfolio such as Pilot Freight Services, which closed on 2 May 2022.

Feedback

In Terminals, revenue increased to USD 1.1bn in Q1 compared to USD 915m last year and the return on invested capital (ROIC) ended on a record 12.5pct. before impairment in GPI of USD 485m following the exit of the Russian market. The process around the sale of GPI is ongoing. Results in Terminals are driven by higher storage income in NAM, improvement in revenue per move and a volume growth in the overall contracting market.

Market situation and guidance for 2022

Freight rates remained elevated in Q1 as Covid-19 and capacity shortages continued to disrupt the supply-side of the logistics industry. Global container demand declined by 1.2pct. compared to +8pct. in 2021 while global air cargo volumes increased by 2.9pct. Trade flow growth flattened from Far East to both North America and Europe. Russia's invasion of Ukraine is having a negative impact on trade flows and consumer confidence in Europe. Given this background, global container demand is now expected to grow -1/+1pct, compared to an earlier expectation of 2-4pct.

As announced on 26 April 2022, Maersk anticipates an underlying EBITDA of around USD 30bn, an underlying EBIT of around USD 24bn and a free cash flow above USD 19bn for the full year of 2022.

CX017

This is based on a strong first half of 2022 as well as higher contracted rates, while the normalisation in Ocean is still assumed to take place early in the second half of the year.

Financial highlights

Highlights Q1

Revenue

USD million	Ocean	Feedback
2022 Q1	15,570	
2021 Q1	9,478	
USD million	Logistics & Services	
2022 Q1	2,879	
2021 Q1	2,045	
USD million	Terminals	Feedback
2022 Q1	1,131	
2021 Q1	915	
USD million	Towage & Maritime Services	
2022 Q1	555	
2021 Q1	523	
USD million	Unallocated activities, eliminations, etc.	Feedback
2022 Q1	843	
2021 Q1	522	
USD million	A.P. Moller - Maersk consolidated	
2022 Q1	19,292	
2021 Q1	12,439	

EBITDA

USD million	Ocean	CX018
2022 Q1	8,214	

2021 Q1	3,444
USD million	Logistics & Services
2022 Q1	319
2021 Q1	205
USD million	Terminals
2022 Q1	456
2021 Q1	323
USD million	Towage & Maritime Services
2022 Q1	79
2021 Q1	89
USD million	Unallocated activities, eliminations, etc.
2022 Q1	16
2021 Q1	-22
USD million	A.P. Moller - Maersk consolidated
2022 Q1	9,084
2021 Q1	4,039

Feedback

EBIT

USD million	Ocean
2022 Q1	7,072
2021 Q1	2,700
USD million	Logistics & Services
2022 Q1	183
2021 Q1	139
USD million	Terminals
2022 Q1	-73
2021 Q1	239

CX019

USD million	Towage and Maritime Services
2022 Q1	69
2021 Q1	41
USD million	Unallocated activities, elimination, etc.
2022 Q1	22
2021 Q1	-22
USD million	A.P. Moller - Maersk consolidated
2022 Q1	7,273
2021 Q1	3,097

CAPEX

USD million	Ocean	Feedback
2022 Q1	1,156	
2021 Q1	193	
USD million	Logistics & Services	
2022 Q1	34	
2021 Q1	21	
USD million	Terminals	
2022 Q1	80	
2021 Q1	69	
USD million	Towage and Maritime Services	
2022 Q1	81	
2021 Q1	49	
USD million	Unallocated activities, eliminations, etc.	
2022 Q1	3	
2021 Q1	-3	
USD million	A.P. Moller - Maersk consolidated	
	CX020	

2022 Q1	1,354
2021 Q1	329

Sensitivity guidelines

Financial performance for A.P. Moller - Maersk for 2022 depends on several factors and is subject to uncertainties related to the situation in Russia and Ukraine, COVID-19, bunker fuel prices and freight rates, given the uncertain macroeconomic conditions.

All else being equal, the sensitivities for 2022 for four key assumptions are listed in the table below:

Factors	Container freight rate
Change	+/- 100 USD/FFE
Effect on EBIT (midpoint of guidance) Rest of year	+/- USD 1.0bn

Factors	Container freight volume
Change	+/- 100,000 FFE
Effect on EBIT (midpoint of guidance) Rest of year	+/- USD 0.2bn

Factors	Bunker price (net of expected BAF coverage)
Change	+/- 100 USD/tonne
Effect on EBIT (midpoint of guidance) Rest of year	+/- USD 0.5bn

Factors	Foreign exchange rate (net of hedges)
Change	+/- 10% change in USD
Effect on EBIT (midpoint of guidance) Rest of year	+/- USD 0.1bn

About A.P. Moller - Maersk

A.P. Moller - Maersk is an integrated container logistics company working to connect and simplify its customers' supply chains. As the global leader in shipping services, the company operates in 130 countries and employs around 95,000 people.

Downloads



Download - APMM Q1 report 2022
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FEBRUARY 28, 2022

FACT SHEET: Lowering Prices and Leveling the Playing Field in Ocean Shipping

The President is announcing an historic agreement between the Department of Justice and the Federal Maritime Commission (FMC) to make sure that large ocean freight companies cannot take advantage of U.S. businesses and consumers. Right now, three global alliances, made up entirely of foreign companies, control almost all of ocean freight shipping, giving them power to raise prices for American businesses and consumers, while threatening our national security and economic competitiveness.

Most traded goods—everything from the housewares you buy online to the agricultural products American farmers market overseas—are transported by ocean freight companies. **These companies have formed global alliances—groups of ocean carrier companies that work together—that now control 80% of global container ship capacity and control 95% of the critical East West trade lines.** This consolidation happened rapidly over the last decade. From 1996 to 2011, the leading three alliances operated only about 30% of global container shipping. Significant consolidation occurred in the years running up to the Pandemic.

Since the beginning of the pandemic, these ocean carrier companies have been dramatically increasing shipping costs through rate increases and fees. **They increased spot rates for freight shipping between Asia and the United States by 100% since January 2020, and increased rates for freight shipping between the United States and Asia by over 1,000% over the same period.** Oftentimes cargo owners are charged fees—known as “detention and demurrage” fees—even when they can’t get access to their containers to move them. The FMC estimates that from July to September of 2021, eight of the largest carriers charged customers fees totaling \$2.2 billion—a 50% increase on the previous three-month period.

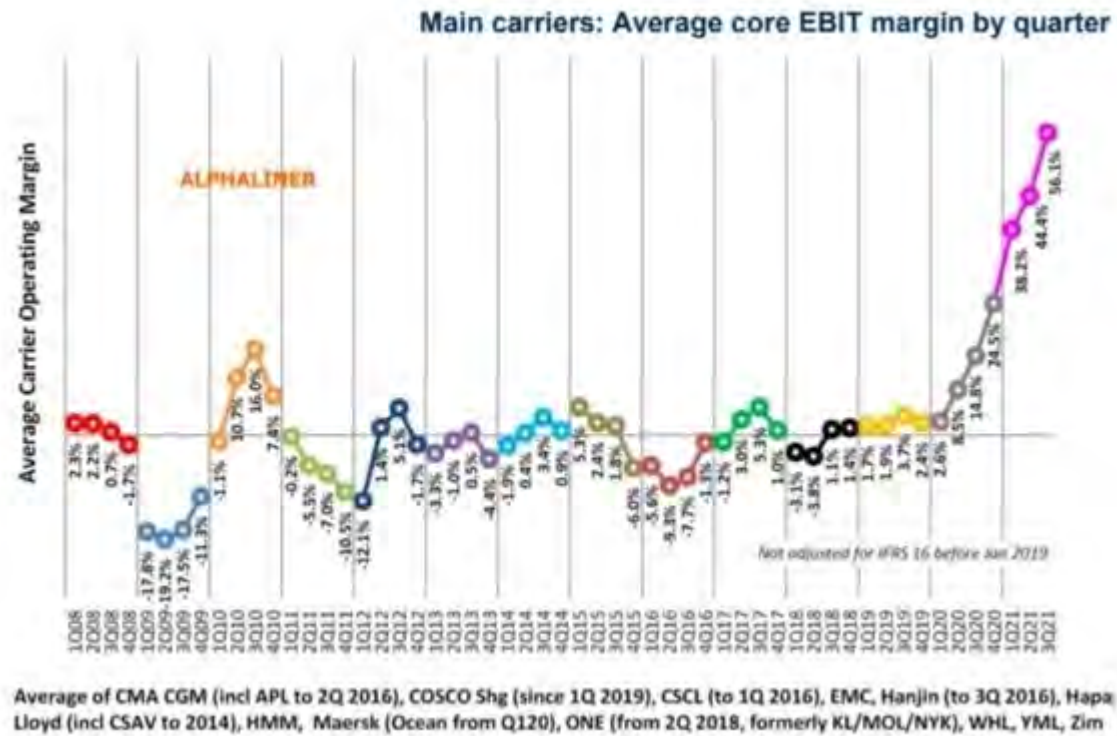
These historically large shipping price increases translate into higher prices for American consumers. Based on research by the [Kansas City Fed](#) and the [European Central Bank](#), these shipping cost increases are expected to contribute to approximately a 1% increase in consumer prices over the next year.

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Ex. 4

CX024

Meanwhile, the ocean carrier companies are experiencing elevated profits and soaring profit margins. Estimates suggest that the container shipping industry made a record \$190 billion in profits in 2021, a seven-fold increase from the previous year and five times what it made over the entire period from 2010-2020. Profit margins have increased by even larger amounts. **In the third quarter of 2021, the average operating margin of the major carriers was about 56%, compared to an average operating margin of 3.7% two years earlier:**



Beyond price increases, several specific business practices of many large ocean carrier companies are hurting American businesses and farmers. For example, because of their market power, these alliances are able to cancel or change bookings and impose additional fees without notice. These unpredictable practices undermine American business' ability to deliver orders on time. All too often, ocean carriers are effectively refusing to take American exports altogether, preferring to speed back to China with an empty ship to make a quick turnaround rather than transport American exporters' cargo or dock at American ports. This is especially difficult to our farmers, who have spent decades building relationships internationally, only to find that now they can't transport their agricultural products overseas with any reliability or predictability.

The carriers have also continued to pursue practices that directly contribute to port congestion, such as imposing "box rules" that require truckers to use only certain trailers to haul their containers—thus forcing truckers to wait for the "right" kind of trailer to become available. That leads to lower pay and longer wait times for our nation's truck drivers, who get

CX025

paid per box, and allows the ocean carriers to generate even higher detention and demurrage fees.

A century ago, in the original Ocean Shipping Act, Congress provided for utility-style regulation of ocean carriers, paired with antitrust immunity for ocean carrier alliance agreements only when the alliance was in the “public interest.” But Congress steadily deregulated the industry—expanding the antitrust immunity while weakening ocean carriers’ obligations to publicly disclose prices and fees and treat businesses and their customers fairly. That is how we have arrived at the point where three alliances can dominate the market for ocean shipping and squeeze American businesses and consumers.

The Biden-Harris Administration is taking steps to lower consumer prices and level the playing field in ocean shipping:

- **Today, the FMC and the Department of Justice (DOJ) are announcing a new joint initiative to promote competition in the ocean freight transportation system.** Under the new initiative, DOJ will provide the FMC with the support of attorneys and economists from the Antitrust Division for enforcement of violations of the Shipping Act and related laws. The FMC will provide the Antitrust Division with support and maritime industry expertise for Sherman Act and Clayton Act enforcement actions. The agencies’ announcement explains that competition in the maritime industry is integral to lowering prices, improving quality of service, and strengthening the resilience of supply chains.

This initiative grew out of the “whole of government” approach to competition established by the President’s July Executive Order on Promoting Competition. The FMC and the DOJ are both part of the White House Competition Council established by the Order. Their partnership builds on an information-sharing Memorandum of Understanding that the agencies entered into in July.

- **The FMC will continue ramping up oversight of the global ocean shipping industry.** Since last summer, the FMC has established a new audit program backed by an audit team to address complaints about carriers charging unfair fees, demanding justification from the carriers about their fees, launched 42 cases investigating port congestion charges, and took steps to address barriers to filing complaints at the FMC and to prevent retaliation against complainants. It also launched a new data initiative to identify data constraints that are adding to supply chain congestion. This month, the FMC also sought comments on reforms to how carriers charge shippers fees.

The Administration, led by Port Envoy John Porcari, has also worked with the Ports of Los

Angeles and Long Beach to develop new fees on ocean carrier companies for letting cargo sit on the docks for over nine days. These long-dwelling import containers had been causing delays in getting goods to shelves while increasing port congestion. Since the announcement of the proposed fee, the number of long-dwelling containers on the docks has fallen more than 70 percent. Building on the success of the proposed carrier fee, the Administration is working with the ports on charging the carriers for long-dwelling empty containers that have been clogging the docks. There has been a more than 25 percent drop in the number of empty containers on the docks at the Port of Los Angeles since that announcement.

The need for reform to our ocean freight transportation system to improve fluidity and fairness, particularly for our agricultural exporters, was underscored last week in reports released by the [Department of Transportation](#) and the [Department of Agriculture \(USDA\)](#) as part of the Administration's six supply chain [industrial base reports](#) published on the one-year anniversary of the President's supply chain executive order.

- **The President is calling on Congress to pass robust reforms to the ocean shipping industry, including reforms that address the current antitrust immunity for ocean shipping alliances.** In addition to the important administrative actions announced today, the President believes Congress should provide additional tools for the Administration to address problems in the ocean shipping industry. The President is encouraged by action in both Houses of Congress to address these problems. He is calling on Congress to also address the immunity of alliance agreements from antitrust scrutiny under current law.

###



TECH

Amazon is making its own containers and bypassing supply chain chaos with chartered ships and long-haul planes

PUBLISHED SAT, DEC 4 2021•9:00 AM EST UPDATED SUN, DEC 5 2021•7:09 PM EST



Katie Schoolov
@KATIESCHOOLOV

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VIDEO 15:45

How Amazon is beating supply chain chaos with its own containers, chartered ships and long-haul planes

LIVE

LIVE: White House press secretary Karine Je



WATCH LIVE

Beach and Los Angeles.

“Los Angeles, there’s 79 vessels sitting out there up to 45 days waiting to come into the harbor,” ocean freight analyst Steve Ferreira told CNBC in November. “Amazon’s latest venture that I’ve been tracking in the last two days, it waited two days in the harbor.”

By chartering private cargo vessels to carry its goods, Amazon can control where its goods go, avoiding the most congested ports.

“Who else would think of putting something going into an obscure port in Washington, and then trucking it down to L.A.? Most people are thinking, well, just bring the ship into L.A. But then you’re experiencing those two-week and three-weeks delay. So Amazon’s really taken advantage of some of the niche strategies I believe that the market needs to employ,” Ferreira said.

Still, Amazon has seen a 14% rise in out-of-stock items and an average price increase of 25% since January 2021, according to e-commerce management platform [CommerceIQ](#).

“The consumer has been feeling price increases in everything that they’re purchasing,” said Margaret Kidd, Supply Chain & Logistics Technology program director at the University of Houston. “Ultimately, when there’s an increase in the cost of transportation, it gets passed down to the consumer.”

Amazon has been on a spending spree to control as much of the shipping process as possible. It spent more than [\\$61 billion on shipping in 2020, up from just under \\$38 billion in 2019](#). Now, Amazon is shipping [72% of its own packages, up from less than 47% in 2019](#) according to [SJ Consulting Group](#).

It’s even taking control at the first step of the shipping journey by making its own 53-foot cargo containers in China. [Containers are in short supply](#), with long wait times and prices surging from less than \$2,000 before the pandemic to \$20,000 today.

“Amazon has produced probably 5,000 to 10,000 of these containers over the last two years I’ve been tracking it,” Ferreira said. “When they bring these containers onto U.S. soil, once they unload them, guess what? They get to be used in the domestic system and the rail system. They



MARKETS



CNBC TV

CX029



WATCHLIST



MENU



Amazon containers arrive at the Port of Houston on the Star Lygra cargo vessel on October 5, 2021

Courtesy: Port Houston

“By creating their own containers, they are essentially guaranteeing that equipment is going to be available for them,” said Lauren Beagen, maritime lawyer and founder of [Squall Strategies](#). She was working at the [Federal Maritime Commission](#) when Amazon first registered with the agency in 2015, the first indication it was exploring its own ocean freight business.

Then in 2017, Amazon started quietly operating as a global freight forwarder through a Chinese subsidiary, helping move goods across the ocean for its Chinese sellers who pay to be part of the [Fulfilled by Amazon](#) program. Internally, Amazon dubbed this project “Dragon Boat.”

“They are doing over 10,000 containers per month of the small- and medium-sized Chinese exporters. Amazon’s volume as an ocean vendor — that’s right, you heard me correct, they’re considered an ocean vendor — would rank them in the top five transportation companies in the Trans Pacific,” Ferreira said.

This season, a handful of other major retailers — [Walmart](#) , [Costco](#) , [Home Depot](#) , Ikea and



chemicals, grain, agricultural products. But because of the ingenuity and creativity and lack of space, Amazon and many other smart people have quickly figured out how to convert some of these multipurpose vessels to container,” Ferreira said.

For some of the highest-margin goods, Amazon is avoiding ports altogether by [reportedly](#) leasing at least ten long-haul planes that can get smaller amounts of cargo directly from China to the U.S. much faster. One of the converted Boeing 777 planes can carry [220,000 pounds of cargo](#). According to capacity estimates from [Ocean Audit](#), the small 1,000-container freighters being chartered by Amazon and others can hold 180 times that, with the biggest cargo ships carrying more than 3,600 times what the planes can hold.

Another strain on the supply chain is manpower.

“We’ve been hearing a lot about the great resignation, with a lot of jobs going open and unfilled. So I think companies are looking to get very creative in attracting labor. It might be signing bonuses, higher pay,” said Judy Whipple, supply chain management professor at Michigan State University.

To fight the worker shortage — and a reputation for relentless workload and breakneck speed — Amazon says it’s offering sign-on bonuses of up to \$3,000 to all the [150,000 seasonal workers](#) it’s hiring this year. Last year, it hired [100,000 seasonal workers](#).

“That 50,000 increase in employees this year over last year is probably people to do the unloads. They’ve got these containers coming in at the last second, man, they want to unload those goods and get them on the shelves in the fulfillment centers as quickly as possible,” said John Esborn, who used to run logistics operations for Wayfair and is now the head of international transportation for Amazon aggregator Perch.

The seasonal workers are unloading and loading, picking and packing at more than 250 new facilities Amazon says it’s opened in the U.S. just in 2021 — a clear indication that it planned far ahead for the final bottleneck in the supply chain backlog: warehouse capacity.

Watch the video to learn more about all the bold and costly ways Amazon is avoiding the worst of the supply chain crisis this holiday season.



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'The rip-off is over': Biden urges shipping reform during Port of Los Angeles visit

The president warned carriers that new regulations could be coming as he called on Congress to pass the Ocean Shipping Reform Act of 2022.

Published June 10, 2022



Colin Campbell
Reporter



Sarah Zimmerman
Editor

Los Angeles President Joe Biden leveled a warning on Friday at the nine top ocean carriers as he urged for swift passage of legislation to crack down on skyrocketing shipping costs.

"The rip-off is over," Biden said during a speech at the Port of Los Angeles.

The president is pushing lawmakers to approve the Ocean Shipping Reform Act of 2022, part of the administration's plan to address rampant consumer price inflation that has reached a new 40-year high. The proposal would empower the Federal Maritime Commission to self-initiate investigations into carriers' business practices and provide a pathway for shippers to seek financial relief when hit with unreasonable fines.

"I called on Congress to crack down on the foreign-owned shipping companies that raise their prices, while raking in \$190 billion in profit, a seven-fold increase in one year," Biden said.

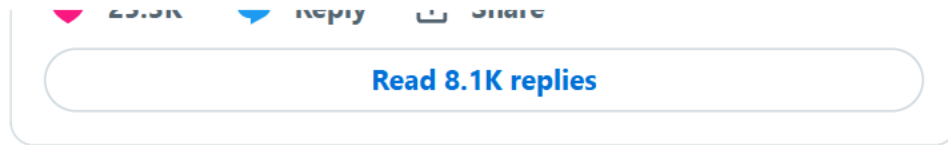
Federal agencies responsible for oversight of rail and ocean shipping have sought to hold freight carriers accountable in recent

Hecht Decl.
Ex. 6

weeks through a combination of hearings, newly proposed rules, and fines.

Biden has been vocal about supporting the Ocean Shipping Reform Act bill, releasing a video Thursday urging the House of Representatives to pass it in response to price hikes of as much as 1,000% YoY.





The profits for the carriers, which operate as three major consortiums, are costs for their customers. Wade Miquelon, JoAnn Stores president and CEO, told the president by phone in the video that price hikes had added nearly \$100 million in costs for the retailer.

“We’re not a huge company, but that \$100 million increase that they passed onto us is more than our entire profit,” Miquelon said.

Hal Lawton, president and CEO of Tractor Supply Company, told the president in another call that heightened container prices alone had left his costs skyrocketing.

“We were paying \$3,500 a container in 2020. Then by September, October of last year, we were paying upwards of \$20,000 to \$25,000,” Lawton said.

Beyond Biden’s swipe at the ocean carriers, the president struck several familiar supply chain themes — and neglected to mention a few others.

The president touted the series of steps his administration has taken to boost the number of truck drivers, including efforts to expedite CDLs and encourage new apprenticeship programs, amid widespread labor challenges in the industry.

“We had record-setting employment in trucking earlier this year,” he said.

Biden cast inflation as a global problem, blaming Russia’s invasion of Ukraine for driving up oil and food commodity prices. He

touched on a few future port upgrades funded by the bipartisan infrastructure deal and touted the strength of the U.S. economy and record-low unemployment.

But notably absent from Biden's roughly 20-minute speech at the Port of Los Angeles was any mention of the ongoing, high-stakes ILWU negotiations over a new contract. The president also shared no updates on the administration's push for 24/7 supply chains or the Freight Logistics Operations Works data sharing portal announced in March.

But he did shout out progress in clearing the docks: a 40% decrease in long-dwelling containers at the Los Angeles and Long Beach ports. Officials have attributed the improvement to the threat of a dwell fee dangled since last fall in coordination with the administration's Supply Chain Task Force.

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[REDACTED]	[REDACTED]	USD/TEU
[REDACTED]	[REDACTED]	3,156
[REDACTED]	[REDACTED]	7.0%
[REDACTED]	[REDACTED]	315.3%
[REDACTED]	[REDACTED]	291.9%

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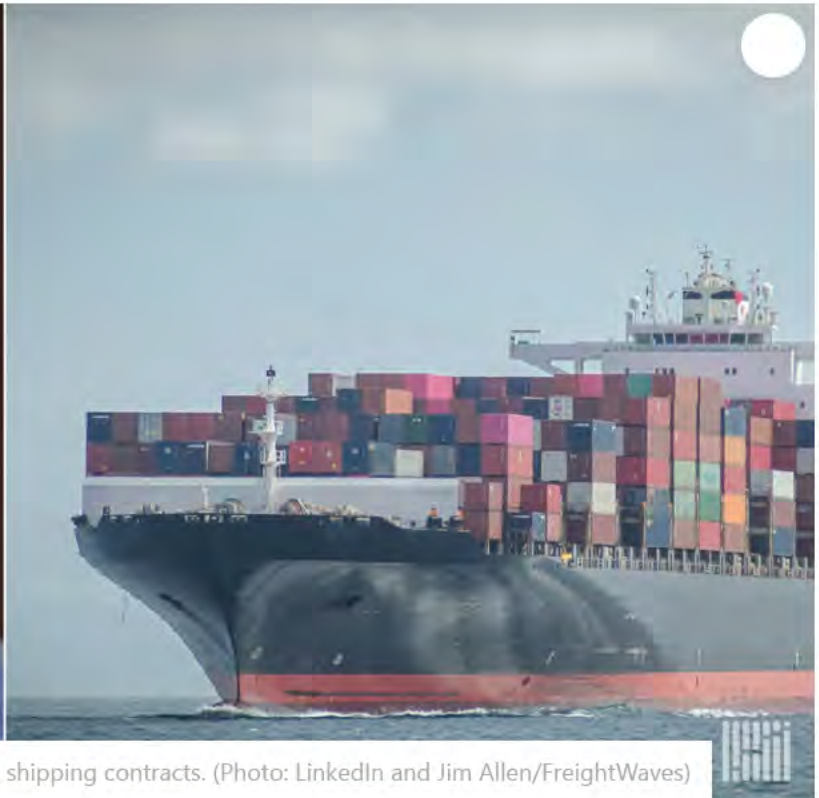
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Vessel group rejects allegations of threats against US exporters

Fear of retaliation for complaining about high fees and canceled contracts unjustified, World Shipping Council asserts



John Gallagher • Thur day June 17 2021



📷 Maffei considering bigger role for FMC in regulating shipping contracts. (Photo: LinkedIn and Jim Allen/FreightWaves)

U.S. exporters should not fear payback from container lines if they complain to the Federal Maritime Commission (FMC) about excessive cargo fees or canceled contracts, according to the carriers' representative in Washington.

"I categorically reject the idea that shippers are being threatened with retaliation for bringing complaints — I don't buy that, John Butler, president and CEO of the World Shipping Council, which represents most of the world's container ship fleet, told lawmakers.

Hecht Decl.
Ex. 9

CX059

Testifying at hearing before the House Transportation & Infrastructure Committee on Tuesday, Butler was responding to members of the Federal Maritime Commission who recounted reports from exporters of threatened retribution by the carriers.

Earlier during the hearing, FMC Commissioner Rebecca Dye said her agency had been self initiating complaints against carriers due in part to a lack of complaints filed directly from exporters.

"We didn't get as many complaints as we wanted, because our exporters are concerned about retaliation," Dye told the committee. "I can assure you that that is a violation of the Shipping Act. And we would take prompt and decisive action if we heard about any carrier actually retaliating against any exporter or any other supply chain actor for coming to the FMC with a complaint."

FMC Chairman Daniel Maffei, also testifying at the hearing, concurred. "There's a fear of retaliation that is keeping individual shippers from filing their own complaints, he said. They don't have to wait for us [to initiate a complaint], but they're not doing it."

Detention and demurrage are charges used by ocean carriers and container terminals to ensure customers promptly pick up their cargo and return empty containers quickly so the equipment can be used by the next customer.

However, Alexis Jacobson, testifying on behalf of the U.S. exporter group Agriculture Transportation Coalition, said that carriers and terminals have been routinely imposing excessive demurrage and detention charges of \$175 to \$750 per container per day despite [updated guidance issued by the FMC last year](#) cracking down on unfair charges.

"When the carrier imposes such a charge, the burden falls on the shipper to submit penalty waiver requests to that carrier, explaining why the charge is unreasonable, even though the relevant information (location of the vessel, vessel schedule and notices, cargo cut times, terminal hours, etc.), is the carrier's own operations information," Jacobson stated.

Maffei said he was very concerned when was asked by Rep. Salud Carbajal, D Calif., to respond to reports received by his office of carriers refusing to carry cargoes, and whether that violates the Shipping Act.

"Particularly if a carrier is refusing to offer a container at any price to an exporter — that to me is refusing to deal" in violation of the Shipping Act, Maffei said, emphasizing that that may not be the opinion of other commissioners.

Reps. John Garamendi, D Calif., and Dusty Johnson, R S.D., [revealed during the hearing](#) they were drafting legislation that would require ocean carriers to accept all U.S. export container bookings.

Pressed about the FMC's ability to adjudicate whether contracts between carriers and shippers have been broken, Maffei stated that the Shipping Act currently does not allow for that. However, "I do believe that the commission should maybe have a bigger role in reviewing contracts for clauses that are violations of the Shipping Act," he said.

Butler opposes the idea of giving regulators more power over commercial contracts.

"There are millions of containers and thousands of service contracts in this market," he said at the hearing. "There's no way to have visibility into them all at once. I understand that's frustrating, but the fact is, if you're going to examine a commercial relationship and whether both sides are keeping up their end, you have to look at that relationship on a transactional basis."

Related articles:

- [Congress drafting law barring ocean carriers from refusing US exports](#)
- [Shipper group pressures Congress to clamp down on ocean carriers](#)
- [Maritime regulators dive into alleged tariff fee overcharges](#)

[Click for more FreightWaves articles by John Gallagher.](#)



John Gallagher

CX061

Based in Washington, D.C., John specializes in regulation and legislation affecting all sectors of freight transportation. He has covered rail, trucking and maritime issues since 1993 for a variety of publications based in the U.S. and the U.K. John began business reporting in 1993 at Broadcasting & Cable Magazine. He graduated from Florida State University majoring in English and business.



FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: September 8, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

**ORDER DENYING RESPONDENT'S MOTION FOR AN EXTENSION OF TIME AND
ORDER TO SHOW CAUSE**

On July 29, 2022, an order was issued requiring Respondent MSC Mediterranean Shipping Company SA ("MSC Mediterranean Shipping") to produce all outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the order granting motion to compel issued on December 8, 2021. MSC Mediterranean Shipping failed to produce the required discovery. Instead, on August 26, 2022, MSC Mediterranean Shipping filed a motion seeking an extension of time ("Motion") and on September 6, 2022, it filed a notice of advice of the Swiss Federal Office of Justice ("Notice"). On September 2, 2022, Complainant MCS Industries, Inc. ("MCS Industries") filed an opposition to the motion for an extension of time.

As explained below, MSC Mediterranean Shipping's motion seeking an extension of time is denied and it is ordered to show cause why a default decision should not be issued against it for failure to produce discovery. COSCO was previously dismissed due to a settlement.

MSC Mediterranean Shipping requested an extension to obtain advice from the Federal Office of Justice in Switzerland and propose a path forward, stating that it "cannot comply" with the July 29, 2022, order requiring production of documents and "that the July 1 ruling of the Geneva Court of First Instance is in error." Motion at 1-2. Complainant asserts that Respondent's failure to comply with its discovery obligations are a crisis of Respondent's own making; Respondent's motion should be denied as both substantively meritless and procedurally inappropriate; and, procedural sanctions are an appropriate remedy for Respondent's noncompliance. Opposition at 1-6.

Essentially, Respondent continues to argue despite rulings to the contrary in this proceeding and in the Republic and Canton of Geneva Court of First Instance, that due to Swiss legal requirements it cannot produce the discovery ordered in the December 8, 2021, motion to compel and the July 29, 2022, order requiring production of discovery, and that the Swiss court's decision that their intervention is not necessary was in error. Motion at 1-5.

The notice filed by MSC Mediterranean Shipping argues that it contacted the Federal Office of Justice in Switzerland to confirm that the ruling of the Geneva Court of First Instance was in error and the “advice from the Federal Office of Justice directly supports MSC’s proposal that the request for judicial assistance should be resubmitted in order to obtain a correct assessment that the procedures are available.” Notice at 1. However, it is clear that this “advice” from the Federal Office of Justice in Switzerland merely identifies the process for resubmitting a request and the factors that may be taken into account, without any discussion of the merits of this proceeding. Notice, Exhibit B.

The question of whether Swiss assistance with discovery is required has been answered by the undersigned Administrative Law Judge and by the Court of First Instance in Geneva. MSC Mediterranean Shipping’s position did not prevail and now it must produce discovery or face procedural consequences. Relitigation of the same issue will not be permitted and has only delayed this proceeding. Therefore, the motion seeking an extension is denied.

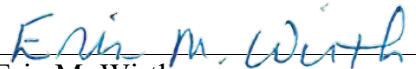
As Respondent was advised previously, pursuant to Commission Rule 150(b), if a party “fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just,” including “rendering a decision by default against the disobedient party.” 46 C.F.R. 502.150(b).

In multiple filings, MSC Mediterranean Shipping has indicated that it will not produce the discovery that it has been repeatedly ordered to produce. Complainant asserts that “Respondent cannot accept the benefits of shipping cargo to and from U.S. ports while shirking its legal and regulatory obligations before the Commission” and that it would request a decision on default. Opposition at 6. Given MSC Mediterranean Shipping’s statements that it will not produce the required discovery, it is appropriate to determine whether a default decision is an appropriate remedy. Accordingly, MSC Mediterranean Shipping is ordered to show cause why a default decision should not be issued against it.

The amended complaint seeks an FMC investigation; a finding of violations of the Shipping Act; a cease and desist order; and an order requiring MSC Mediterranean Shipping to pay an unspecified amount of reparations to Complainant. An FMC investigation cannot be ordered through a formal proceeding. However, the other requested remedies may be ordered. In their response to MSC Mediterranean Shipping’s filing, Complainant should identify the dollar amount of reparations that they are seeking. MSC Mediterranean Shipping may file a reply to Complainant’s arguments.

The merits of the proceeding and remedy are not at issue and should not be addressed in these filings—the question is only whether a default decision or other procedural consequence is appropriate for MSC Mediterranean Shipping’s failure to produce discovery. If MSC Mediterranean Shipping provides the discovery, the issue will be moot and the case can proceed to a resolution on the merits. The parties may also chose to settle the proceeding and if so, should submit a motion requesting approval of the settlement with a copy of the settlement agreement.

For the reasons stated above, it is hereby **ORDERED** that MSC Mediterranean Shipping's motion for an extension of time be **DENIED**. It is further **ORDERED** that by September 22, 2022, MSC Mediterranean Shipping either provide the required discovery or show cause why default judgment should not be entered against it. Complainant may respond to MSC Mediterranean Shipping's filing by October 6, 2022. MSC Mediterranean Shipping may file a reply by October 14, 2022.


Erin M. Wirth
Chief Administrative Law Judge

Ocean Carrier Alliances

Ocean Carrier	Total		Owned		Chartered		Orderbook	
	Ships	TEU	Ships	TEU	Ships	TEU	Ships	TEU
2M Alliance								
2 Maersk	737	4,279,760	337	2,500,382	400	1,779,378	29	319,100
1 Mediterranean Shipping Co.	662	4,337,384	323	1,707,094	339	2,630,290	77	1,194,394
Total	1,399	8,617,144	660	4,207,476	739	4,409,668	106	1,513,494
THE Alliance								
5 Hapag-Lloyd	246	1,741,980	113	1,061,410	133	680,570	22	415,588
6 ONE (Ocean Network Express)	209	1,526,937	91	793,211	118	733,726	24	326,642
8 Hyundai Merchant Marine	76	820,520	35	551,484	41	269,036	12	161,088
9 Yang Ming Marine Transport Corp.	93	666,164	50	211,684	43	454,480	5	59,300
Total	624	4,755,601	289	2,617,789	335	2,137,812	63	962,618
Ocean Alliance								
3 COSCO Group (includes OOCL)	578	3,274,775	198	1,453,321	380	1,821,454	55	452,523
4 CMA CGM Group	475	2,928,114	176	1,559,232	299	1,368,882	34	586,672
7 Evergreen Line	200	1,504,564	122	785,911	78	718,653	63	623,228
Total	1,253	7,707,453	496	3,798,464	757	3,908,989	152	1,662,423
Alliances Total	3,276	21,080,198	1,445	10,623,729	1,831	10,456,469	321	4,138,535

Source: Alphaliner 04/02/2022

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**ANSWER OF RESPONDENT HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO. KG TO AMENDED
COMPLAINT**

Respondent Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S
& Co. KG ("HSDG")¹ hereby answers the Amended Complaint as follows.

I. COMPLAINANT

1. Complainant OJC is a limited liability company organized and existing under the law of the State of Delaware, with a principal place of business at 3076 N. Commerce Parkway, Miramar, Florida 33025.

HSDG lacks sufficient information to admit or deny.

¹ HSDG no longer exists. HSDG was merged into its former parent company Maersk A/S on November 1, 2021.

II. RESPONDENTS

2. HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-GESELLSCHAFT A/S & CO KG (“Hamburg Germany”) is a corporation organized and existing under the laws of Germany, with a principal place of business at Willy-Brandt-Str. 59-65, 20457 Hamburg, Germany. Hamburg Germany is and was at all times relevant to this Complaint a common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

The first sentence is denied; see footnote #1 above. HSDG admits that it was a common carrier within the meaning of 46 U.S.C. §40102(7) through October 31, 2021, but denies the remainder of the second sentence.

3. HAMBURG SUD NORTH AMERICA, INC. (“Hamburg NA”) is a corporation organized and existing under the laws of the State of Delaware, with a principal place of business at 465 South Street F 3 STE 300, Morristown, New Jersey 07960, having its registered agent as THE CORPORATION TRUST COMPANY, located at CORPORATION TRUST CENTER 1209 ORANGE ST, WILMINGTON, DE 19801. Hamburg NA is and was at all times relevant to this Complaint and an Agent of Hamburg Germany and an ocean transportation intermediary (“OTI”) within the meaning of the Shipping Act, 46 U.S.C. § 40102(20), subject to regulation by the FMC. Hamburg NA is also a person subject to regulation by the FMC based on its acts in conjunction with Hamburg Germany in violation of 46 U.S.C. §§ 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10).

Paragraph 3 contains no allegations with respect to HSDG. Accordingly, no response is required.

III. JURISDICTION

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984.

Denied.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. Complainant is seeking reparations under 46 U.S.C. § 41305 for injuries caused to it by Respondents due to their violations of 46 U.S.C. §§ 41102(b)(2), 41102(c), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10). Complainant also seeks additional amounts of twice the amount of the actual injury under 46 U.S.C. § 41305(c) for Respondents’ violations of 46 U.S.C.

§§ 41102(b)(2) and 41104(a)(3).

This paragraph requires no response, as the Complaint speaks for itself.

6. The FMC has personal jurisdiction over Hamburg Germany as a “common carrier” as defined in 46 U.S.C. § 40102(7).

HSDG repeats its response to Paragraph 2 of the Complaint, which is incorporated herein by reference.

7. The FMC has personal jurisdiction over Hamburg NA as an Agent of Hamburg Germany and as an OTI as defined in 46 U.S.C. § 40102(20). The FMC also has personal jurisdiction over Hamburg NA as it is a person subject to regulation by the FMC based on its acts in conjunction with Hamburg Germany in violation of 46 U.S.C. §§ 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10).

Paragraph 7 contains no allegations with respect to HSDG. Accordingly, no response is required.

8. Respondents violated 46 U.S.C. § 41102(b)(2) because their operation under the parties’ agreement was not in accordance with that agreement.

Paragraph 8 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 8 is denied.

9. Respondents’ actions and omissions alleged herein constitute failures by each Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of OJC, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5.

Paragraph 9 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 9 is denied.

10. Respondents’ actions and omissions alleged herein also constitute their retaliating against Complainant, in violation of 46 U.S.C. § 41104(a)(3), by refusing, and threatening to refuse, cargo space accommodations when available because Complainant threatened to file a complaint with the FMC over Respondents violations of the Shipping Act.

Paragraph 10 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 10 is denied.

11. Respondents’ actions and omissions alleged herein also constitute, in violation of 46 U.S.C. § 41104(a)(3), their resorting to unfair and unjustly

discriminatory methods against Complainant because Complainant threatened to file a complaint with the FMC over Respondents violations of the Shipping Act.

Paragraph 11 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 11 is denied.

12. Respondents' conduct during the course of providing service to Complainant pursuant to the parties' service contract, which was continuous and ongoing until expiration of the service contract, constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the service contracts, in violation of 46 U.S.C. Section 41104(a)(5).

Paragraph 12 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 12 is denied.

13. Respondents' conduct the course of providing service to Complainant pursuant to the parties' service contract, which was continuous and ongoing until the contract expired on May 31, 2021, gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the parties' service contract, in violation of 46 U.S.C. Section 41104(a)(9).

Paragraph 13 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 13 is denied.

14. Respondents' actions and omissions alleged herein also constitute, in violation of 46 U.S.C. § 41104(a)(10), their unreasonable refusal to deal or negotiate a renewal of their service contract with Complainant because Complainant had threatened to file a complaint with the FMC over Respondents' violations of the Shipping Act.

Paragraph 14 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 14 is denied.

IV. FACTUAL ALLEGATIONS

15. Both Hamburg entities are owned by Maersk A/S, *see* Docket No. 21-11, Affidavit of Michael Gast, Jr., filed January 18, 2022, one of the two largest shipping container lines in the world. Maersk's profits for 2021 exceeded its profits for the **past nine years combined**. *See* <https://www.usfunds.com/resource/bad-news-is-good-news-for-container-shipping-investors/> (accessed February 2, 2022).

HSDG admits the first sentence. The second sentence contains no factual allegation relevant to this case and requires no reply and, in any event, the press report cited therein speaks for itself.

16. In years past, Complainant had secured the bulk of its ocean freight via service contracts with Respondents and other ocean carriers. Such contracts specify a minimum quantity commitment ("MQC") for cargo to be shipped and set forth pricing for port-to-port lanes, and/or port-to-door, subject to the service commitment.

HSDG has no basis upon which to admit or deny Complainant's past service contracting practices, or the content of Complainant's past service contracts.

17. Once the COVID-19 pandemic began, however, global ocean carriers, including Respondents, began taking actions to exploit ocean carriage pricing and engage in unprecedented profiteering at the expense of shippers, including Complainant, and the public. This has led to record profits for the shipping companies, including Maersk, and has greatly contributed to rapid inflation and a global supply chain crisis in the past two years. The shipping industry's, including Maersk's, outrageous profits during that time and the negative effect on the United States' (and the world's) economy has been widely covered by the media: *See, e.g.,* <https://thehill.com/business-a-lobbying/592397-shipping-giants-under-fire-for-record-profits-fees-as-pandemic-continues>¹ ("Many highly-profitable industries are using the pandemic as an excuse to gouge consumers or tack on sky-high fees, and the shipping industry is no exception" ... "Despite shattering previous profit records last year, big shippers are trying to convince Congress that their abusively high fees are essential even as they fan the flames of inflation." ... "Denmark-based carrier Maersk expects to report \$24 billion in 2021 earnings before taxes and depreciation, triple its 2020 haul." ... "The Biden administration, meanwhile, has emboldened the FMC to go after anticompetitive shipping practices through executive action. The White House in November said that the agency can challenge antitrust agreements if they 'produce an unreasonable reduction in transportation service or an unreasonable increase in transportation cost or ... substantially lessen competition.'"); <https://www.randomlengthsnews.com/archives/2022/01/12/profiteering-shipping-companies/37537?v=7516fd43adaa> ("The multi-billion-dollar foreign container shipping industry has profited mightily during the pandemic and the ensuing supply chain crisis. Those of us who work in the U.S. supply chain have seen up close how they have secured a vice grip on the national economy — impacting businesses, consumers, and workers for the sake of overseas profits. ... Industry leader Maersk, for example, is set to make Danish history as it matches its combined earnings from the past nine years with earnings of \$16.2 billion for 2021 (up from a projected \$3 billion at the start of the year."); <https://www.cnn.com/2021/11/02/business/maersk-record-profit-supply-chain-chaos/index.html> ("Maersk, the world's largest container shipping company, predicts that global supply chain chaos will continue into next

year. That could benefit the company, which just reported its best quarter in 117 years.”); <https://www.bloomberg.com/news/features/2022-01-18/supply-chain-crisis-helped-shipping-companies-reap-150-billion-in-2021> (“‘They exploit our desperation’: Small businesses and consumers are paying for sky-high freight costs as cargo giants mint profits.”); <https://www.bloomberg.com/opinion/articles/2021-08-19/container-shipping-is-making-a-killing-this-year-but-will-we-have-christmas> (“Container lines are making oodles of money from their customers’ misery. ... Cancelled or delayed voyages, high freight rates and congestion surcharges are angering customers and triggering complaints of profiteering.”); *see also* <https://www.freightwaves.com/news/fmc-onboard-for-bidens-ocean-carrier-crackdown> (“[T]hree global ocean carrier alliances now control more than 80% of the container market. ‘That concentration has contributed to a spike in shipping costs and fees during the pandemic. The executive order calls on the Federal Maritime Commission to crack down on unjust and unreasonable fees and work with the Justice Department to investigate and punish anticompetitive conduct.’” .. “Excessive fees charged to U.S. importers and exporters for failing to expeditiously move containers off docks and container terminals – known as detention and demurrage – ‘is a huge issue we’re working on and it’s important to get to the bottom of it because it’s unfair to shippers,” [Federal Maritime Commission Chairman Daniel] Maffei said. “If those practices are abused it tends to decrease capacity, which makes things worse,” article citing to Executive Order on Promoting Competition in the American Economy, <https://www.whitehouse.gov/briefing-room/presidential-actions/2021/07/09/executive-order-on-promoting-competition-in-the-american-economy/>; <https://container-news.com/yang-ming-boss-claims-taiwanese-carriers-could-earn-more-than-banks-in-2021/> (“Taiwanese carriers could earn more than [Taiwanese] banks in 2021”); <https://theloadstar.com/market-distortions-make-mockery-of-free-market-container-shipping/>; <https://www.freightwaves.com/cdn.ampproject.org/c/s/www.freightwaves.com/news/container-shipping-has-greatest-quarter-ever-and-theres-more-to-come/amp>.

The majority of Paragraph 17 makes no factual allegations with respect to HSDG, and hence requires no response. Moreover, the documents cited in the paragraph speak for themselves. To the extent any response is required to this paragraph, HSDG denies the allegations.

18. In 2020 and 2021, Respondents engaged in a variety of unjust and unreasonable practices with respect to Complainant’s cargo. Instead of honoring the commitments in its service contracts with Complainant, Respondent began a practice of systematically failing to meet its quantity and price commitments to Complainant. As a result, Complainant was forced to obtain space on the spot market at enormous expense or forgo making shipments of goods to the United States altogether.

Denied.

19. Respondents’ unreasonable practices coincided with an unprecedented

increase in spot market pricing for ocean freight. Respondents sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases to secure needed freight carriage. Respondents benefitted from being able to sell previously contracted capacity on the spot market, or to shippers willing to pay a premium, rather than honoring its service contract commitments with Complainant, and others.

Denied.

20. Respondents have also engaged in a deliberate practice of seeking to condition their compliance with its contractual service commitments on extracting additional payments from Complainant, above and beyond the pricing set forth in the parties' service contract, despite the fact that the contract does not permit Respondents to assess such surcharges unilaterally.

Denied.

21. Respondents' actions are contrary to what they, and their representatives, have been telling Congress and other regulatory bodies. For example, during the June 15, 2021 House Subcommittee on Coast Guard and Maritime Transportation entitled "Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain," John Butler, President and CEO of the World Shipping Council, of which Maersk is a member, when asked about shipping companies reneging on contracts with shippers in order to request more money to make shipments, testified that "ocean carriers are quite serious about fulfilling their end of the bargain with their service contracts. That's how they keep relationships with their customers." See <https://transportation.house.gov/hearings/watch?hearingid=A48307B6-BE35-1AC6-AABB-39963851E908> (01:58:55 - 02:01:50). But Mr. Butler's testimony on behalf of the World Shipping Council is belied by Respondents' habitual conduct of violating service contracts just like the example given by the House Subcommittee member on a normal, customary, and continuous basis, not only with respect to Complainant, but also with respect to other shippers, including but not limited to the complainant in FMC Docket No. 21-05.

HSDG denies the first sentence. Mr. Butler's testimony speaks for itself and requires no response. HSDG denies the last sentence, and notes that it is not a respondent in FMC Docket No. 21-05.

22. Although the global ocean carriers, including Maersk, have publicly bemoaned the supply chain crisis brought on, according to the carriers, solely by COVID, the carriers have shown no shame in exploiting the situation by preying on their affected customers in the quest for record profits, with no end in sight. As shown above, the strategies have worked exceeding well for the carriers and have been devastating for shippers. Maersk has done this in part by gouging consumers such as

Complainant and tacking on and demanding sky-high fees in addition to the contracted-for fees in the Agreement. Respondents have enormously profited from their wrongful actions, profiting more in 2021 than they did in the previous nine years combined and reporting their best quarter in 117 years. These profits have come at the expense not only of Complainant and numerous other shippers, but also the general public, which has been suffering with massive inflation since the beginning of 2021. Indeed, likely few entities have profited more in the past two years than Respondents' parent company, Maersk.

Denied.

23. Respondents' violations of the Shipping Act have substantially harmed and damaged Complainant, and other shippers, in several ways.

Denied.

24. Respondents' conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant has occurred on a normal, customary, and continuous basis over the course of 2020 - 2021.

Denied.

25. On or about June 23, 2020, OJC entered into a service agreement with Respondents, for the shipment of goods by sea and delivery to warehouse facilities within the United States via truck, a copy of the agreement is hereby attached as Exhibit A. (the "Agreement").

HSDG admits that it entered into the Agreement with OJC. The terms of the Agreement speak for themselves.

26. The Agreement was required to be filed under section 40302(a), as it is an "ocean common carrier agreement," as defined by section 40301(a). The Agreement also contains a term that states "[t]his Contract shall be subject to the U.S. Shipping Act of 1984, as amended."

Denied.

27. The Agreement governed the parties' relationship between June 23, 2020 to May 31, 2021 (the "Active Term").

HSDG admits that the terms of the Agreement ran from June 23, 2020 to May 31, 2021, but denies that the Agreement was the only document governing the parties' relationship during that period.

28. During the Active Term of the Agreement, Respondents wrongfully billed 13

containers a total of \$40,680.32 in demurrage fees, as follows:

HSDG denies the allegations of Paragraph 28.

28.1 Container No. MRKU2875026. The container was discharged on February 1, 2021, the last free day on port was February 5, 2021, yet gate out was not until March 3, 2021. OJC was nevertheless wrongfully charged a total of \$7,540 in demurrage fees.

The first sentence is admitted. The second sentence is denied.

28.2 Container No. BEAU5182625. The container was discharged on February 2, 2021, the last free day on port was February 8, 2021, yet gate out was not until March 2, 2021. OJC was nevertheless wrongfully charged a total of \$6,280 in demurrage fees.

The first sentence is admitted. The second sentence is denied.

22.3 Container No. SEGU4327705. The container was discharged on January 27, 2021, the last free day on port was February 2, 2021, yet gate out was not until March 1, 2021. OJC was nonetheless wrongfully charged a total of \$7,855 in demurrage fees.

The first sentence is admitted. The second sentence is denied.

28.4 Container No. MSKU0595352. The container was discharged on May 22, 2021, yet OJC did not receive notice until May 25, 2021. Additionally, the container was subject to a VACIS exam, but OJC did not receive such notice until June 1, 2021. Gate out was on June 7, 2021. Despite that, OJC was wrongfully charged a total of \$3,765 in demurrage fees.

Admit the container was discharged on May 22, 2021, but deny arrival notice was not sent until May 25. Admit the second and third sentences. Deny the fourth sentence.

28.5 Container No. SUDU8646980. The container was discharged on June 16, 2021. Hamburg NA failed to schedule a delivery order for the trucking company altogether resulting in a gate out date of July 8, 2021. Nevertheless, OJC was wrongfully charged a total of \$4,075 in demurrage fees.

Admit first and second sentences. Deny the third sentence.

28.6 Container No. MRKU3142506. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July

14, 2021 gate out date. Nonetheless, OJC was wrongfully charged a total of \$2,485 in demurrage fees.

Admit the container was discharged on June 23, 2021. Admit there was a delay in providing a chassis for the container. Deny the remainder of this paragraph.

28.7 Container No. GCXU5721300. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Nonetheless, OJC was wrongfully charged a total of \$2,750 in demurrage fees.

Admit the first sentence. Admit there was a delay in providing a chassis for the container, but deny the gate out date was July 14, 2021. Deny the third sentence.

28.8 Container No. MSKU1597679. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 15, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$3,015 in demurrage fees.

Admit the first sentence. Admit there was a delay in providing a chassis for the container, but deny the gate out date was July 15, 2021. Deny the third sentence.

28.9 Container No. TLLU6852525. The container was discharged on June 23, 2021. OJC did not receive the arrival notice until June 24, 2021. Such a delay in arrival notice prevented OJC from making the proper arrangements for a timely pickup or pre-pull resulting in a July 1, 2021 gate out date. OJC was thereafter wrongfully charged a total of \$645 in demurrage fees.

Admit the first sentence. Deny the second sentence. Admit the gate out date was July 1, 2021, but deny the remainder of the third sentence. Deny the fourth sentence.

28.10 Container No. MRSU3300327. The container was discharged on June 25, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 13, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$742.22 in demurrage fees.

Admit the first and second sentences. Deny the third sentence.

28.11 Container No. SUDU6976489. The container was discharged on June 24, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 13, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$742.22 in demurrage fees.

Admit the first and second sentences. Deny the third sentence.

28.12 Container No. MSKU1228177. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to arrange for a proper trucking company. Instead, it arranged for a trucking company that could not handle more than 3 containers per day, and this container was not one of those, resulting in a July 8, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$392.94 in demurrage fees.

Admit the first sentence. Deny the second, third, and fourth sentences.

28.13 Container No. BMOU4268879. The container was discharged on July 1, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Again, OJC was wrongfully charged a total of \$392.94 in demurrage fees.

Admit the first and second sentences. Deny the third sentence.

29. Additionally, pursuant to the Agreement, Respondents agreed to a minimum volume commitment of 400 TEU, which is equivalent to 200 containers.

No response is required, as the terms of the Agreement speak for themselves.

30. Beginning in or around August 2020, Respondents regularly engaged in unjust and unreasonable practices toward Complainant. Instead of providing space at the contracted rates, Respondents began a systematic practice of failing to make space available under its service contract, resulting in increasing monthly shortages and a backup of Complainant's containers to be shipped.

Denied.

31. During the Active Term, for its part, Complainant provided adequate booking notice to schedule shipment of containers, pursuant to the Agreement, but Respondents refused to schedule such shipments. Respondents made these refusals throughout August, September, October, November, and December 2020, including in or around August 20, September 30, October 12, and numerous other dates in 2020,

and throughout January, February, March, April, and May 2021, including in or around April 13, May 5, May 11, and numerous other dates in 2021.

HSDG admits Complainant generally provided adequate booking notice of shipments. HSDG admits it was not able to accommodate all cargo which Complainant sought to tender for transport, but denies that it refused to schedule all shipments for which booking notice was provided.

32. During the Active Term, Respondents provided a total of 185 containers, which is 30 TEUs below the 400 TEU MQC in the Agreement. But even those containers that were shipped by Respondents were not shipped in a timely manner. On multiple occasions, Complainant wanted more containers shipped on a certain week than in another week, but Respondents refused, stating that the containers would have to be equally distributed by week. However, Respondents then would skip shipping Complainant's containers for multiple weeks as they received more money for the space from other shippers, thereby pushing Complainant's shipments off for weeks at a time. Upon information and belief, this happened not only to Complainant but also to other shippers.

Denied.

33. Respondents also stated, throughout the 10-month time period from August 2020 - May 2021 that they would ship Complainant's shipments in a timely manner, as mandated by the Agreement, if and only if paid higher rates than those included in the Agreement. When Complainant refused to submit to Respondents' extortion, Respondents pushed off Complainant's shipments for weeks, regularly refusing to operate under the terms of the Agreement and in violation of the Shipping Act.

Denied.

34. By doing so, Respondents unfairly and unjustly discriminated against Complainant on a continuous and ongoing basis for 10 months in the matter of rates or changes with respect to ports identified in the Agreement, in violation of section 41104(a)(5).

Paragraph 34 contains a legal conclusion which requires no response. To the extent a response is required, Paragraph 34 is denied.

35. Respondents also gave, on a continuous and ongoing basis over 10 months, undue and unreasonable preference and advantage to shippers other than Complainant with respect to the ports identified in the Agreement, as those other shippers were evidently willing to accept Respondents' exorbitant rates that were much higher than those in the Agreement. Respondents' actions constituted a violation of section 41104(a)(9).

Paragraph 35 contains a legal conclusion which requires no response. To the extent a response is required, Paragraph 35 is denied.

36. As a result of Respondent's wrongful conduct, on some occasions OJC was forced to retain alternate shipping carriers at significantly higher shipping rates per container.

HSDG denies its conduct was wrongful. HSDG lacks a sufficient to admit or deny the remaining allegations of Paragraph 36.

37. Also as a result of Respondent's wrongful conduct, on some occasions OJC was unable to retain alternate shipping carriers at all, and incurred significant economic damages well over \$1.6 Million and upwards of over \$2.7 Million, for Respondents' failure to honor the minimum 400 TEU commitment on a normal, customary, and continuous basis over the span of many months.

HSDG lacks sufficient information to admit or deny the allegations of Paragraph 37. To the extent a response is required, the allegations are denied.

38. Throughout the time period in which Respondents' systematically and unjustly charged Complainant demurrage fees and refused for over 10 months to meet the MQC mandated in the Agreement, Complainant was forced to patronize other carriers or forego shipments altogether.

HSDG denies that it "systematically and unjustly" charged Complainant demurrage fees. HSDG denies that is refused to meet the MQC mandated in the Agreement. HSDG lacks sufficient information to admit or deny the allegations regarding patronizing other carriers or foregoing shipments.

39. Complainant also informed Respondents throughout August 2020 – May 2021 that Complainant would be forced to file a complaint with the FMC if Respondents did not meet its obligations in the parties' service contract and withdrawal the wrongful demurrage charges, as these were violations occurring on a normal, customary, and continuous basis,

Denied.

40. As a result of Complainant's attempts to mitigate its damages by filing a complaint with the FMC against Respondents, Respondents' refusals to provide Complainant cargo space and their unfair and unjustly discriminatory methods became more common and frequent leading up to discussions on the renewal of the parties' service contract in April 2021.

Denied.

41. During April 2021, the parties were engaged in discussions about renewing the parties' service contract. Throughout those discussions, there were conversations about the MQC of the renewal, but never about there being no renewal at all.

Admitted.

42. Out of the blue and with no prior notice, on May 4, 2021, Respondents unilaterally notified Complainant that there would be no service contract renewal under **any terms**, but instead that Respondents would "work case by case" with Complainant using spot market rates. Thereafter, Complainant attempted to negotiate a contract with an even more limited scope – such as a port-to-port only contract – but Respondents rejected Complainant's proposal out of hand within hours, leaving Complainant entirely without a shipping service contract of any sort past May 31, 2021.

Admitted.

43. Respondents' dumping of Complainant without warning and without a service contract, and their refusal to negotiate or deal with Complainant, has massively damaged Complainant's ability to have its goods shipped to the United States. Indeed, Respondents' refusal to renew the parties' service contract has crippled Complainant's business and its supply chain access since June 2021.

**HSDG denies that it has refused to negotiate or deal with Complainant.
HSDG lacks sufficient information to admit or deny the remaining
allegations of Paragraph 43.**

44. Complainant's threats of filing a FMC complaint against Respondents for their normal, customary, and continuous refusals to meet the MQC of the parties' service contract and their charging of unjust and unreasonable demurrage fees that were the fault of Respondents and not Complainant, caused Respondents to (a) refuse to deal or negotiate with Complainant for a renewal of the parties' service contract, (b) retaliate against Complainant by refusing available cargo space to Complainant, and (c) unjustly or unfairly discriminating against Complainant in the allocation of cargo space, to Complainant's great detriment. This is evidenced in part by Respondents' ever-increasing failures to abide by the parties' service agreement and violations of the Shipping Act in parallel with Complainant's criticisms of Respondents' unjust and unreasonable practices and its threats to file a complaint with the FMC against Respondents.

Denied.

45. Respondents' aforementioned actions to refuse Complainant a service contract have forced Complainant into the spot market for nearly all its shipments – which are five to over 15 times the cost per container of a service contract price – and as a result, driven up Complainant's shipping costs exponentially. Respondents' refusals, failures, and retaliation have threatened the very existence of Complainant's business.

Denied.

V. VIOLATIONS OF THE SHIPPING ACT

46. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

Paragraph 46 requires no additional response. The above responses are hereby incorporated by reference.

47. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

Paragraph 47 requires no response, as the Shipping Act speaks for itself.

48. Respondents' practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

HSDG admits that demurrage relates to the receiving, handling, storing, or delivering of property. The remaining allegations of Paragraph 38 are denied.

49. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against Shipments Nos. 1-3 (B/L Nos. SSZ0849867, SSZ0845076, and SSZ0852138) that were subject to governmental holds for examination by Customs, and therefore, unavailable for pick-up.

Denied.

50. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against

Shipment No. 4 (B/L No. SSZ0853173) that was unavailable for pickup due to congestion-related delays at the Port.

Denied.

51. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges that serve no incentivizing principle and do not promote freight fluidity.

Denied.

52. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to provide Complainant with detailed billing information and/or invoices relating to the demurrage charges assessed that would allow Complainant to meaningfully understand and contest the charges.

Denied.

53. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce demurrage charges for the Shipments that were unavailable for pickup.

Denied.

54. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to have a clear dispute resolution policy with respect to demurrage charges.

Denied.

55. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(b)(2) by failing to operate under the terms of the parties' service contract, by failing to honor the minimum 400 TEU minimum volume, which occurred on a normal, customary, and continuous basis, within the Active Term.

Denied.

56. Respondents retaliated against Complainant in violation of § 411024(a)(3) by refusing and threatening to refuse cargo space when available and resorted to other unfair and unjustly discriminatory methods because Complainant had threatened to file a complaint with the FMC against Respondents for its violations of the Shipping Act.

Denied.

57. Respondents' conduct that occurred continuously over the course of 10 months constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the Agreement, in violation of § 41104(a)(5).

Denied.

58. Respondents' conduct that occurred continuously over the course of 10 months gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the Service Contracts, in violation of § 41104(a)(9).

Denied.

59. Respondents refused to deal or negotiate with Complainant in violation of § 411024(a)(10) when they refused to renew Complainant's service contract and forced Complainant into the spot market for virtually all its shipments.

Denied.

VI. CAUSATION AND INJURY TO COMPLAINANT

60. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

Paragraph 46 requires no additional response. The above responses are hereby incorporated by reference.

61. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of well over \$21.6 Million, including (a) over \$20 Million for Respondents' refusal to deal or negotiate with Complainant in the renewal of the parties' service contract and/or their retaliation against Complainant; (b) over \$1.6 Million for Respondents' continuous refusal to meet the MQC in the parties' service contract; and (c) \$40,680.32 in erroneous demurrage charges. Complainant also seeks additional amounts of twice the amount of the actual injury under 46 U.S.C. § 41305(c) for Respondents' violations of 46 U.S.C. §§ 41102(b)(2) and 41104(a)(3).

Denied.

62. Respondents' misconduct has caused Complainant to incur other injuries as well, including delays, reduced inventory, unnecessary expenses, and lost

profits, as well as attorneys' fees and costs relating to litigation.

Denied.

VII. ALTERNATIVE DISPUTE RESOLUTION

63. Complainant made numerous unsuccessful attempts to resolve this matter with Respondents prior to filing this Verified Complaint. Considering statements made by Respondents and noncooperation from Respondents in resolving this matter, Complainant did not seek to use the FMC's alternative dispute resolution procedures prior to filing this Verified Amended Complaint. That said, the parties have now scheduled preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64.

Paragraph 63 requires no response.

VIII. AFFIRMATIVE DEFENSES

1. The Commission lacks subject matter jurisdiction.
2. The Complaint fails to state a claim for which relief may be granted.
3. The Complainant lacks standing to recover reparations for the demurrage charges herein at issue.
4. Delays in delivering cargo were due in whole or in part to the acts and/or omissions of Complainant and/or its agents.
5. HSDG's conduct was reasonable in light of the totality of the circumstances.

WHEREFORE, Respondent HSDG prays that an order be made dismissing the complaint.

Respectfully Submitted,

By: 

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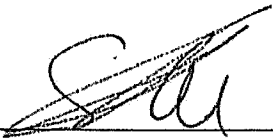
March 1, 2022

VERIFICATION OF MAERSK A/S
(as successor to Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & CO.
KG)

I, Stanley Miklas, hereby declare under penalty of perjury under the laws of the United States that:

1. I am Manager, Risk Management of Maersk Agency USA, Inc., the U.S. agent of Maersk A/S.
2. I am authorized to make this verification on behalf of Maersk A/S.
3. The facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.

Dated: MARCH 1, 2022


Name:

Title: MANAGER, RISK MANAGEMENT

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 1st day of March, 2022, the foregoing Answer was served via electronic mail on:

Shlomo Y. Hecht, Esq.
sam@hechtlawpa.com

and

Aaron Davis, Esq.
davis@valhallalegal.com



Wayne R. Rohde

Juergen Pump
7/19/2022

Page 1		Page 2	
BEFORE THE FEDERAL MARITIME COMMISSION DOCKET NO 21-11 OJ COMMERCE, LLC Complainant, v HAMBURG SÄEAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG and HAMBURG SUD NORTH AMERICA, INC Respondents _____ ZOOM REMOTE VIDEO TELECONFERENCE DEPOSITION OF JUERGEN PUMP JULY 19, 2022 10:06 AM TO 06:24 PM REPORTED BY: YASMIN MORSHEDIAN, FPR, COURT REPORTER NOTARY PUBLIC, STATE OF FLORIDA		1 2 3 ON BEHALF OF THE COMPLAINANT: 4 AARON W. DAVIS, ESQ. 5 VALHALLA LEGAL, PLLC 6 PHONE: (763)-957-2397 7 8 9 10 11 ON BEHALF OF THE RESPONDENTS: 12 WAYNE R. ROHDE, ESQ. 13 COZEN O'CONNOR 14 1200 19TH STREET NW 15 WASHINGTON, DC 20036 16 17 ALSO PRESENT: 18 JACOB WEISS 19 SAM HECHT, ESQ. 20 KATIE SABOTTA, ESQ. 21 RACHELLE BARSTOW, ESQ. 22 23 24 25	
Page 3		Page 4	
1 2 3 WITNESS: JUERGEN PUMP 4 5 DIRECT EXAMINATION Page 6 By Aaron Davis, Esq. 5 7 8 CROSS EXAMINATION Page 9 By Wayne Rohde, Esq. 248 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25		1 2 3 INDEX OF EXHIBITS 4 5 EXHIBIT NUMBERS DESCRIPTION PAGE 6 1 NOTICE 189 7 2 NEWS LETTER 189 8 3 THE HILL 189 9 4 OPINION 192 10 5 EMAIL 220 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25	

1 (Pages 1 to 4)

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YM Legal Services, Inc.
CX088

Hecht Decl.
Ex. 13

Juergen Pump
7/19/2022

Page 109	Page 110
1 A No. This never came to fruition because of 2 the sale of the company. 3 MR. ROHDE: Counsel, before you ask your next 4 question, can I suggest we talk about a lunch 5 break at some point soon? 6 MR. DAVIS: Yes. I do not think I am 7 terribly far from that point. And then -- 8 MR. ROHDE: Okay. Good. I just wanted to 9 raise it. 10 THE WITNESS: Yes. Thank you. 11 Q (By Mr. Davis) I believe in 2017, you had 12 previously testified that Maersk acquired Hamburg Sud. 13 is that correct? 14 A That is correct. 15 Q You said that Maersk was a Copenhagen based 16 global logistics company. Is that -- 17 A Right. 18 Q Can you tell me what your understanding was 19 of the acquisition of Maersk by Hamburg -- or Maersk of 20 Hamburg Sud? 21 A I am not sure I can give you any insights of 22 that. 23 Q Did -- well, let me ask this. Did Hamburg 24 Sud cease to exist or was it just purchased by Maersk 25 to your knowledge?	1 A So, Maersk acquired Hamburg Sud in 2017. 2 Meaning, the company all its business assets and so 3 forth. And then starting in 2017, functions have been 4 integrated in Maersk, but Hamburg Sud as a brand 5 continues to exist. 6 Q Have you ever seen the acquisition document 7 or documents from the acquisition in 2017? 8 A I have not. 9 Q Have you ever been told as part of your 10 position, what the arrangement was, how the purchase 11 was made, the detail? 12 A No insights. 13 Q How are you informed at the company of the 14 acquisition, what was that? 15 A We had a briefing by our executive board in 16 Hamburg for the regional managers that was the head of 17 the public announcement. So, we were aware of the due 18 diligence. 19 But there was very little involvement of regional 20 management in the due diligence. That was all handled 21 between the two head offices in Hamburg and Copenhagen. 22 And then the transaction closed in 2017. 23 Q Sorry, are you saying that because you were 24 Hamburg North America and not Hamburg Germany, that you 25 were not privy to the details of the transaction?
Page 111	Page 112
1 A That is correct. 2 Q And you were -- there was no informing of you 3 as a Senior VP of Hamburg North America what the 4 details of the transaction were? 5 A That is correct. 6 Q Do you have a general understanding of what 7 the transaction was? 8 A Yes. In the sense of that Maersk acquired 9 all of Hamburg Sud. As I said, its business, its 10 assets, network, it was 100% acquisition. 11 Q The time that Hamburg Sud was acquired by 12 Maersk, did you have an understanding of who Maersk 13 was? 14 A Yes. Maersk was a competitor in some of our 15 trade. So, I was familiar with them, Maersk 16 organization and network. 17 Q What could you say about what your 18 familiarity was it in 2017? 19 A Well, Maersk was a competitor in Latin 20 America and Australia, New Zealand, our two main 21 trading areas. Formidable competitor, because Maersk 22 at that time suddenly in 2017 was the worlds largest 23 shipping company. And as I mentioned earlier, Hamburg 24 Sud was in the, you know, ranked Number 15 or 25 thereabout. So, a significant difference in size,	1 scope and operation. 2 Q So, in 2017, is it fair to say that Hamburg 3 Sub became part of the business of Maersk, the worlds 4 largest shipping company at that time? 5 A Correct. 6 Q How about with respect to the Trans-Pacific 7 business, was Maersk a competitor of Hamburg Sud at the 8 time of the acquisition, to your knowledge? 9 A Yeah. Only in theory, because of the size 10 difference and a very, very small position at Trans- 11 Pacific. The two companies really had -- were not in 12 direct competition. Maersk, Again, at that time was, I 13 think, I am not 100% sure, but very likely in the top 14 three ocean carriers between Asia and North America. 15 Q So, they were in the Trans-Pacific shipping 16 before Hamburg Sud, correct? 17 A That is correct. 18 Q How did the -- how did the business of 19 Hamburg Sud was impacted by the acquisition by Maersk 20 in 2017? 21 MR. ROHDE: Objection, vague. The Witness 22 may answer if he can. 23 A Yeah. It was an integration that was all 24 mapped out. The first round of integration was on the 25 marine operation side, meaning terminals, vessel

28 (Pages 109 to 112)

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CX089

Juergen Pump
7/19/2022

Page 113	Page 114
1 operation, network. That is really where the focus 2 was. 3 Q (By Mr. Davis) At first? 4 A At first, yes. 5 Q So, that was almost immediate, that 6 integration or -- 7 A It started, there was a plan for the first 12 8 months of the integration. 9 Q And what did that integration of the marine 10 operations, what was the overall plan of that? 11 A To lift the synergies, so in other words, the 12 Hamburg Sud services would move to Maersk facilities 13 in various parts in the US joint container depots, 14 joint vendor procurement to enable Maersk to lift the 15 synergies by combining the operations, not only in 16 North America, but keep in mind this was a global 17 acquisition. 18 Q When you say lift the synergies, what do you 19 mean by that? 20 A By, for example, combining volumes on the 21 vendor side and this is only an example. When a 22 shipping company has to procure tugboat services in Los 23 Angeles and you have 52 ship calls a year you would get 24 a certain price. 25 If you have a 300 ship calls a year, you get a	1 better price. So, most was able to take and combine 2 the Hamburg Sud volumes and then try to achieve better 3 pricing on the vendor side. 4 MR. DAVIS: Okay. I think this is a good 5 place to take a break for lunch. 6 MR. ROHDE: Okay. Juergen, how long would 7 you like to take for a break? 8 THE WITNESS: I leave it up to you. 9 MR. ROHDE: Should we say -- should we say 10 come back at 02:15? 11 THE WITNESS: Okay. 12 MR. ROHDE: That works -- work for you? 13 THE WITNESS: Yes. 14 THE COURT REPORTER: Okay. We are off the 15 record. 16 (Thereupon, a short discussion was held off 17 record.) 18 (Deposition resumed.) 19 THE COURT REPORTER: Okay. It is 02:15 p.m., 20 we are back on the record. 21 Q (By Mr. Davis) Mr. Pump, I wanted to pick up 22 with you where we left off, which was the Maersk 23 integration of Hamburg Sud. 24 A Okay. 25 Q I believe you talked about the maritime
Page 115	Page 116
1 operation was kind of the first integration that was 2 done. Is that correct? 3 A That is correct. 4 Q That was the priority, like, the first 12 5 months? 6 A That is right. 7 Q And do you know when that 12 months started, 8 was it beginning of 17 or -- 9 A It started December 1, 2017. 10 Q So, that goes through November 30th, 18? 11 A Yeah. Most of 18. 12 Q And was that integration successful, 13 completed? 14 A Yes. It was. 15 Q During that 12 month timeframe? 16 A Yes. 17 Q I believe you said one of the -- one of the 18 ways was this lift the synergies. 19 A Correct. 20 Q That was leveraging additional volume of 21 capabilities of Maersk as including Hamburg Sud as 22 opposed to Hamburg Sud on its own. Is that right? 23 A Correct. That is right. 24 Q Were there other examples of lifting the 25 synergies that involve this portion of the integration	1 of the business of Hamburg Sud to Maersk? 2 A I think these were the major areas, as I 3 said, terminal operations, vendor management, be it for 4 motor carriers, be it renegotiating some rail contracts 5 or any vendor contract where additional volumes would 6 provide a better pricing picture. 7 Q So, the idea was now that Maersk was in the 8 picture, and Hamburg Sud was being integrated into 9 Maersk that Maersk could negotiate or renegotiate 10 existing contracts with vendors, terminals, railroads, 11 trucking companies, et cetera to potentially get better 12 deals, better pricing because of Maersk's larger 13 leverage position as far as its size? 14 A Correct. 15 Q And was that renegotiation and along those 16 lines, was that a successful endeavor? 17 A Yes, it was. 18 Q How would that be -- success be measured? 19 A There were certain targets given, an 20 assumptions made what the synergies could be or should 21 be, and they were in most cases, met. 22 Q Met in respect to volumes, terminal 23 operations, vendor management, et cetera? 24 A Yeah. 25 Q And what were those targets, I mean, how were

29 (Pages 113 to 116)

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CX090

Juergen Pump
7/19/2022

Page 125	Page 126
1 to find the right customers that fit our product and 2 fit our values. 3 Q As of -- from 2018 to 2021, what were those 4 as you say core values of Hamburg Sud? 5 A I think the most important one is customer 6 satisfaction, making sure that we are a good fit for 7 our customers and the customers are a good fit for our 8 business with regard to our product, our network and 9 the business philosophy that we have followed here for 10 almost 150 years now. 11 Q You say a good fit business philosophy, what 12 do you mean by these things, what would make someone a 13 good fit? 14 A Certainly long-term relationship, both 15 parties looking for solutions to address issues that 16 invariably will come up. And I gave a few example on 17 strikes, for example, or any disruptions that happened 18 in -- that happened in ocean transportation. 19 Q Those disruptions including during that time 20 period, the COVID pandemic? 21 A Yes. Very much so. 22 Q You say working towards solutions, how did 23 you -- how did you determine whether a customer would 24 be looking for solutions? 25 A It depends a little bit on the issue. If a	1 customer, for example, had issues with their suppliers 2 in Asia, that the supplier was shut down, they could 3 not make the volume, they could not fulfill their 4 bookings. 5 And we have a good knowledge of the customers 6 background and track record, this would be something 7 that one would work through and hopefully find some 8 mitigation downstream. 9 So, this all would depend on, obviously, good 10 communication, but business knowledge and having 11 customers that are in tune with market changes, be it 12 the pandemic that had a major issue, but be it also 13 with countrys specific issues, especially in Latin 14 America. 15 Q Would it be uncommon for customers to have 16 issues with Hamburg Sud as far as shipping issues that 17 would require a lot of communication between the 18 customer and Hamburg Sud to try to come to some 19 solution? 20 A Could you maybe rephrase? I am not sure. 21 Q Yes. Would it be common during this time 22 period, this 2019 to 2021, or there to be issues 23 expressed by customers regarding, you know, shipping, 24 shipping issues, that would be communicated to Hamburg 25 Sud that would require communication between Hamburg
Page 127	Page 128
1 Sud and the customers to try to work through and find 2 some sort of solution? 3 A Yes. 4 Q That is in fact, in your business, it is 5 fairly common that there are issues that come up that 6 need to be worked through by Hamburg Sud and the 7 customer? 8 A Right. 9 Q And that those -- it is not uncommon for 10 there to be back and forth with respect to complaints 11 or problems going either way that would involve 12 communication back and forth between Hamburg Sud and 13 the customer, correct? 14 A Correct. 15 Q With -- during the time of 2019 to 2021 in 16 your role as Senior VP, who did you report to? 17 A Multiple reporting lines, so disciplinary 18 reporting was still to Hamburg, functional reporting 19 for North America to the Managing Director for North 20 America. 21 Q And who is the Hamburg person that you 22 reported to for discipline purpose? 23 A The last one was Poul Hestbaek. 24 Q Can you spell that last name? 25 A First name is P-O-U-L, and last name is H-E-	1 S-T-B-A-E-K. 2 Q How about the, what do you say, the -- 3 A For North America, the Maersks Managing 4 Director, Narin, A-A -- sorry, A -- N-A-R-I-N, Narin, 5 Phol, P-H-O-L. 6 Q It would be fair to say for the day-to-day 7 operations of Hamburg Sud North America between 2019 8 and 2021 essentially, for the day-to-day operations, 9 the buck more or less stopped with you? 10 A For Hamburg Sud, yes. 11 Q Now, we have described a couple of different 12 portions of integration. One was the maritime 13 operations, and there was the trade management 14 functions. Were there any other integrations that took 15 place during your time at Hamburg Sud after the 16 acquisition from Maersk? 17 A No. These were the major functions. There 18 may have been some minor activities, taxes for example, 19 specialty items, freight claims, that sort of things, 20 but the major transfers first involve the, what I call 21 the non-customer facing activities. Phase 2, trade 22 management. So, what is left then is primarily sales 23 and customer service. 24 Q And how would -- what decisions be made 25 during 2018 through 2021, as to what customers were

32 (Pages 125 to 128)

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CX091

Juergen Pump
7/19/2022

Page 137	Page 138
1 Boise, Idaho for example? 2 A That is correct. 3 Q How about with respect to port of New York, 4 you said that those -- many of those you said 50% or 5 more of the containers that come into New York do not 6 stay in the New York area. Is that correct? 7 A That is correct. 8 Q So, how does that impact -- if a customer is 9 wanting to import into New York, for example, how does 10 that statistic about whether their containers end up 11 -- against giving a customer a service 12 contract? 13 A So, it would be the same discussion with 14 regard to fully understanding all destinations in the 15 US. If it is only New York, not very attractive. If 16 it is New York plus Savannah and Charleston, where 17 there is a need for containers, it becomes an easier 18 discussion. 19 Q Okay. So, let us use Savannah and Charleston 20 as two examples. You said there is a need for 21 containers there. What do you mean by that? 22 A So, also, the South East has very strong 23 certainly in the -- trade, strong 24 exports. And certainly for Hamburg Sud, we would have 25 to move surplus boxes from New York as an example, by	1 ship down to Savannah and Charleston. 2 So, if we can find import boxes, full containers 3 to Charleston and Savannah, that improves our cost 4 structure, that makes us more competitive in the 5 marketplace. 6 Q So, for example, if a shipper was shipping 7 into Long Beach, and also into Savannah and/or 8 Charleston, that would make that particular customer 9 more attractive because of that ability to feed 10 Charleston and Savannah which are in need of 11 containers, so that exports could be then shipped out 12 of those ports? 13 A That is correct. So, we have a better cost 14 structure, because we can factor in for the import 15 pricing that we are getting boxes to a demand area. 16 So, it improves our cost structure. And we can share 17 those benefits with a customer. 18 Q About Norfolk, is that also included in a 19 need area? 20 A Yeah. Very -- usually, very balanced. 21 Q Norfolk is? 22 A Norfolk. 23 Q So, they do not have a surplus of containers 24 necessarily. They also do not have a need for more 25 containers, but they are pretty balanced?
Page 139	Page 140
1 A That is correct. 2 Q As opposed to Savannah and Charleston, which 3 have a great need for containers to come in, because 4 there is not enough containers usually for the demand 5 that is going out? 6 A That is right. 7 Q Okay. So, I think we have talked about there 8 is a size component of determining who would be a 9 potentially good long-term customer. Correct? 10 A Correct. 11 Q And then there is also a I guess, should we 12 call it objectives of the business as to where the 13 equipment is needed or where containers are needed 14 versus where there is a surplus of containers? 15 A Correct. 16 Q That is the second component. Are there any 17 other components that go into determining who would be 18 an attractive long-term customer for Hamburg Sud during 19 2019 to 2021? 20 A I think these are two significant drivers. 21 Q So, for example, if a -- one second here. If 22 there any insignificant drivers, there are also 23 considered for purposes of determining who to take on 24 as a long-term customer or less significant? 25 A Chassis, for example, in some locations,	1 there are chassis shortages. So, that makes inland 2 transportation a challenge. That is very much a driver 3 in this year in 2021 and also for 2020, due to the 4 disruptions caused by COVID. 5 So, in other words if a customer just goes to Long 6 Beach or Los Angeles port and there it ends, that can 7 be an advantage versus accepting a transport to 8 Ontario, California because there are truck power 9 shortages, there are chassis shortages, driver 10 shortages. 11 So, this then comes down again, knowing your 12 customer, knowing the business, but also knowing the 13 ability to deliver. Because at the end of the day, we 14 want to make sure we deliver a solid product and not 15 cause disappointment. 16 Q When you are talking about chassis shortages 17 that you just described, is -- it is not a problem at 18 least in 2019 to 2021 or even today, is not that an 19 issue kind of everywhere in the United States at this 20 point? 21 A There are some parts of the US where it is 22 critical, some parts where it is okay. But it is a -- 23 it is an issue that popped up since the event of COVID. 24 Q So, would you characterize it as being a 25 critical shortage of chassis?

35 (Pages 137 to 140)

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CX092

Juergen Pump
7/19/2022

Page 141	Page 142
1 A So, import boxes in Southern California, Los 2 Angeles, Long Beach in the northeast could not be moved 3 because there were no chassis. The trucker did not 4 have -- do not have chassis. 5 The ocean carriers were out of chassis, so the box 6 sits on the terminal and cannot be moved. So, this is 7 something to be mindful of. 8 Q And you said that is in the Long Beach and 9 northeast, so that would be up in -- 10 A Yeah. 11 Q -- New York, Baltimore, Philadelphia, et 12 cetera? 13 A These are the main areas. 14 Q Okay. With respect to okay on chassis, would 15 -- where would those areas be? 16 A Primarily in the Gulf, chassis situation is 17 okay. Not great, but better than in Southern 18 California. 19 Q That has been true throughout -- 20 A With some variations. 21 Q Sure. But that would be true throughout the 22 pandemic? 23 A Largely. 24 Q I take it, you did, nonetheless, still offer 25 contracts to Long Beach and the Northeast despite	1 chassis shortages, correct? 2 A Yes. Yes. 3 Q And you said at least with respect to Long 4 Beach, you essentially have to offer that because it is 5 such a central depository for containers on the West 6 Coast? 7 A That is correct. 8 Q So, particularly during the pandemic years, 9 having a prospective customer that would be able to 10 import, say, 300 containers into the Savannah, 11 Charleston ports on an annual basis would be a great 12 advantage for Hamburg Sud because of the need for 13 containers to be imported into those ports? 14 A It would suddenly be a plus. 15 Q And if that same customer had other ports 16 that it also shipped into, such as Long Beach, because 17 it had more than one port destination that would also 18 be a potentially a advantage for Hamburg Sud as far as 19 making that prospective, customer attractive for being 20 a long-term customer. 21 A Correct. 22 Q Okay. So, you identified another, not 23 necessarily a significant factor, but a significant 24 driver, but a less significant driver was chassis, so 25 are there any other, say, less significant drivers that
Page 143	Page 144
1 are taking the consideration by Hamburg Sud when 2 determining who they want to take on as a long-term 3 customer? 4 A I think these are probably the main items. 5 Q That would be the size component, the 6 relative demand for containers and the particular ports 7 that are being shipped into, and then the issue of 8 chassis shortages and whatever particular ports are 9 being shipped into. Correct? 10 A Correct. Plus, if the customer has multi- 11 trade opportunities, for example, in addition to 12 imports from Asia, exports to Australia, that would be 13 another consideration or exports back to Asia, in other 14 words, round trip. 15 Q That would be another -- would you 16 characterize that as a less significant driver, but a 17 driver nonetheless? 18 A Yeah. It would be a component in the 19 decision making process. 20 Q Were there any other components in the 21 decision making process for determining who would be a 22 good candidate for long-term customer for Hamburg Sud - 23 - 24 A I think -- 25 Q -- other than the ones that we have	1 discussed? 2 A No. I think these are the major ones. 3 Q How many, can you give a approximation on how 4 many of service contracts included a round trip 5 component? 6 A For which trade? 7 Q Trans-Pacific. 8 A Trans-Pacific is probably quite high, because 9 as I mentioned earlier, when we started in the Trans- 10 Pacific, it was driven by the support of existing 11 customers. 12 And secondly, these customers had exports to Asia 13 and imports from Asia. So, the share of round trip 14 customers or multi-trade customers in the Trans-Pacific 15 is actually quite good. 16 Q Can you -- is that less than 50%, more than - 17 - 18 A I would say it is roughly 50%. I cannot give 19 you a specific figure, but that would be an estimate. 20 Q You, from your position as Senior VP, were 21 you familiar with the service, kind of the format and 22 form of the terms of the service contracts that Hamburg 23 Sud would operate under with its customers? 24 A Only for major contracts. 25 Q When you say a major contract, what do you

36 (Pages 141 to 144)

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1 Q You say the long-term contract rates went up
2 in 2021 to -- when was that, when did that take effect?
3 A It depends on the customer but most of the
4 contracts would take effect on or around May 1, in some
5 cases earlier. So, any contract that was negotiated in
6 the first quarter of 21 would have taken a significant
7 increase.
8 Q Significant increase in price?
9 A That is correct.
10 Q Is that generally the contract season for the
11 industry is the first quarter of each year?
12 A Yeah. So, generally contracts, again, this
13 is only from Asia to North America, it does not apply
14 to any other trade. Contracts run starting May 1, and
15 then for 12 months.
16 Some of the very large retailers like Walmart as
17 an example, some of them negotiate calendar contracts,
18 but as a rule of thumb, the contracting season is May 1
19 through April 30th.
20 Q That would be what is called the, like, the
21 active term for a service contract?
22 A That is right.
23 Q So, what is the consequence if a contract is
24 not entered into during that time, in other words, some
25 customer comes in November and is looking for a service

1 capacity.
2 Q How about with respect to -- how does this
3 play into the spot market, for example, like --
4 A So, Hamburg Sud given our very small size to
5 give you a reference point, our market share from Asia
6 to North America is less than 1%. Our aim was always
7 since we started back in 2015 to have a very high long-
8 term share for two reasons to have some stability.
9 But also we do not really have the resources to
10 price daily or weekly in the spot market because it
11 takes people, it takes data support. So, ideally, we
12 would try to sell our capacity on a long-term basis.
13 Q That was the preference?
14 A There was the preference. Yeah.
15 Q Did Hamburg Sud during 2020 and 21 also offer
16 spot market pricing as well?
17 A On a very limited basis. To give you an
18 example, only for example, if we saw that long-term
19 customers had trouble filling the space because of
20 issues on the supplier side, we would be able to
21 release short-term space like on a days notice.
22 In some cases, it was not possible to sell that
23 space that was empty. But that is really where we
24 would be able to offer spot rates to try to sell and
25 use space of long-term customers. But the structural

1 contract, how was that affect to them?
2 A So, if a customer were to come in November,
3 most ocean carriers would only give a contract until
4 April to then gauge the demand picture for the
5 remainder of the year to get into the, let us say, May
6 1-April 30th time window.
7 Q So, if a contract is ordinarily not obtained
8 during the contract season as you described, where
9 there would be a contract from say, like, May 1st to
10 the end of April, then partial year contracts would
11 usually be the best available option for a out of
12 season contract seeker?
13 A That is right.
14 Q So, generally speaking, outside of the
15 contract season that we already described, a shipper
16 would not have the option of then securing a full 12
17 month service contract?
18 A That is correct. Most ocean carriers by
19 April, latest May, but given the current market
20 environment would be sold out for the rest of the year.
21 There would not be any capacity left to sell.
22 Q When you say sold out for the rest of the
23 year, would that be sold out for the rest of the year
24 with respect to contract space?
25 A That is correct. Exactly. Shipboard

1 allocation for spot rates was very, very small.
2 Q With respect to the comparison of the
3 available spot market versus long-term contract space,
4 do you have sort of a general percentage in which
5 Hamburg Sud would try to hit during that for each type
6 of space?
7 A In terms of, I am not sure I understand.
8 Q Yes. So, the overall space that Hamburg Sud
9 would carry during, say, 20 and 21, how much percentage
10 wise would -- was there a goal for how much long-term
11 space would be used versus how much spot space?
12 [REDACTED]
13 [REDACTED]
14 [REDACTED]
15 [REDACTED]
16 [REDACTED]
17 [REDACTED]
18 [REDACTED]
19 [REDACTED]
20 [REDACTED]
21 [REDACTED]
22 [REDACTED]
23 [REDACTED]
24 [REDACTED]
25 [REDACTED]

Juergen Pump
7/19/2022

Page 201	Page 202
1 negotiations, reasonable negotiations, unlawful acts 2 under the Shipping Act, so there is a fairly long 3 laundry list. 4 Q And you said there was a regular compliance 5 training for Hamburg Sud employees, is that -- 6 A Primarily for trade management. 7 Q When you say primarily for trade management, 8 what do you mean? 9 A So, trade management plus sales managers. 10 Q Okay. So, you are talking about the trade 11 management who is doing pricing, sales management who 12 is doing customer service? 13 A Sales management, who would have direct 14 customer contact. 15 Q These are the two departments that are 16 primarily responsible for the service contracts? 17 A That is correct. 18 Q So, could you describe to me the -- what is 19 the -- what is the periodic basis in which these 20 compliant trainings take place? 21 A Prior to the acquisition by Maersk, annual. 22 And then after we were acquired, we also had compliance 23 training by the competition law team in Copenhagen. 24 They came to the US and provided training not only 25 on the Shipping Act, but compliance with international	1 rules and regulations. So, it was expanded after we 2 were acquired. 3 Q Do you recall when that expanded compliance 4 training was done by Maersk? 5 A I think it was in 2020, if I am not mistaken. 6 Q Is that now on an ongoing annual basis? 7 A I think so. 8 Q What is that compliance training consists of, 9 how many hours, what has gone over, et cetera. 10 A It is between two and three hours. As I 11 stated, first, the overview of the US Shipping Act, 12 then the anti-trust issues dealing with the regulatory 13 framework. 14 On top of that, every new employee that is on- 15 boarded as part of the on-boarding program has to take 16 a -- an online seminar, if you will, where compliance 17 is a major part of it. 18 Q Are the Shipping Acts provisions about the 19 laws against retaliation against customers, is that 20 part of the compliance training? 21 A Yes. 22 Q And what do you recall about that compliance 23 training in that subject? 24 A Ocean carriers cannot retaliate or 25 unreasonably refuse to negotiate.
Page 203	Page 204
1 Q With shipping customers? 2 A With shipping customers. 3 Q And what does that mean to you? 4 A It would depend on the specific case. As I 5 said, given our track record, I think we have done 6 quite well, that we never had any issues that were 7 litigated under the Shipping Act. 8 Q Do recall from the compliance training, are 9 there parameters given as to when a -- when something 10 becomes retaliation as opposed to something that is 11 allowed under the Shipping Act? 12 A I could not give you a specific example. But 13 I think for the team, certainly for myself, this was 14 clearly understood. 15 Q Okay. So, let -- tell me what your 16 understanding was then. 17 A So, to retaliate is to unreasonably refuse to 18 negotiate or in other way, quote punish unquote the 19 customer. 20 Q How would you know, based on your 21 understanding, when you cross that line? 22 A I think that the circumstances are usually 23 clear. As I said, we have not had any case where we 24 were even close to a situation like this. So, that is 25 why I am struggling coming up with a -- with an example	1 here. 2 Q Well, I mean, regardless of an example, take 3 it as part of the training, was there some kind of 4 discussion in that training about, you know, what is 5 over the line as opposed to what is not over the line 6 when it comes to retaliating or punishing a customer? 7 A We use one example that just because we 8 cannot retaliate or discriminate based, for example, on 9 the customer being a freight forwarder as compared to a 10 beneficial cargo owner is one example of 11 discrimination. 12 Q And what is the difference between a freight 13 forwarding customer and a beneficial cargo owner? 14 A So, the freight forwarder is a middleman 15 between the ocean carrier and the importer or exporter. 16 And the beneficial cargo owner is either the importer 17 or the exporter or the direct customer. 18 Q Do you know if the compliance training talked 19 about whether or not it is acceptable under the 20 Shipping Act to retaliate or refuse to deal with a 21 customer based on that customer complaining to the FMC 22 about Hamburg Sud? 23 A We did not have cases like that. 24 Q I am not asking if you have cases like that. 25 But I am asking whether or not the compliance seminar

51 (Pages 201 to 204)

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CX095

Juergen Pump
7/19/2022

Page 205	Page 206
1 discussed that possibility. 2 A I do not recall whether we would specifically 3 talk about a customer complaining to the FMC but as I 4 said it was clear I think to all participants that this 5 cannot be a reason not to negotiate. 6 Q But complaining to the FMC could not be a 7 reason not to negotiate with customers. Correct? 8 A That is right. 9 Q That was part of the compliance training? 10 A Yes. 11 Q Were the -- was the actual Shipping Act 12 provided copies of that provided to the employees who 13 would be part of this compliance training, as part of 14 that training? 15 A I do not know whether a hardcopy was handed 16 out. But certainly the link where the Shipping Act is 17 including the FMC website is also a resource for 18 further information. 19 Q That is true for the trade management and 20 sales management teams? 21 A Yes. 22 Q Was there -- during this compliance training, 23 was there any discussion about if a customer threatened 24 to or actually filed a lawsuit as opposed to a FMC 25 complaint, whether or not that would be allowed in that	1 situation to retaliate or refuse to deal with that 2 customer? 3 A I do not remember whether we had that 4 specific example, meaning, a lawsuit. But it is 5 clearly understood in the organization that this is not 6 a factor in the decision whether or not to negotiate a 7 service contract. 8 Q When you say it is not a factor, whether to 9 negotiate a service contract, what do you -- what do 10 you mean by that? 11 A So, in other words, if the customer was 12 involved in litigation against another ocean carrier or 13 against Hamburg Sud or anyone, as I said, no such case 14 in the past certainly, but this would not be something 15 that would enter the picture. 16 Q In determining whether or not Hamburg Sud 17 would continue a relationship or enter into a 18 relationship with that shipper? 19 A Correct. But I have to highlight, again, we 20 never had a case like that. 21 Q You said that the link to the FMC website and 22 the Shipping Act were -- are available to the trade 23 management team and sales management team. Is that 24 right? 25 A That is right.
Page 207	Page 208
1 Q And how was that made available to them? 2 A It was just shared during the training, the 3 in-person training that was before the pandemic. 4 Q During your time with Hamburg Sud, did you 5 ever refer to the FMC website or the Shipping Act as 6 part of your duties? 7 A Yes. 8 Q And in what context would that be? 9 A Well, as part of, especially when we were 10 still part of so called discussion agreements, which 11 are covered by the Shipping Act, where ocean carriers 12 are allowed to cooperate on certain aspects, like, 13 vessel sharing agreements. 14 So, that is where compliance is vitally important 15 to make sure that Hamburg Sud employees clearly 16 understand the boundaries, what can be discussed what 17 cannot be discussed. 18 Q And to what -- to your knowledge, what could 19 be discussed and what could not be discussed? 20 A So, what could be discussed, operational 21 issues, vessel sharing agreements, vessel schedule 22 coordination and these things. What could -- cannot be 23 discussed, customer details. 24 Q About pricing? 25 A Out of bounds.	1 Q When you say customer details, what does that 2 encompass? 3 A The specific customer name. 4 Q Do you have an understanding from this in 5 compliance as to what type of discrimination was 6 prohibited by the Shipping Act? 7 A I could not give you the verbatim. But as I 8 just stated, the discrimination based on the shippers 9 status being beneficial cargo owner or freight 10 forwarder as an example, that probably was the most 11 widely used example. 12 Q Would a customer who had threatened to file a 13 lawsuit or FMC complaint, or actually filed a lawsuit 14 or FMC complaint, would that also be off limits with 15 respect to discriminating against that client? 16 MR. ROHDE: Objection, calls for legal 17 conclusion. The Witness can answer. 18 A Yeah. As I said, we have not had those 19 cases, so I am not quite sure how to answer it. 20 Certainly, it would put a strain on the relationship if 21 either we sue the customer, I do not think the customer 22 would take this kindly or vice versa. 23 So, this comes back to the business philosophy and 24 business relationship. The aim has to be to find a 25 long standing relationship and any disputes to be

52 (Pages 205 to 208)

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CX096

Juergen Pump
7/19/2022

Page 209	Page 210
1 resolved amicably as we have done since the 1950s here. 2 Q (By Mr. Davis) So, I take it -- so 3 internally, I think you just use the example that if 4 there was an actual lawsuit filed one way or the other, 5 that could be a strain on the relationship, right? 6 A It could. Yeah. 7 Q So, if that has happened, could there be a 8 situation in which a lawsuit or complaint was 9 threatened that may then lead to -- that may actually 10 lead to a resolution of the dispute before a lawsuit 11 was filed? 12 A Yeah. I think one would have to look at 13 this. So, what even gets us to a point where a 14 customer thinks a lawsuit is required. So, one has to 15 look at the entire picture. 16 So, what happened here, why is the customer not 17 satisfied with our service and our products, and is 18 this a mismatch between customer requirements and our 19 product, is it miscommunication, one would have to look 20 at the entire picture. 21 Normally, I would think that a lawsuit would not 22 come from out of the blue. There must be a story 23 behind it. There must be something that leads to 24 taking such action. 25 Q That there would be some kind of complaints	1 or discussion, communication before a lawsuit was 2 actually filed? 3 A I would think so. 4 Q There will be some kind of -- 5 story or history there that would ultimately 6 have -- had led to that, not just an out of the blue 7 lawsuit filed? 8 A Right. 9 Q Has Hamburg ever had to sue or file -- file a 10 lawsuit or file an arbitration against any customer? 11 A Only one case comes to mind. It was an 12 import shipment of, I believe, melons, and the customer 13 walked away from 21 refrigerated cargo containers with 14 melons and left us with a big mess, did not pay the 15 freight charges or the demurrage. And that is the only 16 case that comes to mind. 17 Q Is that a lawsuit or arbitration? 18 A A lawsuit. 19 Q Do you recall the venue of that lawsuit? 20 A It was in New York or New Jersey, I am not 21 quite sure. 22 Q Do you have knowledge whether that was 23 federal court or state court? 24 A State. 25 Q Do you know if that was Hamburg Sud lawsuit?
Page 211	Page 212
1 A It was Hamburg Sud lawsuit. 2 Q Do you recall the general timeframe of that 3 lawsuit? 4 A I do not think it is concluded. It was 5 started before the pandemic, so 2019 or thereabouts. 6 Q You said there may be a situate -- as far as 7 this history of maybe a story or history behind a 8 dispute, you said one might be miscommunication that 9 led to this issue? 10 A Sorry. Could you repeat that question? 11 Q Yes. I believe when you were talking about 12 there being a story behind a dispute usually, that one 13 of the things that could lead to that for the customer 14 being unsatisfied would be a miscommunication between 15 Hamburg Sud and a customer, is that right? 16 A It is possible. Yes. 17 Q That would be a -- an opportunity there to 18 better communicate to hopefully avoid an issue or 19 otherwise resolve the issue? 20 A Correct. 21 Q How about you -- I think you also talked 22 about there was a mismatching that may have led to the 23 dissatisfaction with the relationship. Can you 24 elaborate on what -- when you say mismatch, what you 25 meant by that?	1 A Yeah. So, a mismatch would be dealing, for 2 example, with a customer who is not, let us say, all 3 that familiar with trading conditions, looking perhaps 4 for freight rates or free time for containers that are 5 not reflective of market conditions. 6 So, that indicates that there would be an ongoing 7 issue with regard to maybe reading market conditions 8 differently. 9 And let us say from a partnership, this thing 10 quickly goes into adversarial relationship, and that is 11 not something we are looking for. And likely, neither 12 would the customer. 13 Q There would be some kind of mismatch between 14 what Hamburg Sud was seeing as far as market conditions 15 and what the customer was seeing as far as 16 -- ? 17 A As an example, the scope of services that we 18 offer versus what the customer is expecting. So, to 19 give you an example, given the congestion in Los 20 Angeles, it would be unreasonable for an importer to 21 expect that the ship will come to Los Angeles, we will 22 get a berth a container will be discharged and 23 delivered within 48 hours. 24 So, that would be an example where there is a 25 mismatch. So, if the customer is not aware of the

53 (Pages 209 to 212)

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Juergen Pump
7/19/2022

Page 225	Page 226
1 repeating what I said earlier, in light of the overall 2 environment and the market and the operational issues, 3 including supplier issues that customers are facing, 4 this was quite shocking. 5 Q You said that this is talking about doing a 6 deep dive on a particular situation to determine what a 7 disconnect was. You just testified that this e-mail 8 was the first that you had heard of the business issue 9 between OJ Commerce and Hamburg Sud. Correct? 10 A Correct. 11 Q Did you then do a deep dive after this e-mail 12 to determine the history and ask about everything that 13 had happened before, look at the file and so on and so 14 forth? 15 A Yeah. I recall having a discussion with 16 Kevin Lee with regard to what is this. This was not 17 discussed, certainly, not with me previously. What is 18 the track record, how long have we been doing business 19 with OJ Commerce, what got us to this place? 20 And he basically summarized that we have a 21 relatively shortfall and customer is not happy with our 22 service performance. So, that is where the disconnect 23 is. 24 Q So, the deep dive that you are talking about 25 is, is characterized in this one -- that is contained	1 in this one e-mail from Kevin Lee to you on April 29th, 2 2021? 3 A Yeah. What I am trying to say is, if one 4 were to go in, what caused the shortfall of 18 FFEs, it 5 is possible that it was caused by the suppliers because 6 they did not have the merchandise ready when we had a 7 shipment port. 8 So, we did not go to that extent, simply because 9 the shortfall is so small. So, why spend a lot of 10 resources going back in time and likely running into 11 communication disputes with the supplier that likely 12 were not admitted they did not have any merchandise 13 ready to ship. 14 Q Was that your position with respect to -- is 15 that your position with respect to OJ Commerce that 16 they did not have the merchandise ready to ship or are 17 you just speculating about what a profitability 18 there --? 19 A -- It is one of the root causes, and it is 20 possible that this happened. But I did not verify that 21 the shortfall was caused by the customer. I assumed 22 that it was on our side because of the schedule 23 disruptions that I was talking about previously. 24 Q So, because OJ commerce had complained about 25 these shortfalls, that then make them a -- label a
Page 227	Page 228
1 disconnect or a mismatch customer for Hamburg Sud? 2 A Well, the way I read it that OJ Commerce was 3 not satisfied with our services in light of the 4 shortfall. There is no other information that I could 5 see that there were any other service issues. 6 And taking into context, this shortfall of 18 FFEs 7 should not rise to the level of litigation. It should 8 have been resolved in another way. 9 Q Let us look at the second paragraph of the 10 April 29th, 2021 e-mail. Do you see the sentence that 11 starts, meanwhile, do you see -- do you see that 12 sentence, it starts meanwhile -- 13 A Yes. 14 Q Could you read that sentence, please? 15 Meanwhile -- 16 A Meanwhile, they are proposing a new -- 17 renewal contract but 400 FFE MQC, but all rates remain 18 the same from last year contract. 19 Q Do you see that? So, at that point at least, 20 OJ Commerce was proposing a renewal contract with 21 Hamburg Sud, correct? 22 A Correct. 23 Q For 400 FFE MQC? 24 A Correct. 25 Q So, at that point, anyway, from this e-mail,	1 OJ Commerce is not so dissatisfied with Hamburg Sud as 2 to not want to do business with them. Correct? 3 A Correct. With the exception that expecting 4 same rates as the previous contract was, at best not 5 understanding the market. As we discussed previously, 6 rates substantially increased in 21 versus 2020. 7 So, that was another item where I have to say 8 there may be a lack of market dynamics. Because if 9 that is the starting position for negotiation to expect 10 the same rates from 2020/21, that is not a reasonable 11 starting position. 12 Q Even though it is a negotiation, you are 13 saying that if someone does not take the -- what you 14 believe to be the correct starting position, that would 15 make the negotiator unreasonable? 16 MR. ROHDE: Objection, misstates his 17 testimony. You may answer. 18 A I think it certainly in 2021 I do not recall 19 any other customer starting with the same rates or 20 customers offered substantial rate increases. Because 21 the objective in 2021 was to secure capacity. 22 The price was important, but not a decision driver 23 so to say. It was all about capacity. And so, this 24 was another indication that there was a disconnect with 25 the market.

57 (Pages 225 to 228)

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YM Legal Services, Inc.
CX098

Juergen Pump
7/19/2022

Page 229	Page 230
1 Q Do you know if additional or different 2 pricing was offered to OJ Commerce? 3 A I do not. 4 Q You do not? So, but your understanding is OJ 5 Commerce had requested the remain -- rates remain the 6 same from the previous years contract, which you do not 7 know whether any counter proposal was made by Hamburg 8 Sud to OJ Commerces original position? 9 A I do not. I also do not know whether there 10 was any capacity left in late April, early May, I would 11 doubt there was any capacity left for 2022. 12 Q Do you see in -- 13 A Oh, 2021. 14 Q Do you see in the subject line of the e-mail 15 that the contract is identified is expiring on May 16 31st? 17 A Right. 18 Q And would that expiration be at the very end 19 of the contract season? 20 A Yes. Certainly, in 2021, customers, unlike 21 historically started to negotiate rates and contracts 22 for capacity as early as January, February, March, in 23 light of the prevailing market conditions to make sure 24 that they would get the capacity. 25 And as I said, capacity trumps price. So, coming	1 this late in the game, even in April, being mindful the 2 contract did not expire until May 31st was very, very 3 late. 4 Q You previously testified that you did not 5 know how long the negotiations have been going on 6 between OJ Commerce -- 7 A That is correct. 8 Q -- and Hamburg Sud, correct? 9 A Right. 10 Q In the first paragraph, Mr. Lee -- can you 11 read what Mr. Lee says in the first paragraph to you? 12 A Sorry to trouble you, but I need your 13 executive decision on this count. It was the one being 14 mentioned in our call with AEC this Tuesday. I was 15 completing -- I was completely I guess, unaware of the 16 legal action they put against us. During the time I 17 left the Trans-Pacific Eastbound team. And I do not 18 believe it was shared in our call as well. 19 Q What is AEC stand for? 20 A Area East Coast. 21 Q Do you see that he has identified something 22 he had called is legal action. Do you see that? 23 A Yes. 24 Q Was it your understanding at this time based 25 on this e-mail from Mr. Lee, that there had been legal
Page 231	Page 232
1 action taken against Hamburg Sud? 2 A That was the first time I found out. 3 Q And when you spoke to Mr. Lee, what did this 4 legal action entail? 5 A The shortfall of 18 FFEs against the old 6 contract. 7 Q Did you have any understanding that OJ 8 Commerce had actually sued Hamburg Sud or filed a 9 complaint with FMC against Hamburg Sud? 10 A No. 11 Q So, your understanding at that point is that 12 no such lawsuit or complaint had been filed against 13 Hamburg Sud by OJ Commerce? 14 A Well, this was the first time I learned that 15 there was legal action on April 29. 16 Q That is my question. Did your under -- was 17 your understanding then that actually a complaint or a 18 lawsuit had been filed against Hamburg Sud or just that 19 there was some kind of threat made? 20 A I went based on what is stated in the e-mail 21 here. 22 Q And how did you understand that? 23 A A legal action either through the FMC or a 24 lawsuit. 25 Q So, it is your understanding that at that	1 time legal action had actually been taken by OJ 2 Commerce against Hamburg Sud, correct? 3 A Correct. 4 Q Meaning, a complaint had actually been filed 5 or a lawsuit had actually been filed? 6 A That is how I took this. Yes. 7 Q Either with FMC or in a court of law? 8 A Right. 9 Q And what does TPEB stand for? I think you 10 said Trans-Pacific something. 11 A Trans-Pacific Eastbound. 12 Q Eastbound. So, does that mean coming from 13 Trans-Pacific to the United States? 14 A From Asia to North America. 15 Q Can you read the last paragraph of this e- 16 mail from Mr. Lee to you, dated April 29th, 2021?. 17 A In my opinion, this is pathetic and 18 unacceptable. It will be a risk to continue work -- 19 risk to continue work with this account, especially 20 considering our space -- this coming year. 21 I can work with APAROM to ensure they will get the 22 remaining 18 FFEs before end of May. But let me know 23 if you still want to engage this account. With 24 contract renewal, we can set up a call to discuss if 25 needed. Thanks.

58 (Pages 229 to 232)

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CX099

Juergen Pump
7/19/2022

Page 233	Page 234
1 Q So, can you tell me what APAROM stands for? 2 A That is Asia Pacific Regional Ocean 3 Management. That is the trade management team in 4 Shanghai that controls the overall capacity on the 5 Maersk system. 6 Q And it looks like that Mr. Lee was talking 7 about working with APAROM to ensure that OJ Congress 8 will get the remaining 18 FFEs before the end of May. 9 Do you see that? 10 A Right. Right. 11 Q Other than this e-mail with Mr. Lee, had 12 there been any oral discussion between you and Mr. Lee 13 prior to him sending you this e-mail on April 29th? 14 A No. 15 Q He also ends the e-mail asking to set up a 16 call to discuss if needed. That is the last paragraph 17 there. Did such a call ever take place after the e- 18 mail was sent? 19 A I do believe I had a verbal discussion with 20 him. And then I followed-up with the -- with my e- 21 mail. 22 Q What do you -- first of all, when was this 23 verbal discussion phone call with Mr. Lee? 24 A It would have been, again, I did not take a 25 note, either on Thursday, April 29th or maybe probably	1 on that day. 2 Q We are looking at the time here, it says 3 02:04 p.m. Do you see that on Mr. Lees e-mail to you? 4 A Right. 5 Q Do you have an understanding of what time 6 zone that would be in? 7 A That would have been the Midwest time zone. 8 Q Central time zone? 9 A Right. 10 Q Okay. So, sometime after 02:04 p.m., Central 11 time, you had a phone call with Mr. Lee about the 12 subject of OJ Commerce in this e-mail, correct? 13 A As far as I remember. 14 Q What do you recall about this phone call? 15 A Just to get more background here. But, I 16 mean, his e-mail was fairly specific in terms of what 17 the issue was that we were working towards providing 18 additional space to accommodate the 18 FFEs. 19 But the renewal of a new contract in light of 20 this, in light of the fact that we were sold out at 21 this point, but equally, that the starting position for 22 a new contract by the customer was questionable to be 23 diplomatic. 24 So, in other words, this did not bode well for a 25 constructive future relationship because when a
Page 235	Page 236
1 customer feels that we provide such bad service, then I 2 am not quite sure whether the customer -- why the 3 customer wanted a contract from us. 4 Q Did you reach out to OJ Commerce to ask that 5 very question why they would want a service contract 6 with Hamburg Sud if they had complaints about the 7 service? 8 A I did not. 9 Q Do you know if anyone else did? 10 A I do not. 11 Q Is it your testimony that no other Hamburg 12 customer in 2021 during that contract season asked for 13 a contract under the same price terms as the prior 14 year? 15 A To the best of my recollection, certainly, 16 none of our major customers would start with -- would 17 have start with the same rate as the old contract. It 18 was completely detach from the realities of the market. 19 The number one request from customers was more space, 20 more space, that was the overriding objective. 21 Q So, you said, to the best of recollection, no 22 major customers ask for the same price terms, would 23 there other customers you would not characterize as 24 being major customers that ask for the same price terms 25 as the previous year?	1 A Not to my knowledge. I think it would have 2 been flagged somewhere if that would come up. But in 3 relation to the market dynamics at that time, it was -- 4 it would have been a very unusual situation. 5 Q Are you aware of any such flags that came up 6 on someone asking for a renewal to what you would call 7 unreasonable renewal terms? 8 A No. 9 Q What you say just say that -- I am sorry. Go 10 ahead. 11 A Yeah. Our biggest challenge in 2021 was 12 capacity, as the existing customers, all asked, with 13 very few exceptions, all asked for higher MQC, more 14 capacity commitments, that was the overriding 15 objective. 16 And that was our biggest single challenge. 17 Because we could not get a firm handle on the capacity 18 that we would be able to sell in 2021. And then we had 19 the challenge of who do we give more capacity to where, 20 where does it come from. 21 Q Was there anyone denied a contract, service 22 contract by Hamburg Sud because that asked the same 23 prices as the year before? 24 A Yeah. As I said, I do not recall any 25 customer asking for the same price.

59 (Pages 233 to 236)

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**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S
& CO. KG

and

HAMBURG SUD NORTH AMERICA, INC.

Respondents.

DOCKET NO. 21-11

AFFIDAVIT OF MICHAEL GAST, JR.

1. My name is Michael Gast, Jr. I am the Supervisor, Risk Management of Maersk Agency USA, Inc., and previously held that same position with Hamburg Sud North America, Inc. As such, I am familiar with the legal status and operations of Hamburg Sud North America, Inc. ("HSNA").

2. HSNA was, until November 1, 2021, a wholly-owned subsidiary of Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S ("HSDG") that acted as the U.S. general agent of HSDG. On that date, HSNA became a wholly-owned, indirect subsidiary of Maersk A/S. On January 1, 2022, HSNA was merged into Maersk Agencies USA, Inc., the U.S. subsidiary and general agent of Maersk A/S.

Hecht Decl.

Ex. 14

3. HSNA's only business was to act as the general agent of its ocean common carrier parent, HSDG.

4. HSNA was not engaged in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.

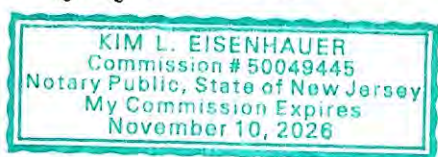
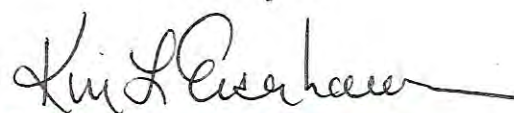
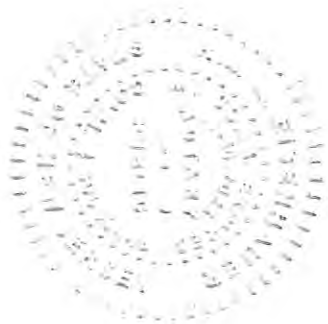
5. HSNA was not a common carrier in its own right.

Further affiant sayeth not.



Michael W. Gast, Jr.

NOTARIZATION:



KIM L. EISENHAUER
Commission # 50049445
Notary Public, State of New Jersey
My Commission Expires
November 10, 2026



INVESTOR ALERT

Bad News Is Good News For Container Shipping Investors

Author: **Frank Holmes**

Date Posted: **October 30, 2021** Read time: **44 min**



You've probably heard this already, but if you haven't started your Christmas shopping, it might be a good idea to do so as soon as this weekend. Shipping bottlenecks are expected to persist well into 2022, driven by slow capacity growth, a shortage of containers and truckers and the ongoing semiconductor chip crunch, which has limited new truck production for last mile delivery.

These "perfect storm" disruptions have created numerous headaches for shipping and logistics companies. But as is often the case, bad news is good news, especially for investors who have seen shares of container lines surge in the 18 months since the pandemic began.

A.P. Moller-Maersk, the world's largest carrier, has sailed up close to 190% in Copenhagen trading. Last month, Bloomberg analysts forecast that Maersk's 2021 net income will end up somewhere in the neighborhood of \$16 billion, which would be a record for not just the company but for any Denmark-listed company. (Danish pharmaceutical company Novo Nordisk holds the current record after having reported over \$6.5 billion in profits in 2020.)

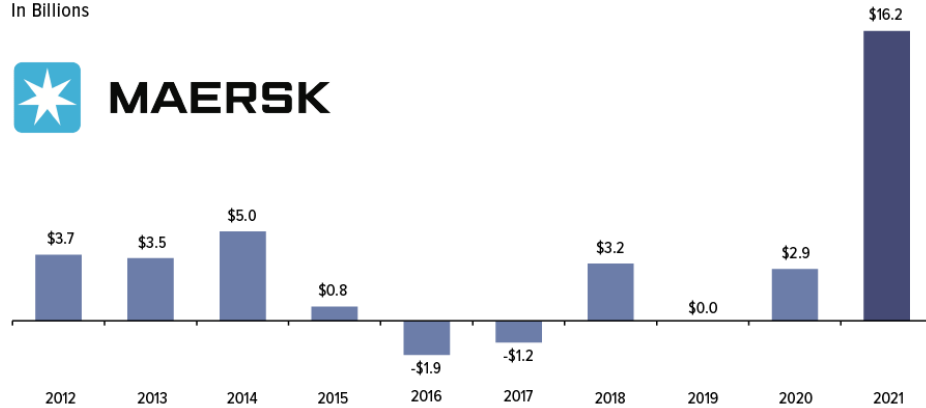
**Hecht Decl.
Ex. 15**

Maersk's Profit, a Danish Record, Is Set to Match the Past Nine Years' Combined

In Billions



MAERSK

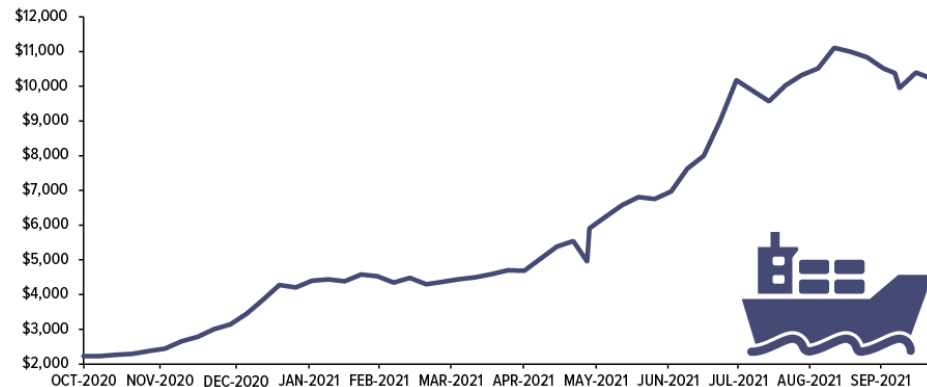


2021 figure is an estimate compiled by Bloomberg **Source:** Company reports, Bloomberg, U.S. Global Investors

This is all thanks, of course, to unheard-of shipping rates. The Freightos Baltic Index, which measures global container prices, currently stands at an average \$10,321 per 40-foot container. A year ago, the same container cost exporters only \$2,231, or about four-and-a-half times less, to ship. To send just one container from Shanghai to Los Angeles, companies must now cough up a jaw-dropping \$17,478, according to Freightos.

Container Shipping Rates Remain Extremely Elevated

Freightos Baltic Index: Global Container Freight Index, 12-Month Period Through October 27



Source: Freightos, U.S. Global Investors

Looking at the chart above, you probably notice that rates are rolling over, and so you may infer that the market is in the process of normalizing. As much as that would provide consumers with some relief, we could be looking at several more months of global supply chain disruptions.

Morgan Stanley: Higher For Longer

That's according to research by Morgan Stanley, which writes in a report this week that "the market may stay peaked for longer." The investment bank expects shipping revenues to stay elevated at least through the second quarter of 2022. Quarterly earnings, then, may not have peaked yet, leaving plenty of upside potential for investors who seek to participate.

And then there's the chip shortage. Like nearly everything manufactured today, new trucks don't work without chips. This has hampered production.

President Joe Biden recently brokered a deal with ports in Los Angeles and Long Beach to remain operating 24 hours a day to help alleviate the shipping bottleneck, but if there aren't enough trucks and truck drivers to move containers, then it doesn't matter how late the ports stay open. At one point in the past week, as many as 100 ships—an all-time record—were waiting to unload their cargo outside LA and Long Beach, which together account for 40% of all containers entering the U.S.

Long story short, supply chain disruptions may be the new normal for at least the next six to 12 months.

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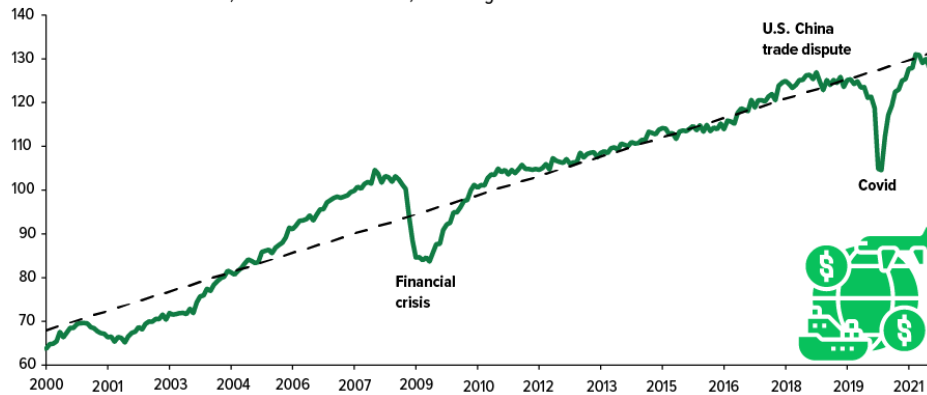
This will cause logistics companies all sorts of headaches, but it could end up being very profitable for investors.

Shipping Is A Long-Term Growth Story

It's important for investors to be aware, though, that everything I've said up to this point deals strictly with the short-term. Global trade and shipping are part of a long-term secular story, at the center of which is the global middle class. So far this century, trade has steadily increased with few interruptions as the number of people classified as middle class has continued to expand, particularly in China and India. Although the pandemic has stalled household income growth in some regions, an incredible **1 billion Asians are forecast to join the middle class by 2030**, according to the World Data Lab. Most of these 1 billion people will seek a middle class lifestyle filled with middle class furniture, appliances, gadgets and more, all of which should support shipping and logistics companies years into the future.

Global Trade Has Steadily Increased this Century with Few Interruptions

Merchandise Trade Volume, Fixed Base 2010=100, as of August 2021



Source: CPB Netherlands Bureau of Economic Policy Analysis, U.S. Global Investors

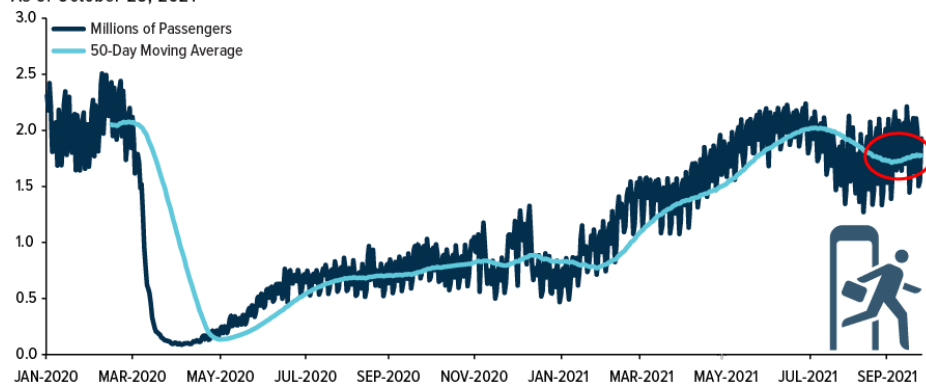
Air Cargo Up Nearly 8% In August Compared To Pre-Pandemic Levels

It's not just ocean freight that looks attractive right now. Air cargo companies are also benefiting from increased consumer demand, with cargo volumes up 7.7% in August compared to the same month in 2019, according to the International Air Transport Association (IATA). This is down slightly from 8.8% growth in July, but still a very solid report.

As for commercial air passenger volume, I'm pleased to see daily traffic as reported by the Transportation Security Administration (TSA) begin to recover following the Delta-impacted summer months. We're still down some half a million daily passengers from 2019 levels, but the 50-day moving average suggests we're in a growth stage.

Number of Daily U.S. Air Passengers on the Upswing as Covid Cases Decline

As of October 28, 2021



Source: TSA, U.S. Global Investors

We believe the next catalyst for growth will be November 8. That's when certain restrictions will be lifted for travelers from China, India and most of Europe. These restrictions have been in place since the beginning of the pandemic in 2020, so it wouldn't surprise me to see a huge influx of people who have been eager to visit the U.S.

Explore the 10 largest cargo planes in the world by [clicking here!](#)

Index Summary

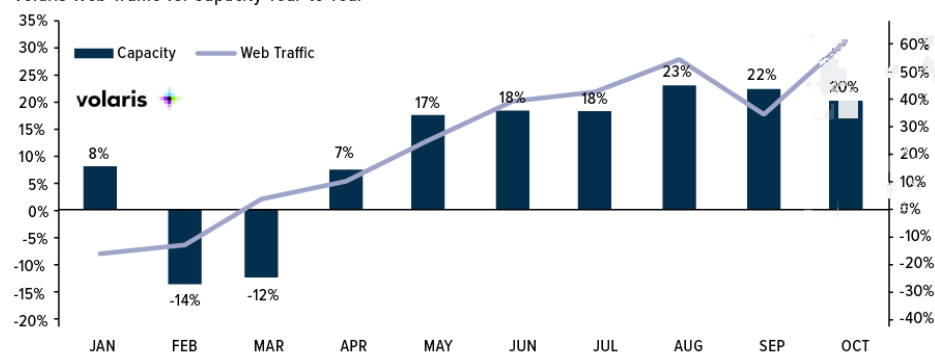
- The major market indices finished up this week. The Dow Jones Industrial Average gained 0.40%. The S&P 500 Stock Index rose 1.24%, while the Nasdaq Composite rose 2.71%. The Russell 2000 small capitalization index gained 0.33% this week.
- The Hang Seng Composite lost 3.11% this week; while Taiwan was up 0.58% and the KOSPI fell 1.18%.
- The 10-year Treasury bond yield fell 8 basis points to 1.55%.

Airline Sector

Strengths

Volaris Continues to Show Growth As It Gains Share from Long Haul Bus Routes In Mexico

Volaris Web Traffic vs. Capacity Year-to-Year



Note: October MTD and based on scheduled capacity. Source: Company Data, Evercore ISI Research, U.S. Global Investors

- The best performing airline stock for the week was Finnair, up 6.6%. Volaris continues to be one of the best performing airlines, driven by a shift from long-haul bus travel to airlines in Mexico. During the third quarter, Volaris unit revenue increased 11% versus total unit cost growth of 3% (on capacity growth of 21%) leading to an operating margin of 24%. Web traffic is indicating that bookings growth has accelerated into the fourth quarter.
- Overall fare trends for the scheduled domestic U.S. airlines were up this week as average close-in (one-week out) fares increased 10.1% (versus 15.5% last week) and the leisure (four-week out) fares gained 6.8% this week. Importantly, the fare trends are consistent with the recent industry commentary of improving demand from the lows of Delta variant-related weakness in mid-September with momentum gaining in recent weeks, (both in business and leisure).
- European airline bookings continued to trend upwards this week after a big step-up last week, with an increase in both international and domestic net sales as a proportion of 2019 levels. Intra-Europe net sales increased by 4 points to -23% versus 2019 levels (versus -27% in the prior week). This led to a 4-point increase in system-wide net sales for flights booked in Europe to -43% (versus -47% in the prior week). Both volumes and pricing improved, with intra-Europe prices remaining at just 3% below 2019 levels.

Weaknesses

- The worst performing airline stock for the week was SAS, down 17.5%. According to Goldman Sachs, JetBlue is expecting fourth quarter cost per available seat mile (CASM) ex-fuel to be up 14% to 16% versus 2019 levels, which is worse than the 12.7% it was in the third quarter as JetBlue's capacity cut will be steeper versus 2019 levels. Transitory cost headwinds will persist through year-end with higher jet-fuel prices, rents/landings fees, and ramp-up labor costs. "We view 2022 as a recovery year and expect investors will be focused on steady state earnings in 2023 and beyond," they said.
- Hawaiian Air's leisure seasonality, a pause in bookings around the COVID-19 Delta variant, and various state restrictions led to a weaker fourth quarter revenue outlook than expected at -37% (versus 2019 levels and compared to -33% in the third quarter). Fourth quarter operating expense, ex-specials and fuel, is guided to be down 7% to 11% versus 2019, which results in unit costs up 12.8% at the midpoint of the guidance range. Going forward, the company called out cost headwinds tied to rebuild costs related to the resumption of international travel, investments in technology, maintenance/the onboarding of a new fleet type (Boeing 787), and contractual wage increases.
- Allegiant Air is pointing to fourth quarter revenue being up 0.5% to 4.0%, worse than the third quarter's 5.3% (partially due to lower capacity, but also lower revenue per available seat mile (RASM)). Fourth quarter CASM-ex fuel is expected to be higher than 6.3 cents reflecting lower capacity, elevated hiring/training and increased costs from the maintenance technician deal.

Opportunities

- For American Airlines, small business appears to account for 60% of its domestic business revenue, which has shown a faster recovery than large corporates. As such, American's revenue recovery continues to outpace peers by 5 to 10 points going into the fourth quarter. American noted that July business revenue was driven by an 83% and 35% recovery in the small and large corporate segments respectively, implying a 60/40% mix.
- Daily website visits for E.U. airlines were up by 5 points to -11% versus 2019 in the week (versus -16% in the prior week). British Airways and Iberia showed the highest growth, at 17 points and 10 points respectively, although this is likely related to marketing activity.
- According to Bank of America, system net sales improved for the third straight week to down 46.5% versus 2019 for the week (versus last week's level of -50.9%). Domestic leisure (e.g., bookings through online channels) remained above 2019 levels at 6.0% versus 2019 (versus 4.4% last week). In the most recent data, international tickets improved to down 33.9% versus 2019 (compared to down 38.0% last week), which is the best level since the pandemic started. In their view, these bookings are likely useful for upcoming holiday travel and perhaps some planning for spring/summer 2022.

Threats

- According to Raymond James, for the second earnings call in a row, Southwest spooked investors with a disappointing cost outlook. Notably, transitional cost pressure driven by inefficiencies and lower productivity is likely to take well over a year to reverse due to the time it will take to restore the core network following the opportunistic pull forward of growth into new airports. To return to historic productivity levels (for airports/airplanes), Southwest will need to restore much of the core network, which will take well over a year.
- According to Credit Suisse, state shareholding agency APE has no plans to reduce 29% holding in Air France-KLM over the coming years. This implies continued state ownership with the French stake doubling this year, making labor restructuring more challenging.
- Spirit introduced fourth quarter guidance, with adjusted EBITDA margins expected to be break-even to -5%, sequentially worse than the third quarter's 1%. Assuming the midpoint of the rest of the company's fourth quarter guidance and D&A flat quarter-

over-quarter implies fourth quarter revenue down 1%. This revenue outlook is worse than consensus, driven partially by lower capacity, but also worse RASM.

Emerging Markets

Strengths

- The best performing country in emerging Europe for the week was Turkey, gaining 2.9%. The best performing country in Asia this week was Taiwan, gaining 0.82%.
- The Hungarian forint was the best performing currency in emerging Europe this week, gaining 0.33%. The Pakistani rupee was the best performing currency in Asia this week, gaining 1.4%.
- Economic confidence in the euro-area unexpectedly rose to 118.6 in October from 117.8 in September. Optimism in services made up for the concern in industry that a global supply squeeze will dampen production.

Weaknesses

- The worst performing country in emerging Europe for the week was Hungary, losing 1.9%. The worst performing country in Asia this week was Hong Kong, losing 3.4%.
- The Polish zloty was the worst performing currency in emerging Europe this week, losing 1.1%. The Chinese yuan was the worst performing currency in Asia this week, losing 0.32%.
- Chinese borrowers have defaulted on about \$9 billion of offshore bonds this year, with the real estate industry accounting for one-third of that amount. Credit-rating downgrades of Chinese developers have accelerated further in October, hitting a record high for a second straight month.

Opportunities

- Emerging European equities, as measured by MSCI Emerging Market Europe Index (MXMU), had a technical breakout this week pointing to more upside. Stocks recently passed above the pre-pandemic level last seen in mid-January of 2020. Russian equities have been outpacing other central emerging markets driven by higher oil and gas prices.

Emerging Europe Technical Break Points to More Upside

MSCI Emerging Markets Europe Index



Source: Bloomberg, U.S. Global Investors

- PMIs in Europe most likely will remain at a strong level, well above the 50 mark that separates growth from contraction. It is likely that the Service PMI may slightly decrease, but the manufacturing activity in the euro-area should remain unchanged. The latest PMI data will be released on Monday.
- President Xi of China will participate and deliver a speech at the G20 leader's summit via video link in Rome this weekend (October 30th and 31st). He will most likely not attend the climate summit (COP26), but China formalized its commitment to raising the share of renewable, non-fossil fuels in its primary energy consumption to

CX108

25% by 2030, higher than a previous pledge of 20%, and increasing wind and solar power capacity. The G20 meeting and the climate summit in Europe will present opportunity for global leaders to discuss ways to strengthen economic growth, overcome political tensions, and solidify action plans to combat climate change.

Threats

- A CLSA broker, who specializes in Asia, believes that the newly proposed pilot property tax program in China will be an enhanced version with more cities, higher rates, broader tax objects, and stricter implementation compared to the current property tax pilot in Shanghai and Chongqing. It is likely to discourage investment demand and lead to more secondary market supply from homeowners with multiple units. Together with the unsolved Evergrande liquidity issue, the pilot property tax could potentially deepen the property market downturn.
- Winter is approaching and some regions of the world are seeing spikes in COVID-19 cases. Russia and the Czech Republic are reporting a higher number of infections. China this week placed the city of Lanzhou in lockdown. It has a population of around 4.3 million and it is home to an oil refinery, industrial metals plants and petrochemical complexes. China's zero tolerance strategy for COVID-19 cases and a recent increase in restrictions will further slow economic growth during the fourth quarter.
- Turkey's central bank raised its year-end inflation projection to 18.4%, from a previous forecast of 14.1%. It predicted a slowdown to 11.8% by the end of 2022, but that's an upward revision from 7.8%.

Energy And Natural Resources Market

Strengths

- The best performing commodity for the week was corn, up 5.76%, on ethanol surge and harvest delays. Chinese purchases are running higher than last year while rains are slowing the harvest in the U.S. Inflation in the U.S. shale patch is "money in the bank" for fracking companies. Prices for drilling services are rising faster than the

CX109

cost of labor and raw materials, Richard Hubbell, chief executive officer at pressure pumper RPC Inc., said Wednesday in an earnings statement. He echoed similar comments last week from Halliburton Co., the world's biggest fracking provider. As a rally in crude and natural gas prices boosts explorers' cash flow after a disastrous 2020, oilfield service providers are trying to win back pricing power.

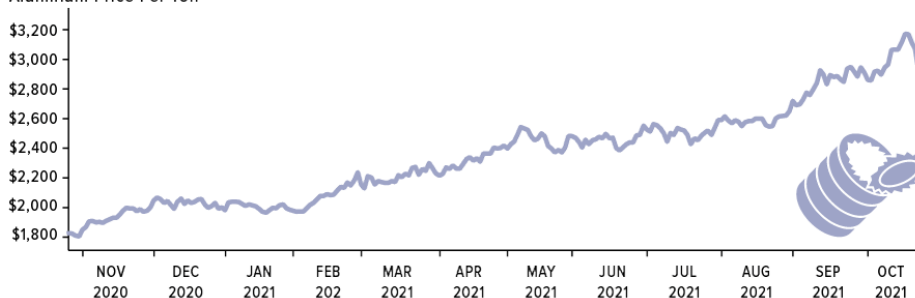
- Cushing crude oil inventories are at risk of reaching tank bottoms within weeks given continued draws. Cushing stocks have declined by in excess of 4 million barrels over the past two weeks to 31 million barrels, with further draws potentially causing inventories to test the 20-million-barrel level generally understood as necessary to maintain normal operations (levels last reached in July 2014). The tightness in supply represents a sharp reversal from the storage glut at Cushing last year in the depth of the Covid crisis that briefly drove prices to negative territory. Demand for U.S. light sweet crude continues to be high globally, particularly given lower sulfur content than certain other grades that require hydrocracker refining reliant on hydrogen.
- Chemical and fertilizer prices are continuing to increase. U.S. Midwest potash prices surged \$25 per ton this week to \$802 per ton and Brazilian prices rose \$10 per ton this week to \$775 per ton. U.S. DAP/MAP prices also rose \$40 per ton this week to \$715 per ton. U.S. export PVC prices increased \$45 per ton this week to \$2,050 per ton, an all-time high. Export prices are \$200 over domestic markets, supporting a November contract price increase.

Weaknesses

- The worst performing commodity was lumber, down 15.11% for the week as the world's biggest lumber producer, West Fraser Lumber Co. Ltd. said it has begun to increase production. Aluminum fell to the lowest in more than three weeks, with most metals retreating on concerns about slowing Chinese demand. After hitting a record high earlier this month, metals prices slumped last week as worries mounted that an energy crunch may hurt manufacturing demand, along with concerns about a debt crisis in China's property market.

Aluminum Prices Are In a Short-Term Correction

Aluminum Price Per Ton



Source: Bloomberg, U.S. Global Investors

- China's September crude output declined for the fifth consecutive month, down 11.4% month-to-month to 73.8 million tons. Daily crude steel output dipped 8.4% to about 2.46 million tons. Steel industry PMI in North China's Hebei province, retreated for the second consecutive month, down 4.3 points this month to a 19-month low of 43. China steel mills' utilization rate eased by 0.6 points this week to 80.5%.
- World steel output fell 3.3% this month due to lower Chinese output. European Union prices fell 5-7% this month and U.S. prices finally fell 3% this month from record levels, due to automotive weakness and rising import pressure. Chinese prices fell 2-3% this month due to weaker demand.

Opportunities

- Sibanye Stillwater said it is in talks to acquire the Santa Rita nickel and Serrote copper mines in Brazil as the South African platinum giant seeks to bolster its position in battery metals. A deal would further Chief Executive Officer Neal Froneman's goal of building a presence in the metals that are key to powering electric vehicles and the wider green revolution. Sibanye has already acquired lithium assets in Europe and the U.S. this year and a nickel processing facility in France.

CX110

- According to Morgan Stanley, LNG demand is set to rise at 2X the rate of supply through 2025. While prices likely moderate from current levels, they should average 60% higher over the next five years. Since the start of 2020, the group's forecast for total supply has fallen by an average of 5% through 2025, while their demand estimates over the same period have trended the other way, up 5%. On top of that, capacity outages, low inventories and tightness across alternative fuels markets have helped push global prices higher, setting all-time highs in recent weeks.
- Aluminum continues to have a bright outlook. The market is extremely strong and there's a tightness that "we have not seen since 1987," Norsk Hydro CFO Pal Kildemo said in a Bloomberg TV interview. He cited short-term issues such as supply chain problems, as well as longer term ones such as the auto industry using more aluminum. Aluminum prices have rallied more than 50% in the past year.

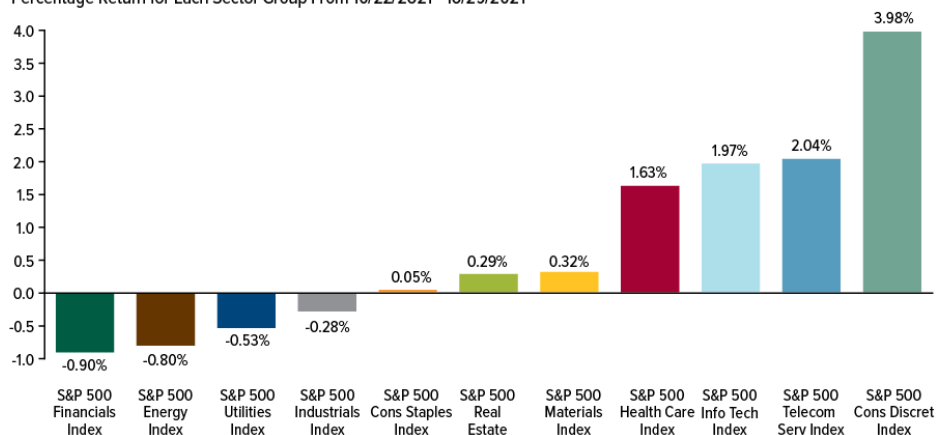
Threats

- Statements by Russia's President Vladimir Putin late last week suggest Russian gas exports to Europe might increase from current levels despite the low Yamal capacity booking announced for November. These statements, along with Germany's Economy Ministry analysis released earlier this week saying Nord Stream 2 certification would not pose a risk to the EU's security of supply, have driven a \$3 per mmBTU sell-off in gas prices over the past week, to \$29 per mmBTU.
- Exxon Mobil Corp. is weighing salary increases as it tries to halt employee attrition across its business divisions after sweeping job and benefit cuts. Chief Executive Officer Darren Woods told employees at a town hall-style meeting that they should be "encouraged" by the ongoing salary-review process, according to a recording of the event. "The policies we're putting in place will get us back to where people can begin to see a different path going forward than what we came out of in 2020," he said at the gathering in suburban Houston.
- Cracks are emerging in the global solar industry, threatening to flatten its growth trajectory just as the world needs clean power more than ever. The sector is being slammed by a barrage of obstacles, with rising materials costs, forced labor accusations and a worsening trade war all hitting at once. As a result, panel prices are rising for the first time in years, and some manufacturers have asked buyers to delay purchases if they can.

Domestic Economy And Equities

S&P 500 Economic Sectors

Percentage Return for Each Sector Group From 10/22/2021 - 10/29/2021



Source: Bloomberg, U.S. Global Research

Strengths

- October Chicago PMI data was reported higher by 3.7 points month-over-month, spiking to 68.4 and beating consensus for 63.7. It was the first increase in three months. Final October Michigan Consumer Sentiment was reported higher by 0.3

CX111

points reaching 71.7. And the final October expectations and conditions indexes were revised up from the preliminary prints.

- Initial jobless claims were reported at 281,000 for the latest week beating 290,000 consensus and the prior week's upwardly revised 291,000. It was a fresh pandemic low and the third consecutive week of claims below 300,000. Continuing jobless claims were reported at 2,243,000, below consensus for 2,350,000 and last week's downwardly revised 2,480,000.
- Enphase Energy, a solar panel producer, was the best performing S&P 500 stock for the week, increasing 31.05%. Shares gained after the company announced strong third quarter results.

Weaknesses

- Gross domestic product in the third quarter was released at 2.0% versus 2.6% expected, weaker than the second quarter which recorded a growth of 6.7%.
- Heavy-weighted technology companies reported earnings misses this week. Apple missed on revenue (for the first time since 2017) and the company flagged a \$6 billion headwind from supply constraints and expectations for an even bigger drag in the month of December. Amazon missed as well; the company's growth was hit by the labor crunch and rising costs. Facebook reported weaker earnings per share as well.
- Twitter was the worst performing S&P 500 stock for the week, losing 13.98%. Twitter Inc. tumbled 11% on Wednesday, the biggest drop in six months, after the social-media company's third-quarter revenue and fourth-quarter sales outlook trailed Wall Street projections.

Opportunities

- President Biden announced a deal on a \$1.75 trillion framework investment package to be spent over the span of 10 years. The framework includes \$400 billion to help provide subsidized childcare for more than 6 million children and tuition-free preschool for 3- and 4-year-olds, along with \$555 billion for clean energy initiatives, including a \$320 billion in tax credits over 10 years to help Americans pay for environmentally friendly home improvements and to help corporations transition to clean-energy manufacturing. President Biden is confident the package will have support of all 50 Democratic senators and that it will pass in the House.
- Bloomberg economists predict ISI manufacturing PMI to remain strong in October at 60.3, slightly lower than the 61.1 reported in September. The Manufacturing PMI will come out November 1 and the Service and Composite PMIs will be released November 3.
- Initial jobless claims will most likely continue to decline next week. Nonfarm payrolls and private payrolls are expected to increase. Bloomberg economists are expecting the unemployment rate to decline by 0.1% to 4.7% in October from 4.8% in September.

Threats

- The Bank of Canada ended its bond buying program and accelerated the potential timing of rate increases amid inflation concerns. Brazil delivered its biggest hike in nearly two decades to 7.75%. Some countries in emerging Europe started to hike rates as well, with Russia being the most aggressive. The Federal Reserve may soon announce its strategy on how to combat rising inflation in the United States.
- A Fed meeting will take place next week. The rates will stay unchanged, but we may hear more policymakers talking about pulling some pandemic stimulus money out of the system. The big question remains when will the Federal Reserve start reducing its \$120 billion in monthly asset purchases to stimulate the economy? FactSet reported that the Fed is expected to announce that it will begin tapering, likely in mid-November, and likely at a pace of \$15 billion a month.
- Many businesses are raising wages and offering more flexible working conditions as they struggle to hire and retain staff, according to a UBS survey. Over 80% of respondents to the survey said they are having problems with both recruitment and retention of staff. It found 74% of firms globally are offering more flexible hours, 71%

on more choice in work locations and 66% have increased base wage pay as a method to solving the labor problem.

Blockchain And Digital Currencies

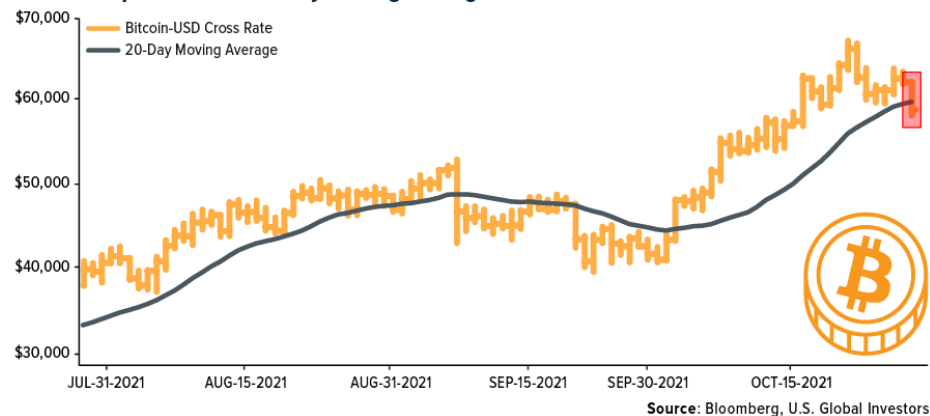
Strengths

- Of the cryptocurrencies tracked by CoinMarketCap, the best performer for the week was Aigang (AIX), rising 66,384.61%.
- The Wharton School of business at the University of Pennsylvania, one of the nation's premier business schools, plans to accept cryptocurrency as tuition payment for its online blockchain and digital assets program. The Ivy League's program will accept digital coins such as Bitcoin as a method of payment for the \$3,800 course, according to Bloomberg.
- Cryptocurrency miners are hoarding Bitcoin, writes Kraken, creating supply shocks that help boost prices even further. An indicator called the O-hop supply, that determines whether miners are holding onto coins they've mined, has risen about 50% since September, said Kraken. The supply shock and demand is putting Bitcoin in a strong position to potentially trend higher.

Weaknesses

- Of the cryptocurrencies tracked by CoinMarketCap, the worst performing for the week was Wolf Safe Poor (WSPP), down 99.98%.
- Coinbase and Robinhood shares fell drastically this week after Robinhood reported earnings and cryptocurrency transactions plunged from the preceding period. The popular app for stock trading, Robinhood revealed a big revenue miss for the third quarter, owing to a big fall in Bitcoin trading.
- Bitcoin slid below \$60,000 this week as euphoria over the first U.S crypto futures ETF dissipated and traders took profits following a record-breaking rally, writes Bloomberg. Bitcoins broke its 20-day moving average which could invite more selling.

Bitcoin Drops Below Its 20-Day Moving Average



Opportunities

- A \$100 billion Vanguard crypto market ETF is possible, reads one Bloomberg headline this week. After the launch of the first Bitcoin futures ETF last week, the momentum could lead to a total-market cryptocurrency ETF that's physically backed, cheap and highly liquid. Vanguard could issue such a product, or one of its rivals will, writes Bloomberg ETF analysts Eric Balchunas and James Seyffart.
- The U.S seems to be taking the Bitcoin mining crown after China's crackdown on the digital currency market. According to an article published by the Wall Street Journal, more than one-third of global computing power dedicated to mining Bitcoin is now drawn from machines in the U.S., which is up from less than one-fifth since last

CX113

spring. Samir Tabar, Bit Digital's CEO, called China's crackdown "an unintentional gift to the U.S."

- Ethereum soared to a record level above \$4,400 on Friday following bullish sentiment surrounding an upgrade on the Ethereum network. The popular cryptocurrency has outperformed Bitcoin throughout 2021 with a sixfold increase thanks to retail and institutional interest in the space, writes Bloomberg.

Threats

- China's technology giants are playing down their links to non-fungible tokens amid concerns that this area of the crypto universe may be the next target for regulators. The move could be speculation that another possible crackdown is coming from the CCP, writes Bloomberg.
- In an interview on CNBC, Nassim Nicholas Taleb, the author of "The Black Swan," states that crypto doesn't hedge anything, "not inflation, not the stock market, nothing." He calls it a "grandiose scam" and adds that crypto makes the Nasdaq from 2000 look rational, writes Bloomberg.
- The Financial Action Task Force, an international body that coordinates government policy on illicit finance, released new guidelines that could force cryptocurrency firms to take greater steps to combat money laundering. A representative of the crypto industry criticized the guidelines saying they would undermine privacy and innovation, writes Bloomberg.

Gold Market

This week spot gold closed the week at \$1,783.38, down \$9.27 per ounce, or 0.52%. Gold stocks, as measured by the NYSE Arca Gold Miners Index, ended the week lower by 3.75%. The S&P/TSX Venture Index fared better with a gain of 0.17%. The U.S. Trade-Weighted Dollar rose 0.51%.

Date	Event	Survey	Actual	Prior
Oct-26	Hong Kong Exports	20.6%	16.5%	25.9%
Oct-26	New Home Sales	756k	800k	702k
Oct-26	Conf. Board Consumer Confidence	108.0	113.8	109.8

Oct-27	Durable Goods Orders	-1.0%	-0.4%	1.3%
Oct-28	ECB Main Refinancing Rate	0.000%	0.000%	0.000%
Oct-28	Germany CPI YoY	4.4%	4.5%	4.1%
Oct-28	Initial Jobless Claims	288k	281k	291k
Oct-28	GDP Annualized QoQ	2.6%	2.0%	6.7%
Oct-29	CPI Core YoY	1.9%	2.1%	1.9%
Oct-31	Caixin China PMI Mfg	50.0	—	50.0
Nov-1	ISM Manufacturing	60.3	—	61.1
Nov-3	ADP Employment Change	400k	—	568k
Nov-3	Durable Goods Orders	—	—	-0.4%
Nov-3	FOMC Rate Decision (Upper Bound)	0.25%	—	1.9%
Nov-4	Initial Jobless Claims	278k	—	1.9%
Nov-5	Change in Nonfarm Payrolls	400k	—	1.9%

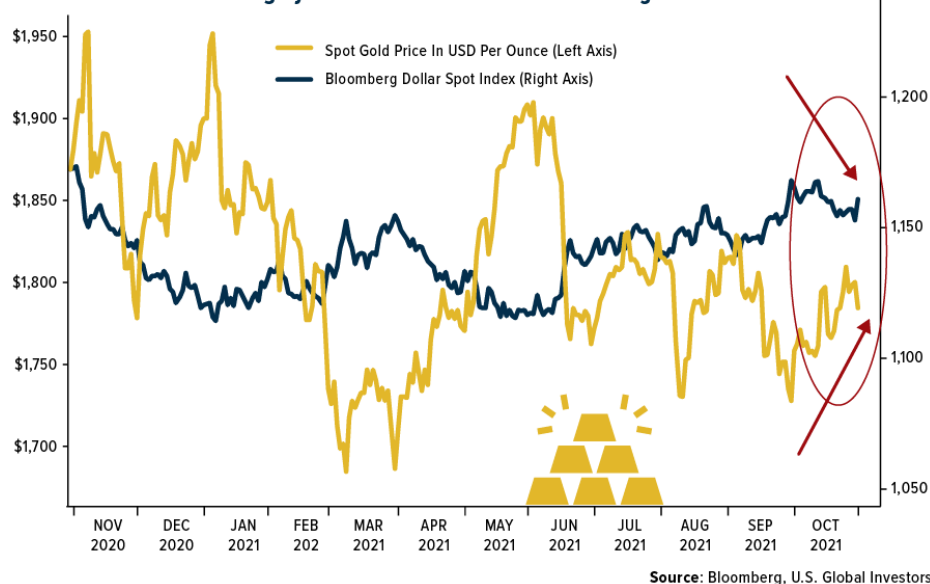
Strengths

- The best performing precious metal for the week was gold, but still off 0.52%. Gold remained range bound as traders weighed concerns over the world's economic recovery, which is supporting demand for haven assets, against prospects of tighter monetary policy. The collapse in the global sovereign-debt yield curve is accelerating, sending a foreboding signal to central banks that a withdrawal of stimulus risks triggering a slowdown in economic growth.
- Funds raised by junior and intermediate companies totaled \$5.5 billion in 2020, the most since 2012 and a clear sign of heightened investor confidence in the yellow metal. This has allowed the junior sector, which had been on a general downtrend in terms of exploration since 2012, to fund its exploration plans. Additionally, the late field start for many companies in 2020 due to pandemic-related lockdowns caused some planned spending to run over into 2021. There are more than 200 additional companies exploring for gold in 2021 than in 2020. At 1,328 companies, that's the most since 2012.
- Gold exploration budgets have increased 43% year-over-year to a total of \$6.2 billion in 2021, outpacing the 35% increase in the global nonferrous exploration budget. Gold's surge has been driven by multiple factors, including a strong price performance, higher junior company financings and exploration plans carried over from 2020. Although the gold price has since retreated somewhat, it has averaged \$1,800 an ounce in 2021, holding the interest of explorers and producers alike in exploration for the precious metal.

Weaknesses

- The worst performing precious metal for the week was platinum, down 2.09% despite bullish positioning in the futures market rising to a 19-week high. Newmont reported disappointing earnings. Revenues of \$2.90 billion were 8% below consensus. Adjusted EBITDA (earnings before interest, taxes, depreciation and amortization) of \$1.32 billion was 18% below consensus. Adjusted earnings per share (EPS) of \$0.60 per share was also below consensus of \$0.74. Attributable gold production was 1.45 million ounces, below consensus of 1.61 million ounces, mainly on lower throughput at Boddington, Nevada Gold Mines and Tanami.
- Reuters reported that a lamgold convoy was attacked in Burkina Faso and that several people could be missing, pushing the share price off more than 5% for the day. The assailants lit the buses on fire before leaving.
- Mine safety, as measured by fatalities, has deteriorated in South Africa according to the Minerals Council lobbying group. Since the start of the year, the number of deaths has risen to 55 versus 43 in the same period last year. This means that safety trends are set to deteriorate for a second year after 60 workers died in accidents last year. The lowest year on record for fatalities was 2019, with just 51.

Opportunities

Gold's October Gain Is Largely Down to the Greenback Weakening

- Gold broke a two-month losing streak in October thanks in part to the dollar weakening, which largely offset monetary tightening sooner than thought them. Gold may hit a fresh record high in the next 12 months as investors seek haven from a buildup of inflationary pressures. That's the view of Agnico-Eagle Mines CEO Sean Boyd, who expects bullion to surpass the current record of \$2,075.47 an ounce reached in August last year. "Inflation is not transitory," Boyd said in a phone interview, noting that costs pressures are "more sticky" than three months ago. "We'll see higher inflation as we move down the road, which is generally a very favorable environment for gold."
- Transactions are picking up. Calibre Mining and Fiore Gold announced that they have entered into a definitive arrangement agreement whereby Calibre will acquire all of the issued and outstanding common shares of Fiore. West African Resources has struck a deal to acquire the Volta asset from B2Gold in a staged cash and stock transaction.
- K92 Mining announced that the strike extension for the J1 Vein at 3.9 meter thick was extended in total for another 211 meters in strike with an average grade of 21.69 grams per tonne. At the Northern extension over 97 meters were added and on the Southern extension over 114 meters extended in strike. The development drives continue to encounter solid geotechnical competency with the development work. Long hole drilling has commenced at the Judd Vein System with the first production stope targeted for production in the fourth quarter. The Judd Vein represent an entirely new ore source for the mill, increasing flexibility in the mine plan.

Threats

- At least one person was killed during protests against evictions near Barrick Gold's Kibali gold mine in northeast Democratic Republic of Congo last week, the local governor's office said on Monday. Two villages near the mine, where residents had previously been resettled from, have been occupied by local people in recent months, "in violation of the rights of the company Kibali goldmines," the Haut Uele governor's office said in a statement. "Shots were fired and at least one death and several wounded have been confirmed," the governor's office said, referring to Friday's confrontation between settlers and police.
- Silver's on a slippery slope as the unwinding of pandemic-era stimulus and industrial disruptions from the global energy crisis threaten recent gains. The metal is poised for the first monthly advance since May, alongside gains in gold, on concerns that power shortages and supply-chain snarls will keep inflation persistently high. Whether or not China has a soft landing from its current energy crisis will also be crucial to silver's price outlook as the metal is more leveraged to manufacturing activities there, according to Aakash Doshi, an analyst at Citigroup Inc.
- Next week's Federal Open Market Committee (FOMC) meeting will likely be a focus point for investors to draw lines in charts, as if were sand, to mark their trigger points.

Unsurprisingly, trade directions get pushed on gold until the other side yields. Heightened gold volatility around timing of the Fed announcement consistently draws a statement as if to be settling an argument. Better to be patient and buy the dips, if they come, as the path of least resistance is likely higher given the current balance sheet of the government.

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 AP Moller-Maersk A/S
 West Fraser Timber Co. Ltd.
 IAMGOLD Corp.
 Calibre Mining Corp.
 Fiore Gold Ltd.
 K92 Mining Inc.
 Barrick Gold Corp.

*The above-mentioned indices are not total returns. These returns reflect simple appreciation only and do not reflect dividend reinvestment.

The Dow Jones Industrial Average is a price-weighted average of 30 blue chip stocks that are generally leaders in their industry. The S&P 500 Stock Index is a widely recognized capitalization-weighted index of 500 common stock prices in U.S. companies. The Nasdaq Composite Index is a capitalization-weighted index of all Nasdaq National Market and SmallCap stocks. The Russell 2000 Index® is a U.S. equity index measuring the performance of the 2,000 smallest companies in the Russell 3000®, a widely recognized small-cap index.

The Hang Seng Composite Index is a market capitalization-weighted index that comprises the top 200 companies listed on Stock Exchange of Hong Kong, based on average market cap for the 12 months. The Taiwan Stock Exchange Index is a capitalization-weighted index of all listed common shares traded on the Taiwan Stock Exchange. The Korea Stock Price Index is a capitalization-weighted index of all common shares and preferred shares on the Korean Stock Exchanges.

The Philadelphia Stock Exchange Gold and Silver Index (XAU) is a capitalization-weighted index that includes the leading companies involved in the mining of gold and silver. The U.S. Trade Weighted Dollar Index provides a general indication of the international value of the U.S. dollar. The S&P/TSX Canadian Gold Capped Sector Index is a modified capitalization-weighted index, whose equity weights are capped 25 percent and index constituents are derived from a subset stock pool of S&P/TSX Composite Index stocks. The NYSE Arca Gold Miners Index is a modified market capitalization weighted index comprised of publicly traded companies involved primarily in the mining for gold and silver. The S&P/TSX Venture Composite Index is a broad market indicator for the Canadian venture capital market. The index is market capitalization weighted and, at its inception, included 531 companies. A quarterly revision process is used to remove companies that comprise less than 0.05% of the weight of the index, and add companies whose weight, when included, will be greater than 0.05% of the index.

The S&P 500 Energy Index is a capitalization-weighted index that tracks the companies in the energy sector as a subset of the S&P 500. The S&P 500 Materials Index is a capitalization-weighted index that tracks the companies in the material sector as a subset of the S&P 500. The S&P 500 Financials Index is a capitalization-weighted index. The index was developed with a base level of 10 for the 1941-43 base period. The S&P 500 Industrials Index is a Materials Index is a capitalization-weighted index that tracks the companies in the industrial sector as a subset of the S&P 500. The S&P 500 Consumer Discretionary Index is a capitalization-weighted index that tracks the companies in the consumer discretionary sector as a subset of the S&P 500. The S&P 500 Information Technology Index is a capitalization-weighted index that tracks the companies in the information technology sector as a subset of the S&P 500. The S&P 500 Consumer Staples Index is a Materials Index is a capitalization-weighted index that tracks the companies in the consumer staples sector as a subset of the S&P 500. The S&P 500 Utilities Index is a capitalization-weighted index that tracks the companies in the utilities sector as a subset of the S&P 500. The S&P 500 Healthcare Index is a capitalization-weighted index that tracks the companies in the healthcare sector as a subset of the S&P 500. The S&P 500 Telecom Index is a Materials Index is a capitalization-weighted index that tracks the companies in the telecom sector as a subset of the S&P 500.

The Consumer Price Index (CPI) is one of the most widely recognized price measures for tracking the price of a market basket of goods and services purchased by individuals. The weights of components are based on consumer spending patterns. The Purchasing Manager's Index is an indicator of the economic health of the manufacturing sector. The PMI index is based on five major indicators: new orders, inventory levels, production, supplier deliveries and the employment environment. Gross domestic product (GDP) is the monetary value of all the finished goods and services produced within a country's borders in a specific period, though GDP is usually calculated on an annual basis. It includes all of private and public consumption, government outlays, investments and exports less imports that occur within a defined territory.

EBITDA stands for a company's earnings before interest, taxes, depreciation, and amortization. The MSCI Emerging Markets Index is a free float-adjusted market capitalization index that is designed to measure equity market performance in the global emerging markets. The University of Michigan Confidence Index is a survey of consumer confidence conducted by the University of Michigan. The report, released on the tenth of each month, gives a snapshot of whether or not consumers are willing to spend money. The Freightos Baltic Daily Index measures the daily price movements of 40-foot containers in 12 major maritime lanes. It is expressed as an average price per 40-foot container. The Bloomberg Dollar Spot Index (BBDXY) tracks the performance of a basket of 10 leading global currencies versus the U.S. Dollar.

Contract No.: AECC0000291

Governing Tariff

Essential Terms Publication: FMC No. 001903 502

Essential Terms: AECC0000291

Tariffs of General Applicability: FMC Nos. 001903 501 / 001903 801 or any successor thereto.

Except as may otherwise be provided in this Contract, all shipments moving hereunder shall be subject to all other rules, terms, conditions, charges and surcharges set forth in Carrier's governing tariff(s) and in effect at the time of shipment.

The parties mutually agree to the rates, terms and conditions set forth in the following pages. In witness whereof, the parties have executed this Contract through their duly authorised representatives as of the date(s) set forth below.

This Contract is entered into between following Parties:

**HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S &
CO KG**

(hereinafter "HAMBURG SÜD" or "CARRIER")

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & CO KG
WILLY-BRANDT-STR. 59-65
20457 HAMBURG
GERMANY

c/o

HAMBURG SÜD NORTH AMERICA,
INC.
465 SOUTH STREET F 3 STE 300
MORRISTOWN NJ 07960
UNITED STATES

OJCOMMERCE

OJCOMMERCE
3076 N COMMERCE PKWY
MIRAMAR FL 33025
UNITED STATES

Shipper Certification

Pursuant to FMC regulations, Shipper, by execution of this Contract, certifies its status and that of all its affiliates authorized to utilize this Contract as:

(1) ☒ cargo owner or consignee; or (2) ☐ other (specify: _____); or (3) ☐ signatory acting as nonvessel operating common carrier(s). If status is (3) above, Shipper further certifies that any such NVOCCs have tariff(s) and bond(s) on file with the U.S. Federal Maritime Commission ("FMC") in full compliance with FMC regulations and that evidence reflecting same have been provided to Carrier.

Signatures:

Jacob Weiss
President
OJCOMMERCE

Date: 6/29/2020

Pestana Rodrigo
Rodrigo Pestana
Product Management - Transpacific Manager
Hamburg Süd North America, Inc.

Date:

Serena Cheung
Transpacific Trade
Hamburg Süd North America, Inc.

Date:

Duration

Contract No.: AECC0000291

Contract Effective Date: 23-JUN-2020

Contract Expiry Date: 31-MAY-2021

1. Geographic Scope:

This Contract covers the carriage of cargo from the origin points or ports to the destination points or ports set forth in the appendix (or other attachments).

2. Commodities

This Contract shall apply to the commodities listed in the Appendix (or other attachments).

3. Service Commitment, Shipper, and Carrier's liquidated damages

(a) Carrier agrees to make available to Shipper during the term of this Contract vessel capacity adequate to carry (1) the Minimum Volume Commitment of cargo and (2) at Carrier's option, any additional cargo tendered by Shipper during the term of this Contract.

(b) Carrier and Shipper recognize that breach of the Minimum Volume Commitment causes not only loss of freight to Carrier but also instability, adverse impact on Carrier's marketing, logistics, and stowage planning and that a precise quantification of these damages is difficult to calculate. Accordingly, in order to avoid the difficulty and expense of proving actual losses, the parties agree that in lieu of all damages relating to the obligations of Shipper with respect to the Minimum Volume Commitment, liquidated damages shall be assessed as follows: If Shipper fails to tender the Minimum Volume Commitment specified in this Contract, Carrier shall invoice Shipper and Shipper agrees to pay to Carrier liquidated damages on the difference between the quantity of cargo actually shipped and the Minimum Volume Commitment at the rate of USD250 per TEU. The total of any amounts due hereunder shall be paid directly to Carrier within thirty (30) days following written notification by Carrier.

(c) Carrier and Shipper recognize that breach of Carrier's service commitment adversely impacts Shipper's supply chain, logistics and operations and that a precise quantification of these damages is difficult to calculate. Accordingly, in order to avoid the difficulty and expense of proving actual losses, the parties agree that in lieu of all damages relating to the obligations of Carrier with respect to its service commitment, liquidated damages shall be assessed as follows: In the event Shipper is unable to secure space on any particular sailing of Carrier after having given the minimum booking notice, upon written request of Shipper, the Minimum Volume Commitment may be reduced by the quantity of cargo tendered but not carried by Carrier. In the event that the Minimum Volume Commitment of this Contract is reduced by 10% or more as a result of Carrier's failure to provide space, Carrier agrees to pay, and Shipper agrees to accept, in lieu of other damages from Carrier, liquidated damages calculated by subtracting the number of TEUs actually shipped under the Contract from 90% of the MVC and multiplying the TEU deficit, if any, by USD250 per TEU.

4. Rates:

(a) The rates for the carriage of cargo under this Contract shall be those set forth in the appendix (or other attachments).

(b) Rates are valid on direct port calls only. Shipments destined to, or originating at non direct ports that can be accommodated via transshipment or any other alternative route, are subject to arbitrary charges as per Carrier's tariff in effect at time of shipment, unless otherwise noted. Should the port rotation change at any point during the life of this contract, Shipper will be notified 30 days in advance of said change. If alternative service options are available, terms and conditions in this agreement will be changed as described above and rates covering discontinued routes will be expired.

(c) Notwithstanding anything to the contrary in this Contract if, during the term hereof, Carrier increases the tariff rate or rates applicable to one or more of the commodities covered by this Contract (whether such increase is uniform or varies with respect to commodity, routing or other factors) in one or more tariffs applicable to this Contract, then the rates set forth in this Contract shall be increased by the corresponding amount(s) of such increase in the tariff rate(s) as of the date the increase in tariff rate(s) takes effect.

5. Duration

This Contract shall become effective on the date specified in chapter 1 or the date upon which it is filed with the Federal Maritime Commission, whichever is later, and shall be effective through the expiration date specified herein, unless terminated earlier in accordance with the terms of this Contract or FMC regulations. For the purpose of determining whether or not a cargo movement occurs during the term of this Contract, the pertinent date shall be the date when the shipment is received by Carrier or its agent. A shipment shall not be considered as received until the full bill of lading quantity has been received.

6. Confidentiality:

Except as otherwise provided herein or required by law or legal process, neither party shall disclose the terms and conditions of this Contract; provided, however, that this paragraph shall not prohibit the disclosure of:

- (a) any Contract information, terms or conditions which otherwise is or are publicly available;
- (b) any Contract information, terms or conditions to Carrier's affiliates, employees, agents, tariff publishers or auditors, or to any party participating in the transportation under the Contract including, but not limited to, inland carriers, stevedores, terminal operators, consolidators, and other subcontractors, or to any party receiving copies of bills of lading for Contract shipments, including but not limited to, consignees, forwarders, customs house brokers, or banks; or
- (c) any Contract information, terms or conditions, without identifying the other contracting party, to the secretariat of an agreement covering all or part of the trade covered by the Contract to which Carrier is a party, for purposes of administering the agreement or for inclusion in a report, analysis or study of rates or conditions in the trade covered by the Contract.

This paragraph shall not be construed to hold either the Shipper or Carrier liable for disclosure of information by a third party. Nothing herein shall prevent either party from disclosing otherwise confidential information with the consent of the other party.

7. Force Majeure:

For purposes of force majeure relief under the Contract, force majeure circumstances shall include work stoppages, strikes, accidents, casualties, lockouts, fire, road, marine or rail disasters, acts of God, governmental restraints, war or hostilities, acts of terrorism, embargoes or other similar conditions except commercial contingencies (e.g., changing markets, poor management decisions, business declines, bankruptcy of a customer or of a supplier, etc.). In the event of force majeure circumstances affecting Shipper or Carrier, the affected party shall, within seven (7) working days (or as soon thereafter as is reasonably practicable but in no event later than 30 days after the expiration of the Contract) of the commencement of such circumstances, notify the other party in writing of the existence of same and of the anticipated or actual effect on its ability to perform its obligations under the Contract. The party must submit, within 60 days after its initial notice of force majeure circumstances, documentation that adequately evidences the occurrence of a force majeure event and that supports the impact of such force majeure event on the party's ability to fulfill its obligations under the Contract. Such documentation should include third-party documents (e.g. newspaper articles, insurance reports, government notices), labour reports/statistics, production reports/statistics, documentation to support the amount of force majeure relief requested, and sworn statements. Upon receipt of notice of Force Majeure conditions and adequate proof thereof, the parties shall be excused from their obligations under the Contract to the extent of and for the duration of the disability. Upon cessation of force majeure circumstances, the Contract obligations shall be reinstated, and the Minimum Volume Commitment may be adjusted accordingly.

8. Termination:

Either party may, without penalty, terminate this Contract upon 30 days written notice to the other party at any time after the Shipper has satisfied the Minimum Quantity Commitment set forth herein.

9. Applicable Law / Disputes:

- (a) This Contract shall be subject to the U.S. Shipping Act of 1984, as amended, and shall otherwise be construed and governed by the laws of the State of New York.

(b) The parties agree that any and all disputes arising out of or in connection with the Contract, including any failure by Shipper to pay or by either or both Carrier(s) to perform as required by the Contract, shall be resolved by arbitration. Arbitration shall take place in the State of New York or such other place as the parties to the dispute may mutually agree. The arbitration shall be before a single arbitrator to be appointed by the parties to the dispute or, failing such agreement and upon the application of any party to the dispute, by the President of the Society of Maritime Arbitrators ("SMA") in New York. There shall be no restrictions on the nationality of the arbitrator. Except by agreement of the parties to the dispute, there shall be no pre-hearing discovery. The costs and expenses of the arbitration (including reasonable attorneys' fees and costs) shall be borne by the non-prevailing party or as the arbitrator shall otherwise determine. The decision of the arbitrator shall be final, binding, and not subject to further review. In all other respects, the procedural rules of the SMA shall govern the conduct of the arbitration; provided, however, if the procedural rules of the SMA do not contain a provision applicable to a given procedural issue, then the law of the State of New York shall govern.

(c) The decision of the arbitrator may be enforced by any court, tribunal or other forum as may properly assert jurisdiction. In the event a party that has prevailed in arbitration finds it necessary to seek enforcement of the arbitrator's decision and award, the party seeking such enforcement shall be entitled to receive from the non-prevailing party the costs and expenses of such enforcement, including reasonable attorney's fees and costs. The parties further agree that any such award may be enforced pursuant to the United Nations Convention on the Recognition and Enforcement of Foreign Arbitral Awards of June 10, 1958.

10. Entire Contract:

This Contract (including applicable governing publications) constitutes the full understanding of the parties and complete and exclusive statement of the terms of the Contract. This Contract shall only be binding when fully executed and duly filed with the U.S. Federal Maritime Commission. No modification or termination of this Contract or waiver of any of its terms or conditions shall be of any force or effect unless made in writing and signed by the parties.

11. Verification of Contract Carryings:

Each original Bill of Lading governing individual shipments under this Contract and all copies thereof shall bear a notation showing the service contract number of this Contract. The designation by Shipper of cargo as Contract cargo by affixing the Contract number on the bill of lading shall be made at the time of the issuance of the bill of lading. Such designation, or the Shipper's failure to so designate, shall be final, and shall not be modified after the bill of lading has been issued, absent inadvertent error. In its exclusive discretion, Carrier may permit cargoes not so notated to count hereunder upon proof of inadvertent error by Shipper.

12. Bills of Lading:

The terms and conditions of Carrier's bills of lading covering individual shipments under this Contract shall apply to shipments hereunder. To the extent the provisions dealing with liability for damage to persons or property (including cargo), delays, misdelivery or any provisions mandated by applicable law in Carrier's bill of lading are in conflict with the Contract, the bill of lading shall prevail.

13. Assignment:

Shipper may not assign this Contract in any manner without the written consent of Carrier.

14. Qualification for Contract Terms:

The Shipper must be identified as the shipper/exporter or consignee on the applicable Bill of Lading.

15. Other Provisions of the Contract:

All rates and charges for transportation under this Contract will be for the account of the shipper or its agent.

16. Affiliates (If applicable, either option 1 or option 2):

(1)

In exchange for Carrier's agreement to make the terms of this Contract available to each of the Affiliates of Shipper named herein, Shipper agrees that it shall be jointly and severally liable with each such Affiliate for any and all payments due to the Carrier from the Affiliate hereunder, as well as the proper fulfillment of any and all obligations and duties of that Affiliate under this Contract.

(2)

(a) Subject to paragraphs (b) and (c) below, the SHIPPER hereby agrees that the terms of this Contract shall be extended to each of the affiliates named herein ("Affiliates") only so long as each Affiliate complies with and fulfills all conditions and obligations of this Contract in a timely manner.

(b) The terms of this Contract relating to credit (time for payment) and free time periods granted to SHIPPER shall not be extended to any Affiliate unless SHIPPER undertakes in writing to be jointly and severally liable for any and all debts, duties and/or obligations due to the CARRIER by said Affiliate.

(c) The SHIPPER hereby agrees that in the event any Affiliate breaches this Contract (including failure to make timely payment of freight and/or charges), Carrier shall be entitled to immediately discontinue making the terms of the Contract available to such Affiliate unless SHIPPER immediately pays any amounts due and owing to Carrier by such Affiliate and agrees in writing to be jointly and severally liable to Carrier for any and all future debts, duties and/or obligations of such Affiliate to Carrier.

17. Amendments:

Amendments to this Contract must be executed by both parties. Such execution may be by original, facsimile, or electronic signature.

After the parties have signed this Contract and it has been filed with the Federal Maritime Commission, the parties may enter into subsequent amendments in an electronic mail format (e-mail), transmitted via the Internet and executed by the parties with an electronic signature. In the event that an amendment to the Contract is executed with an electronic signature, all terms and conditions contained in such amendment and this Contract, shall have full legal effect, validity and enforceability. The term electronic signature means an exchange of e-mails between the parties to which the parties attach the amendments to the Agreement and in which such parties state that they agree to terms and conditions of such amendment.

The following individuals are the only representatives of the Shipper who may sign amendments electronically, and e-mails constituting electronic signatures to such amendments, may only be sent from the following e-mail addresses: jacob@ojcommerce.com

18. Hard Copy and Paper Release:

A Hard copy and Paper release fee of USD30.00 per Bill of Lading will apply to all cargo moving from the United States. This will apply for any Bills of Lading that are released in hard copy format and will not apply to electronic releases. Should shipper or Agent, acting on behalf of the Shipper, require a Bill of Lading revision whether hard copy, or electronic, each re-issue will be assessed this fee.

Minimum Volume Commitment

1. Shipper agrees to tender the minimum quantity of TEUs set forth in this agreement for shipment during the term of this Contract (Minimum Volume Commitment). Shipper agrees to give 10 days booking notice of all shipments moving hereunder to Carrier and further agrees that the tender of cargo under this Contract shall be reasonably spaced throughout the term hereof.

2. Shipper Obligations:

Shipper, Consignor or their Agent(s) is/are responsible for packing cargo and loading the container in a manner that will permit safe and lawful transportation under ordinary circumstances. For cargoes that will be moved by rail in North America, this obligation includes compliance with the American Association of Railroad's "Intermodal Loading Guides". Any and all costs incurred by Carrier as a result of the failure of Shipper, Consignor or their agents to comply with the Intermodal Loading Guides or otherwise pack the cargo and load the container in a manner that permits safe and lawful transportation of the cargo shall be for the account of the cargo.

Volume	Unit	Start Date	End Date
400	TEU	23-JUN-2020	31-MAY-2021

Appendix

Trade: EAST ASIA - NORTH AMERICA WEST COAST				
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery
PORT	FUZHOU, CN LINER IN	XIAMEN, CN	LOS ANGELES, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK
Estimated Transit Time:		21 Days		
Product ID: 00003				
Equipment: 40' GP, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE		
Charges Details				
Charge	Rate / Basis		Floating	Effective Date Expiry Date
OFREIGHT	1875.00 USD / CONTAINER		No	
BAF	235.00 USD / CONTAINER		Yes	30-JUN-2020
BAF	264.00 USD / CONTAINER		Yes	01-JUL-2020
THC EX	916.00 CNY / CONTAINER		Yes	
SEAL PRO	30.00 CNY / CONTAINER		Yes	
EIF	110.00 CNY / CONTAINER		Yes	
CDC	35.00 USD / B/L		Yes	
DOC F EX	450.00 CNY / B/L		Yes	
Ocean Freight includes:		ECA, ISPS CAR, ONCARR	Applicable for:	HAMBURG SÜD
Product ID: 00004				
Equipment: 40' HC, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE		
Charges Details				
Charge	Rate / Basis		Floating	Effective Date Expiry Date
OFREIGHT	1875.00 USD / CONTAINER		No	
BAF	235.00 USD / CONTAINER		Yes	30-JUN-2020
BAF	264.00 USD / CONTAINER		Yes	01-JUL-2020
THC EX	916.00 CNY / CONTAINER		Yes	
SEAL PRO	30.00 CNY / CONTAINER		Yes	
EIF	110.00 CNY / CONTAINER		Yes	
CDC	35.00 USD / B/L		Yes	
DOC F EX	450.00 CNY / B/L		Yes	
Ocean Freight includes:		ECA, ISPS CAR, ONCARR	Applicable for:	HAMBURG SÜD

Contract No.:		AECC0000291		Page 9 of 17	
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery	
PORT	HO CHI MINH CITY, VN LINER IN	VUNG TAU, VN	LOS ANGELES, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK	
Estimated Transit Time:		26 Days			
Product ID: 00017					
Equipment: 40' GP, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE			
Charges Details					
Charge	Rate / Basis		Floating	Effective Date	Expiry Date
OFREIGHT	1625.00 USD / CONTAINER		No		
BAF	235.00 USD / CONTAINER		Yes		30-JUN-2020
BAF	264.00 USD / CONTAINER		Yes	01-JUL-2020	
THC EX	169.00 USD / CONTAINER		Yes		
SEAL PRO	9.00 USD / CONTAINER		Yes		
CDC	35.00 USD / B/L		Yes		
DOC F EX	750000.00 VND / B/L		Yes		
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD
Product ID: 00018					
Equipment: 40' HC, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE			
Charges Details					
Charge	Rate / Basis		Floating	Effective Date	Expiry Date
OFREIGHT	1625.00 USD / CONTAINER		No		
BAF	235.00 USD / CONTAINER		Yes		30-JUN-2020
BAF	264.00 USD / CONTAINER		Yes	01-JUL-2020	
THC EX	169.00 USD / CONTAINER		Yes		
SEAL PRO	9.00 USD / CONTAINER		Yes		
CDC	35.00 USD / B/L		Yes		
DOC F EX	750000.00 VND / B/L		Yes		
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery	
PORT	NINGBO, CN LINER IN	DIRECT ONLY	LONG BEACH, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK	
Estimated Transit Time:		18 Days			
Product ID: 00005					
Equipment: 40' GP, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE			

Contract No.:		AECC0000291			Page 10 of 17	
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Product ID: 00006						
Equipment: 40' HC, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery		
PORT	QINGDAO, CN LINER IN	DIRECT ONLY	LONG BEACH, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK		
Estimated Transit Time:		23 Days				
Product ID: 00011						
Equipment: 40' GP, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		

Contract No.:		AECC0000291			Page 11 of 17	
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Product ID: 00012						
Equipment: 40' HC, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery		
PORT	SHANGHAI, CN LINER IN	DIRECT ONLY	LONG BEACH, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK		
Estimated Transit Time:		11 Days				
Product ID: 00009						
Equipment: 40' GP, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		

Contract No.:		AECC0000291			Page 12 of 17	
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Product ID: 00010						
Equipment: 40' HC, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery		
PORT	VUNG TAU, VN LINER IN	DIRECT ONLY	LOS ANGELES, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK		
Estimated Transit Time:		24 Days				
Product ID: 00023		Product Effective Date: 25-JUN-2020				
Equipment: 40' GP, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE				

Contract No.:		AECC0000291			Page 13 of 17	
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	Yes	25-JUN-2020		
BAF	235.00	USD / CONTAINER	Yes	25-JUN-2020	30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	169.00	USD / CONTAINER	Yes	25-JUN-2020		
SEAL PRO	9.00	USD / CONTAINER	Yes	25-JUN-2020		
CDC	35.00	USD / B/L	Yes	25-JUN-2020		
DOC F EX	750000.00	VND / B/L	Yes	25-JUN-2020		
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Product ID: 00024		Product Effective Date: 25-JUN-2020				
Equipment: 40' HC, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE				
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	Yes	25-JUN-2020		
BAF	235.00	USD / CONTAINER	Yes	25-JUN-2020	30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	169.00	USD / CONTAINER	Yes	25-JUN-2020		
SEAL PRO	9.00	USD / CONTAINER	Yes	25-JUN-2020		
CDC	35.00	USD / B/L	Yes	25-JUN-2020		
DOC F EX	750000.00	VND / B/L	Yes	25-JUN-2020		
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery		
PORT	XIAMEN, CN LINER IN	DIRECT ONLY	LOS ANGELES, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK		
Estimated Transit Time:		18 Days				
Product ID: 00007						
Equipment: 40' GP, FCL		Commodity: CONSUMER PRODUCTS:FURNITURE				

Contract No.:		AECC0000291			Page 14 of 17	
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Product ID: 00008						
Equipment: 40' HC, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		
Charges Details						
Charge	Rate / Basis		Floating	Effective Date	Expiry Date	
OFREIGHT	1625.00	USD / CONTAINER	No			
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020	
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020		
THC EX	916.00	CNY / CONTAINER	Yes			
SEAL PRO	30.00	CNY / CONTAINER	Yes			
EIF	110.00	CNY / CONTAINER	Yes			
CDC	35.00	USD / B/L	Yes			
DOC F EX	450.00	CNY / B/L	Yes			
Ocean Freight includes:		ECA, ISPS CAR, ONCARR		Applicable for:	HAMBURG SÜD	
Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery		
PORT	YANTIAN, CN LINER IN	DIRECT ONLY	LONG BEACH, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK		
Estimated Transit Time:		14 Days				
Product ID: 00013						
Equipment: 40' GP, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE		

Charges Details

Charge	Rate / Basis	Floating	Effective Date	Expiry Date
OFREIGHT	1625.00 USD / CONTAINER	No		
BAF	235.00 USD / CONTAINER	Yes		30-JUN-2020
BAF	264.00 USD / CONTAINER	Yes	01-JUL-2020	
CNT REL	45.00 CNY / CONTAINER	Yes		
THC EX	1706.00 CNY / CONTAINER	Yes		
SEAL PRO	30.00 CNY / CONTAINER	Yes		
EIF	0.00 CNY / CONTAINER	Yes		
CDC	35.00 USD / B/L	Yes		
DOC F EX	450.00 CNY / B/L	Yes		

Ocean Freight includes: ECA, ISPS CAR, ONCARR

Applicable for: HAMBURG SÜD

Product ID: 00014

Equipment: 40' HC, FCL

Commodity:

CONSUMER PRODUCTS:FURNITURE

Charges Details

Charge	Rate / Basis	Floating	Effective Date	Expiry Date
OFREIGHT	1625.00 USD / CONTAINER	No		
BAF	235.00 USD / CONTAINER	Yes		30-JUN-2020
BAF	264.00 USD / CONTAINER	Yes	01-JUL-2020	
CNT REL	45.00 CNY / CONTAINER	Yes		
THC EX	1706.00 CNY / CONTAINER	Yes		
SEAL PRO	30.00 CNY / CONTAINER	Yes		
EIF	0.00 CNY / CONTAINER	Yes		
CDC	35.00 USD / B/L	Yes		
DOC F EX	450.00 CNY / B/L	Yes		

Ocean Freight includes: ECA, ISPS CAR, ONCARR

Applicable for: HAMBURG SÜD

Place Of Receipt	Port Of Loading	Transshipment Ports	Port Of Discharge	Place Of Delivery
PORT	YANTIAN, CN LINER IN	DIRECT ONLY	LOS ANGELES, US LINER OUT	CITY OF INDUSTRY, CA, US DOOR, TRUCK

Estimated Transit Time: 20 Days

Product ID: 00021

Equipment: 40' GP, FCL

Commodity:

CONSUMER PRODUCTS:FURNITURE

Contract No.:		AECC0000291			Page 16 of 17
Charges Details					
Charge	Rate / Basis		Floating	Effective Date	Expiry Date
OFREIGHT	1625.00	USD / CONTAINER	No		
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020	
CNT REL	45.00	CNY / CONTAINER	Yes		
THC EX	1706.00	CNY / CONTAINER	Yes		
SEAL PRO	30.00	CNY / CONTAINER	Yes		
EIF	0.00	CNY / CONTAINER	Yes		
CDC	35.00	USD / B/L	Yes		
DOC F EX	450.00	CNY / B/L	Yes		
Ocean Freight includes:			ECA, ISPS CAR, ONCARR	Applicable for:	HAMBURG SÜD
Product ID: 00022					
Equipment: 40' HC, FCL		Commodity:		CONSUMER PRODUCTS:FURNITURE	
Charges Details					
Charge	Rate / Basis		Floating	Effective Date	Expiry Date
OFREIGHT	1625.00	USD / CONTAINER	No		
BAF	235.00	USD / CONTAINER	Yes		30-JUN-2020
BAF	264.00	USD / CONTAINER	Yes	01-JUL-2020	
CNT REL	45.00	CNY / CONTAINER	Yes		
THC EX	1706.00	CNY / CONTAINER	Yes		
SEAL PRO	30.00	CNY / CONTAINER	Yes		
EIF	0.00	CNY / CONTAINER	Yes		
CDC	35.00	USD / B/L	Yes		
DOC F EX	450.00	CNY / B/L	Yes		
Ocean Freight includes:			ECA, ISPS CAR, ONCARR	Applicable for:	HAMBURG SÜD
Free Time					
Free Times for Trades and/or Products are as indicated below, or if not otherwise mentioned, as per Hamburg Süd Tariff.					
Trade (Country)	Tariff Type (Equip. Group)	Direction	Size	Free Days	Public Holiday
Product ID					
EAST ASIA - NORTH AMERICA WEST COAST (CHINA)					
	DEMURRAGE + DETENTION	EXPORT	20'	7 calendar days	Included
	DEMURRAGE + DETENTION	EXPORT	40'	7 calendar days	Included

Contract No.: AECC0000291		Page 17 of 17			
EAST ASIA - NORTH AMERICA WEST COAST (UNITED STATES)					
	DETENTION	IMPORT	20'	5 working days	Included
	DETENTION	IMPORT	40'	5 working days	Included
Affiliates:					
NAOMI HOME, INC		WILMINGTON, UNITED STATES			

Partner Name OJCOMMERCE
Partner Code 100946496
Agreement Type QUOTATION
Agreement No. NOAQ1006436
Sales Rep. ACASANOV
Agr. Eff. Date 03-MAR-2021
Agr. Exp. Date 30-APR-2021
Reference Date 11-MAR-2021
Print Date 11-MAR-2021 11:07

Product ID	Trade	Direct Routing
00001	SOUTH AMERICA EC - NORTH AMERICA WC	N
00002	SOUTH AMERICA EC - NORTH AMERICA WC	N
00003	SOUTH AMERICA EC - NORTH AMERICA WC	N
00004	SOUTH AMERICA EC - NORTH AMERICA WC	N
00005	SOUTH AMERICA EC - NORTH AMERICA EC	N
00006	SOUTH AMERICA EC - NORTH AMERICA EC	Y
00009	SOUTH AMERICA EC - NORTH AMERICA EC	Y

POL	T/S1
ITAPOA (SANTA CATARINA), BRAZIL	COCTG
ITAPOA (SANTA CATARINA), BRAZIL	COCTG
NAVEGANTES (SANTA CATARINA), BRAZIL	COCTG
NAVEGANTES (SANTA CATARINA), BRAZIL	COCTG
NAVEGANTES (SANTA CATARINA), BRAZIL	COCTG
ITAPOA (SANTA CATARINA), BRAZIL	
ITAPOA (SANTA CATARINA), BRAZIL	

POD
LONG BEACH (CALIFORNIA), UNITED STATES
LONG BEACH (CALIFORNIA), UNITED STATES
LONG BEACH (CALIFORNIA), UNITED STATES
LONG BEACH (CALIFORNIA), UNITED STATES
CHARLESTON (SOUTH CAROLINA), UNITED STATES
NORFOLK (VIRGINIA), UNITED STATES
NORFOLK (VIRGINIA), UNITED STATES

On-Carriage Via Facility	PLD	On-Carriage Tpt. Mode
	CITY OF INDUSTRY (CA), US	TRUCK
	CITY OF INDUSTRY (CA), US	TRUCK
	LOUISVILLE (KY), US	TRUCK
USLUICXLO, CSX LOUISVILLE RAMP	LOUISVILLE (KY), US	RAIL/ROAD

EQU Size	EQU Type	Cargo Type	Commodity	SOC/COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC
40	HC	GENERAL	CONSUMER PRODUCTS:FURNITURE	COC

Estimated Transit Time	From Date	To Date	Origin Charges			
			CAPAT EX / CTR	CUR	DOC F EX / BL	CUR
37	01-APR-2021	30-APR-2021	547	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	547	BRL	380	BRL
37	01-APR-2021	30-APR-2021	547	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	547	BRL	380	BRL
38	01-APR-2021	30-APR-2021	680	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	680	BRL	380	BRL
38	01-APR-2021	30-APR-2021	680	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	680	BRL	380	BRL
35	01-APR-2021	30-APR-2021	680	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	680	BRL	380	BRL
31	01-APR-2021	30-APR-2021	547	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	547	BRL	380	BRL
22	01-APR-2021	30-APR-2021	547	BRL	380	BRL
	11-MAR-2021	31-MAR-2021	547	BRL	380	BRL

		Ocean Charges						
SEAL PRO / CTR	CUR	OFREIGHT / CTR	CUR	BAF / CTR	CUR	ECA / CTR	CUR	EFF / CTR
15	BRL	3,135	USD	0	USD	0	USD	169
15	BRL	3,035	USD	0	USD	0	USD	99
15	BRL	2,600	USD	0	USD	0	USD	169
15	BRL	2,400	USD	0	USD	0	USD	99
15	BRL	2,600	USD	0	USD	0	USD	169
15	BRL	2,400	USD	0	USD	0	USD	99
15	BRL	3,135	USD	0	USD	0	USD	169
15	BRL	3,035	USD	0	USD	0	USD	99
15	BRL	4,312	USD	0	USD	0	USD	169
15	BRL	4,212	USD	0	USD	0	USD	99
15	BRL	3,488	USD	0	USD	0	USD	169
15	BRL	3,338	USD	0	USD	0	USD	99
15	BRL	2,050	USD	0	USD	0	USD	169
15	BRL	1,850	USD	0	USD	0	USD	99

			Destination		Import Free Times	
CUR	ISPS CAR / CTR	CUR	ONCARR / CTR	CUR	DEMURRAGE	DETENTION
USD	16	USD	incl.		4 WORKING DAYS	4 WORKING DAYS
USD	16	USD	incl.		4 WORKING DAYS	4 WORKING DAYS
USD	16	USD			As per tariff	As per tariff
USD	16	USD			As per tariff	As per tariff
USD	16	USD			As per tariff	As per tariff
USD	16	USD			As per tariff	As per tariff
USD	16	USD	incl.		As per tariff	As per tariff
USD	16	USD	incl.		As per tariff	As per tariff
USD	16	USD	incl.		As per tariff	As per tariff
USD	16	USD	incl.		As per tariff	As per tariff
USD	16	USD	incl.		As per tariff	As per tariff
USD	16	USD	incl.		As per tariff	As per tariff
USD	16	USD			As per tariff	As per tariff
USD	16	USD			As per tariff	As per tariff

You will find a descript
<https://www.hamburgs>

Charge Code
BAF
CAPAT EX
DOC F EX
ECA
EFF
ISPS CAR
OFREIGHT
ONCARR
SEAL PRO

ion of all charges of this agreement under the following link:
ud-line.com/liner/de/liner_services/ecommerce/tariffs_and_surcharges/chargecodedefinition/index.htm

Name
BUNKER ADJUSTMENT FACTOR
CAPATAZIA EXPORT
DOCUMENTATION FEE EXPORT
EMISSION CONTROL AREA
ENVIRONMENTAL FUEL FEE
CARRIER SECURITY CHARGE
OCEAN FREIGHT
ONCARRIAGE
SEAL PROVISION FEE

[nl](#)

Baker, Joyce

From: Rodrigo Pestana <rodrigo.pestana@sealandmaersk.com>
Sent: Monday, July 13, 2020 4:28 PM
To: Andrea Casanova; Serena Cheung
Cc: Gonzalo Maldonado; Adilson Da Silva; Andrea Cobo Aguirre
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid AECC0000291
Attachments: image001.png

Hi Andrea,
as I mentioned in my email regarding Louisville, all strings are running full to USWC. Based on signed MQC (400 TEU) they would have 8 TEU/wk to USWC. Anything above this number we can only accept if customers pays a premium and the amount we have agreed with other BCOs was \$800/40.

if customer agrees, a quotation will be necessary so RAP can use against the additional volume.
check with customer. if they accept and quotation is done today, overnight bookings will be released.

brgds,

Rodrigo Pestana
Product Management - Transpacific Manager
Hamburg Süd

Hamburg Süd North America, Inc.
350 Sansome Street, Suite 520
San Francisco, CA - 94104
Tel: 1-415-267-3803
Cell: 1-415-308-0370
E-mail: rodrigo.pestana@hamburgsud.com

From: Casanova, Andrea
Sent: Monday, July 13, 2020 1:20 PM
To: Cheung, Serena; Pestana, Rodrigo
Cc: Maldonado, Gonzalo; Silva, Adilson; Cobo, Andrea
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid AECC0000291

Hello Serena, Rodrigo,

OJ Commerce is trying to make a booking of 15x40'hc from Ningbo and 15x40'hc from Yantian and is having space issues. Is there extra space we can accommodate for this account?

I understand that this volume was not provided in the July forecast and customer promises to give us a more accurate forecast for the month of August by tomorrow.

Their agent at origin is Syntrans.

I would appreciate your feedback. Thanks.

Best Regards,
Andrea Casanova
Account Executive

Hamburg Süd North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Cellular: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Casanova, Andrea [ANDREA.CASANOVA@HAMBURGSUD.COM]
Sent: 9/24/2020 2:48:02 AM
To: Michael Han [MICHAEL.HAN@HAMBURGSUD.COM]; Cheung, Marcus [MARCUS.CHEUNG@HAMBURGSUD.COM]; Cobo, Andrea [ANDREA.COBO@HAMBURGSUD.COM]; Nancy Qin [NANCY.QIN@HAMBURGSUD.COM]; ANC-ALLOCATION [ANC-ALLOCATION@hamburgsud.com]
CC: Maldonado, Gonzalo [GONZALO.MALDONADO@HAMBURGSUD.COM]; Pestana, Rodrigo [Rodrigo.Pestana@hamburgsud.com]; Cheung, Serena [SERENA.CHEUNG@HAMBURGSUD.COM]; Li, Kevin [Kevin.Li@hamburgsud.com]; Wong, Kelvin [Kelvin.Wong@hamburgsud.com]
Subject: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Dear Michael,

Duly noted, however customer complains that no space is being released for week 41 and for week 40 and 42 there is confirmed less of the MQC (10 TEUS /WK).

Could you please check on this again? Thank you.

HAMBURG SÜD			Flexible Dashboard							
Origin / Destination	BL Trade	Vessel System	Past					Future Week		
			20/33	20/34	20/35	20/36	20/37	20/38	20/39	20/40
NINGBO CN - CITY OF INDUSTRY US	PC	UPAS1	6		6			6		6
FUZHOU CN - CITY OF L.	PC	NERA1		8				2	4	
HO CHI MINH CITY VN	PC	NERA1			2		2		2	
XIAMEN CN - CITY OF L.	PC	NERA1						4		4
YANTIAN CN - CITY OF	PC	NERA1	4	2						
QINGDAO CN - CITY OF	PC	UPAS1			2					
SHANGHAI CN - CITY O.	PC	NERA1				2				
Grand Total			10	10	10	9	2	8	12	9

Best Regards,

Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Mobile: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

From: Han, Michael
Sent: Wednesday, September 23, 2020 10:36 PM
To: Cheung, Marcus; Casanova, Andrea; Cobo, Andrea; Qin, Nancy; ANC-ALLOCATION
Cc: Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin
Subject: 答复: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Dear Andrea

CX148

Hecht Decl.
Ex. 19

HS-007794

ANC will follow the SP to release booking to customer, additional space with paying premium.

Customer	Sling Dir	Area	From Week	To Week	SP TEU
OJCOMMERCE	UPAS1 N	ANC	20 31	20 52	4

Thank you & Best Regards

Michael Han

ANC Allocation Team
Sales & Marketing Dept
Hamburg Sud

HAMBURG SÜD

6/F, Urban City Center, No.45 Nanchang Road, Huangpu District, Shanghai PRC

Tel: 021-23299096

Email: Michael.Han@hamburgsud.com



发件人: Cheung, Marcus

发送时间: Thursday, September 24, 2020 10:19 AM

收件人: Casanova, Andrea; Cobo, Andrea; Qin, Nancy; ANC-ALLOCATION

抄送: Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin

主题: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Adding ANC allocation for Dalian / Ningbo.

Best Regards,

Marcus Cheung

Allocation Specialist - Area South China

Hamburg Süd Hong Kong Ltd.

Direct Line: (852) 2161-3303

Personal e-mail: Marcus.Cheung@hamburgsud.com

Group e-mail: ASC-ALLOCATION@hamburgsud.com

From: Casanova, Andrea

Sent: Thursday, September 24, 2020 4:16 AM

To: Cobo, Andrea; Cheung, Marcus; Qin, Nancy

Cc: Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin

Subject: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Dear all,

Please see the following message from customer informing that we are not confirming any spaces for them.

CX149

HS-007795

Could you please assist on this?

If you need any additional information, let us know, thanks!

This message is part of a tracked conversation. Click here to find all related messages or to open the original flagged message.

From: Jacob Weiss <jacob@ojcommerce.com> Sent: Wed 9/23/2020 9:38
To: Casanova, Andrea; shrey@ojcommerce.com; Richard Dun
Cc: Cobo, Andrea; Maldonado, Gonzalo
Subject: RE: OJ Commerce / Confirmed Bookings

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Andrea,

Our team is claiming that no spaces are being released still at any of the below listed ports. Please see below what we have been accumulating (numbers are 40's) as a result of not getting the spaces. Please urgently assist us in securing space ASAP for the below listed containers.

DALIAN	1
FUZHOU	1
NINGBO	15
XIAMEN	4
YANTIAN	1

Best Regards,

Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Mobile: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

From: Cobo, Andrea
Sent: Wednesday, September 23, 2020 11:27 AM
To: Casanova, Andrea; Cheung, Marcus; Qin, Nancy
Cc: Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin
Subject: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Dear Marcus and Nancy

Kindly confirm below:

Could you please advise who I have to contract regarding the ports of East and Northeast China or I'd appreciate if you forward this email to the appropriate team in these areas?

Thank you,
Andrea Cobo
Sales Coordinator

Hamburg Süd North America, Inc.
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 205
Direct: (786) 441-8005
Fax: (305) 640-0272

Email: andrea.cobo@hamburgsud.com



From: Casanova, Andrea
Sent: Tuesday, September 22, 2020 8:18 AM
To: Cheung, Marcus; Qin, Nancy
Cc: Cobo, Andrea; Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin
Subject: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Dear Marcus/ Nancy,

Thanks for checking and quick response.

I will inform to OJ Commerce so that their agent, Syntrans, can get back to us.

Could you please advise who I have to contract regarding the ports of East and Northeast China or I'd appreciate if you forward this email to the appropriate team in these areas?

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Mobile: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

From: Cheung, Marcus
Sent: Tuesday, September 22, 2020 4:45 AM
To: Qin, Nancy; Casanova, Andrea

Cc: Cobo, Andrea; Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin
Subject: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Dear Andrea,

Pls ask customer to book on UPAS2 service for ASC, will release 4teus based on SP on each vessel.

Customer	GLOBE Sling Dir	Area	From Week	To Week	SP TEU	SP Tons	SP Plugs	SP Sales	Agreement No	BP No	Specific NAC	Trade
OJCOMMERCE	NERA3 N	ASC	20 31	20 52	4	44	0	Andrea Casanova				AFE - US WC

Best Regards,
Marcus Cheung
Allocation Specialist - Area South China
Hamburg Süd Hong Kong Ltd.

Direct Line: (852) 2161-3303
Personal e-mail: Marcus.Cheung@hamburgsud.com
Group e-mail: ASC-ALLOCATION@hamburgsud.com

From: Qin, Nancy
Sent: Tuesday, September 22, 2020 4:15 PM
To: Casanova, Andrea; Cheung, Marcus
Cc: Cobo, Andrea; Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin
Subject: RE: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce

Leave to Marcus for checking

A tip to share:

Our office will be relocated to Room 07-11, 32/F, Golden Business Center, Shennan Rd (East), Luohu District, Shenzhen, effective as of Oct 9, 2020. All our telephone numbers remain.

Best Regards,

Nancy Qin
Customer Service
Working Hour: 08:30 to 17:30(Mon-Fri)

Hamburg Süd (China) Ltd Shenzhen Branch
Unit A&B, 24th Floor, Tower A, World Finance Center
4003 Shennan Road(East), Shenzhen, China
Phone: +86 755 3288 6029
Email: Nancy.Qin@hamburgsud.com
Group Email: szx-cus@hamburgsud.com
Track & Trace -[Track & Trace](#) | [Hamburg Süd](#)



From: Casanova, Andrea
Sent: Tuesday, September 22, 2020 9:19 AM
To: Qin, Nancy
Cc: Cobo, Andrea; Maldonado, Gonzalo; Pestana, Rodrigo; Cheung, Serena; Li, Kevin; Wong, Kelvin; Cheung, Marcus
Subject: TPEB / Booking requests for week 40/41/42/43 / Syntrans / OJ Commerce
Importance: High

Dear Nancy,

Customer OJ Commerce reported that we are not confirming bookings to their agent Syntrans. Please note that there is a MQC of 10 TEUS per week under the agreement # AECC0000291.

Below is the breakdown of the space that customer needs by port and per week.

Also below is the TEU report confirmed under this agreement.

I appreciate that you confirm them at least to meet the MQC and forward this message to the team/person per port.

DALIAN	2x40'hc
FUZHOU	2x40'hc
NINGBO	4x40'hc
XIAMEN	6x40'hc
YANTIAN	2x40'hc

HAMBURG SUD			Flexible Dashboard							
Origin - Destination			Past					Future / Week		
Origin - Destination	ML Trade	Vessel System	20/32	20/33	20/34	20/35	20/36	20/37	20/38	20/39
NINGBO CN - CITY OF INDUSTRY US	P2	UPAS1	4	5		5				4
FUZHOU CN - CITY OF I.	P2	UPAS2			2				2	4
HO CHI MINH CITY VN	P2	UPAS3			2	2	2		2	
XIAMEN CN - CITY OF I.	P2	UPAS1	2						4	
YANTIAN CN - CITY OF I.	P2	UPAS2		4	2					
QINGDAO CN - CITY OF I.	P2	UPAS3				2				
SHANGHAI CN - CITY OF I.	P2	UPAS1					2			
Grand Total			6	11	10	10	4	2	10	12

Thanks in advance!

Best Regards,

Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500

Miami, Fl 33166

Phone: (305) 593-9114 Ext: 343

Direct: (786) 441-8043

Mobile: (305) 904-1961

Fax: (305) 640-0272

E-Mail Address: andrea.casanova@hamburgsud.com

From: Casanova, Andrea [ANDREA.CASANOVA@HAMBURGSUD.COM]
Sent: 10/19/2020 10:44:34 PM
To: Gast, Michael [MICHAEL.GAST@HAMBURGSUD.COM]
CC: Pestana, Rodrigo [Rodrigo.Pestana@hamburgsud.com]; Maldonado, Gonzalo [GONZALO.MALDONADO@HAMBURGSUD.COM]; RNA-Claims [RNA-Claims@hamburgsud.com]; Adilson Silva [ADILSON.SILVA@HAMBURGSUD.COM]; Cobo, Andrea [ANDREA.COBO@HAMBURGSUD.COM]
Subject: FW: OJ Commerce v Hamburg Sud
Attachments: RE: NEW SVC AECC0000291 - OJCOMMERCE - Effective Date June 23 2020 / Expiry Date May 31st 2021 ; FW: SPACE PROBLEM WITH H-SUD; RE: NEW SVC AECC0000291 - OJCOMMERCE - Effective Date June 23 2020 / Expiry Date May 31st 2021 ; Flexible Dashboard (1).pdf; RE: OJ Commerce / space rejected by carrier; space rejected by carrier.xlsx; RE: Container Status

Hello Michael,

Please find below my responses to your questions.

Please feel free to reach out to me if you have any additional concerns.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Mobile: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

From: Gast, Michael
Sent: Monday, October 19, 2020 9:18 AM
To: Pestana, Rodrigo; Maldonado, Gonzalo; RNA-Claims
Cc: Silva, Adilson; Casanova, Andrea; Cobo, Andrea
Subject: RE: OJ Commerce v Hamburg Sud

Hecht Decl.
Ex. 20

Dears,

Have looked into this a bit and we are happy to provide a formal response to the lawyer but we would appreciate if some further details could be furnished to us first.

The information which will be quite helpful to us at this stage is the following:

1. Is there a version of this contract which has been formally executed by both parties? The version I have contains no signatures. The first attached email contains the page of the contract signed by the customer. Carrier signed page was not provided to the customer.
2. Is the shipper giving 10 days booking notice for their shipments? If not are we able to be provided with any proof of how much notice they are actually giving us? As far I know yes. The Second attachment "Space Problem with H-SUD" shows that on 09/29/2020 customer was requesting bookings for October and for instance: Booking 0NGB063075

creation date 9/9/2020 ETD 10/13/2020; 0KXM017784 creation date 9/23/2020 ETD 10/19/2020; 0TAO028257 creation date 9/30/2020 ETD 11/3/2020.

3. Based on the below comments is the issue at hand due to the shipper requesting to have their cargo carried on a service not included in the appendix of this contract? No, customer is asking for space from the origins filed in contract.

4. Was there any formal documentation confirming our obligation to carry the additional 2 TEUs a week or does this fall under the terms of the contract which stipulate we can accept more cargo at our discretion [3.(a)(2)]. There was not a formal documentation. Customer was informed by email that SP was increased to 10 TEU per week on 08/03/2020 (Third attachment)

5. Could we please be provided a copy of this customer's lifting report between June 23, 2020 and present? The Fourth attachment – Flexible dashboard displays the FFE moves from contract creation date 6/23/2020 to November (December was included in the search criteria)

6. This does not need to be an exact figure and a ball park number will work but on an average weekly basis how many TEUs from this customer are we presently turning away if any? If we are turning away shipments it would be great if the reasoning could be provided. We suspect it may tie into #3 above but just want to confirm for good order's sake. Customer was seeking for an additional space of 28 FFE to make up the shortfalls due to the our cancellations and declined bookings, below breakdown. 6 and 7 email attachment with topic "Space rejected by carrier"

Port	Containers
NINGBO	12
XIAMEN	7
SHENZHEN	6
FUZHOU	3
Grand Total	28

7. As follow up to 3 & 5 are we on track to meet our minimum requirements?

8. Is there anything else going on with this customer and this contract which you feel we should be aware of? Recently, we have had problems with the deliveries at City of Industry CA which I understand is a consequence of the lack of man power and chassis. Please see attachment number 8

Sorry if the above is a bit detailed but I think I remember past dealings with this lawyer and if my memory serves me he was not of the friendly and reasonable variety.

For good orders sake Rodrigo is correct that the contract terms do not in any way stipulate 10 TEUs a week. The terms of the contract stipulate 400 TEUs over a 49 week period (June 23, 2020 – May 31, 2021) with no weekly minimums. Even if we wish to use 47 weeks as the base figure given the partial weeks at the beginning and end of this contract date range if we ship 8 a week we would end up above our minimum commitment to them of 360 TEUs over this time period.

Kind regards,

Michael Gast
Risk Management
Hamburg-Süd

Hamburg Süd North America, Inc.
465 South Street
Morristown, New Jersey 07960
Tel +1 973 775 5486
E-Mail Address: michael.gast@hamburgsud.com
Group E-Mail: RNA-Claims@hamburgsud.com

From: Pestana, Rodrigo
Sent: Friday, October 16, 2020 6:37 PM
To: Maldonado, Gonzalo; RNA-Claims
Cc: Silva, Adilson; Casanova, Andrea; Cobo, Andrea
Subject: RE: OJ Commerce v Hamburg Sud

Hi Gonzalo,

I'll leave up to claims to comment on this but since when did we commit with 10 TEU/wk. attached back in July it was said we would honor the 8 TEU/wk in order to reach the MQC and anything above they would need to pay a premium. later we did agree to add 2 TEU from South East Asia with a total of 10 but as far as I know there is no legal obligation from Hamburg Sud to accept 10/wk.

Also as explained over the phone, customer need to request booking under the string they have space.

brgds,
Rodrigo

From: Maldonado, Gonzalo
Sent: Friday, October 16, 2020 3:15 PM
To: RNA-Claims; Pestana, Rodrigo
Cc: Silva, Adilson; Casanova, Andrea; Cobo, Andrea
Subject: FW: OJ Commerce v Hamburg Sud

Hello Rodrigo,

Please find attach demand letter from OJ Commerce regarding our unavailability to confirm our 10 teus commitment from Asia.

I appreciate please your instructions

Regards

Gonzalo Maldonado
Manager Area East Coast Sales - ASF

Hamburg Sud North America
8333 N.W. 53er Street, Suite 500
Doral, FL 33166
Phone. + 1 (305) 499 9545 ext 102
Direct. + 1 (305) 470 2767
Cell. + 1 (908) 413 4471
Email Address: Gonzalo.Maldonado@Hamburgsud.com

From: "Cobo, Andrea" <Andrea.Cobo@hamburgsud.com>
Sent: Oct 16, 2020 4:20 PM
To: "Maldonado, Gonzalo" <Gonzalo.Maldonado@hamburgsud.com>; "Casanova, Andrea" <andrea.casanova@hamburgsud.com>
Subject: FW: OJ Commerce v Hamburg Sud

Dear Gonzalo and Andre,

Enclosed please find Demand Letter from OJ Commerce, customer sent this to the Group email MIA-INFO and HAM-Claims

Thank you,
Andrea Cobo
Sales Coordinator

Hamburg Süd North America, Inc.
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 205
Direct: (786) 441-8005
Fax: (305) 640-0272

Email: andrea.cobo@hamburgsud.com

From: Sam Hecht [mailto:sam@hechtlawpa.com]
Sent: Friday, October 16, 2020 4:13 PM
To: HAM-CLAIMS; MIA-INFO.MIA
Subject: Re: OJ Commerce v Hamburg Sud

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Dear Hamburg Süd North America, Inc.,

Please see attached correspondence.

Sincerely,

Shlomo ("Sam") Hecht, Esq.

The Law Offices of Shlomo Y. Hecht, P.A.
3076 N Commerce Parkway
Miramar, FL 33025
Phone: 954-861-0025

Email: sam@hechtlawpa.com

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October 16, 2020

HAMBURG SUEDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & CO KG
WILLY-BRANDT-STR. 59-65
20457 HAMBURG
GERMANY

HAMBURG SUD NORTH AMERICA,
INC.
465 SOUTH STREET F 3 STE 300
MORRISTOWN NJ 07960
UNITED STATES

Re: NOTICE OF BREACH OF SERVICE AGREEMENT

Dear HAMBURG SUEDAMERIKANISCHE:

Please be advised that the undersigned represents OJ COMMERCE, LLC (“OJC”) against HAMBURG SÜDAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG (“HAMBURG SÜD”), in connection with a breach of Service Contract that was executed between HAMBURG SÜD and OJC. A copy of the agreement is hereby attached.

Pursuant to the “Minimum Volume Commitment” clause of the agreement, [Page 7], HAMBURG SÜD committed to a minimum of 400 TEU between June 23, 2020 and May 31, 2021. Since June 23, 2020, HAMBURG SÜD refused to accept the agreed upon 10 TEUs per week.

OJC hereby provides HAMBURG SÜD notice of breach of the Service Agreement, which has caused significant economic harm to OJC. I hereby demand that HAMBURG SÜD immediately honor the Service Agreement rates and minimum TEU quantities. Failure to cure the breach by October 22, 2020, may result in legal action against you and your affiliates.

Furthermore, OJC will soon be seeking discovery to identify all paper documents, physical items, electronic documents, data, or other evidence and materials within the definition of Rule 34 of the Federal Rules of Civil Procedure that may be relevant to the abovementioned Ligation *as well as to similar claims related to similarly situated plaintiffs* (“Documents”). As part of this process, you must preserve and safeguard, and must not alter, delete, destroy, or discard, any



paper documents, physical items, or electronic documents and data you have relating to the Litigation and claims above.

This litigation hold notice (the “**Notice**”) applies to all paper documents, physical items, and electronic documents and data that may be relevant to the Litigation. Relevant paper documents include correspondence, handwritten notes, telephone logs, calendars, and other business records. **If you are unsure about whether certain documents and data are relevant, you should preserve them.**

You also must take affirmative steps to preserve, and suspend any deletion, overwriting, modification, or other destruction of all relevant electronic documents and data under your control. Electronic data includes correspondence, telephone logs, and other business records, such as emails including Outlook PST/Lotus Notes NSF/ files, voicemails, text messages, instant messages (IMs), calendars, word processing files, spreadsheets, PDFs, JPEGs, PowerPoint presentations, Access, Oracle and other databases, including cloud-based storage, temporary internet files, cookies, .ZIP files, and all other forms of electronic information, wherever it resides, including the Internet. You must preserve this information in its current form, without moving any electronic information or changing any related metadata (for example, a document’s creation or last access date).

Your preservation obligation also extends to the preservation of relevant data on external media, including hard drives, DVDs, CDs, USBs, personal home computers, laptops, and mobile devices, including PDAs, cell phones, and tablets. In sum, all paper and electronically stored information must be preserved intact and without modification. **Please note this list is not intended to be exhaustive and you must preserve any and all information relevant to this dispute.**

Please preserve all such evidence and materials until such time as the Litigation is complete and any potential claims are finally disposed of, whether through litigation or other means.

Your failure to preserve relevant data may constitute spoliation of evidence and may subject you to sanctions. *See e.g., DeLong v. A-Top Air Conditioning Co.*, 710 So. 2d 706 (Fla. 3d DCA 1998) (affirming dismissal with prejudice of claim where party failed to preserve evidence material to case). We trust you will preserve any and all Documents for the duration of this dispute. In the event a dispute arises out of your failure to preserve Documents, we will rely on this letter as evidence of our request and notice of your preservation obligations.

GOVERN YOURSELF ACCORDINGLY,

Shlomo Y Hecht, Esq.

From: Gast, Michael [MICHAEL.GAST@HAMBURGSUD.COM]
Sent: 10/21/2020 6:47:49 PM
To: Pestana, Rodrigo [Rodrigo.Pestana@hamburgsud.com]
CC: Maldonado, Gonzalo [GONZALO.MALDONADO@HAMBURGSUD.COM]; RNA-Claims [RNA-Claims@hamburgsud.com]; Adilson Silva [ADILSON.SILVA@HAMBURGSUD.COM]; Cobo, Andrea [ANDREA.COBO@HAMBURGSUD.COM]; Casanova, Andrea [ANDREA.CASANOVA@HAMBURGSUD.COM]
Subject: RE: OJ Commerce v Hamburg Sud

Dear Rodrigo,

I just spoke with Andrea about this situation. What can we do to provide at least space for 8-10TEU per week for this account? I understand space is limited and other customers are paying a premium for space presently but any additional profit gained from those premiums is going to quickly go out the window if this matter goes to trial. I can tell you that based on the tone of the lawyer's initial email and their response they are quite confident in their ability to recover significant damages from us and that they are more than ready to pursue this course of action on an immediate basis if we do not fix the space issue.

Per the response I received they are confident that they liquidated damages of \$250/TEU will not apply and be considered invalid based on a case precedent set by the US Supreme Court. They indicate that such a limitation is only admissible in the case that actual losses cannot be reasonably substantiated however, they have indicated they are able to easily and clearly substantiated losses in the thousands of dollars for each TEU we have failed to carry. While our contract states we are only liable for any short shipments in excess of 40TEU I would not be surprised if they attempt to recover their losses for 56TEUs. With a weekly average of 8 calculated by the MVC and number of weeks in the contract term we are indeed behind by 56.

This is a very bad case for us which we will likely lose so I must ask that special dispensation be granted for this customer and they be treated with hyper care for the immediate future until such time that things have stabilized and they have backed off their threats of formal lawsuit. If we can at least establish we are working to uphold our contractual obligations I would feel much more comfortable about this case. At present based on the emails I have seen I do not have confidence in our ability to establish that we are doing our part under these terms. It also sounds like they have a lot of emails showing we have canceled their bookings with will only serve to make us look bad in front of a judge and jury.

Should there be any questions please do let me know but again we must please take into account that our losses could easily exceed US\$100,000 between our lawyer fees and any final judgement which may be awarded to them by a court. If the customer does not know the services or vessels on which they are entitled to have space it would be Risk Management's recommendation that we provide a clear overview of the services they are entitled to book against and the vessels which operate under those services. Also, if the customer makes a booking against a wrong service we should assist them to correct the issue.

We hope it is understood that even if it is outside the standard procedures we need to make every reasonable effort to pacify this customer and their lawyer in the short term so that we can correct this shortfall over the course of the contract term and avoid an unnecessary lawsuit.

Kind regards,

Michael Gast
Risk Management
Hamburg-Süd

Hamburg Süd North America, Inc.
465 South Street
Morristown, New Jersey 07960
Tel +1 973 775 5486
E-Mail Address: michael.gast@hamburgsud.com
Group E-Mail: RNA-Claims@hamburgsud.com

From: Casanova, Andrea
Sent: Wednesday, October 21, 2020 1:41 PM

Hecht Decl.
Ex. 22

CX161

HS-012926

To: Gast, Michael
Cc: Pestana, Rodrigo; Maldonado, Gonzalo; RNA-Claims; Silva, Adilson; Cobo, Andrea
Subject: RE: OJ Commerce v Hamburg Sud

Hello Michael,

Thank you for reviewing this case and your comments.

Regarding your question " Could you please provide updates from our colleagues at origin should any be received on if we are going to accept the 28 FFE to correct the present shortfall." Could you clarify exactly what information you need from me?

I will forward any updates regarding if we are going to accept any additional space to correct the current deficit. I understand it has not been approved yet correct?

My voice message was related to the above.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Mobile: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

From: Gast, Michael
Sent: Tuesday, October 20, 2020 4:03 PM
To: Casanova, Andrea
Cc: Pestana, Rodrigo; Maldonado, Gonzalo; RNA-Claims; Silva, Adilson; Cobo, Andrea
Subject: RE: OJ Commerce v Hamburg Sud

Andrea,

Thank you for your thorough answers which include references to the provided attachments. Could you please provide updates from our colleagues at origin should any be received on if we are going to accept the 28 FFE to correct the present shortfall.

As of right now per the contract we are allowed a deficit of 40TEU or 20FFE. With this in mind and our present deficit we are technically liable to reimburse the customer for US\$4,000 for our failure to accommodate their booking requests. I can only imagine that things will calm down and space will become available but I would not want us getting into too big of a deficit which we cannot recover from.

I have absolutely no firsthand knowledge of how such matters are handled so take the following with a grain of salt. To me as an outsider the logical response is that if the customer tries to make a booking on UPAS3 instead of UPAS2 we should inform them of their mistake and work with them to get the bookings made against the proper service instead of cancelling the bookings especially considering the negative trend we have going for us on this contract.

As of right now after reviewing all the provided information and emails it seems that you are all doing what needs to be done by pushing our colleagues at origin to make space for this customer's cargo on the applicable services. Please do keep us updated regarding the successfulness of your efforts. I will be forwarding this matter to my counterpart at origin as well for awareness and so they can assist from their end if need be. Should we be able to offer any other formal assistance please do let us know. I will provide a response to the lawyer office in short course.

Kind regards,

Michael Gast
Risk Management
Hamburg-Süd

Hamburg Süd North America, Inc.
465 South Street
Morristown, New Jersey 07960
Tel +1 973 775 5486
E-Mail Address: michael.gast@hamburgsud.com
Group E-Mail: RNA-Claims@hamburgsud.com

From: Casanova, Andrea
Sent: Monday, October 19, 2020 6:45 PM
To: Gast, Michael
Cc: Pestana, Rodrigo; Maldonado, Gonzalo; RNA-Claims; Silva, Adilson; Cobo, Andrea
Subject: FW: OJ Commerce v Hamburg Sud

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Please feel free to reach out to me if you have any additional concerns.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Sud North America
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Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Mobile: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com

From: Gast, Michael
Sent: Monday, October 19, 2020 9:18 AM
To: Pestana, Rodrigo; Maldonado, Gonzalo; RNA-Claims
Cc: Silva, Adilson; Casanova, Andrea; Cobo, Andrea
Subject: RE: OJ Commerce v Hamburg Sud

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The information which will be quite helpful to us at this stage is the following:

1. Is there a version of this contract which has been formally executed by both parties? The version I have contains no signatures. The first attached email contains the page of the contract signed by the customer. Carrier signed page was not provided to the customer.
2. Is the shipper giving 10 days booking notice for their shipments? If not are we able to be provided with any proof of how much notice they are actually giving us? As far I know yes. The Second attachment "Space Problem with H-SUD" shows that on 09/29/2020 customer was requesting bookings for October and for instance: Booking 0NGB063075 creation date 9/9/2020 ETD 10/13/2020; 0KXM017784 creation date 9/23/2020 ETD 10/19/2020; 0TAO028257 creation date 9/30/2020 ETD 11/3/2020.
3. Based on the below comments is the issue at hand due to the shipper requesting to have their cargo carried on a service not included in the appendix of this contract? No, customer is asking for space from the origins filed in contract.
4. Was there any formal documentation confirming our obligation to carry the additional 2 TEUs a week or does this fall under the terms of the contract which stipulate we can accept more cargo at our discretion [3.(a)(2)]. There was not a formal documentation. Customer was informed by email that SP was increased to 10 TEU per week on 08/03/2020 (Third attachment)
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XIAMEN	7
SHENZHEN	6
FUZHOU	3
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8. Is there anything else going on with this customer and this contract which you feel we should be aware of? Recently, we have had problems with the deliveries at City of Industry CA which I understand is a consequence of the lack of man power and chassis. Please see attachment number 8

Sorry if the above is a bit detailed but I think I remember past dealings with this lawyer and if my memory serves me he was not of the friendly and reasonable variety.

For good orders sake Rodrigo is correct that the contract terms do not in any way stipulate 10 TEUs a week. The terms of the contract stipulate 400 TEUs over a 49 week period (June 23, 2020 – May 31, 2021) with no weekly minimums. Even if we wish to use 47 weeks as the base figure given the partial weeks at the beginning and end of this contract date range if we ship 8 a week we would end up above our minimum commitment to them of 360 TEUs over this time period.

Kind regards,

Michael Gast

Risk Management
Hamburg-Süd

Hamburg Süd North America, Inc.
465 South Street
Morristown, New Jersey 07960
Tel +1 973 775 5486
E-Mail Address: michael.gast@hamburgsud.com
Group E-Mail: RNA-Claims@hamburgsud.com

From: Pestana, Rodrigo
Sent: Friday, October 16, 2020 6:37 PM
To: Maldonado, Gonzalo; RNA-Claims
Cc: Silva, Adilson; Casanova, Andrea; Cobo, Andrea
Subject: RE: OJ Commerce v Hamburg Sud

Hi Gonzalo,

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Also as explained over the phone, customer need to request booking under the string they have space.

brgds,
Rodrigo

From: Maldonado, Gonzalo
Sent: Friday, October 16, 2020 3:15 PM
To: RNA-Claims; Pestana, Rodrigo
Cc: Silva, Adilson; Casanova, Andrea; Cobo, Andrea
Subject: FW: OJ Commerce v Hamburg Sud

Hello Rodrigo,

Please find attach demand letter from OJ Commerce regarding our unavailability to confirm our 10 teus commitment from Asia.

I appreciate please your instructions

Regards

Gonzalo Maldonado
Manager Area East Coast Sales - ASF

Hamburg Sud North America
8333 N.W. 53er Street, Suite 500
Doral, FL 33166
Phone. + 1 (305) 499 9545 ext 102
Direct. + 1 (305) 470 2767
Cell. + 1 (908) 413 4471
Email Address: Gonzalo.Maldonado@Hamburgsud.com

From: "Cobo, Andrea" <Andrea.Cobo@hamburgsud.com>
Sent: Oct 16, 2020 4:20 PM
To: "Maldonado, Gonzalo" <Gonzalo.Maldonado@hamburgsud.com>; "Casanova, Andrea" <andrea.casanova@hamburgsud.com>
Subject: FW: OJ Commerce v Hamburg Sud

Dear Gonzalo and Andre,

Enclosed please find Demand Letter from OJ Commerce, customer sent this to the Group email MIA-INFO and HAM-Claims

Thank you,
Andrea Cobo
Sales Coordinator

Hamburg Süd North America, Inc.
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 205
Direct: (786) 441-8005
Fax: (305) 640-0272

Email: andrea.cobo@hamburgsud.com

From: Sam Hecht [mailto:sam@hechtlawpa.com]
Sent: Friday, October 16, 2020 4:13 PM
To: HAM-CLAIMS; MIA-INFO.MIA
Subject: Re: OJ Commerce v Hamburg Sud

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Dear Hamburg Süd North America, Inc.,

Please see attached correspondence.

Sincerely,

Shlomo ("Sam") Hecht, Esq.

The Law Offices of Shlomo Y. Hecht, P.A.
3076 N Commerce Parkway
Miramar, FL 33025
Phone: 954-861-0025

Email: sam@hechtlawpa.com

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From: Ivan Cheung [ivan.cheung@maersk.com]
Sent: 3/8/2021 5:29:56 AM
To: Andrea Casanova [ANDREA.CASANOVA@HAMBURGSUD.COM]; Marcus Cheung [MARCUS.CHEUNG@HAMBURGSUD.COM]; Michelle Gao [MICHELLE.GAO@HAMBURGSUD.COM]; James Xu [JAMES.XU@HAMBURGSUD.COM]
CC: Andrea Cobo [ANDREA.COBO@HAMBURGSUD.COM]; Gonzalo Maldonado [GONZALO.MALDONADO@HAMBURGSUD.COM]; Nancy Yi jin Qiu [nancy.qiu@maersk.com]; Kevin Li [KEVIN.LI@HAMBURGSUD.COM]
Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Hi Andrea

The is our proposal of customer SP:

SEA (was ASA) – UPAS 2 – 2teu

PNE (was ANC) – UPAS 1 – 2teu

PRD (was ASC) – UPAS 3 – 4teu

Valid from week 12, please ensure the budget trust for OJCommerce is fixed for our SPL setup.

As said we are all open for SP volume booking release through out the months (Q4 2020 & Q1 2021) the reason customer provide doesn't justify the low support during late Q4 2020, as a result there is a slight adjustment because we want to be fair to other SP customers who 100% fulfilling.

@Marcus Cheung

I think we still want to respect and support our good customer, so based on our current vessel utilization please advise if we can take 1-2 x 40' below as ad-hoc on subject vessel?

BOOKING NO.	VOLUME	POL	POD	VSL/VOY	ETD	SERVICE	STATUS
XGA1NGB012096	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB012097	2*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB011775	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB011769	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB012090	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	MAERSK ALTAIR 101E	13/Mar	UPAS1	
XGA1NGB012091	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	MAERSK ALTAIR 101E	13/Mar	UPAS1	
XGA1NGB011790	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	MAERSK ALTAIR 101E	13/Mar	UPAS1	

Thanks

Best regards,
Ivan

Classification: Internal

CX168

Hecht Decl.
Ex. 23

HS-005299

From: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>

Sent: Friday, March 5, 2021 9:51 PM

To: Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>; Ivan Cheung <ivan.cheung@maersk.com>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Dear all,

Please see below message from customer. Could you please check and advise if booking can be confirmed as requested by customer?

Dear Andrea,

We need these spaces now(in green),pls check if can approve spaces to us.

We have checked with the allocation team in Ningbo ,they told us there is no SPL under UPAS1,so we are not sure if we should go on to place bookings or not.

Now,UPAS 1 4teu per week, is that right?

BOOKING NO.	VOLUME	POL	POD	VSL/VOY	ETD	SERVICE	STATUS
XGA1NGB012096	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB012097	2*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB011775	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB011769	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	CAP SAN JUAN 108N	7/Mar	UPAS1	canceled,could not get space
XGA1NGB012090	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	MAERSK ALTAIR 101E	13/Mar	UPAS1	
XGA1NGB012091	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	MAERSK ALTAIR 101E	13/Mar	UPAS1	
XGA1NGB011790	1*40HQ	NIGNBO	LONG BEACH/CITY OF INDUSTRY	MAERSK ALTAIR 101E	13/Mar	UPAS1	

Best Regards,

Femi Li | Customer Service Executive

Shenzhen Syntrans International Logistics Co., Ltd.

T : 86-755-8220 9913 | M : 86-18377711776

E : femi.szx@syntrans.com

All transactions of business are subject to the Company's Standard Trading Conditions, a copy of which is obtainable upon request.

Thanks & Best Regards,

Andrea Casanova
Account Executive



Hamburg Süd – A Maersk Company
2801 SW 149th Ave (New)
Miramar, FL 33027
Direct: + 1 (954) 438 5347 (New)
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

From: Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>
Sent: Friday, March 5, 2021 5:55 AM
To: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>; Ivan Cheung <ivan.cheung@maersk.com>
Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>
Subject: Re: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Dear Ivan,

Shipment within SP should be released without problem.
will check with PRD.

Best Regards,

Marcus Cheung

Cargo Flow Specialist (Transpacific – West Coast)

Hamburg Süd Hong Kong Ltd.

Direct Line: (852) 2161-3303

Personal e-mail: Marcus.Cheung@hamburgsud.com

Group e-mail: HS-GCA-CFM@hamburgsud.com

From: Ivan Cheung <ivan.cheung@maersk.com>
Sent: Friday, March 5, 2021 6:42:01 PM
To: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>; Marcus Cheung

<MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Hi Marcus

Could you help to verify our booking release to OJcommerce? Or also check with PRD colleagues?

I think all the way since Q4 last year we are all open to SPL customer til they hit their cap on SP weekly volume, even on couple of weeks that we strictly control booking acceptance.

Best regards,

Ivan

Classification: Internal

From: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>

Sent: Friday, March 5, 2021 12:17 AM

To: Ivan Cheung <ivan.cheung@maersk.com>; Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Hello Ivan,

Regarding the point for UPAS 2 and 1: Customer advised they were not getting space. I told them that I never received any email from them requesting space on December 2020. Please see attached email.

Appreciate advise if SPL for UPAS 2 and 1 (6 TEUs) can be reinstated? Also, validity of this SP extension.

If you have any other question please let me know.

Thanks & Best Regards,

Andrea Casanova
Account Executive



Hamburg Süd – A Maersk Company
2801 SW 149th Ave (New)
Miramar, FL 33027
Direct: + 1 (954) 438 5347 (New)
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

From: Ivan Cheung <ivan.cheung@maersk.com>

Sent: Thursday, March 4, 2021 5:48 AM

To: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>; Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Hi Andrea

Looking at the performance (wk50 – 53 where we used for review Q1SPL):

UPAS 3 – 4Teu ok to reinstate

UPAS 2 and 1 -total 6teu, I have combined the PSW performance on UPAS 1/2/6 on these weeks and they should have 6teus regular support to us weekly, however they only reach for 2-4teus per week, please clarify.

Best regards,
Ivan

Classification: Internal

From: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>

Sent: Thursday, March 4, 2021 4:56 AM

To: Ivan Cheung <ivan.cheung@maersk.com>; Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Hi Ivan,

Below is the response for each point. In the meantime this is updated. Can we continue with the last year SP for this account?

Thanks & Best Regards,

Andrea Casanova
Account Executive



Hamburg Süd – A Maersk Company
2801 SW 149th Ave (New)
Miramar, FL 33027

Direct: + 1 (954) 438 5347 (New)

Mobile: + 1 (305) 904 1961

E-Mail: andrea.casanova@hamburgsud.com

From: Ivan Cheung <ivan.cheung@maersk.com>

Sent: Monday, March 1, 2021 11:52 PM

To: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>; Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; Nancy Yi jin Qiu <nancy.qiu@maersk.com>; Kevin Li <KEVIN.LI@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Hi Andrea

For some reason, OJ commerce is not in the SPL anymore since Q1. But I guess because they are our loyal customer with long collaboration history and local are very familiar with their booking, so there has no huge impact we heard so far for booking release.

I suggest we quickly do 2 things:

- Verify customer performance, in order to justify and setup SPL accordingly

What is the agreement party name you use to filter the performance from tableau that you shared with us below? We will based on that to performance review on longer period of time. [I search customer's performance under their agreement number AECC0000291](#)

- Fix the budget trust for customer.

I see in our booking report that budget trust placed under AECC0000291 are "UNDEFINED" or "VARIOUS", we need your help to fix that in Globe BP and Salesforce in other to properly trace the customer performance. Would you be able to help us?

[I have requested the creation of BPG to add to this account in SF so Budget trust can be updated. I will advise once it is ready.](#)

Origin-Destination			Part						Route				
Origin	Destination	Vessel System	Q1/2	Q1/3	Q1/4	Q1/5	Q1/6	Q1/7	Q1/8	Q1/9	Q1/10	Q1/11	Q1/12
HO CHI MINH CITY, VN...	ASA	NERA3	1	1	1	1	1	1	1	1	1	1	1
YANTIAN, 44, CN - CITY	ASC	NERA3											
OF INDUSTRY, CA, US		NERA1			4			1					
XIAMEN, 35, CN - CITY	ASC	NERA1			2	1	1						
OF INDUSTRY, CA, US		URV38		1									
FUZHOU, 35, CN - CITY	ASC	NERA1	1							2			
JINGBQ, 33, CN - CITY	ANC	URV31		1				2					
QINGDAO, 37, CN - CIT...	ANC	URV31	1		2								
Grand Total:			3	3	9	2	2	4	1	2	2	1	3

Best regards,

Ivan

Classification: Internal

From: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>

Sent: Tuesday, March 2, 2021 12:24 AM

To: Ivan Cheung <ivan.cheung@maersk.com>; Marcus Cheung <MARCUS.CHEUNG@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>

Cc: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Dear Ivan/ Marcus

OJ Commerce had the SP below

I appreciate if you can confirm this SP until contract expiration.

SVC AECC0000291 Expire date 31-May-2021.

Customer	GLOBE Sling Dir	Area	From Week	To Week	SP TEU	SP Tons	SP Plugs	SP Sales	Trade	Validity	RAP Sling Dir
OJCOMMERCE	NERA3 N	ASA	20 34	20 52	2	22	0	Andrea Casanova	AFE - US WC	Valid	UPAS 2
OJCOMMERCE	UPAS1 N	ANC	20 31	20 52	4	44	0	Andrea Casanova	AFE - US WC	Valid	UPAS 1
OJCOMMERCE	NERA1 N	ASC	20 43	20 52	4	44	0	Andrea Casanova	AFE - US WC	Valid	UPAS 3

FFE per week /Area / Vessel System

Origin-Destination / Origin Area / Vessel System			Past					Future				
Origin-Destination	Origin Area	Vessel System	21 2	21 3	21 4	21 5	21 6	21 7	21 8	21 9	21 10	21 11
HO CHI MINH CITY, VN...	ASA	NERA3	1	1	1	1	1	1	1		1	1
YANTIAN, 44, CN - CITY	ASC	NERA3									1	2
OF INDUSTRY, CA, US		NERA1			4			1				
XIAMEN, 35, CN - CITY	ASC	NERA1			2	1	1					
OF INDUSTRY, CA, US		UPAS3		1								
FUZHOU, 35, CN - CITY...	ASC	NERA1	1						2			
NINGBO, 33, CN - CITY...	ANC	UPAS1		1				2				
QINGDAO, 37, CN - CITY...	ANC	UPAS1	1		2							
Grand Total			3	3	9	2	2	4	1	2	2	3

Thanks & Best Regards,

Andrea Casanova
Account Executive



Hamburg Süd – A Maersk Company
2801 SW 149th Ave (New)
Miramar, FL 33027
Direct: + 1 (954) 438 5347 (New)
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

From: Syntrans Szx-Femi Li <femi.szx@syntrans.com>

Sent: Monday, March 1, 2021 8:30 AM

To: Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>;

CX174

HS-005305

shey@ojcommercecn.com; Richard Dun <richard@ojcommerce.com>; HSD-seataocn <hsd-seataocn@jms-logistics.com>; jacob <jacob@ojcommerce.com>; shawn.szx <shawn.szx@syntrans.com>
Cc: Andrea Casanova <ANDREA.CASANOVA@HAMBURGSUD.COM>
Subject: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Hi Andrea,

Thank you for your attention to the email, please help to confirm which service we have spaces on, is it on service UPAS1 and 2*40HQ per week?

Best Regards,

Femi Li | Customer Service Executive

Shenzhen Syntrans International Logistics Co., Ltd.

T : 86-755-8220 9913 | M : 86-18377711776

E : femi.szx@syntrans.com

All transactions of business are subject to the Company's Standard Trading Conditions, a copy of which is obtainable upon request.

From: [Andrea Cobo](#)

Date: 2021-03-01 20:46

To: [Michelle Gao](#); [Syntrans Szx-Femi Li](#); [James Xu](#); [Gonzalo Maldonado](#); shey@ojcommercecn.com; [Richard Dun](#); [HSD-seataocn](#); [jacob](#); [shawn.szx](#)

CC: [Andrea Casanova](#)

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Good Morning,

Adding Andrea Casanova for view only.

Thank you,
Andrea Cobo
Sales Coordinator

Hamburg Süd – A Maersk Company
2801 SW 149th Ave (New)
Miramar, FL 33027
Phone: 954 438 5337

From: Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>

Sent: Sunday, February 28, 2021 8:51 PM

To: Syntrans Szx-Femi Li <femi.szx@syntrans.com>; James Xu <JAMES.XU@HAMBURGSUD.COM>; Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; shey@ojcommercecn.com; Richard Dun <richard@ojcommerce.com>; HSD-seataocn <hsd-seataocn@jms-logistics.com>; jacob <jacob@ojcommerce.com>; shawn.szx <shawn.szx@syntrans.com>

Subject: RE: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

Dear Femi,

As I mentioned in below mail, this client has no space protect on this service and our space is very tight, so we can not release this booking. Thanks to take note.

MICHELLE GAO

Indoor Sales Specialist

Hamburg Süd (China) Ltd. Qingdao Branch

TEL: 86 532 66754715

Fax: 86 532 68877277

Email: michelle.gao@hamburgsud.com

ecom.hamburgsud.com

Registered Office: Qingdao, PRC

Commercial Register: 370200500001203

Classification: Internal

From: Syntrans Szx-Femi Li <femi.szx@syntrans.com>

Sent: Friday, February 26, 2021 4:05 PM

To: Michelle Gao <MICHELLE.GAO@HAMBURGSUD.COM>; James Xu <JAMES.XU@HAMBURGSUD.COM>; Andrea Cobo <ANDREA.COBO@HAMBURGSUD.COM>; Gonzalo Maldonado <GONZALO.MALDONADO@HAMBURGSUD.COM>; shey@ojcommercecn.com; Richard Dun <richard@ojcommerce.com>; HSD-seataocn <hsd-seataocn@jms-logistics.com>; jacob <jacob@ojcommerce.com>; shawn.szx <shawn.szx@syntrans.com>

Subject: SPACE ISSUE---OJCOMMERCE QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY

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Dear Michelle ,

We placed some bookings this week, but we were informed "**This client has no SP on this svc, cannot release this booking, please inform client accordingly, thanks**"

May I know the reason, we even haven't got the booking number. Could you pls check and let us know why we can not get space on UPAS1?

Carrier: H-SUD

S/C: AECC0000291

SVC: UPAS1

Best Regards,

Femi Li | Customer Service Executive

Shenzhen Syntrans International Logistics Co., Ltd.

T : 86-755-8220 9913 | M : 86-18377711776

E : femi.szx@syntrans.com

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CX176

HS-005307

Dear Michelle ,

Okay,I will check with the depot and we need apply for SI late come to 18:00 on 19-NOV.

Best Regards,

Femi Li | Customer Service Executive

Shenzhen Syntrans International Logistics Co., Ltd.

T : 86-755-8220 9913 | M : 86-18377711776

E : femi.szx@syntrans.com

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a copy of which is obtainable upon request.*

From: [Gao, Michelle](#)

Date: 2020-11-17 15:50

To: [Syntrans Szx-Femi Li](#); [Xu, James](#); [Cobo, Andrea](#); [Maldonado, Gonzalo](#); shey@ojcommercecn.com; [Richard Dun](#); [HSD-seataocn](#); [jacob](#); [shawn.szx](#)

Subject: RE: Re: Apply for Equipment BK#0TAO042203 QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY 1*40HQ

Dear Femi,

The earliest pick up date for every box is 7 days before vsl ETD date, we already send the pick up application for your below cargo,

Please check the container status with depot and once it is unlock you can pick up the container.

MICHELLE GAO

Indoor Sales Specialist

Hamburg Süd (China) Ltd. Qingdao Branch

TEL: 86 532 66754715

Fax: 86 532 68877277

Email: michelle.gao@hamburgsud.com

ecom.hamburgsud.com

Registered Office: Qingdao, PRC

Commercial Register: 370200500001203

From: Syntrans Szx-Femi Li <femi.szx@syntrans.com>

Sent: Tuesday, November 17, 2020 3:29 PM

To: Gao, Michelle <Michelle.Gao@hamburgsud.com>; Xu, James <James.Xu@hamburgsud.com>; Cobo, Andrea <Andrea.Cobo@hamburgsud.com>; Maldonado, Gonzalo <Gonzalo.Maldonado@hamburgsud.com>; shey@ojcommercecn.com; Richard Dun <richard@ojcommerce.com>; HSD-seataocn <hsd-seataocn@jms-logistics.com>; jacob <jacob@ojcommerce.com>; shawn.szx <shawn.szx@syntrans.com>

Subject: Re: Re: Apply for Equipment BK#0TAO042203 QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY 1*40HQ

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Dear Michelle ,

Pls kindly advise when can we pick up the equioment?We want to load tomorrow.

Best Regards,

Femi Li | Customer Service Executive

Shenzhen Syntrans International Logistics Co., Ltd.

T : 86-755-8220 9913 | M : 86-18377711776

E : femi.szx@syntrans.com

All transactions of business are subject to the Company's Standard Trading Conditions, a copy of which is obtainable upon request.

From: [Syntrans Szx-Femi Li](#)

Date: 2020-11-17 10:39

To: [Gao, Michelle](#); [James.Xu](#); [Andrea.Cobo](#); [Gonzalo.Maldonado](#); shey@ojcommercecn.com; [Richard Dun](#); [HSD-seataocn](#); [jacob](#); [shawn.szx](#)

Subject: Re: RE: Apply for Equipment BK#0TAO042203 QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY 1*40HQ

Dear MICHELLE,

I need one equipment tomorrow, should I write to you to apply?

船名航次	ETD TIME	BLNO.	Type	VOL	REMARK	INSTANT
MAERSK ALFIRK 006 E	26-NOV	0TAO042203	40HC	2	18-NOV, pick up one equipment	Y

Best Regards,

Femi Li | Customer Service Executive

Shenzhen Syntrans International Logistics Co., Ltd.

T : 86-755-8220 9913 | M : 86-18377711776

E : femi.szx@syntrans.com

All transactions of business are subject to the Company's Standard Trading Conditions, a copy of which is obtainable upon request.

From: [Gao, Michelle](#)

Date: 2020-11-16 14:01

To: [Xu, James](#); [Syntrans Szx-Femi Li](#); [Cobo, Andrea](#); [Maldonado, Gonzalo](#); shey@ojcommercecn.com; [Richard Dun](#); [Ada Yan](#); [jacob](#); [shawn.szx](#)

Subject: RE: Apply for Equipment BK#0TAO042203 QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY 1*40HQ

Dear Femi,

Yes, as you know we are facing the equipment shortage problem of 40HC/GP, the earliest pick up date of our equipment is 7 days before the vsl departe time.

But not all the cargo can picked up the 40hc equipment even the equipment release time is on. We have limited quota everyday, we will make a priority list according to the vsl date,

Basically our equipment quota can not meet our booking volume, hence earlier vsl pick up earlier and you may send us your target pick up time, I will submit the application for you.

And then to inform whether this application is succeed or not. And as for the SI cut off issue, please try to contact with our DOC colleague Summer guo based on your equipment application isituation.

Thanks.

MICHELLE GAO
Indoor Sales Specialist

Hamburg Süd (China) Ltd. Qingdao Branch
TEL: 86 532 66754715
Fax: 86 532 68877277
Email: michelle.gao@hamburgsud.com
ecom.hamburgsud.com

Registered Office: Qingdao, PRC
Commercial Register: 370200500001203

From: Xu, James <James.Xu@hamburgsud.com>
Sent: Monday, November 16, 2020 1:10 PM
To: Syntrans Szx-Femi Li <femi.szx@syntrans.com>; Cobo, Andrea <Andrea.Cobo@hamburgsud.com>; Maldonado, Gonzalo <Gonzalo.Maldonado@hamburgsud.com>; shey@ojcommercecn.com; Richard Dun <richard@ojcommerce.com>; Gao, Michelle <Michelle.Gao@hamburgsud.com>; Ada Yan <hsd-seataocn@jms-logistics.com>; jacob <jacob@ojcommerce.com>; shawn.szx <shawn.szx@syntrans.com>
Subject: RE: Apply for Equipment BK#0TAO042203 QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY 1*40HQ

Adding to Michelle Gao to review whether there could be any further opportunity to be included in priority list later

By the way that booking confirmation was released as per the commitment but "Subject to 40HC depot stock" as there had been very much tight stock at local depots since several weeks ago for your reference

Kind regards

James XU
Senior Specialist, Customer Experience (CX)

Hamburg Süd (China) Limited Qingdao Branch
Unit 1404, Office Tower, Shangri-La Centre,
9 Hong Kong Road Central, 266071, Qingdao, China.

Phone: +86 532 6675 4726
E-mail: James.Xu@hamburgsud.com
E-mail: TAO-CSU@hamburgsud.com

From: Syntrans Szx-Femi Li <femi.szx@syntrans.com>
Sent: Monday, November 16, 2020 11:59 AM
To: Xu, James <James.Xu@hamburgsud.com>; Cobo, Andrea <Andrea.Cobo@hamburgsud.com>; Maldonado, Gonzalo <Gonzalo.Maldonado@hamburgsud.com>; shey@ojcommercecn.com; Richard Dun <richard@ojcommerce.com>
Cc: jacob <jacob@ojcommerce.com>; shawn.szx <shawn.szx@syntrans.com>
Subject: Apply for Equipment BK#0TAO042203 QINGDAO VIA LONG BEACH TO CITY OF INDUSTRY 1*40HQ

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Dear James ,

Good day!Enclosed booking confirmation,nowadays,it seems Qingdao is facing 40HC shortage,
and we can not pick up any equipment before you make a list for us.

The Documentation Cutoff is 19-Nov-2020 10:00.And Pick Up Date/Time is 20-NOV-2020 08:00.
How to submit the SI as we do not have information of equipment before 20-NOV?
Pls kindly help to check and advise when can we pick up the equipment,thanks!

BK#0TAO042203
MAERSK ALFIRK 006 E
ETD QINGDAO 26-NOV
ETA LONG BEACH 14-DEC
ETD CITY OF INDUSTRY

Best Regards,

Femi Li | Customer Service Executive



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Shenzhen Syntrans International Logistics Co., Ltd.

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**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**ANSWER OF RESPONDENT HAMBURG SUD NORTH AMERICA, INC.
TO AMENDED COMPLAINT**

Respondent Hamburg Sud North America, Inc. ("HSNA") hereby answers the Amended Complaint as follows.¹

I. COMPLAINANT

1. Complainant OJC is a limited liability company organized and existing under the law of the State of Delaware, with a principal place of business at 3076 N. Commerce Parkway, Miramar, Florida 33025.

HSNA lacks sufficient information to admit or deny.

¹ HSNA no longer exists. On January 1, 2022, it was merged into Maersk Agency USA.

II. RESPONDENTS

2. HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-GESELLSCHAFT A/S & CO KG (“Hamburg Germany”) is a corporation organized and existing under the laws of Germany, with a principal place of business at Willy-Brandt-Str. 59-65, 20457 Hamburg, Germany. Hamburg Germany is and was at all times relevant to this Complaint a common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

Paragraph 2 contains no allegations with respect to HSNA. Accordingly, no response is required.

3. HAMBURG SUD NORTH AMERICA, INC. (“Hamburg NA”) is a corporation organized and existing under the laws of the State of Delaware, with a principal place of business at 465 South Street F 3 STE 300, Morristown, New Jersey 07960, having its registered agent as THE CORPORATION TRUST COMPANY, located at CORPORATION TRUST CENTER 1209 ORANGE ST, WILMINGTON, DE 19801. Hamburg NA is and was at all times relevant to this Complaint and an Agent of Hamburg Germany and an ocean transportation intermediary (“OTI”) within the meaning of the Shipping Act, 46 U.S.C. § 40102(20), subject to regulation by the FMC. Hamburg NA is also a person subject to regulation by the FMC based on its acts in conjunction with Hamburg Germany in violation of 46 U.S.C. §§ 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10).

HSNA admits the first sentence. HSNA admits it was the agent of Hamburg Germany, but denies it was an ocean transportation intermediary. HSNA denies the third sentence.

III. JURISDICTION

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984.

Denied.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. Complainant is seeking reparations under 46 U.S.C. § 41305 for injuries caused to it by Respondents due to their violations of 46 U.S.C. §§ 41102(b)(2), 41102(c), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10). Complainant also seeks additional amounts of twice the amount of the actual injury under 46 U.S.C. § 41305(c) for Respondents’ violations of 46 U.S.C. §§ 41102(b)(2) and 41104(a)(3).

This paragraph requires no response, as the Complaint speaks for itself.

6. The FMC has personal jurisdiction over Hamburg Germany as a “common carrier” as defined in 46 U.S.C. § 40102(7).

This paragraph contains no allegations with respect to HSNA. Accordingly, no response is required.

7. The FMC has personal jurisdiction over Hamburg NA as an Agent of Hamburg Germany and as an OTI as defined in 46 U.S.C. § 40102(20). The FMC also has personal jurisdiction over Hamburg NA as it is a person subject to regulation by the FMC based on its acts in conjunction with Hamburg Germany in violation of 46 U.S.C. §§ 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10).

Denied.

8. Respondents violated 46 U.S.C. § 41102(b)(2) because their operation under the parties’ agreement was not in accordance with that agreement.

Paragraph 8 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 8 is denied.

9. Respondents’ actions and omissions alleged herein constitute failures by each Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of OJC, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5.

Paragraph 9 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 9 is denied.

10. Respondents’ actions and omissions alleged herein also constitute their retaliating against Complainant, in violation of 46 U.S.C. § 41104(a)(3), by refusing, and threatening to refuse, cargo space accommodations when available because Complainant threatened to file a complaint with the FMC over Respondents violations of the Shipping Act.

Paragraph 10 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 10 is denied.

11. Respondents’ actions and omissions alleged herein also constitute, in violation of 46 U.S.C. § 41104(a)(3), their resorting to unfair and unjustly discriminatory methods against Complainant because Complainant threatened to file a complaint with the FMC over Respondents violations of the Shipping Act.

Paragraph 11 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 11 is denied.

12. Respondents' conduct during the course of providing service to Complainant pursuant to the parties' service contract, which was continuous and ongoing until expiration of the service contract, constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the service contracts, in violation of 46 U.S.C. Section 41104(a)(5).

Paragraph 12 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 12 is denied.

13. Respondents' conduct the course of providing service to Complainant pursuant to the parties' service contract, which was continuous and ongoing until the contract expired on May 31, 2021, gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the parties' service contract, in violation of 46 U.S.C. Section 41104(a)(9).

Paragraph 13 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 13 is denied.

14. Respondents' actions and omissions alleged herein also constitute, in violation of 46 U.S.C. § 41104(a)(10), their unreasonable refusal to deal or negotiate a renewal of their service contract with Complainant because Complainant had threatened to file a complaint with the FMC over Respondents' violations of the Shipping Act.

Paragraph 14 states a conclusion of law to which no response is required. To the extent a response is required, Paragraph 14 is denied.

IV. FACTUAL ALLEGATIONS

15. Both Hamburg entities are owned by Maersk A/S, *see* Docket No. 21-11, Affidavit of Michael Gast, Jr., filed January 18, 2022, one of the two largest shipping container lines in the world. Maersk's profits for 2021 exceeded its profits for the **past nine years combined**. *See* <https://www.usfunds.com/resource/bad-news-is-good-news-for-container-shipping-investors/> (accessed February 2, 2022).

HSNA admits the first sentence. The second sentence contains no factual allegation relevant to this case and requires no reply and, in any

event, the press report cited therein speaks for itself.

16. In years past, Complainant had secured the bulk of its ocean freight via service contracts with Respondents and other ocean carriers. Such contracts specify a minimum quantity commitment (“MQC”) for cargo to be shipped and set forth pricing for port-to-port lanes, and/or port-to-door, subject to the service commitment.

HSNA has no basis upon which to admit or deny Complainant’s past service contracting practices, or the content of Complainant’s past service contracts.

17. Once the COVID-19 pandemic began, however, global ocean carriers, including Respondents, began taking actions to exploit ocean carriage pricing and engage in unprecedented profiteering at the expense of shippers, including Complainant, and the public. This has led to record profits for the shipping companies, including Maersk, and has greatly contributed to rapid inflation and a global supply chain crisis in the past two years. The shipping industry’s, including Maersk’s, outrageous profits during that time and the negative effect on the United States’ (and the world’s) economy has been widely covered by the media: *See, e.g.,* <https://thehill.com/business-a-lobbying/592397-shipping-giants-under-fire-for-record-profits-fees-as-pandemic-continues>¹ (“Many highly-profitable industries are using the pandemic as an excuse to gouge consumers or tack on sky-high fees, and the shipping industry is no exception” ... “Despite shattering previous profit records last year, big shippers are trying to convince Congress that their abusively high fees are essential even as they fan the flames of inflation.” ... “Denmark-based carrier Maersk expects to report \$24 billion in 2021 earnings before taxes and depreciation, triple its 2020 haul.” ... “The Biden administration, meanwhile, has emboldened the FMC to go after anticompetitive shipping practices through executive action. The White House in November said that the agency can challenge antitrust agreements if they ‘produce an unreasonable reduction in transportation service or an unreasonable increase in transportation cost or ... substantially lessen competition.’”); <https://www.randomlengthsnews.com/archives/2022/01/12/profiteering-shipping-companies/37537?v=7516fd43adaa> (“The multi-billion-dollar foreign container shipping industry has profited mightily during the pandemic and the ensuing supply chain crisis. Those of us who work in the U.S. supply chain have seen up close how they have secured a vice grip on the national economy — impacting businesses, consumers, and workers for the sake of overseas profits. ... Industry leader Maersk, for example, is set to make Danish history as it matches its combined earnings from the past nine years with earnings of \$16.2 billion for 2021 (up from a projected \$3 billion at the start of the year.”); <https://www.cnn.com/2021/11/02/business/maersk-record-profit-supply-chain-chaos/index.html> (“Maersk, the world’s largest container shipping company, predicts that global supply chain chaos will continue into next year. That could benefit the company, which just reported its best quarter in 117 years.”); <https://www.bloomberg.com/news/features/2022-01-18/supply-chain-crisis->

[helped-shipping-companies-reap-150-billion-in-2021](#) (“‘They exploit our desperation’: Small businesses and consumers are paying for sky-high freight costs as cargo giants mint profits.”); <https://www.bloomberg.com/opinion/articles/2021-08-19/container-shipping-is-making-a-killing-this-year-but-will-we-have-christmas> (“Container lines are making oodles of money from their customers’ misery. ... Cancelled or delayed voyages, high freight rates and congestion surcharges are angering customers and [triggering complaints of profiteering](#).”); *see also* <https://www.freightwaves.com/news/fmc-onboard-for-bidens-ocean-carrier-crackdown> (“[T]hree global ocean carrier alliances now control more than 80% of the container market. ‘That concentration has contributed to a spike in shipping costs and fees during the pandemic. The executive order calls on the Federal Maritime Commission to crack down on unjust and unreasonable fees and work with the Justice Department to investigate and punish anticompetitive conduct.’” .. “Excessive fees charged to U.S. importers and exporters for failing to expeditiously move containers off docks and container terminals – known as detention and demurrage – ‘is a huge issue we’re working on and it’s important to get to the bottom of it because it’s unfair to shippers,” [Federal Maritime Commission Chairman Daniel] Maffei said. “If those practices are abused it tends to decrease capacity, which makes things worse,” article citing to Executive Order on Promoting Competition in the American Economy, <https://www.whitehouse.gov/briefing-room/presidential-actions/2021/07/09/executive-order-on-promoting-competition-in-the-american-economy/>; <https://container-news.com/yang-ming-boss-claims-taiwanese-carriers-could-earn-more-than-banks-in-2021/> (“Taiwanese carriers could earn more than [Taiwanese] banks in 2021”); <https://theloadstar.com/market-distortions-make-mockery-of-free-market-container-shipping/>; <https://www.freightwaves.com.cdn.ampproject.org/c/s/www.freightwaves.com/news/container-shipping-has-greatest-quarter-ever-and-theres-more-to-come/amp>.

The majority of Paragraph 17 makes no factual allegations with respect to HSNA, and hence requires no response. Moreover, the documents cited in the paragraph speak for themselves. To the extent any response is required to this paragraph, HSNA denies the allegations.

18. In 2020 and 2021, Respondents engaged in a variety of unjust and unreasonable practices with respect to Complainant’s cargo. Instead of honoring the commitments in its service contracts with Complainant, Respondent began a practice of systematically failing to meet its quantity and price commitments to Complainant. As a result, Complainant was forced to obtain space on the spot market at enormous expense or forgo making shipments of goods to the United States altogether.

Denied.

19. Respondents’ unreasonable practices coincided with an unprecedented increase in spot market pricing for ocean freight. Respondents sought to take advantage of unprecedented high pricing by forcing shippers with service contracts,

like Complainant, to resort to spot market purchases to secure needed freight carriage. Respondents benefitted from being able to sell previously contracted capacity on the spot market, or to shippers willing to pay a premium, rather than honoring its service contract commitments with Complainant, and others.

Denied.

20. Respondents have also engaged in a deliberate practice of seeking to condition their compliance with its contractual service commitments on extracting additional payments from Complainant, above and beyond the pricing set forth in the parties' service contract, despite the fact that the contract does not permit Respondents to assess such surcharges unilaterally.

Denied.

21. Respondents' actions are contrary to what they, and their representatives, have been telling Congress and other regulatory bodies. For example, during the June 15, 2021 House Subcommittee on Coast Guard and Maritime Transportation entitled "Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain," John Butler, President and CEO of the World Shipping Council, of which Maersk is a member, when asked about shipping companies reneging on contracts with shippers in order to request more money to make shipments, testified that "ocean carriers are quite serious about fulfilling their end of the bargain with their service contracts. That's how they keep relationships with their customers." See <https://transportation.house.gov/hearings/watch?hearingid=A48307B6-BE35-1AC6-AABB-39963851E908> (01:58:55 - 02:01:50). But Mr. Butler's testimony on behalf of the World Shipping Council is belied by Respondents' habitual conduct of violating service contracts just like the example given by the House Subcommittee member on a normal, customary, and continuous basis, not only with respect to Complainant, but also with respect to other shippers, including but not limited to the complainant in FMC Docket No. 21-05.

HSNA denies the first sentence. Mr. Butler's testimony speaks for itself and requires no response. HSNA denies the last sentence, and notes that it is not a respondent in FMC Docket No. 21-05.

22. Although the global ocean carriers, including Maersk, have publicly bemoaned the supply chain crisis brought on, according to the carriers, solely by COVID, the carriers have shown no shame in exploiting the situation by preying on their affected customers in the quest for record profits, with no end in sight. As shown above, the strategies have worked exceeding well for the carriers and have been devastating for shippers. Maersk has done this in part by gouging consumers such as Complainant and tacking on and demanding sky-high fees in addition to the contracted-for fees in the Agreement. Respondents have enormously profited from

their wrongful actions, profiting more in 2021 than they did in the previous nine years combined and reporting their best quarter in 117 years. These profits have come at the expense not only of Complainant and numerous other shippers, but also the general public, which has been suffering with massive inflation since the beginning of 2021. Indeed, likely few entities have profited more in the past two years than Respondents' parent company, Maersk.

Denied.

23. Respondents' violations of the Shipping Act have substantially harmed and damaged Complainant, and other shippers, in several ways.

Denied.

24. Respondents' conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant has occurred on a normal, customary, and continuous basis over the course of 2020 - 2021.

Denied.

25. On or about June 23, 2020, OJC entered into a service agreement with Respondents, for the shipment of goods by sea and delivery to warehouse facilities within the United States via truck, a copy of the agreement is hereby attached as Exhibit A. (the "Agreement").

HSNA denies it has entered into a service agreement with Complainant.

26. The Agreement was required to be filed under section 40302(a), as it is an "ocean common carrier agreement," as defined by section 40301(a). The Agreement also contains a term that states "[t]his Contract shall be subject to the U.S. Shipping Act of 1984, as amended."

Denied.

27. The Agreement governed the parties' relationship between June 23, 2020 to May 31, 2021 (the "Active Term").

HSNA denies that it was a party to the Agreement. As to the terms of the Agreement, that document speaks for itself.

28. During the Active Term of the Agreement, Respondents wrongfully billed 13 containers a total of \$40,680.32 in demurrage fees, as follows:

HSNA denies the allegations of Paragraph 28.

28.1 Container No. MRKU2875026. The container was discharged on February 1, 2021, the last free day on port was February 5, 2021, yet gate out was not until March 3, 2021. OJC was nevertheless wrongfully charged a total of \$7,540 in demurrage fees.

The first sentence is admitted. The second sentence is denied.

28.2 Container No. BEAU5182625. The container was discharged on February 2, 2021, the last free day on port was February 8, 2021, yet gate out was not until March 2, 2021. OJC was nevertheless wrongfully charged a total of \$6,280 in demurrage fees.

The first sentence is admitted. The second sentence is denied.

22.3 Container No. SEGU4327705. The container was discharged on January 27, 2021, the last free day on port was February 2, 2021, yet gate out was not until March 1, 2021. OJC was nonetheless wrongfully charged a total of \$7,855 in demurrage fees.

The first sentence is admitted. The second sentence is denied.

28.4 Container No. MSKU0595352. The container was discharged on May 22, 2021, yet OJC did not receive notice until May 25, 2021. Additionally, the container was subject to a VACIS exam, but OJC did not receive such notice until June 1, 2021. Gate out was on June 7, 2021. Despite that, OJC was wrongfully charged a total of \$3,765 in demurrage fees.

Admit the container was discharged on May 22, 2021, but deny arrival notice was not sent until May 25. Admit the second and third sentences. Deny the fourth sentence.

28.5 Container No. SUDU8646980. The container was discharged on June 16, 2021. Hamburg NA failed to schedule a delivery order for the trucking company altogether resulting in a gate out date of July 8, 2021. Nevertheless, OJC was wrongfully charged a total of \$4,075 in demurrage fees.

Admit first and second sentences. Deny the third sentence.

28.6 Container No. MRKU3142506. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Nonetheless, OJC was wrongfully charged a total of \$2,485 in demurrage fees.

Admit the container was discharged on June 23, 2021. Admit there

was a delay in providing a chassis for the container. Deny the remainder of this paragraph.

28.7 Container No. GCXU5721300. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Nonetheless, OJC was wrongfully charged a total of \$2,750 in demurrage fees.

Admit the first sentence. Admit there was a delay in providing a chassis for the container, but deny the gate out date was July 14, 2021. Deny the third sentence.

28.8 Container No. MSKU1597679. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 15, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$3,015 in demurrage fees.

Admit the first sentence. Admit there was a delay in providing a chassis for the container, but deny the gate out date was July 15, 2021. Deny the third sentence.

28.9 Container No. TLLU6852525. The container was discharged on June 23, 2021. OJC did not receive the arrival notice until June 24, 2021. Such a delay in arrival notice prevented OJC from making the proper arrangements for a timely pickup or pre-pull resulting in a July 1, 2021 gate out date. OJC was thereafter wrongfully charged a total of \$645 in demurrage fees.

Admit the first sentence. Deny the second sentence. Admit the gate out date was July 1, 2021, but deny the remainder of the third sentence. Deny the fourth sentence.

28.10 Container No. MRSU3300327. The container was discharged on June 25, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 13, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$742.22 in demurrage fees.

Admit the first and second sentences. Deny the third sentence.

28.11 Container No. SUDU6976489. The container was discharged on June 24, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 13, 2021 gate out date. OJC was nonetheless wrongfully charged a total of

\$742.22 in demurrage fees.

Admit the first and second sentences. Deny the third sentence.

28.12 Container No. MSKU1228177. The container was discharged on June 23, 2021. But the prepull pickup process was delayed because Hamburg NA failed to arrange for a proper trucking company. Instead, it arranged for a trucking company that could not handle more than 3 containers per day, and this container was not one of those, resulting in a July 8, 2021 gate out date. OJC was nonetheless wrongfully charged a total of \$392.94 in demurrage fees.

Admit the first sentence. Deny the second, third, and fourth sentences.

28.13 Container No. BMOU4268879. The container was discharged on July 1, 2021. But the prepull pickup process was delayed because Hamburg NA failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Again, OJC was wrongfully charged a total of \$392.94 in demurrage fees.

Admit the first and second sentences. Deny the third sentence.

29. Additionally, pursuant to the Agreement, Respondents agreed to a minimum volume commitment of 400 TEU, which is equivalent to 200 containers.

HSNA denies it was party to the Agreement. The terms of the Agreement speak for themselves.

30. Beginning in or around August 2020, Respondents regularly engaged in unjust and unreasonable practices toward Complainant. Instead of providing space at the contracted rates, Respondents began a systematic practice of failing to make space available under its service contract, resulting in increasing monthly shortages and a backup of Complainant's containers to be shipped.

Denied.

31. During the Active Term, for its part, Complainant provided adequate booking notice to schedule shipment of containers, pursuant to the Agreement, but Respondents refused to schedule such shipments. Respondents made these refusals throughout August, September, October, November, and December 2020, including in or around August 20, September 30, October 12, and numerous other dates in 2020, and throughout January, February, March, April, and May 2021, including in or around April 13, May 5, May 11, and numerous other dates in 2021.

HSNA admits Complainant generally provided adequate booking notice of shipments. HSNA denies that it refused to schedule shipments.

32. During the Active Term, Respondents provided a total of 185 containers, which is 30 TEUs below the 400 TEU MQC in the Agreement. But even those containers that were shipped by Respondents were not shipped in a timely manner. On multiple occasions, Complainant wanted more containers shipped on a certain week than in another week, but Respondents refused, stating that the containers would have to be equally distributed by week. However, Respondents then would skip shipping Complainant's containers for multiple weeks as they received more money for the space from other shippers, thereby pushing Complainant's shipments off for weeks at a time. Upon information and belief, this happened not only to Complainant but also to other shippers.

Denied.

33. Respondents also stated, throughout the 10-month time period from August 2020 - May 2021 that they would ship Complainant's shipments in a timely manner, as mandated by the Agreement, if and only if paid higher rates than those included in the Agreement. When Complainant refused to submit to Respondents' extortion, Respondents pushed off Complainant's shipments for weeks, regularly refusing to operate under the terms of the Agreement and in violation of the Shipping Act.

Denied.

34. By doing so, Respondents unfairly and unjustly discriminated against Complainant on a continuous and ongoing basis for 10 months in the matter of rates or changes with respect to ports identified in the Agreement, in violation of section 41104(a)(5).

Paragraph 34 contains a legal conclusion which requires no response. To the extent a response is required, Paragraph 34 is denied.

35. Respondents also gave, on a continuous and ongoing basis over 10 months, undue and unreasonable preference and advantage to shippers other than Complainant with respect to the ports identified in the Agreement, as those other shippers were evidently willing to accept Respondents' exorbitant rates that were much higher than those in the Agreement. Respondents' actions constituted a violation of section 41104(a)(9).

Paragraph 35 contains a legal conclusion which requires no response. To the extent a response is required, Paragraph 35 is denied.

36. As a result of Respondent's wrongful conduct, on some occasions OJC was forced to retain alternate shipping carriers at significantly higher shipping rates per container.

HSNA denies its conduct was wrongful. HSNA lacks a sufficient to admit or deny the remaining allegations of Paragraph 36.

37. Also as a result of Respondent's wrongful conduct, on some occasions OJC was unable to retain alternate shipping carriers at all, and incurred significant economic damages well over \$1.6 Million and upwards of over \$2.7 Million, for Respondents' failure to honor the minimum 400 TEU commitment on a normal, customary, and continuous basis over the span of many months.

HSNA lacks sufficient information to admit or deny the allegations of Paragraph 37. To the extent a response is required, the allegations are denied.

38. Throughout the time period in which Respondents' systematically and unjustly charged Complainant demurrage fees and refused for over 10 months to meet the MQC mandated in the Agreement, Complainant was forced to patronize other carriers or forego shipments altogether.

HSNA denies that it "systematically and unjustly" charged Complainant demurrage fees. HSNA denies that is refused to meet the MQC mandated in the Agreement. HSNA lacks sufficient information to admit or deny the allegations regarding patronizing other carriers or foregoing shipments.

39. Complainant also informed Respondents throughout August 2020 – May 2021 that Complainant would be forced to file a complaint with the FMC if Respondents did not meet its obligations in the parties' service contract and withdrawal the wrongful demurrage charges, as these were violations occurring on a normal, customary, and continuous basis,

Denied.

40. As a result of Complainant's attempts to mitigate its damages by filing a complaint with the FMC against Respondents, Respondents' refusals to provide Complainant cargo space and their unfair and unjustly discriminatory methods became more common and frequent leading up to discussions on the renewal of the parties' service contract in April 2021.

Denied.

41. During April 2021, the parties were engaged in discussions about

renewing the parties' service contract. Throughout those discussions, there were conversations about the MQC of the renewal, but never about there being no renewal at all.

Admitted.

42. Out of the blue and with no prior notice, on May 4, 2021, Respondents unilaterally notified Complainant that there would be no service contract renewal under **any terms**, but instead that Respondents would "work case by case" with Complainant using spot market rates. Thereafter, Complainant attempted to negotiate a contract with an even more limited scope – such as a port-to-port only contract – but Respondents rejected Complainant's proposal out of hand within hours, leaving Complainant entirely without a shipping service contract of any sort past May 31, 2021.

Admitted.

43. Respondents' dumping of Complainant without warning and without a service contract, and their refusal to negotiate or deal with Complainant, has massively damaged Complainant's ability to have its goods shipped to the United States. Indeed, Respondents' refusal to renew the parties' service contract has crippled Complainant's business and its supply chain access since June 2021.

HSNA denies that it has refused to negotiate or deal with Complainant. HSNA lacks sufficient information to admit or deny the remaining allegations of Paragraph 43.

44. Complainant's threats of filing a FMC complaint against Respondents for their normal, customary, and continuous refusals to meet the MQC of the parties' service contract and their charging of unjust and unreasonable demurrage fees that were the fault of Respondents and not Complainant, caused Respondents to (a) refuse to deal or negotiate with Complainant for a renewal of the parties' service contract, (b) retaliate against Complainant by refusing available cargo space to Complainant, and (c) unjustly or unfairly discriminating against Complainant in the allocation of cargo space, to Complainant's great detriment. This is evidenced in part by Respondents' ever-increasing failures to abide by the parties' service agreement and violations of the Shipping Act in parallel with Complainant's criticisms of Respondents' unjust and unreasonable practices and its threats to file a complaint with the FMC against Respondents.

Denied.

45. Respondents' aforementioned actions to refuse Complainant a service contract have forced Complainant into the spot market for nearly all its shipments – which are five to over 15 times the cost per container of a service contract price –

and as a result, driven up Complainant's shipping costs exponentially. Respondents' refusals, failures, and retaliation have threatened the very existence of Complainant's business.

Denied.

V. VIOLATIONS OF THE SHIPPING ACT

46. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

Paragraph 46 requires no additional response. The above responses are hereby incorporated by reference.

47. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

Paragraph 47 requires no response, as the Shipping Act speaks for itself.

48. Respondents' practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

HSNA admits that demurrage relates to the receiving, handling, storing, or delivering of property. The remaining allegations of Paragraph 38 are denied.

49. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against Shipments Nos. 1-3 (B/L Nos. SSZ0849867, SSZ0845076, and SSZ0852138) that were subject to governmental holds for examination by Customs, and therefore, unavailable for pick-up.

Denied.

50. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against Shipment No. 4 (B/L No. SSZ0853173) that was unavailable for pickup due to congestion-related delays at the Port.

Denied.

51. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges that serve no incentivizing principle and do not promote freight fluidity.

Denied.

52. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to provide Complainant with detailed billing information and/or invoices relating to the demurrage charges assessed that would allow Complainant to meaningfully understand and contest the charges.

Denied.

53. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce demurrage charges for the Shipments that were unavailable for pickup.

Denied.

54. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to have a clear dispute resolution policy with respect to demurrage charges.

Denied.

55. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(b)(2) by failing to operate under the terms of the parties' service contract, by failing to honor the minimum 400 TEU minimum volume, which occurred on a normal, customary, and continuous basis, within the Active Term.

Denied.

56. Respondents retaliated against Complainant in violation of § 411024(a)(3) by refusing and threatening to refuse cargo space when available and resorted to other unfair and unjustly discriminatory methods because Complainant had threatened to file a complaint with the FMC against Respondents for its violations of the Shipping Act.

Denied.

57. Respondents' conduct that occurred continuously over the course of 10 months constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the Agreement, in

violation of § 41104(a)(5).

Denied.

58. Respondents' conduct that occurred continuously over the course of 10 months gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the Service Contracts, in violation of § 41104(a)(9).

Denied.

59. Respondents refused to deal or negotiate with Complainant in violation of § 411024(a)(10) when they refused to renew Complainant's service contract and forced Complainant into the spot market for virtually all its shipments.

Denied.

VI. CAUSATION AND INJURY TO COMPLAINANT

60. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

Paragraph 46 requires no additional response. The above responses are hereby incorporated by reference.

61. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of well over \$21.6 Million, including (a) over \$20 Million for Respondents' refusal to deal or negotiate with Complainant in the renewal of the parties' service contract and/or their retaliation against Complainant; (b) over \$1.6 Million for Respondents' continuous refusal to meet the MQC in the parties' service contract; and (c) \$40,680.32 in erroneous demurrage charges. Complainant also seeks additional amounts of twice the amount of the actual injury under 46 U.S.C. § 41305(c) for Respondents' violations of 46 U.S.C. §§ 41102(b)(2) and 41104(a)(3).

Denied.

62. Respondents' misconduct has caused Complainant to incur other injuries as well, including delays, reduced inventory, unnecessary expenses, and lost profits, as well as attorneys' fees and costs relating to litigation.

Denied.

VII. ALTERNATIVE DISPUTE RESOLUTION

63. Complainant made numerous unsuccessful attempts to resolve this matter with Respondents prior to filing this Verified Complaint. Considering statements made by Respondents and noncooperation from Respondents in resolving this matter, Complainant did not seek to use the FMC's alternative dispute resolution procedures prior to filing this Verified Amended Complaint. That said, the parties have now scheduled preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64.

Paragraph 63 requires no response.

VIII. AFFIRMATIVE DEFENSES

1. The Commission lacks personal jurisdiction over HSNA.
2. The Commission lacks subject matter jurisdiction.
3. The Complaint fails to state a claim for which relief may be granted.
4. The Complainant lacks standing to recover reparations for the demurrage charges herein at issue.
5. Delays in delivering cargo were due in whole or in part to the acts and/or omissions of Complainant and/or its agents.
6. HSNA's conduct was reasonable in light of the totality of the circumstances.

WHEREFORE, Respondent HSNA prays that an order be made dismissing the complaint.

Respectfully Submitted,

By: 
Wayne Rohde
Kathryn Sobotta
COZEN O'CONNOR
1200 19th Street, N.W.
Suite 300
Washington, DC 20036
(202) 463-2507
wrohde@cozen.com
ksobotta@cozen.com

March 1, 2022

VERIFICATION OF RESPONDENT HAMBURG SUD NORTH AMERICA, INC.

I, Stanley Miklas, hereby declare under penalty of perjury under the laws of the United States that:

1. I am Manager, Risk Management of Maersk Agency USA, Inc., the U.S. agent of Maersk A/S.
2. I am authorized to make this verification on behalf of Hamburg Sud North America, Inc.
3. The facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.

Dated: March 1, 2022


Name: _____

Title: MANAGER, RISK MANAGEMENT

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 1st day of March, 2022, the foregoing Answer was served via electronic mail on:

Shlomo Y. Hecht, Esq.
sam@hechtlawpa.com

and

Aaron Davis, Esq.
davis@valhallalegal.com



Wayne R. Rohde

From: Gonzalo Maldonado [gonzalo.maldonado@hamburgsud.com]
Sent: 4/27/2021 9:48:40 PM
To: Andrea Casanova [andrea.casanova@hamburgsud.com]; Ivan Cheung [ivan.cheung@maersk.com]; Kevin Li [kevin.li@hamburgsud.com]
CC: Andrea Cobo [andrea.cobo@hamburgsud.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021
Attachments: CUSTOMER_PRODUCT_SUMMARY___AECC0000291.xlsx

Hi Kevin,

This is the account that we spoke during the TPEB account review that you need to add to our list.

Best Regards,

Gonzalo Maldonado
Manager Area East Coast Sales – MIA



2801 SW 149th Ave.
Miramar, FL 33027
Direct + 1 (954) 438 5351
Cell + 1 (908) 413 4471
Email gonzalo.maldonado@hamburgsud.com

Classification: Internal

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Tuesday, April 27, 2021 5:30 PM
To: Ivan Cheung <ivan.cheung@maersk.com>; Kevin Li <kevin.li@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>
Subject: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Ivan, Kevin

Customer OJ Commerce contract is expiring on May 31, 2021, and the customer wants to renew the contract and if possible to increase MQC and add the route to Louisville KY.

The current contract AECC0000291 had a validity of year and contains routes to City of Industry CA and MQC of 400 TEUs

According to the customer, they moved 3500x40HC in 2020 and plans to move between 4200 to 4700 FFE in 2021. 70% of this volume is to Kentucky and the remaining is to California

If we are interested in KY business, their warehouse is very close to the CSX Rail Yard for the drop and pull moves.

Attached is the contract with lanes and current rates and below is the customer's performance from Tableau.

Appreciate any advice if there are any new guideline regarding TPEB contracts so we can start working on this contract renewal.



Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Andrea Casanova
9/14/2022

Page 1	Page 2
BEFORE THE FEDERAL MARITIME COMMISSION DOCKET NO 21-11 OJ COMMERCE, LLC Complainant, v HAMBURG SUDAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG and HAMBURG SUD NORTH AMERICA, INC Respondents _____/ ZOOM REMOTE VIDEO TELECONFERENCE DEPOSITION OF ANDREA CASANOVA SEPTEMBER 14, 2022 10 02 AM TO 06 04 PM REPORTED BY: YASMIN MORSHEDIAN, FPR, COURT REPORTER NOTARY PUBLIC, STATE OF FLORIDA	1 APPEARANCES OF COUNSEL 2 3 ON BEHALF OF THE COMPLAINANT: 4 SAM HECHT, ESQ. 5 LAW OFFICES OF SHLOMO HECHT, P.A. 6 3076 N COMMERCE PARKWAY 7 MIRAMAR, FL 33025 8 9 10 11 ON BEHALF OF THE RESPONDENTS: 12 WAYNE R. ROHDE, ESQ. 13 COZEN O'CONNOR 14 1200 19TH STREET NW 15 WASHINGTON, DC 20036 16 17 ON BEHALF OF THE RESPONDENTS: 18 DAVID WEESE MARSTON JR, ESQ. 19 MORGAN LEWIS & BOCKIUS LLP 20 600 BRICKELL AVE STE 1600 21 MIAMI, FL 33131-3075 22 23 24 25
Page 3	Page 4
1 INDEX OF EXAMINATION 2 3 WITNESS: ANDREA CASANOVA 4 5 DIRECT EXAMINATION Page 6 By Sam Hecht, Esq. 5 7 8 RE-DIRECT EXAMINATION 9 By David Marston, Esq. 203 10 11 RE-CROSS EXAMINATION 12 By Sam Hecht, Esq. 222 13 14 15 16 17 18 19 20 21 22 23 24 25	1 INDEX OF EXHIBITS 2 3 EXHIBIT NUMBERS DESCRIPTION PAGE 4 **EXHIBITS RETAINED WITH COUNSEL** 5 6 7 8 9 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25

1 (Pages 1 to 4)

Info@ymlegalservices.com
YM Legal Services, Inc.
CX205

Hecht Decl.
Ex. 26

Page 173	Page 174
1 number of containers with Hamburg Sud? 2 A They asked that if -- they request to renew 3 the contract, and if possible to increase. 4 Q All right. But I am asking, prior to them 5 asking for renewal of the contract, during the terms of 6 the existing contract of the 2020 to 2021 contract, did 7 OJCommerce ever asked Hamburg Sud to increase the 8 volume under the existing contract. 9 MR. MARSTON: Objection to form. 10 A The volume under existing contract? 11 Q (By Mr. Hecht) Yeah. 12 A They did request to increase volume under 13 existing contract, to be honest, I do not remember. 14 Q Did OJCommerce request to increase the volume 15 under the existing contract multiple times? 16 MR. MARSTON: Objection to form. I think you 17 are misstating her testimony. 18 MR. HECHT: No. I am asking a question. I 19 am not stating any testimony. I am asking whether 20 OJCommerce has asked Hamburg Sud multiple times to 21 increase the volume during the term of the 22 contract. 23 MR. MARSTON: She just said she did not know 24 one way or the other. So, how can he be asking 25 multiple times?	1 MR. HECHT: I am not -- I am not stating any 2 of her statement. If she wants to answer, let the 3 Witness answer. 4 MR. MARSTON: I object to the form. She can 5 answer if she can. 6 A I do not remember. Well, he was always 7 asking us to increase additional space to provide space 8 for additional volume that he was bringing to us. I do 9 not know if that is the same as you are asking. 10 Q (By Mr. Hecht) Okay. So, you are saying you 11 remember Jacob Weiss constantly asking Hamburg Sud to 12 increase the volume? 13 A To provide space for additional space. 14 Q Okay. And did Hamburg Sud grant the 15 additional volume that OJCommerce was constantly 16 requesting? 17 A Well, yes. We increase our allocation that 18 we were accommodating for the customer from eight TEUs 19 to 10 TEUs. 20 Q Did Jacob Weiss ask to increase the 21 containers beyond 10 TEUs a week, more than 10 -- to 22 more than 10 TEUs per week? 23 A Yeah. He did request 24 Q Was he granted that request? 25 A I believe it was not. Um-hum. Well, let me
Page 175	Page 176
1 rephrase. Let me correct. In some weeks, we did 2 increase the allocation. That we did increase the 3 allocation more than 10. We saw in the previous -- in 4 the previous I mentioned that is some weeks we did. 5 -- taken was like 12. I do not -- I 6 do not remember, but we were trying to accommodate more 7 space, internal, for the customer. 8 Q Did Jacob Weiss ask you to increase to a lot 9 more than 10 TEUs per week? 10 A Yes. He did request to have more space per 11 week. 12 Q Did he ask you to increase by hundreds more 13 per week? 14 A I do not remember it was by hundreds, but 15 request more space. 16 Q Do you recall that -- if it was a significant 17 increase that he was asking? 18 MR. MARSTON: Objection to form. 19 A He was usually saying to me I remember, if I 20 remember correctly, you can give me 15, 20, 30, like, 21 whatever more you can provide to us, we will -- we can 22 provide with shipments. 23 Q So, is it your understanding that OJCommerce 24 was seeking to significantly increase the number of 25 containers with Hamburg Sud during the contract term?	1 MR. MARSTON: Object to form, but you can 2 answer. 3 A Can you repeat the question, please? 4 Q (By Mr. Hecht) Was it your understanding that 5 OJCommerce sought to significantly increase the volume 6 of containers with Hamburg Sud during the contract term 7 of 2020-2021? 8 MR. MARSTON: Same objection. 9 A He was seeking for more volume, yes, but I am 10 not sure if that -- I cannot tell -- 11 significantly more but he was seeking -- 12 with more volume during the same contract. 13 Q (By Mr. Hecht) Okay. And most -- and he was 14 not granted all of the requests to increase volume, 15 correct? 16 A We were trying to accommodate as best we can. 17 And when we can, we do it, as you can see in some of 18 the e-mails, but no, not all the time. 19 Q Okay. Okay. 20 MR. HECHT: I think Counsel, maybe we take 21 another 10? 22 MR. MARSTON: Okay. Yasmin, do you have the 23 time on the record as we break, we go off the 24 record. 25 MR. HECHT: Sure. Let us go off the record.

44 (Pages 173 to 176)

Page 205	Page 206
1 contract, did OJCommerce reasonably space the tender of 2 cargo throughout the term of the contract? 3 A I will say that, like I said before, there 4 were weeks that he was giving one container, other 5 weeks that he was requesting 15 containers. So, he -- 6 it was not always a steady number from him. He was 7 always requesting that the numbers were fluctuating all 8 the time. 9 Q Okay. And you are referring to the requests 10 that were coming in from OJCommerce with respect to 11 their shipment needs. Is that right? 12 A Yes. 13 Q Okay. Now, in the contract, the minimum 14 volume commitment, is that for their -- the 15 -- the two paragraphs under minimum volume 16 commitment, and Mr. Hecht also asked you about this. 17 And it says, there are 400 and it is set forth in TEUs. 18 Is that right? 19 A Correct. 20 Q Okay. And that is the volume, the minimum 21 volume commitment, that is for the period of the 22 contract, which is also stated in the -- on the page 23 there as June 23, 2020 through May 31, 2021, was that 24 your understanding? 25 A Correct.	1 Q Okay. Is there -- to your knowledge, is 2 there any provision in the contract that specifies the 3 number of TEUs that have to be provided or made 4 available to OJCommerce on a given week of the 5 contract? 6 A There is not. 7 Q Are there any provisions in the contract that 8 you are aware of that specify that OJCommerce is 9 entitled to some minimum volume commitment per month of 10 the contract term? 11 A No, it is not. 12 Q Is there any provision you are aware of in 13 the contract that specifies that OJCommerce is entitled 14 to some minimum volume commitment per quarter of the 15 contract term? 16 A There is not. 17 Q Okay. The only minimum volume commitment in 18 the contract that you are aware of is the one we see 19 here on Page 7 of 17 of the contract I am showing you 20 on the screen which is 400 TEUs for the 49 weeks from 21 June 23, 2020 to May 31, 2021? 22 A Yes. 23 Q Now, when you enter into -- when -- strike 24 that. When Hamburg Sud enters into a contract, like 25 this one that has a minimum volume commitment for a
Page 207	Page 208
1 contract period of 49 weeks, let us say or even a year, 2 do you get forecasts from your customers in which they 3 project the volume that they will have from week to 4 week or month to month or quarter to quarter? 5 A Some of them provide a forecast. It could be 6 weekly or monthly or quarterly -- 7 Q Okay. And as an account manager with respect 8 to the customers that you service, do you try to meet 9 the customer needs to the extent Hamburg Sud is able to 10 with respect to their forecasted projected needs for 11 the various frequencies of the contract, whether that 12 be on a weekly basis or a monthly basis, or some other 13 basis? 14 A Yes, we do. 15 Q Okay. And did you try to meet Hamburg Suds 16 needs on a weekly basis as you receive them from Jacob 17 Weiss at OJCommerce? 18 A Yes. 19 Q Now, if we were to take -- and we have seen 20 some documents that do this that Mr. Hecht showed you. 21 I think we saw one where Mr. Gass indicated that the 22 400 TEUs on the contract term basis, if you were to 23 look at that on an average weekly basis, it equates to 24 somewhere around eight TEUs per week, right? 25 A Correct. That was a calculation.	1 Q And you could also do that on a monthly, you 2 could say 400 TEUs over 49 weeks equates to some amount 3 on a monthly basis, right? 4 A Correct. 5 Q Does it mean that you were required to do it 6 under the contract, it just means it is one way of 7 looking at, right? 8 A Correct. 9 Q Okay. Now, I thought I heard you testify 10 this morning in response to Mr. Hechts questions that 11 early on in the contract term, so in the fall, let us 12 say of 2020, and I think he showed you a document along 13 these lines, that Mr. Weiss came to you, because he was 14 not getting sufficient space for his needs on other 15 carriers, so he came to him to Hamburg Sud and to you, 16 the account manager, to see if you could increase the 17 space that you were giving him from Hamburg Sud, do you 18 recall that? 19 A Yes. I recall. 20 Q Okay. And you indicated later today in your 21 testimony that Mr. Weiss frequently came to you on a -- 22 repeatedly on -- he repeatedly came to you seeking more 23 and more space. I think you said at some point, it was 24 like 15, 30, whatever you can give me he wanted. Is 25 that right?

52 (Pages 205 to 208)

Page 209	Page 210
1 A Yes. That is correct. 2 Q And when Mr. Weiss came to you asking for 3 additional space to be made available, if Hamburg Sud 4 could do it, what did you do? 5 A I always tell him that I was going to check 6 internally. And then I went to my trade manager and 7 the teams that are involved to ask them if we can 8 accommodate additional space to this customer. So, 9 always, as a salesperson, we always try to accommodate 10 customer needs. And of course, requesting that to our 11 trade team, who are the know -- who are the ones who 12 knows how is the market and how much we can provide or 13 not. 14 Q I see. And is that -- you gave some 15 testimony about a term, there was two terms I think 16 used for the same thing, SP and SPL. And I think they 17 both sounded like stood for space protected or 18 protecting space for a customer. Is that right? 19 A Yes. Um-hum. 20 Q And I think you said that was an internal 21 mechanism that was used to try to allocate certain 22 space for certain customer needs. Is that right? 23 A Correct. 24 Q Okay. And it also sounded like from your 25 testimony that at some point in time Hamburg Sud	1 actually increased the SP, the protected space for 2 OJCommerce from eight TEUs weekly to 10 TEUs weekly. 3 Was that right? 4 A That was right, within. 5 Q Okay. And if, in fact, I think Mr. Hecht was 6 thinking that perhaps SP was the same thing as MQC or 7 MVC, the minimum quantity commitment or the minimum 8 volume commitment, and you explain that they are not 9 the same thing, right? 10 A Correct. 11 Q All right. If the MQC under the contract had 12 been 10 TEUs per week, that means that over the course 13 of 49 weeks, how much volume would Hamburg Sud have 14 done for OJCommerce? 15 A More than 400. 16 Q It would have been 490 TEU, right? 17 A Correct. 18 Q 49 times 10. 19 A Correct. 20 Q And that is more than the minimum volume 21 commitment that we just looked at in the contract that 22 you have before you, right? 23 A Yes. 24 Q Okay. Now, when Hamburg Sud on its own 25 without a contractual requirement to do so increase the
Page 211	Page 212
1 volume commitment from 8 TEUs -- strike that, let me 2 restate. When Hamburg Sud on its own increase the 3 space protected allocation to OJCommerce from eight TEU 4 to 10 TEU a week, did it charge OJCommerce a premium 5 when it did that? 6 A No. We did not. 7 Q Okay. Give me one second. I got to -- I got 8 to stop sharing and find the other Exhibits here, hold 9 on. All right. Let me share the screen with you here. 10 I am showing you what Mr. Hecht marked as Exhibit D to 11 your deposition. Let me just go to the top so you can 12 remember this. This is the e-mail where he pointed out 13 that the text of your e-mail from October 19th, 2020 14 was in slightly blue color font. And you were filling 15 in your responses to Mr. Gass questions in the e-mail 16 below. And your responses are in that same blue font 17 color. Do you see that? 18 A Yes. 19 Q And you remember looking at this with Mr. 20 Hecht? 21 A Yes. 22 Q Okay. And I think he took your attention 23 first to Paragraph 4, which says, was there any formal 24 documentation confirming our obligation to carry the 25 additional two TEUs a week or does this fall under the	1 terms of the contract which stipulate that we can 2 accept more cargo at our discretion, referring to 3 Section 3(A)(2) of the contract And then you wrote, 4 there was not formal -- there was not a formal 5 documentation, customer was informed by e-mail that SP 6 was increased 10 TEU per week on August 3, 2020, and 7 you attach an e-mail to this? 8 A Correct 9 Q Okay The question I had about this was when 10 you refer to formal documentation, in your response, to 11 your knowledge, was the contract that we just looked at 12 and that Mr Hecht marked as Exhibit A, the contract 13 between Hamburg Sud and OJCommerce, was it ever amended 14 ever? 15 A No It was not amended 16 Q So, the -- there was never any language added 17 to the contract then that required any minimum volume 18 commitment on a weekly basis or a monthly basis or a 19 quarterly basis or any basis other than the 49 week 20 contract term that we saw in the contract a moment ago, 21 is that fair? 22 A Yes That is fair There was 23 -- 24 Q Okay I think that is all I have on that 25 one

53 (Pages 209 to 212)

Re: OJ Commerce v Hamburg Sud

Sam Hecht <sam@hechtlawpa.com>

Wed 4/28/2021 10:27 AM

To: claimshh@hamburgsud.com claimshh@hamburgsud.com ; info.mia@hamburgsud.com <info.mia@hamburgsud.com>; Michael.Gast@hamburgsud.com <Michael.Gast@hamburgsud.com>; RNA-Claims@hamburgsud.com <RNA-Claims@hamburgsud.com>

Cc: Jacob Weiss <jacob@ojcommerce.com>; Aaron Davis <davis@valhallalegal.com>

 1 attachment (250 KB)

Demand letter to HAMBURG SÜD - II.pdf;

Dear Hamburg Süd North America, Inc.,

Please see attached correspondence.

Shlomo ("Sam") Hecht, Esq.

The Law Offices of Shlomo Y. Hecht, P.A.
3076 N Commerce Parkway
Miramar, FL 33025
Phone: 954 861 0025
Email: sam@hechtlawpa.com

Confidentiality Notice

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April 28, 2021

HAMBURG SUEDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & CO KG
WILLY-BRANDT-STR. 59-65
20457 HAMBURG
GERMANY

HAMBURG SUD NORTH AMERICA,
INC.
465 SOUTH STREET F 3 STE 300
MORRISTOWN NJ 07960
UNITED STATES

Re: NOTICE OF BREACH OF SERVICE AGREEMENT

Dear HAMBURG SUEDAMERIKANISCHE:

Please be advised that the undersigned represents OJ COMMERCE, LLC (“OJC”) against HAMBURG SÜDAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG (“HAMBURG SÜD”), in connection with a breach of Service Contract that was executed between HAMBURG SÜD and OJC. A copy of the agreement is hereby attached.

Pursuant to the “Minimum Volume Commitment” clause of the agreement, [Page 7], HAMBURG SÜD committed to a minimum of 400 TEU between June 23, 2020 and May 31, 2021. Over the last few months, HAMBURG SÜD refused to accept the agreed upon 10 TEUs per week, as a result OJC has accumulated over 40 containers waiting for shipment, causing significant economic harm and interruption of business.

OJC hereby provides HAMBURG SÜD notice of breach of the Service Agreement, which has caused significant economic harm to OJC. I hereby demand that HAMBURG SÜD immediately honor the Service Agreement rates and minimum TEU quantities. Failure to cure the breach by May 3, 2021, may result in legal action against you and your affiliates, as well as the filing of a petition to the Federal Maritime Commission to seek relief.

Furthermore, OJC will soon be seeking discovery to identify all paper documents, physical items, electronic documents, data, or other evidence and materials within the definition of Rule 34 of the Federal Rules of Civil Procedure that may be relevant to the abovementioned Ligation *as well as to similar claims related to similarly situated plaintiffs* (“Documents”). As part of this process, you must preserve and safeguard, and must not alter, delete, destroy, or discard, any



paper documents, physical items, or electronic documents and data you have relating to the Litigation and claims above.

This litigation hold notice (the “**Notice**”) applies to all paper documents, physical items, and electronic documents and data that may be relevant to the Litigation. Relevant paper documents include correspondence, handwritten notes, telephone logs, calendars, and other business records. **If you are unsure about whether certain documents and data are relevant, you should preserve them.**

You also must take affirmative steps to preserve, and suspend any deletion, overwriting, modification, or other destruction of all relevant electronic documents and data under your control. Electronic data includes correspondence, telephone logs, and other business records, such as emails including Outlook PST/Lotus Notes NSF/ files, voicemails, text messages, instant messages (IMs), calendars, word processing files, spreadsheets, PDFs, JPEGs, PowerPoint presentations, Access, Oracle and other databases, including cloud-based storage, temporary internet files, cookies, .ZIP files, and all other forms of electronic information, wherever it resides, including the Internet. You must preserve this information in its current form, without moving any electronic information or changing any related metadata (for example, a document’s creation or last access date).

Your preservation obligation also extends to the preservation of relevant data on external media, including hard drives, DVDs, CDs, USBs, personal home computers, laptops, and mobile devices, including PDAs, cell phones, and tablets. In sum, all paper and electronically stored information must be preserved intact and without modification. **Please note this list is not intended to be exhaustive and you must preserve any and all information relevant to this dispute.**

Please preserve all such evidence and materials until such time as the Litigation is complete and any potential claims are finally disposed of, whether through litigation or other means.

Your failure to preserve relevant data may constitute spoliation of evidence and may subject you to sanctions. *See e.g., DeLong v. A-Top Air Conditioning Co.*, 710 So. 2d 706 (Fla. 3d DCA 1998) (affirming dismissal with prejudice of claim where party failed to preserve evidence material to case). We trust you will preserve any and all Documents for the duration of this dispute. In the event a dispute arises out of your failure to preserve Documents, we will rely on this letter as evidence of our request and notice of your preservation obligations.

GOVERN YOURSELF ACCORDINGLY,

Shlomo Y Hecht, Esq.

Classification: Internal

From: Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>
Sent: Tuesday, May 4, 2021 8:40 AM
To: Kevin Li <kevin.li@hamburgsud.com>; Andrea Casanova <andrea.casanova@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>; Michael Gast <michael.gast@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Ivan,

Good morning from USAEC.

Please note we were advise from customer in case that HS will not fulfill its contractual volume, it will proceed with legal actions against HS.

We believe due to the small volume remaining to fulfil MQC of 200 FFE; this could be avoid it.

I would appreciate please your feedback and authorization to grant space for this month of May for those 18 FFE's needed.

Best Regards,

Gonzalo Maldonado
Manager Area East Coast Sales – MIA



2801 SW 149th Ave.
Miramar, FL 33027
Direct + 1 (954) 438 5351
Cell + 1 (908) 413 4471
Email gonzalo.maldonado@hamburgsud.com

Classification: Internal

From: Kevin Li <kevin.li@hamburgsud.com>
Sent: Thursday, April 29, 2021 4:52 PM
To: Andrea Casanova <andrea.casanova@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>; Michael Gast <michael.gast@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Andrea,

As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. I consulted with Juergen and the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation. Please disengage on renewal negotiation with this account, thanks.

Hi Ivan,

Please reject the new agreement mentioned below. Meanwhile, we will leave it up to APAROM's decision to handle the remaining 18 FFE that required to fulfill the 200 FFE MQC on current contract. But just to express our position on this, we should also consider not to provide them with space under existing contract. The shortfall will be compensated as per contract terms, considering we already fulfilled over 90% of the MQC agreement. Thanks.

@Michael Gast, please feel free to chime in, let us know if it is definitely required to provide the remaining 18 FFE from your prospective. Thanks.

Best Regards,
Kevin Li
Cargo Flow Specialist
Sales Coordination and Marketing

Hamburg Süd North America, Inc.
A Maersk Company
955 Hawthorn Drive
Itasca, IL
E-mail: kevin.li@hamburgsud.com

Classification: Internal

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Thursday, April 29, 2021 10:16 AM
To: Kevin Li <kevin.li@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Michael Gast <michael.gast@hamburgsud.com>
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Kevin

I created the new SVC NOAC1000728 Effective June 1, 2021, until May 31, 2022. The new contract contains the same lanes, rates, and conditions of the current contract AECC0000291 and an increased MQC 400 FFE.

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Our offer includes the "Drop and Pull" service which means that door move includes one round trip trucking with no bobtail included.

The trucker who delivers the full Import container to your warehouse can pull out the empty container from the same warehouse location.

Any imbalance of loads and empties will result in a bobtail fee (double the round-trip dray cost) an additional \$460.)

The above statement is supported by the third attached correspondence from Wednesday, June 24, 2020, 4:49 PM and 5:22 PM sent by Serena from Trade dept.

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Just to clarify, our rate only covers "drop and pull" one round trip trucking with no bobtail included. "any imbalance of loads and empties will result in a bobtail fee (double the round-trip dray cost)."

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"Drop and Pull", our door rate will only include one round trip trucking.

"Drop and Pick, we will charge the bobtail fee to double inland cost \$460x2).

Please let me know if anything else is needed from my side.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.

2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

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From: Andrea Casanova
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Cc: Andrea Cobo <Andrea.Cobo@hamburgsud.com>; Michael Gast <Michael.Gast@hamburgsud.com>; Gonzalo Maldonado <Gonzalo.Maldonado@hamburgsud.com>
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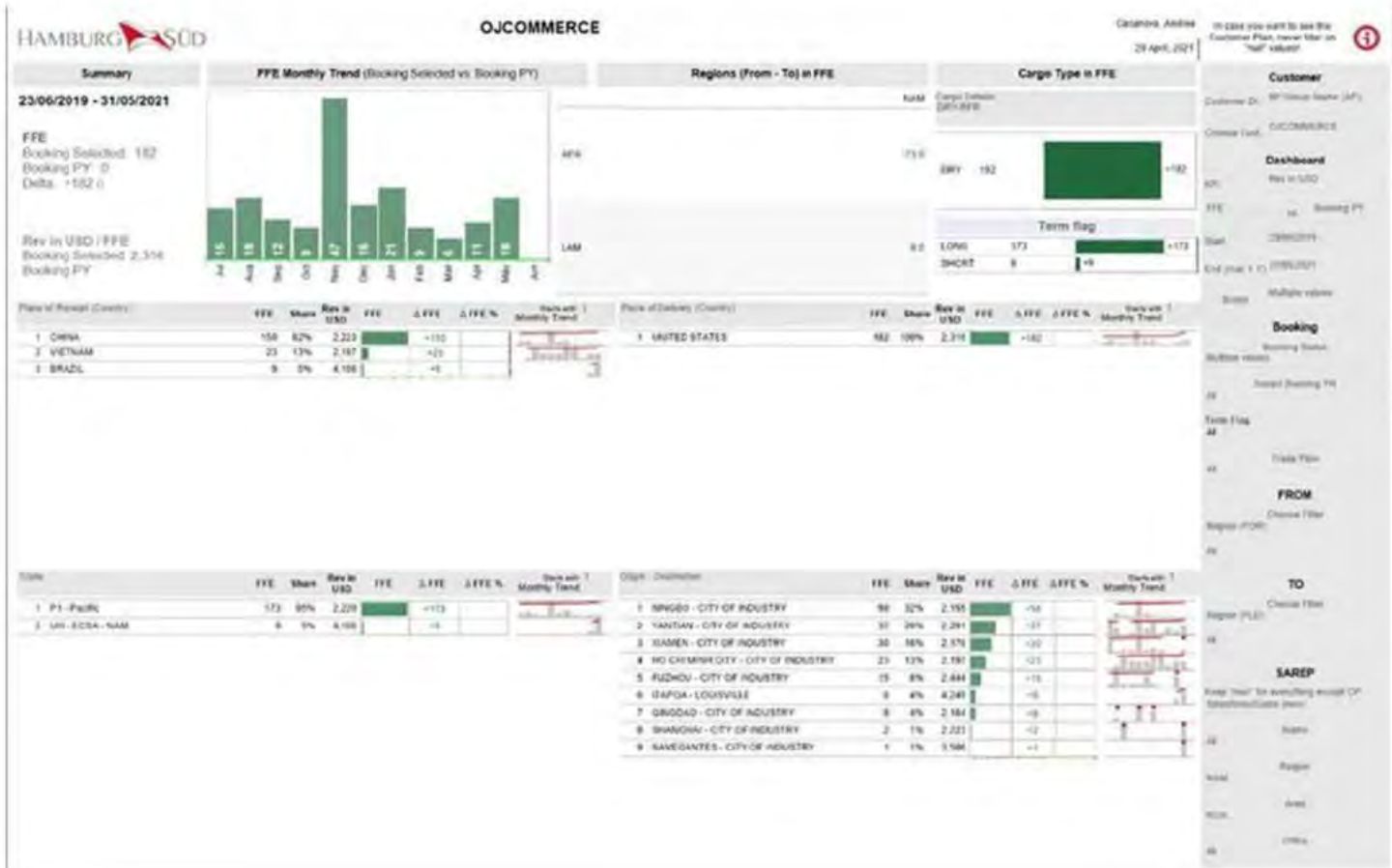
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Therefore, based on the above and since we are working to renew the contract, I want to ask if it is possible to Increase MQC by 200 FFE giving a total of \$400 FFE, that will not only cover the deficit by also show our interest to participate more of their volume, of course, if we truly can satisfy this volume.

This is not a short term account and the customer has been constant in his volumes and is willing to commit to much more of the current MQC.

Appreciate your review and feedback as soon as possible and if needed let's have a call.

I believe that the below Tableau's performance report includes the confirmed bookings for the next weeks, which are shown in the flexible dashboard below.



HAMBURG SÜD **Flexible Dashboard**

Agreement Party: OJCOMMERCE No. Trade Flow: P2-H Vessel System: URASSZ

Future

	21/10	21/10	21/10
OJCOMMERCE	2	1	3
Grand Total	4	4	3

Thank you in advance,

Best Regards,

Andrea Casanova
Account Executive

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E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

CX216

HS-011682

From: Kevin Li <kevin.li@hamburgsud.com>

Sent: Wednesday, April 28, 2021 4:32 PM

To: Andrea Casanova <andrea.casanova@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Andrea,

We will need a clear target in order to put it on target list. They signed 200 FFE last year for City of Industry, CA and almost fulfilled that this year. Based on that what would be the MQC target for next year with and without KY business? I do suggest to maintain focus on local destination only. Tks.

Best Regards,

Kevin Li

Cargo Flow Specialist

Sales Coordination and Marketing

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Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

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Hi Kevin,

Thank you, the client did not mention a specific MQC target but he mentioned the projected volume and is open to our proposal. They are willing to give us also KY business if we can carry it. In the past, it was declined since were not pursuing business to this IPI.

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Hi Gonzalo,

As per below, this will be 100% P1 opportunity. What's the MQC target for this account?

Best Regards,

Kevin Li

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Hi Kevin,

This is the account that we spoke during the TPEB account review that you need to add to our list.

Best Regards,

Gonzalo Maldonado

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Subject: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Ivan, Kevin

Customer OJ Commerce contract is expiring on May 31, 2021, and the customer wants to renew the contract and if possible to increase MQC and add the route to Louisville KY.

The current contract AECC0000291 had a validity of year and contains routes to City of Industry CA and MQC of 400 TEUs
According to the customer, they moved 3500x40HC in 2020 and plans to move between 4200 to 4700 FFE in 2021. 70% of this volume is to Kentucky and the remaining is to California

If we are interested in KY business, their warehouse is very close to the CSX Rail Yard for the drop and pull moves.

Attached is the contract with lanes and current rates and below is the customer's performance from Tableau.

Appreciate any advice if there are any new guideline regarding TPEB contracts so we can start working on this contract renewal.



Best Regards,

Andrea Casanova
Account Executive

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E-Mail: andrea.casanova@hamburgsud.com

From: Kevin Li [kevin.li@hamburgsud.com]
Sent: 4/29/2021 6:17:15 PM
To: Juergen Pump [juergen.pump@hamburgsud.com]
CC: Alexandra Blackford [alexandra.blackford@hamburgsud.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Thanks Juergen, I will reply to sales and APAROM with our position on this.

Best Regards,
Kevin Li
Cargo Flow Specialist
Sales Coordination and Marketing

Hamburg Süd North America, Inc.
A Maersk Company
955 Hawthorn Drive
Itasca, IL
E-mail: kevin.li@hamburgsud.com

Classification: Internal

From: Juergen Pump <juergen.pump@hamburgsud.com>
Sent: Thursday, April 29, 2021 1:13 PM
To: Kevin Li <kevin.li@hamburgsud.com>
Cc: Alexandra Blackford <alexandra.blackford@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Kevin,

Fully agree. We should not engage in any renewal discussions with customer in light of the potential litigation. I would also not provide them with space under the existing contract. The shortfall will be compensated as per contract terms.

Brgds

JP

Classification: Internal

From: Kevin Li <kevin.li@hamburgsud.com>
Sent: Thursday, April 29, 2021 2:04 PM
To: Juergen Pump <juergen.pump@hamburgsud.com>; Alexandra Blackford <alexandra.blackford@hamburgsud.com>
Subject: FW: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Juergen,

Sorry to trouble you but I need your executive decision on this account, it was the one being mentioned in our call with AEC this Tuesday. I was completing unaware of the legal action they put against us during the time I left the TPEB team, and I don't believe it was shared in our call as well.

Long story short, they are threatening us on liquidated damage against the space that we couldn't provide under committed 200 FFE MQC, which so far we already fulfilled 182 FFE and their contract will only expire by end of May. Meanwhile, they are proposing a renewal contract with 400 FFE MQC but all rates remain the same from last year contract.

In my opinion this is pathetic and unacceptable, it will be a risk to continue work with this account especially considering our space situation this coming year. I can work with APAROM to ensure they will get the remaining 18 FFE before end of May. But let me know if you still want to engage this account with contract renewal, we can setup a call to discuss if needed. Thanks.

Best Regards,
Kevin Li
Cargo Flow Specialist
Sales Coordination and Marketing

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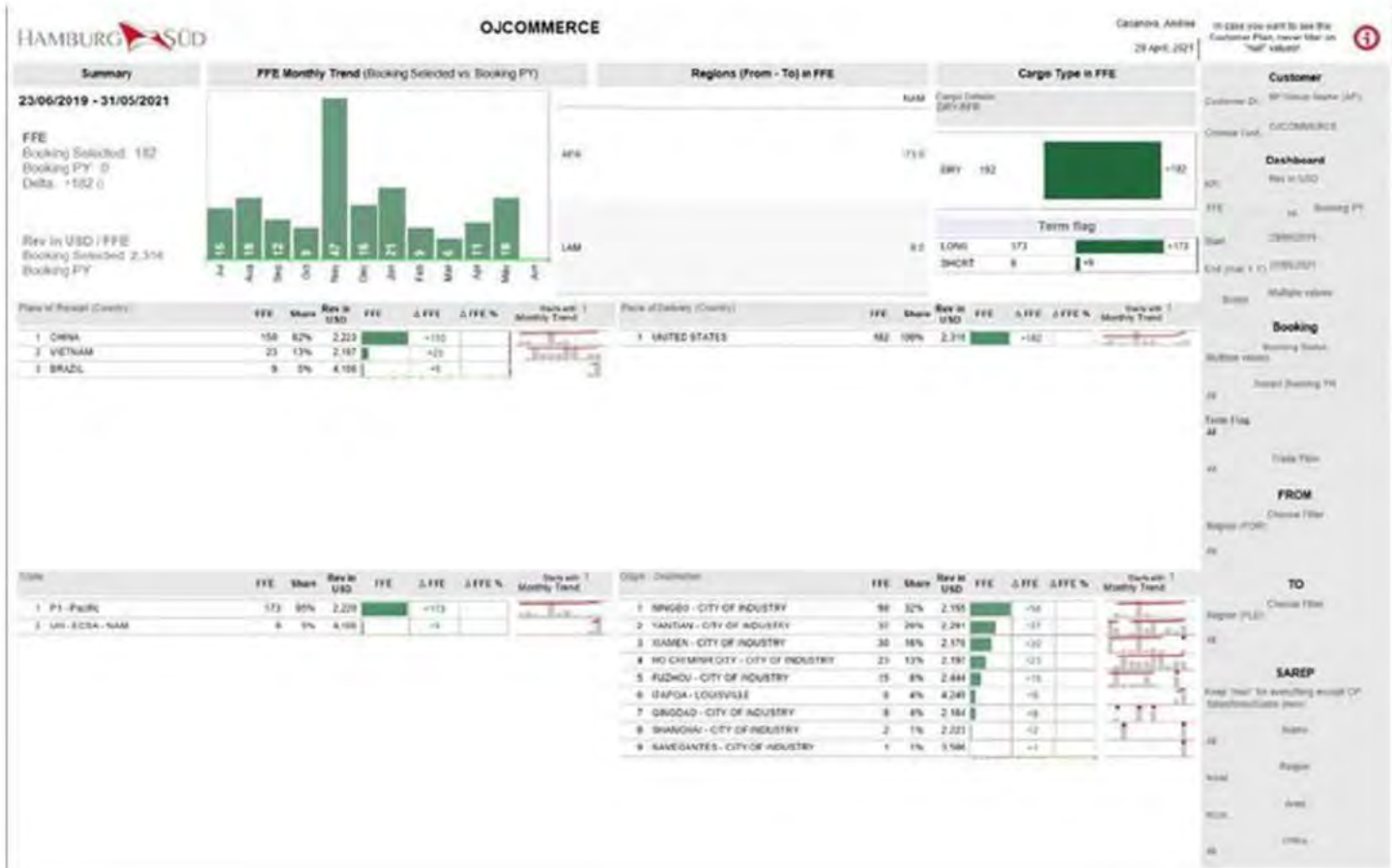
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Agreement Party: OJCOMMERCE No. Trade Flow: P2-H Vessel System: UPRASZ

Future

Agreement Party	No. Trade Flow	Vessel System	21/19	21/20	21/21
OJCOMMERCE	P2-H	UPRASZ	2	1	3
		UPRASZ	2		
		UPRASZ		2	
		UPRASZ		1	
Grand Total			4	4	3

Thank you in advance,

Best Regards,

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Classification: Internal

CX223

HS-012570

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Sent: Wednesday, April 28, 2021 4:32 PM

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From: Gonzalo Maldonado [gonzalo.maldonado@sealandmaersk.com]
Sent: 5/4/2021 12:40:22 PM
To: Kevin Li [kevin.li@hamburgsud.com]; Andrea Casanova [andrea.casanova@sealandmaersk.com]; Ivan Cheung [ivan.cheung@maersk.com]; Michael William Gast [michael.gast@hamburgsud.com]
CC: Andrea Cobo Aguirre [andrea.cobo@sealandmaersk.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021
Attachments: RE: OJ Commerce v Hamburg Sud; RE: Hamburg / OJ COMMERCE / SPACE; RE: OJ COMMERCE / 2020 TPEB Contract Bid AECC0000291

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Good morning from USAEC.

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We believe due to the small volume remaining to fulfil MQC of 200 FFE; this could be avoid it.

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Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Andrea,

As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. I consulted with Juergen and the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation. Please disengage on renewal negotiation with this account, thanks.

Hi Ivan,

Please reject the new agreement mentioned below. Meanwhile, we will leave it up to APAROM's decision to handle the remaining 18 FFE that required to fulfill the 200 FFE MQC on current contract. But just to express our position on this, we should also consider not to provide them with space under existing contract. The shortfall will be compensated as per contract terms, considering we already fulfilled over 90% of the MQC agreement. Thanks.

@Michael Gast, please feel free to chime in, let us know if it is definitely required to provide the remaining 18 FFE from your prospective. Thanks.

CX227

Hecht Decl.
Ex. 30

HS-011474

Best Regards,
Kevin Li
Cargo Flow Specialist
Sales Coordination and Marketing

Hamburg Süd North America, Inc.
A Maersk Company
955 Hawthorn Drive
Itasca, IL
E-mail: kevin.li@hamburgsud.com

Classification: Internal

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Thursday, April 29, 2021 10:16 AM
To: Kevin Li <kevin.li@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Michael Gast <michael.gast@hamburgsud.com>
Subject: FW: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Kevin

I created the new SVC NOAC1000728 Effective June 1, 2021, until May 31, 2022. The new contract contains the same lanes, rates, and conditions of the current contract AECC0000291 and an increased MQC 400 FFE.

I added in remarks the drop and pull service which was offered with the current contract. I believe the bobtail fee amount has changed so please let which would be to inform the customer and I will modify the remarks in the contract.

Our offer includes the "Drop and Pull" service which means that door move includes one round trip trucking with no bobtail included.

The trucker who delivers the full Import container to your warehouse can pull out the empty container from the same warehouse location.

Any imbalance of loads and empties will result in a bobtail fee (double the round-trip dray cost) an additional \$460.)

The above statement is supported by the third attached correspondence from Wednesday, June 24, 2020, 4:49 PM and 5:22 PM sent by Serena from Trade dept.

Sent: Wednesday, June 24, 2020, 4:49 PM

Just to clarify, our rate only covers "drop and pull" one round trip trucking with no bobtail included. "any imbalance of loads and empties will result in a bobtail fee (double the round-trip dray cost)."

Sent: Wednesday, June 24, 2020, 5:22 PM

"Drop and Pull", our door rate will only include one round trip trucking.

"Drop and Pick, we will charge the bobtail fee to double inland cost \$460x2).

Please let me know if anything else is needed from my side.

Best Regards,

Andrea Casanova
Account Executive

Andrea commented that she had an idea to see if we could roll any shortfall under the current contract into the renewal agreement and that potentially seemed like a decent idea to me

Hamburg Süd North America, Inc.
180 Park Ave
Florham Park, New Jersey 07932
Tel +1 973 514 5258
E-Mail Address: michael.gast@hamburgsud.com
Group E-Mail: RNA-Claims@hamburgsud.com

From: Michael Gast <michael.gast@hamburgsud.com>
Sent: Thursday, April 29, 2021 2:46 PM
To: Wiebke Harke <wiebke.harke@hamburgsud.com>
Cc: Weizmann Velasquez <weizmann.velasquez@hamburgsud.com>; RNA-Claims <RNA-Claims@hamburgsud.com>; Ella Yeung <ella.yeung@hamburgsud.com>
Subject: RE: OJ Commerce v Hamburg Sud

Good Day Wiebke,

I have added Ella for potential contribution to these discussions and for general awareness.

As background this is the second time we have received such a threat of suit for this same reason and I believe the third time this customer has threatened to sue us this year. I believe the other time was related to demurrage charges.

As it stands I believe we are unlikely to meet our duties under these contract terms. I have raised this issue to both commercial teams here and colleagues at origin responsible for accepting these bookings. The first time this occurred I stressed the financial impact such a lawsuit could carry and I have done so again. It appears our local sales colleagues had tried to address the capacity issue with origin but were advised that no additional space would be granted for this customer.

The contract stipulates the merchant can request to reduce the minimum volume commitment under the terms however I believe they are unlikely to do so and instead would pursue commercial damages for any shortfall under this contract citing that the shortfall is our fault due to a failure to provide proper weekly space.

The first time this came up I engaged with the lawyer and can advise he seems to be on the aggressive side and seemingly would prefer to sue us rather than discuss amicable resolutions. Further while the contract contains a provision for consolidated damages at a rate of \$250/TEU he has indicated that he would waive the consolidated damages and instead pursue actual damages which would of course be a significantly higher amount.

It also seems we are considering signing another contract with this customer with an increased capacity. I understand sales needs to meet certain quotas and more business is always great but personally I would not want to do business with someone who repeatedly jumps to threat of lawsuit such as this. Should such a lawsuit occur I can easily imagine the cost would easily wipe out any profits gained from the commercial relationship due to potential breach of contract judgements against us and the cost of our own legal representation.

At this point I do not know what more could be done from my side other than to wait for May 31 to see how bad the shortfall is and perhaps hope that due to the customer wanting to sign a renewal contract that they would choose to not pursue this breach of contract suit for minor shortfalls under the present agreement.

Kind regards,

Michael Gast
Risk Management
Hamburg-Süd

Hamburg Süd North America, Inc.
180 Park Ave
Florham Park, New Jersey 07932
Tel +1 973 514 5258

CX229

Hecht Decl.
Ex. 31

HS-011725

E-Mail Address: michael.gast@hamburgsud.com
Group E-Mail: RNA-Claims@hamburgsud.com

Classification: Internal

From: HAM-CLAIMS <claimshh@hamburgsud.com>
Sent: Thursday, April 29, 2021 7:59 AM
To: Michael Gast <michael.gast@hamburgsud.com>; RNA-Claims <RNA-Claims@hamburgsud.com>
Cc: Weizmann Velasquez <weizmann.velasquez@hamburgsud.com>
Subject: WG: OJ Commerce v Hamburg Sud

Dear Mike,

just noted this in the general claims mailbox, trust you have seen it already...
Looking forward to further comments / background info from your side in due course and copying Weizmann for awareness.

Brgds
Wiebke

Wiebke Harke, LL.M.

Major Claims & Litigation Lead
Customer Claims, Maersk Legal



Phone: [+49 40 3705-2304](tel:+494037052304)
Fax: [+49 40 3765-9095](tel:+494037659095)
Mobile: [+49 172 3468048](tel:+491723468048)
E-mail: wiebke.harke@hamburgsud.com

Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG
Willy-Brandt-Straße 59-65, 20457 Hamburg, Germany
Commercial Register: Amtsgericht Hamburg HRA 59448
General Partner: Hamburg Süd A/S, Copenhagen (Denmark)
Centrale Virksomhedsregister (CVR) No. 32345794
Executive Board: Søren Skou (CEO)
Board of Directors: Jim Hagemann Snabe (Chairman)

Von: Sam Hecht <sam@hechtlawpa.com>

Gesendet: Mittwoch, 28. April 2021 16:27

An: HAM-CLAIMS <claimshh@hamburgsud.com>; MIA-INFO.MIA <INFO.MIA@hamburgsud.com>; Michael Gast <michael.gast@hamburgsud.com>; RNA-Claims <RNA-Claims@hamburgsud.com>

Cc: Jacob Weiss <jacob@ojcommerce.com>; Aaron Davis <davis@valhallalegal.com>

Betreff: Re: OJ Commerce v Hamburg Sud

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Dear Hamburg Süd North America, Inc.,

Please see attached correspondence.

Shlomo ("Sam") Hecht, Esq.

The Law Offices of Shlomo Y. Hecht, P.A.

3076 N Commerce Parkway

Miramar, FL 33025

Phone: 954-861-0025

Email: sam@hechtlawpa.com

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This email is intended only for the person addressed to, and may contain confidential information that is protected by the attorney-client privilege. If you received this message by error, or if you are not the intended recipient, you must not disclosure or transmit this information to any person, notify our office immediately by emailing: sam@hechtlawpa.com or calling: (954) 861-0025, and delete this message immediately.

Classification: Internal

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**RESPONDENT'S ANSWERS AND OBJECTIONS TO COMPLAINANT
OJ COMMERCE, LLC'S FIRST SET OF INTERROGATORIES**

Maersk A/S, as successor-in-interest to Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG, hereby responds to the Interrogatories listed below (the "Interrogatories").

1. Identify each person from whom/which You obtained information in order to answer these Interrogatories, identifying for each person which interrogatory they provided information.

Response:

- (a) Kevin Li
Maersk Agency USA, Inc.
955 Hawthorn Drive
Itasca, IL
Kevin.li@hamburgsud.com

Hecht Decl.
Ex. 32

- (b) **Andrea Casanova**
Maersk Agency USA, Inc.
2801 SW 149th Avenue
Miramar, FL 33027
Andrea.casanova@hamburgsud.com
(954) 438-5347
- (c) **Adilson Silva**
Maersk Agency USA, Inc.
180 Park Avenue
Florham Park, NJ 07932
Adilson.silva@hamburgsud.com
(973) 514-5381
- (d) **Ivan Cheung**

2. Identify each person who participated in the drafting, negotiation, execution, and administration of the Agreement, including the Agreement's MQC, including each person's role in each activity.

Response:

- (a) **Andrea Casanova**
Maersk Agency USA, Inc.
2801 SW 149th Avenue
Miramar, FL 33027
Andrea.casanova@hamburgsud.com
(954) 438-5347
- (b) **Rodrigo Pestana**
Maersk Agency USA, Inc.
350 Sansome Street, Suite 520
San Francisco, CA 94104
Rodrigo.pestana@hamburgsud.com
(415) 267-3803
- (c) **Serena Cheung**
- (d) **Diana Bekova**
- (e) **Andrea Cobo**

3. Identify each instance in which You contend that OJC, in an untimely or otherwise improper fashion, requested space for any OJC Cargo or shipment on any HSDG sailing, provided notice of its space requirements for shipments to be tendered under the Agreement, and/or tendered any OJC Cargo or shipment under the Agreement, or a Force Majeure event affected Your obligations or performance under a Service Contract, including the Agreement, and include the following information for each such instance:

- a. the date and means of the request/tender,
- b. the date and means of Your response to the request/tender,
- c. the reason(s) You considered the request/tender to be untimely or improper,
and
- d. identify all persons with knowledge of the matters requested in this Interrogatory.

Response: Respondent has not yet been able to compile all information necessary to respond fully to this Interrogatory. However, as an interim response, Respondent is presently investigating information which it believes indicates that OJC or its agent may have failed to provide an accurate cargo forecast and attempted to book an excessive amount of cargo in July of 2020. Respondent has also uncovered information suggesting that OJC or its agent may have attempted to book cargo on the wrong service during the terms of the contract, which error may have caused confusion and an inability to provide space. Respondent will supplement this response in due course, and expressly reserves the right to identify circumstances beyond those mentioned in this interim response.

4. Identify in detail each instance, regardless of date, in which You have been accused of:

- a. failing to establish, observe, and enforce just and reasonable practices relating to receiving, storing, or delivering of property;
- b. retaliating against a Shipper;
- c. resorting to unfair or unjustly discriminatory methods against a Shipper;

- d. engaging in unfair or unjustly discriminatory practices against a Shipper;
- e. giving undue and unreasonable preference or advantage to a Shipper or imposed an undue or unreasonable prejudice or disadvantage on a Shipper with respect to ports identified in a Service Contract; or
- f. unreasonably refusing to deal or negotiate a renewal of or enter into a Service Contract.

Response: Respondent objects to this Interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.

5. Identify each fact witness You expect to submit testimony on Your behalf in this proceeding and state the subject matter and the substance of the facts regarding which the witness is expected to testify.

Response: Respondent has not yet identified any persons expected to act as fact witnesses beyond those identified in the initial disclosures of the parties to this proceeding.

6. Identify and describe in detail Your policies, considerations, decisions, or determinations as to which Shippers were offered a Service Contract with You, and what MQC each of those Shippers received in their Service Contracts as compared to what MQC they requested, and which Shippers were not offered a Service Contract with You despite a request for one.

Response: There are a number of factors that influence whether a customer is offered a service contract. These include, but are not limited to: (a) the commodity the customer wishes to ship; (b) the routings on which the customer wishes to ship; (c) the volume of cargo to be shipped; (d) the rate the customer is willing to pay; (e) the relationship between the cost of providing the service and the rate to be paid; (f) the availability of vessel space in the trade; (g) the extent to which the service sought involves inland transportation; (h) the availability of inland transportation services necessary to provide inland transport; (i) past experience with the customer (or lack thereof) including timeliness of payment, and overall functioning of business relationship; (j) any special needs/request/terms sought or required by the customer;

(k) the type of equipment (containers) required to provide the transportation; (l) Respondent's need for or ability to utilize the containers once empties at destination; (m) Respondent's relationship(s) with other shippers of similar commodities in the trade in question; (n) Respondent's relationship with the customer in other trade lanes; and (o) extent to which customer purchases services ancillary to the ocean transport of cargo from Respondent.

Respondent objects to the portion of the Interrogatory seeking information about the MQC requested and received by its customers. The minimum volume commitment of a service contract, like other contract terms, is the subject to negotiation between the parties. In some cases, a volume commitment may be proposed by the customer and in other cases by Respondent. In many cases, the volume commitment originally proposed may be adjusted up or down in the course of negotiation of all contract terms, regardless of which party made the initial volume proposal. The information sought is not reasonably accessible because of undue burden and undue cost.

7. Identify and describe in detail the reasons, policies, and considerations concerning

Your unwillingness or refusal to renew or enter into a Service Contract with OJC.

Response: The decision not to renew or enter into a service contract with OJC was based in part on some of the factors cited in the response to Interrogatory #6 above. More specifically, the decision was based in part on OJC's relatively low volume commitment, OJC's lack of cargo volume in other trade lanes, the availability of space in the Transpacific trade, the rate levels sought by OJC, Respondent's past experience with the timeliness of OJC's payment and the perceived credit risk associated with that payment history, and the fact that OJC did not purchase ancillary services from Respondent. Respondent's decision was also based in part on OJC's disputatious manner of doing business and its repeated and excessive threats to pursue litigation against Respondent, which threats were disproportionate to the issues between the parties and also disregarded the dispute resolution procedures and remedies for breach of contract set forth in the service contract between the parties.

8. Identify all persons, including their roles, responsibilities, and time frame in which they had those roles and responsibilities, that allocate cargo space for You for shipments on routes covered by the Agreement, whether on Your vessels or vessels owned by other Common Carriers.

Response: Respondent is still in the process of identifying the relevant individuals, and will provide a response to this Interrogatory in due course.

9. Between January 1, 2020 through the present, for each Sailing from Fuzhou, Ningbo, Shanghai, Xiamen, Yantian, Qingdao, People's Republic of China, or Ho Chi Minh City,

Vietnam to Los Angeles or Long Beach, California, United States of America, identify the vessel that made such Sailing and provide the following information in the format provided in the Appendix hereto:

- a. State the date of departure from the respective loading port (*i.e.*, Fuzhou, Ningbo, Shanghai, Xiamen, Yantian, Qingdao, or Ho Chi Minh City) for such Sailing;
- b. State the date of arrival at the discharge port (*i.e.*, Los Angeles or Long Beach) for such Sailing;
- c. State the total cargo capacity (in TEUs and FEUs) of the vessel that made such Sailing;
- d. State the total cargo capacity (in TEUs and FEUs) of the vessel that made such Sailing as of the actual departure date;
- e. State the total cargo capacity (in TEUs and FEUs) on such vessel that remained unbooked or available as of that vessel's actual Sailing date;
- f. State the total cargo capacity (in TEUs and FEUs) on such vessel that remained unbooked or available as of that vessel's arrival at the first port in the United States;
- g. Identify each Shipper whose cargo or shipment was carried on such Sailing;
- h. For each Shipper so identified, state the total volume of that Shipper's cargo (in TEUs and FEUs) carried on such Sailing;
- i. For each Shipper so identified, state the date(s) on which such Shipper booked the space for its cargo carried on such Sailing;
- j. For each Shipper so identified, state that Shipper's total contractual minimum quantity commitment with You, if any;
- k. For each Shipper so identified, state the total volume of that Shipper's cargo (in

TEUs and FEUs) carried on such Sailing not pursuant to any Service Contract; and

- l. For each Shipper so identified, state the price(s) charged for transportation by You of that Shipper's cargo or shipment on such Sailing.

Response: Respondent objects to the foregoing Interrogatory on the grounds that the information sought is not reasonably accessible because of undue burden and undue cost.

10. Identify and describe in detail Your Profitability since January 1, 2019, whether on a monthly or quarterly basis,

- a. per container (in TEUs and FEUs) and per vessel on the shipping routes covered by the Agreement;
- b. for shipments made under a Service Contract; and
- c. for shipments made by You not under a Service Contract or on the spot market.

Response: Respondents objects to this Interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.

11. Identify and describe in detail Your pricing for shipping, including how You determine the prices charged for shipments under Service Contracts and for shipments on the spot market, and how and why Your prices may vary between one Shipper and another.

Response: Respondent objects to this Interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without waiving the foregoing objection, prices vary from one shipper to another for a variety of reasons. The foremost of these is the volume shipped, both in the trade lane in question and globally. The realization of transportation efficiencies also plays a role in pricing. For example, if a customer is shipping to a location at which empty containers are needed to handle export cargoes originating in that location, this could result in a lower rate for that customer than another customer shipping to a destination from which containers have to be relocated for use. Other factors may also influence rates, including many of those cited in the response to Interrogatory #6 above.

Prices are determined largely on the basis of the cost of providing the service, with due consideration also given to overhead costs, realization, and competition in the market. Both service contract rates and spot (tariff) rates are influenced by these

factors.

12. Identify and describe in detail Your factual basis for each of the demurrage and detention charges that You charged OJC.

Response: Respondent objects to this Interrogatory to the extent it relates to detention charges, since there is no mention of detention charges in the Verified Amended Complaint. Respondent assessed demurrage charges on only one container, and those charges were not assessed against OJC.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is stylized with a large, sweeping "W" and "R".

Wayne R. Rohde
Kathryn Sobotta
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2507

April 7, 2022

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon Complainant's counsel of record:

Aaron W. Davis, Esq. (davis@valhallalegal.com)

Shlomo Hecht, Esq. (sam@hechtlawpa.com)

Dated: April 7, 2022

By: /s/ Wayne R. Rohde
Wayne R. Rohde

VERIFICATION OF INTERROGATORY ANSWERS

MICHAEL WILLIAM GAST deposes and says:

1. I am Supervisor, Risk Management of Maersk Agency USA, Inc., the U.S. agent of Maersk A/S.
2. I am authorized to make this verification on behalf of Maersk A/S.
3. I hereby verify that the facts contained in the foregoing Answers and Objections to Complainant's First Set of Interrogatories are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: April 6, 2022


Michael William Gast

To: Rameshwar Seeraj[dennis.seeraj@hamburgsud.com]; Andrea Casanova[andrea.casanova@sealandmaersk.com]; Royan, Tawab[Tawab.Royan@hamburgsud.com]
Cc: Gonzalo Maldonado[gonzalo.maldonado@sealandmaersk.com]; Adilson Silva[adilson.silva@hamburgsud.com]; Andrea Cobo Aguirre[andrea.cobo@sealandmaersk.com]; Serena Cheung[SERENA.CHEUNG@HAMBURGSUD.COM]
From: Rodrigo Pestana[rodrigo.pestana@sealandmaersk.com]
Sent: Wed 7/8/2020 8:21:23 PM (UTC)
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Dear all,

both services EC/WC are running full/rolling. At this moment all BCOs are being limited to their MQC signed and if they wish to load more only under a premium rate subject space availability. Also Louisville is one of the ramps with negative impact in our PnL. We'll make an offer however if customer accepts this, the only way we can protect space is if AEC reduce allocation in SPL from other accounts so Andrea/Gonzalo you will need to discuss with Adilson/Chris/Christian.

POL: Ningbo, Xiamen, Yantian and Ho chi Minh

Dest: Louisville, KY (Door) via CHS

40'hc => \$4400 subject to origin charges. BAF/ECA to be broken out and floating.

20'dc => 90%

Val: December 31st, 2020

Dennis, the port/port rate is \$3000/40 in case you want to check other possibilities to location.

brgds,

Rodrigo Pestana

Product Management - Transpacific Manager

Hamburg Süd

Hamburg Süd North America, Inc.

350 Sansome Street, Suite 520

San Francisco, CA - 94104

Tel: 1-415-267-3803

Cell: 1-415-308-0370

E-mail: rodrigo.pestana@hamburgsud.com

From: Seeraj, Dennis

Sent: Wednesday, July 08, 2020 11:16 AM

To: Casanova, Andrea; Royan, Tawab; Pestana, Rodrigo

Cc: Maldonado, Gonzalo; Silva, Adilson; Cobo, Andrea; Cheung, Serena

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hello Andrea,

If they already booked with another carrier via Louisville Rail they will not pay a much higher cost for us to arrange direct trucking from CHS or SAV port.

Trucking cost will be approximately \$2400

@ Tawab, do we have a running list of rail ramps which we don't want to service perhaps I can look into cross dock options.

Especially for this kind of volume, I would have love to take a look before we declined 2500TEU

Dennis Seeraj

Logistics & Services Manager - RNA

Hamburg Süd

Hamburg Süd North America, Inc.

465 South Street

Morristown, NJ 07960

Direct: 973-775-5457

Mobile: 862-260-5610

Email: Dennis.Seeraj@hamburgsud.com

From: Casanova, Andrea

Sent: Wednesday, July 08, 2020 1:08 PM

To: Seeraj, Dennis; Royan, Tawab; Pestana, Rodrigo

Cc: Maldonado, Gonzalo; Silva, Adilson; Cobo, Andrea; Cheung, Serena

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hello Dennis, Tawab and Rodrigo,

CX242

Is there anything we can do to obtain this business for Louisville KY?

Hecht Decl.
Ex. 33

Port to port alone does not work for the customer, as a ramp needs to be involved for delivery to Louisville KY (door) and all motor movement will be very costly for this product.

The original volume was 1266x40hc per year (pls see attached), but the customer had already signed a contract with other carriers since we rejected it initially.

The customer has offered their overflow volume that is expected to be 300x40'hc for the rest of the year and possibly more, since the online furniture retailer business has increased due to the pandemic. There is also the possibility of obtaining the full volume next year or a significant percentage. The main POLs are Ningbo, Xiamen, Yantian and Ho chi Minh.

Please note that we closed the California business for this account.

If you need any additional information please let me know. Thank you in advance.

Best Regards,

Andrea Casanova

Account Executive

Hamburg Sud North America

8333 NW 53rd Street, Suite 500

Miami, FL 33166

Phone: (305) 593-9114 Ext: 343

Direct: (786) 441-8043

Cellular: (305) 904-1961

Fax: (305) 640-0272

E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Casanova, Andrea

Sent: Wednesday, July 08, 2020 12:21 PM

To: Cheung, Serena; Pestana, Rodrigo

Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Silva, Adilson

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Serena, Rodrigo

I want to revisit the Kentucky business. If we are not able to offer inland ramp and ramp/door business to this interior point, Can we offer port-to-port service to the nearest port of discharge, either Charleston to Norfolk?

There is potential with this account and client is interested in our service.

Best Regards,

Andrea Casanova

Account Executive

Hamburg Sud North America

8333 NW 53rd Street, Suite 500

Miami, FL 33166

Phone: (305) 593-9114 Ext: 343

Direct: (786) 441-8043

Cellular: (305) 904-1961

Fax: (305) 640-0272

E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Cheung, Serena

Sent: Wednesday, May 27, 2020 4:18 PM

To: Casanova, Andrea; Bekova, Diana; Li, Kevin

Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Pestana, Rodrigo; Cheung, Serena

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Andrea,

As previously advised for TPEB we have declined to quote inland ramp and ramp/door business.

For door City of Industry, CA, attached I made some adjustment but it will be nowhere near their target.

Validity : June 1, 2020 – May 31, 2021

- Rates are subject to origin surcharges. Origin surcharges are irrelevant on the submission file(pre-paid term). Do Not back out any charges.
- Bunker to be broken out and floating throughout per tariff.
- Rates are not subject to GRI.

Serena Cheung
Transpacific Trade
Hamburg Süd

Hamburg Süd North America, Inc.

350 Sansome St. (suite 520)

San Francisco, CA 94104

Tel: 1-415-267-3814

E-mail: serena.cheung@hamburgsud.com

From: Casanova, Andrea

Sent: Tuesday, May 26, 2020 10:01 AM

To: Cheung, Serena; Bekova, Diana; Li, Kevin

Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Pestana, Rodrigo

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Serena,

Customer reports that our offer is \$200 per 40'HQ higher than OOCL and Hyundai offer with whom they currently have contracts.

Fuzhou is higher with \$300.

Please advise the below:

- Is this rate subject to the June 15 GRI and any other future GRI? or rate is frozen subject to origin and BUNKER changes?
- Regarding the KY destination, can you offer a P2P rate and we check the on-carriage thru L&S? if so , pls advise your best offer.

According to the customer, online furniture purchases in the USA increased by more than 200% due to Covid-19 measures and OJ Commerce grew nearly 400% in sales compared to the initial year's forecast and the trend is estimated to continue.

Due to the above, they trust that they have and will have volume to meet the amount committed to each carrier. Price is very important for this product as it is a low value product.

Thanks in advance.

Best Regards,
Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043

CX244

HS014859

Cellular: (305) 904-1961

Fax: (305) 640-0272

E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Casanova, Andrea

Sent: Thursday, May 21, 2020 2:26 PM

To: Cheung, Serena; Bekova, Diana; Li, Kevin

Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Serena,

Thanks, I'll be back with customer's feedback.

Best Regards,

Andrea Casanova

Account Executive

Hamburg Sud North America

8333 NW 53rd Street, Suite 500

Miami, FL 33166

Phone: (305) 593-9114 Ext: 343

Direct: (786) 441-8043

Cellular: (305) 904-1961

Fax: (305) 640-0272

E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Cheung, Serena

Sent: Wednesday, May 20, 2020 6:32 PM

To: Casanova, Andrea; Bekova, Diana; Li, Kevin

Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo; Cheung, Serena

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Andrea,

Attached please find rate offer to destination door City of Industry, CA. We can match their proposal rate for direct call ports.

I added carrier notes in bid file, rates also subject to all origin surcharges. BAF will be broken out at time of filing.

Validity : June 1, 2020 – May 31, 2021

Origin surcharges are irrelevant on the submission file(pre-paid term). Do Not back out any charges.

Serena Cheung

Transpacific Trade

Hamburg Süd

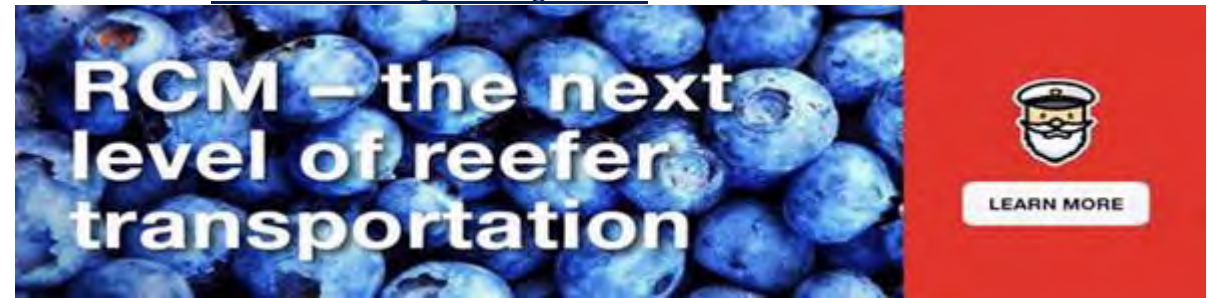
CX245

HS014860

Hamburg Süd North America, Inc.
350 Sansome St. (suite 520)
San Francisco, CA 94104
Tel: 1-415-267-3814
E-mail: serena.cheung@hamburgsud.com

From: Casanova, Andrea
Sent: Wednesday, May 20, 2020 2:41 PM
To: Cheung, Serena; Bekova, Diana; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid
Hello Serena,
Customer confirms destination door City of Industry, CA.
Thanks in advance.
Best Regards,
Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Cellular: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!
To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Cheung, Serena
Sent: Wednesday, May 20, 2020 11:38 AM
To: Bekova, Diana; Casanova, Andrea; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo; Cheung, Serena
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid
Hi Andrea,
Please confirm destination should be door City of Industry, CA.
PLD:
CA: 318 Brea Canyon Rd., City of Industry, CA 91789

Destination	Onus CA												Total	Rate
Port	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec		
Ho Chi Minh	2	2	4	2	2	2	2	2	2	2	2	2	26	
Fuzhou	0	0	4	4	2	2	4	4	4	8	6	2	40	
Ningbo	6	4	8	14	12	18	14	14	16	24	20	0	150	
Yantian	8	6	8	10	8	14	12	10	12	16	16	0	120	
Xiamen	2	2	2	2	2	4	2	2	2	2	4	0	26	
Shanghai	2	0	4	6	8	10	8	8	14	14	14	0	88	
Qingdao	0	0	0	2	0	0	0	0	0	0	0	0	2	
Total	20	14	30	40	34	50	42	40	50	66	62	4	534	

Serena Cheung
Transpacific Trade
Hamburg Süd

CX246

HS014861

350 Sansome St. (suite 520)
San Francisco, CA 94104
Tel: 1-415-267-3814
E-mail: serena.cheung@hamburgsud.com

From: Bekova, Diana
Sent: Wednesday, May 20, 2020 6:57 AM
To: Casanova, Andrea; Cheung, Serena; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Good Morning Andrea,
It looks like TPEB declined it completely, but I will leave it for Serena to comment..

Best Regards,
Diana Bekova
Tenders Coordinator
Tender Department
Hamburg Süd

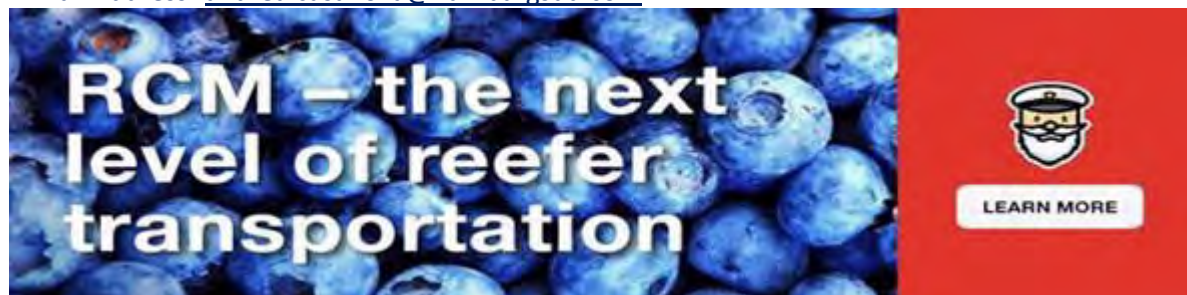
Hamburg Süd North America, Inc.
465 South Street, Suite 300
Morristown, NJ 07960
diana.bekova@hamburgsud.com

From: Casanova, Andrea
Sent: Wednesday, May 20, 2020 8:30 AM
To: Bekova, Diana; Cheung, Serena; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Diana
Thanks, I saw the email but I am asking for Onus CA. Can we offer service to this PLD?

Best Regards,
Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Cellular: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Bekova, Diana
Sent: Tuesday, May 19, 2020 5:52 PM
To: Casanova, Andrea; Cheung, Serena; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Andrea,
This has been declined per attached.
Thanks!

CX247

HS014862

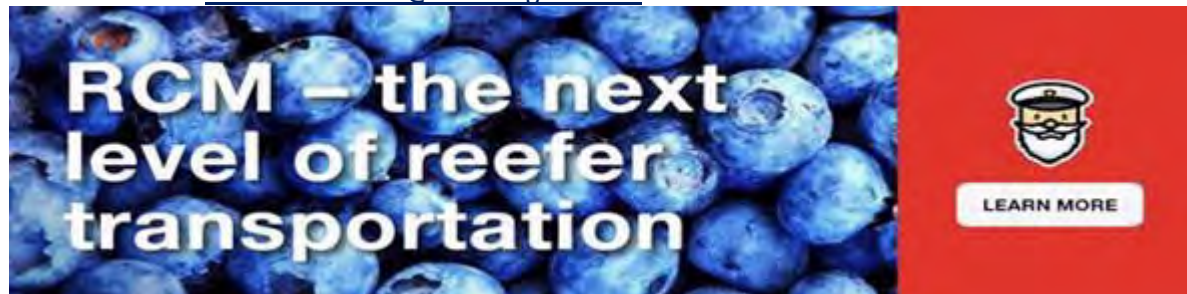
Best Regards,
Diana Bekova
Tenders Coordinator
Tender Department
Hamburg Süd

Hamburg Süd North America, Inc.
465 South Street, Suite 300
Morristown, NJ 07960
diana.bekova@hamburgsud.com

From: Casanova, Andrea
Sent: Tuesday, May 19, 2020 5:29 PM
To: Cheung, Serena; Bekova, Diana; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Dear all,
Could you please send the offer?
Thanks in advance.
Best Regards,
Andrea Casanova
Account Executive

Hamburg Sud North America
8333 NW 53rd Street, Suite 500
Miami, FL 33166
Phone: (305) 593-9114 Ext: 343
Direct: (786) 441-8043
Cellular: (305) 904-1961
Fax: (305) 640-0272
E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

From: Cheung, Serena
Sent: Friday, May 15, 2020 7:10 PM
To: Bekova, Diana; Li, Kevin
Cc: Maldonado, Gonzalo; Cobo, Andrea; Casanova, Andrea; MMU-RNATENDER; Hurtado, Rodrigo; Pestana, Rodrigo; Cheung, Serena
Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hi Diana,
This is mainly IPI to inland Louisville, KY that we are trying to reduce. Please decline.
Serena Cheung
Transpacific Trade
Hamburg Süd

Hamburg Süd North America, Inc.
350 Sansome St. (suite 520)
San Francisco, CA 94104
Tel: 1-415-267-3814
E-mail: serena.cheung@hamburgsud.com

CX248

HS014863

From: Bekova, Diana

Sent: Friday, May 15, 2020 9:22 AM

To: Li, Kevin; Cheung, Serena

Cc: Maldonado, Gonzalo; Cobo, Andrea; Casanova, Andrea; MMU-RNATENDER; Hurtado, Rodrigo

Subject: RE: OJ COMMERCE / 2020 TPEB Contract Bid

Hello Kevin/Melissa,

Please advice if you wish to quote for this account.

Thank you!

Best Regards,

Diana Bekova

Tenders Coordinator

Tender Department

Hamburg Süd

Hamburg Süd North America, Inc.

465 South Street, Suite 300

Morristown, NJ 07960

diana.bekova@hamburgsud.com

From: Casanova, Andrea

Sent: Friday, May 15, 2020 11:22 AM

To: MMU-RNATENDER; Hurtado, Rodrigo

Cc: Maldonado, Gonzalo; Cobo, Andrea

Subject: OJ COMMERCE / 2020 TPEB Contract Bid

Dear Tender Team,

OJ Commerce, ecommerce furniture company, invites us to participate in annual bid.

Attached is the volume forecast for Fy 2020.

PLD:

CA: 318 Brea Canyon Rd., City of Industry, CA 91789

KY: 2200 Ampere Drive Louisville, KY 40299

Client's received proposals for \$1900 CA and \$3600 KY all in.

Competitor name's not provided.

Offer is needed as soon as possible.

If you need more information please let me know.

We look forward to your response.

Thank you.

333 233

Best Regards,

Andrea Casanova

Account Executive

Hamburg Sud North America

8333 NW 53rd Street, Suite 500

Miami, FL 33166

Phone: (305) 593-9114 Ext: 343

Direct: (786) 441-8043

Cellular: (305) 904-1961

Fax: (305) 640-0272

E-Mail Address: andrea.casanova@hamburgsud.com



Help us help you!

To facilitate and improve your booking experience, please provide us with your Hamburg Süd **Agreement Number** and **Product Identification** number at the time of booking.

CX249

HS014864

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**OBJECTIONS AND RESPONSES OF HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG TO
COMPLAINANT OJ COMMERCE, LLC'S SECOND SET OF INTERROGATORIES**

Respondent HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG ("Respondent"), by and through its undersigned counsel, hereby objects and responds to the Second Set of Interrogatories posed by Complainant OJ COMMERCE, LLC ("OJC").

1. For the time period of June 1, 2021 through June 30, 2022, identify and describe on a weekly basis the highest, lowest, and median spot market rates per FFE (inclusive of all costs and fees, including the Base Rate, Bunker Adjustment Factor (BAF), Surcharges and Terminal Handling Charges (THCs) and other fees) collected by You for (a) Chinese ports to Long Beach, California; (b) Chinese ports to Louisville, KY, Savannah, GA, and Charleston, SC; and (c) Itapoa, Brazil to Louisville, KY.

Response: Respondent objects to this Interrogatory on the grounds that it cannot be answered without undue burden and cost. More specifically, the spot rates charged by Respondent are published in its tariff. There are hundreds if not thousands of spot rates covering the Shipping Lanes in the tariff for 2021-2022. There is no means of providing the highest and lowest rates without a labor-intensive search of the tariff for the entire period. Similarly, there is no means of calculating a median spot rate short of manually reviewing every bill of lading issued for a non-contract shipment on the routings covered by the interrogatory during 2021-2022, and then manually calculating the requested average on a monthly basis for each routing. It is not clear that such an undertaking is possible and, if it is possible, would require at a minimum hundreds of person-hours.

2. Identify and describe in detail the factual and evidentiary basis for Your contention that “[d]ue to a spike in cargo demand resulting from the Covid-19 pandemic, HSDG was unable to provide sufficient vessel space to transport the 400 TEUs it had committed [to OJC] to carry.” (Respondents’ Partial Motion to Dismiss and/or Summary Judgment, p. 2.) This request is limited to the time period of June 23, 2020 to May 31, 2021.

Response: Respondent objects to this Interrogatory as overly broad and unduly burdensome to the extent it seeks *all* factual and evidentiary support for the contention at issue. Subject to and without waiver of this objection, it is public knowledge that during the period in question, cargo volume increased, putting pressure on the vessel capacity of all carriers, including Respondent. Without prejudice to Respondent’s ability to rely on other facts and evidence, this statement is supported by the final report of the Federal Maritime Commission in its Fact Finding Investigation No. 29, “Effects of the Covid-19 Pandemic on the U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. § 41102(c),” dated May 31, 2022. See in particular pages 10-11, 41-42, and 44.

3. Identify and describe in detail the factual and evidentiary basis for Your contention that “[n]ot only was there unprecedented demand for vessel space during the pandemic, but the enormous volumes of cargo resulted in port congestion which delayed vessels, thereby adversely impacting the amount of space HSDG and other carriers were able to provide.” (Respondents’ Partial Motion to Dismiss and/or Summary Judgment, p. 2.) This request is limited to the time period of June 23, 2020 to May 31, 2021.

Response: Respondent objects to this Interrogatory as overly broad and unduly burdensome to the extent it seeks *all* factual and evidentiary support for the contention at

issue. Subject to and without waiver of this objection, it is public knowledge that during the period in question, increased cargo volume resulted in port congestion and vessel delays for all carriers, including Respondent. Without prejudice to Respondent's ability to rely on other facts and evidence, this statement is supported by the final report of the Federal Maritime Commission in its Fact Finding Investigation No. 29, "Effects of the Covid-19 Pandemic on the U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. § 41102(c)," dated May 31, 2022. See in particular pages 11, 41, and 61.

4. Identify and describe in detail the factual and evidentiary basis for Your contention that "OJC's agents in China also hindered HSDG's ability to provide sufficient vessel space due to their own confusion with respect to the booking of cargo." (Respondents' Partial Motion to Dismiss and/or Summary Judgment, p. 2.) This request is limited to the time period of June 23, 2020 to May 31, 2021.

Response: Respondent objects to this Interrogatory as overly broad and unduly burdensome to the extent it seeks *all* factual and evidentiary support for the contention at issue. Subject to and without waiver of this objection and without prejudice to Respondent's ability to rely on other facts and evidence, correspondence between OJC's agent Syntrans and OJC evidences a lack of understanding on the part of Syntrans as to the carriers with which OJC had contracted and which carriers were serving which locations. See, for example, HS-003479 and HS-003483.

5. Identify and describe in detail the factual and evidentiary basis for Your contention that "[w]hile HSDG declined to enter into a service contract with OJC for 2021-22, it did not refuse to deal or negotiate with OJC." (Respondents' Partial Motion to Dismiss and/or Summary Judgment, p. 6.)

Response: Without prejudice to Respondent's ability to rely on other facts and evidence, correspondence between OJC and Respondent during late April of 2021 produced by Respondent in response to earlier discovery requests reflects negotiations between the parties on a possible service contract. OJC concedes that such negotiations took place. See Verified Amended Complaint, ¶ 41. Moreover, the May 4, 2021 email from Andrea Casanova to Jacob Weiss (HS-001265) indicated Respondent was willing to deal with OJC on a case by case basis.

6. Identify and describe in detail the factual and evidentiary basis for Your contention that Respondents did not retaliate against OJC.

Response: Respondent objects to this Interrogatory on the grounds that the term “retaliate” is not defined and thus is vague and ambiguous. Respondent further objects on the grounds that the Interrogatory is not reasonably calculated to lead to the discovery of admissible evidence because it does not seek information related to the relevant statutory standard.

7. Identify and describe in detail the factual and evidentiary basis for Your contention in Your affirmative defenses that Your “conduct was reasonable in light of the totality of the circumstances.”

Response: Without prejudice to Respondent’s ability to rely on other facts and evidence, the factual and evidentiary basis for this defense includes, but is not limited to: the circumstances described in Interrogatories #2 and #3 above and the responses thereto; Respondent’s relationships with other customers and Respondent’s performance under service contracts with those customers; the tone, tenor, and frequency of communications between Respondent and OJC as reflected in documents produced in discovery in this proceeding (particularly as compared to those of other customers); and Respondent’s availability vessel capacity in the trade.

8. Identify and describe in detail the factual and evidentiary basis for any contention by You that You could not have fulfilled, or it would have been impossible to fulfill, a Service Contract with OJC for 4700 containers during 2021-2022.

Response: Respondent objects to this Interrogatory on the grounds that Respondent has not made any such contention and that the Interrogatory is therefore not reasonably calculated to lead to the discovery of admissible evidence.

9. Identify and describe in detail the container volumes shipped on a monthly basis by You during 2021-2022.

Response: Respondent objects to this Interrogatory on the grounds that it is overly broad and seeks data relating to Respondent’s worldwide liftings, including trade lanes that do not involve the United States and U.S. trade lanes that are not relevant to this proceeding (e.g., Australia/New Zealand to U.S.). For cargo volumes transported in the trade lanes relevant to this proceeding, see the response to Interrogatory #17 below.

10. Identify and describe in detail the Service Contract rates charged by You for shipping containers during 2021-2022, identifying them on a monthly basis by the average price/rate and by Shipping Lanes.

Response: Respondent objects to this Interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Respondent further objects on the grounds that the terms “price” and “rate” are not defined and are vague and ambiguous. Respondent further objects to this Interrogatory on the grounds that it cannot be answered without undue burden and cost. More specifically, Respondent had hundreds of service contracts covering the Shipping Lanes during 2021-22. Many of those contracts contain dozens if not hundreds of separate rates. There is no means of calculating a monthly average short of manually reviewing each of the hundreds of service contracts, identifying routings covered by each, and then manually calculating the requested average on a monthly basis for each Shipping Lane by using the rates found in whatever number of service contracts contain a rate for that routing. Even if this average could be calculated, it would be meaningless because not every rate in every contract covering the Shipping Lanes necessarily moved cargo. In order to obtain a more accurate average, Respondent would need to manually review every single bill of lading it issued during the period to determine which rates in which contracts moved cargo, and the volume moved at each such rate. It is not clear that such an undertaking is possible and, if it is possible, would require at a minimum hundreds of person hours.

11. Identify and describe in detail the spot market rates charged by You for shipping containers during 2021-2022, identifying them on a monthly basis by the average price/rate and by Shipping Lanes.

Response: Respondent objects to this Interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Respondent further objects on the grounds that the terms “price” and “rate” are not defined and are vague and ambiguous. Respondent further objects to this Interrogatory on the grounds that it cannot be answered without undue burden and cost. More specifically, the spot rates charged by Respondent are published in its tariff. There are hundreds if not thousands of spot rates covering the Shipping Lanes in the tariff for 2021-2022. There is no means of calculating an average price/rate (whatever those terms mean in this context) short of manually reviewing every bill of lading issued for a non-contract shipment in the Shipping Lanes during 2021-2022, and then manually calculating the requested average on a monthly basis for each Shipping Lane. It is not clear that such an undertaking is possible and, if it is possible, would require at a minimum hundreds of person hours.

12. Identify and describe in detail the factual and evidentiary basis for any contention by You that You did not refuse to deal with OJC.

Response: Respondent objects to this Interrogatory to the extent it is duplicative of Interrogatory #5 above. Without waiver of or prejudice to the foregoing objection, and without prejudice to Respondent’s ability to rely on other facts and evidence, the May 4, 2021 email from Andrea Casanova to Jacob Weiss identified in the response to Interrogatory #5 above indicated Respondent was willing to deal with OJC on a case by case basis.

13. Identify and describe in detail the factual and evidentiary basis for any contention by You that You did not retaliate against OJC for threatening You with litigation.

Response: Respondent objects to this Interrogatory on the grounds that the term “retaliate” is not defined and thus is vague and ambiguous. Respondent further objects on the grounds that the Interrogatory is not reasonably calculated to lead to the discovery of admissible evidence because it misstates the applicable legal standard and thus does not seek information related to the relevant standard.

14. Identify and describe in detail the factual and evidentiary basis for any contention by You that You did not retaliate against OJC for threatening You with filing a complaint with the FMC.

Response: Respondent objects to this Interrogatory on the grounds that the term “retaliate” is not defined and thus is vague and ambiguous. Respondent further objects on the grounds that the Interrogatory is not reasonably calculated to lead to the discovery of admissible evidence because it misstates the applicable legal standard and thus does not seek information related to the relevant standard. Without waiver of or prejudice to the foregoing objections, without prejudice to Respondent’s ability to rely on other facts and evidence, and without admitting that Respondent retaliated against OJC, both Juergen Pump and Kevin Li testified in their depositions that they did not see the April 28, 2021 letter from Shlomo Y. Hecht, Esq. to Respondent, threatening litigation of any type. Accordingly, neither Mr. Pump nor Mr. Li were aware that OJC had threatened to file a complaint with the FMC.

15. Identify how many Service Contracts You entered into during 2021 on or after April 28, 2021, including for each such Service Contract the date it was entered into, total FFEs or TEUs, the shipping lines included, and the shipping prices.

Response: Respondent objects to the request for “shipping lines included” on the grounds that this term/phrase is not defined and is vague or ambiguous. Respondent further objects to the request for “shipping prices” on the grounds that this is the same information sought by portions of Interrogatory #9, information which the Administrative Law Judge refused to compel production (finding burden and expense of production outweigh probative value and that rates have limited value). Order on Respondents’ Motion to Compel and Revised Schedule, June 29, 2022, p. 3. Without prejudice to the foregoing objections, a list of Respondents’ service contracts concluded after April 28, 2021 and the MQC of each will be produced.

16. During 2021, identify the number of Your customers that initially requested during negotiations the same pricing for their 2021-2022 Service Contract as was contained in their 2020-2021 Service Contract.

Response: Respondent objects to this Interrogatory on the grounds that it is duplicative of Interrogatory #6 in OJC's First Set of Interrogatories and Request for Production #13 in OJC's First Set of Requests for Production of Documents. Respondent further objects to the Interrogatory on the grounds that the Administrative Law Judge has already ruled that this request is burdensome and that production would not be compelled. Order on Respondents' Motion to Compel and Revised Schedule, June 29, 2022, p. 3. Respondent further objects on the grounds that this information is not accessible without undue burden and expense. More specifically, that responding to this interrogatory would require Respondent's personnel to manually search through correspondence with every potential and actual customer and trace the entire arc of contract negotiations with each such customer.

17. For the years 2020-the present, identify how many FFEs HSDG moved, shipped, or otherwise transported per Shipping Lane on a monthly basis.

Response: Respondent objects to this interrogatory as overly broad and unduly burdensome to the extent that it seeks information with respect to (a) time periods not within the term of the 2020-2021 Service Contract and/or (b) geographic trades not within the scope of the 2020-2021 Service Contract. Respondent further objects to this interrogatory as not reasonably calculated to lead to the discovery of admissible evidence to the extent it seeks information with respect to (a) time periods not within the term of the 2020-2021 Service Contract and/or (b) geographic trades not within the scope of the 2020-2021 Service Contract. Without waiver of or prejudice to the foregoing objections, information regarding the volume of cargo transported by Respondent in those trade lanes covered by the scope of the 2020-2021 Service Contract for 2020 to the present will be produced.

18. For the years 2020-the present, identify the high, median, and low prices HSDG charged for all cargo moved, shipped, or otherwise transported per Shipping Lane on a monthly basis.

Response: Respondent objects to this Interrogatory on the grounds that the term "price" is not defined and is vague and ambiguous. Respondent further objects to this Interrogatory on the grounds that it is duplicative of Interrogatories #10 and #11 above. Respondent further objects on the grounds that this Interrogatory cannot be answered without undue burden and cost for the reasons set forth in the responses to Interrogatories #10 and #11. This Interrogatory would require performance and combination of the calculations sought in Interrogatories #10 and #11.

19. From 2020-the present on a monthly basis, identify the average number of days it took for HSDG or its agents to remove containers from its vessels upon arrival at each port in the Shipping Lanes.

Response: Respondent objects to this Interrogatory on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. The Interrogatory appears to be related to the issue of demurrage, which is no longer an active part of this proceeding.

/s/ Wayne R. Rohde
Wayne R. Rohde
Kathryn Sobotta
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2507

/s/ Rachelle Barstow
Rachelle Barstow
Head of US Litigation
MAERSK AGENCY (USA), INC.
180 Park Avenue
Florham Park, NJ 07932
(973) 738-6780

/s/ David W. Marston Jr.
David W. Marston Jr.
Jawad Muaddi
MORGAN, LEWIS & BOCKIUS LLP
600 Brickell Avenue, Suite 1600
Miami, FL 33131
(305) 415-3443

Dated: August 31, 2022

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31st day of August, 2022, the foregoing was served via electronic mail on:

Shlomo Y. Hecht
sam@hechtlawpa.com

and

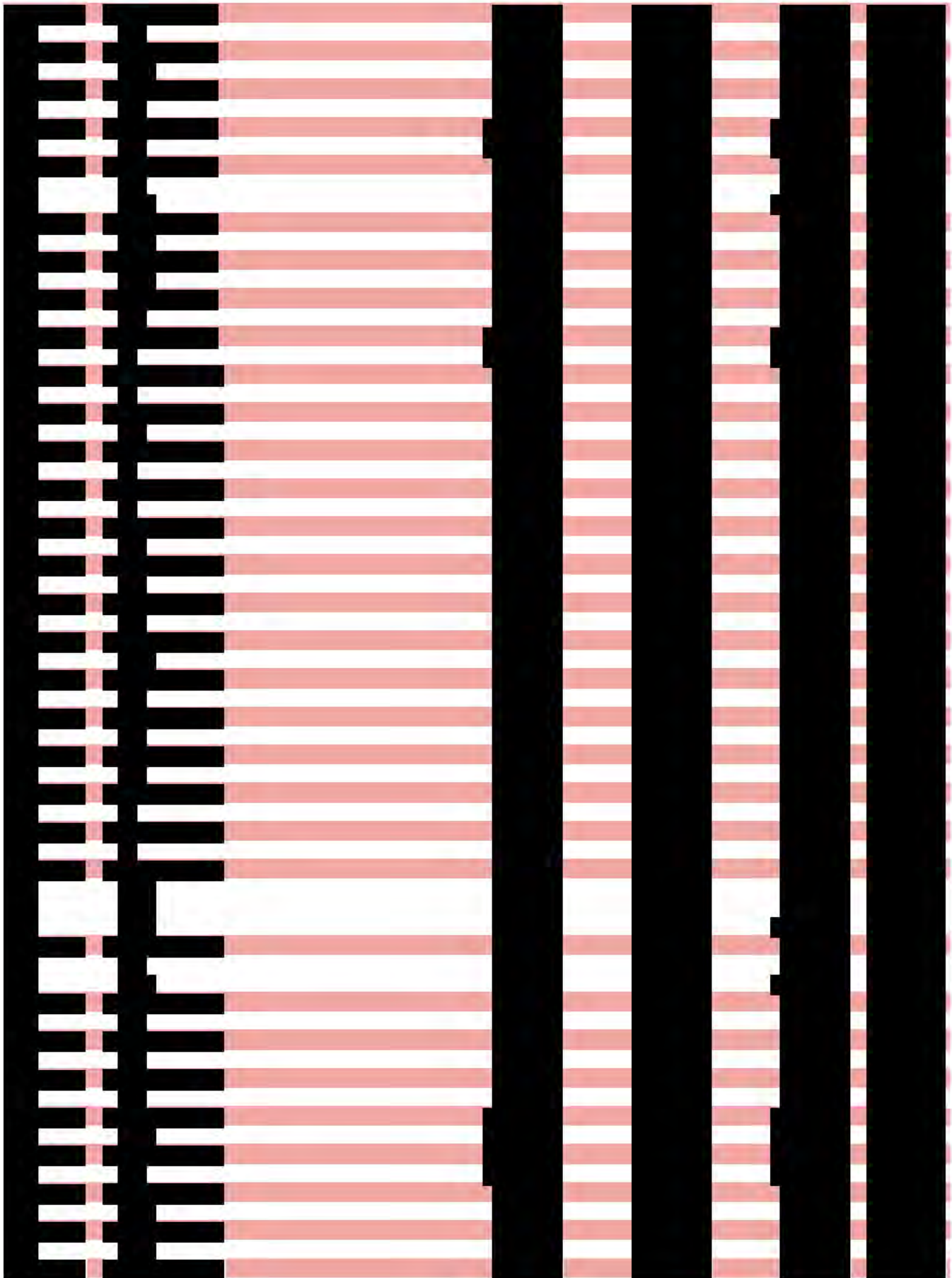
Aaron Davis, Esq.
davis@valhallalegal.com

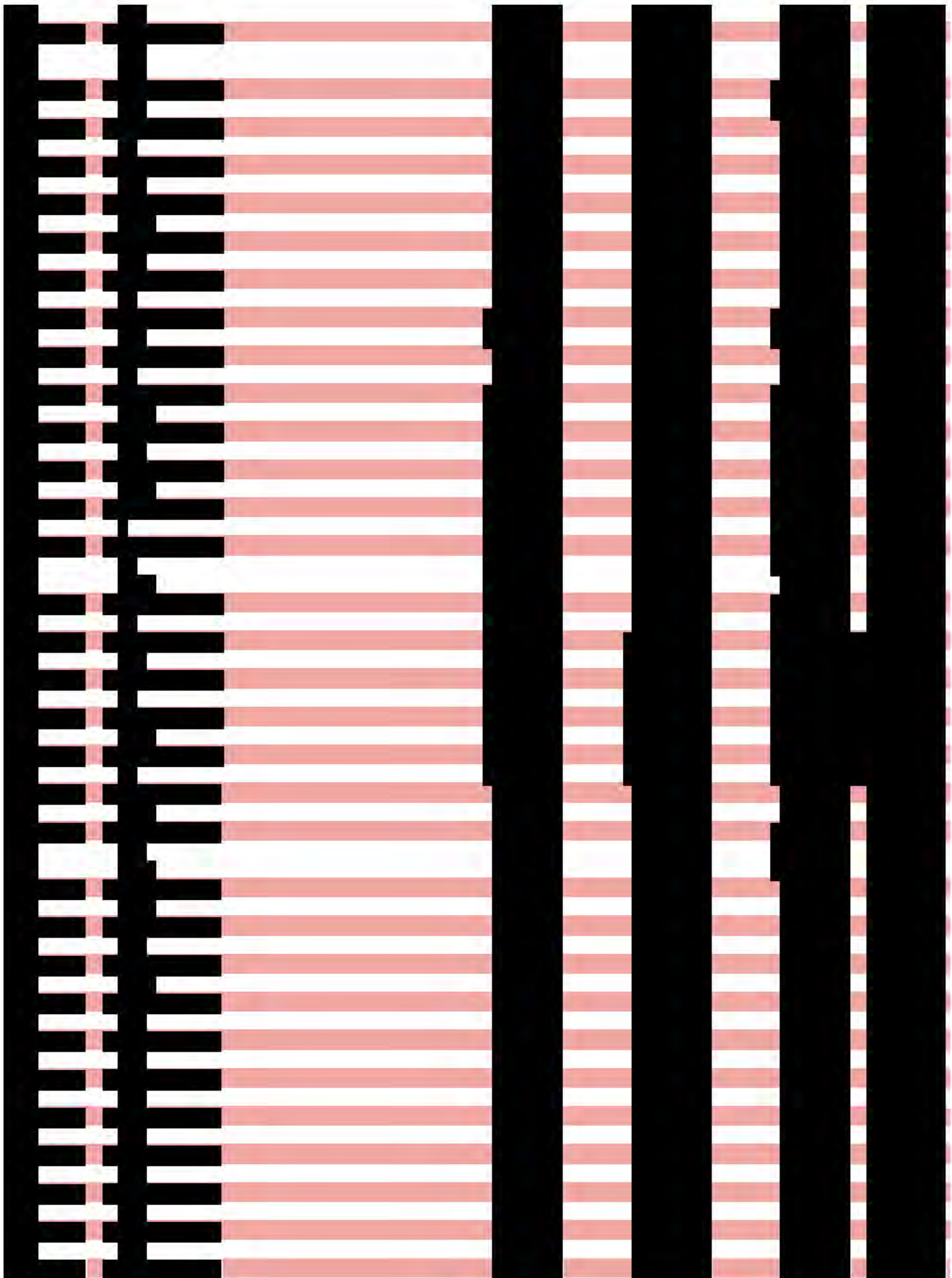
A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

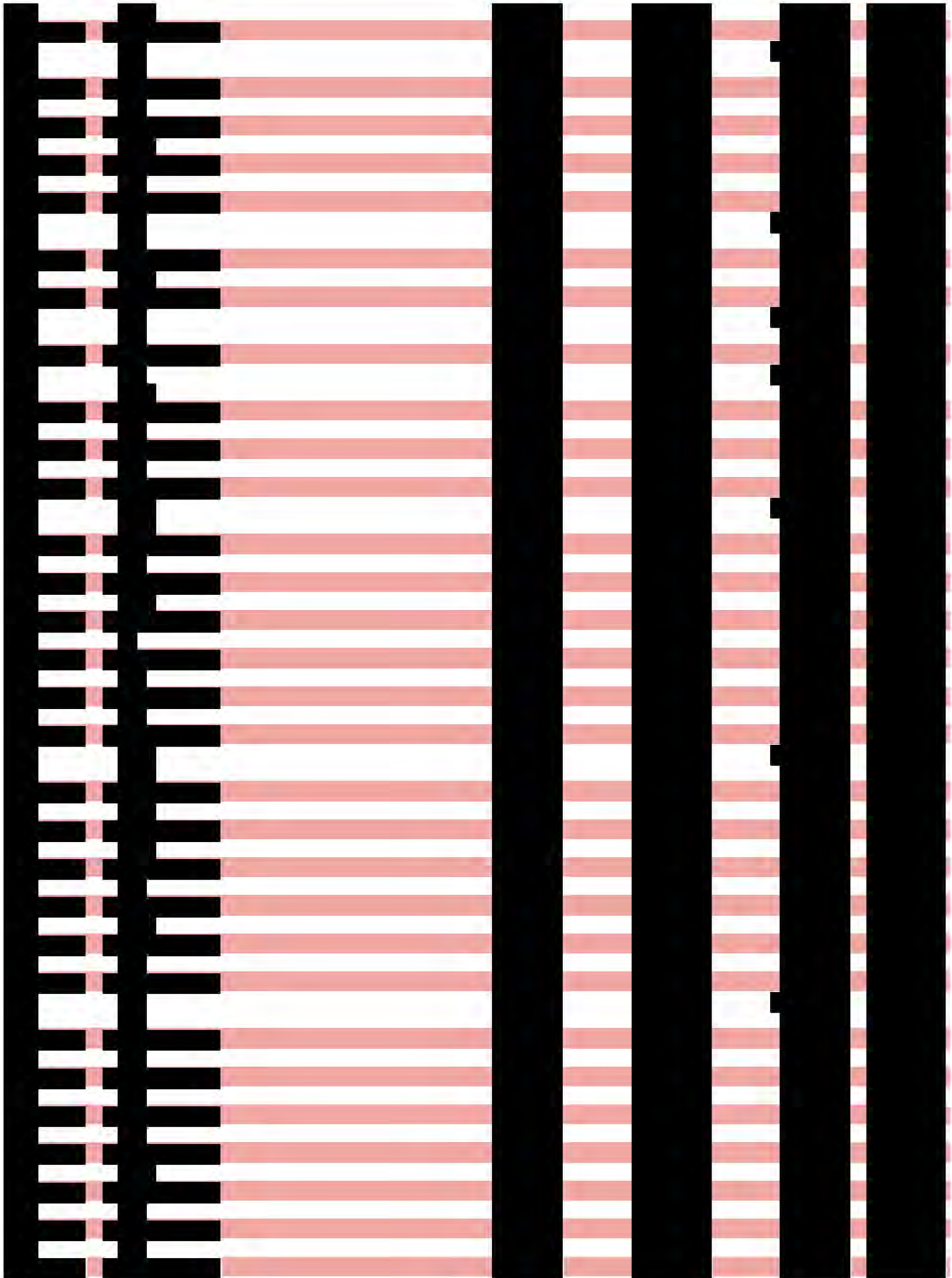
Wayne R. Rohde

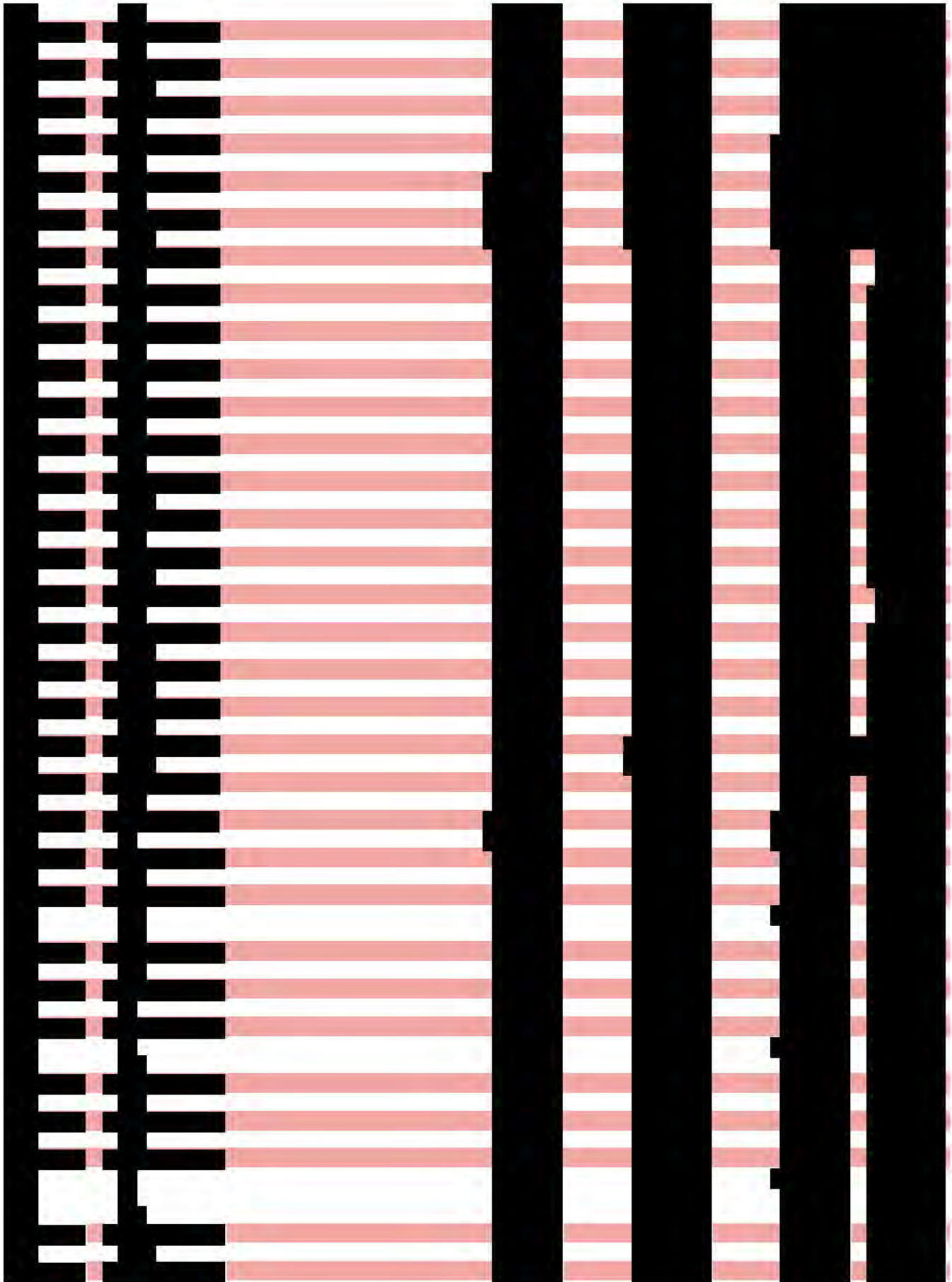
All MQC Values in TEU

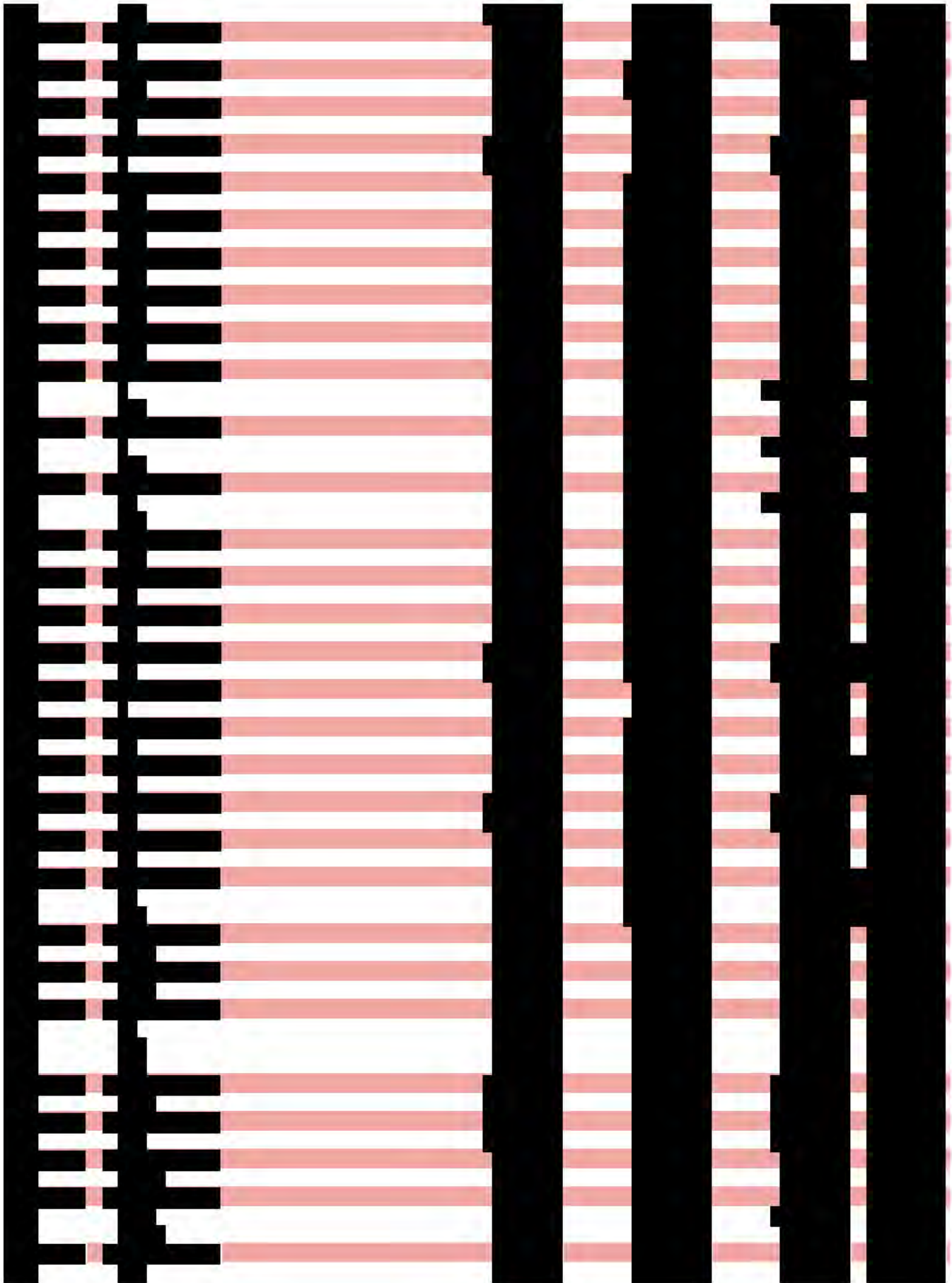
A stack of spiral-bound notebooks with red and white striped covers. The notebooks are stacked vertically, with the top notebook's cover being the most prominent. The spiral binding is visible on the left side of the top notebook. The background is a solid black color.

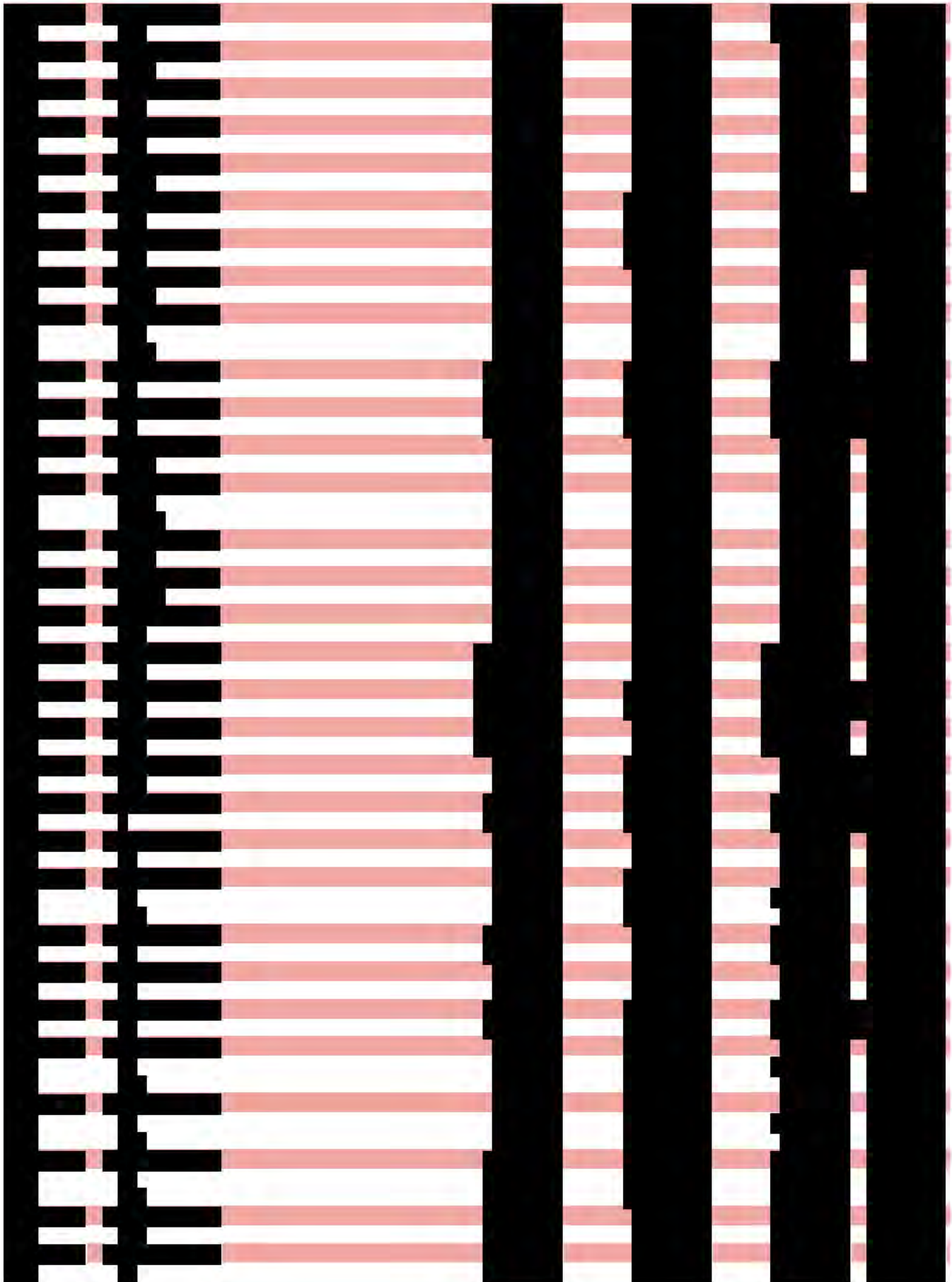


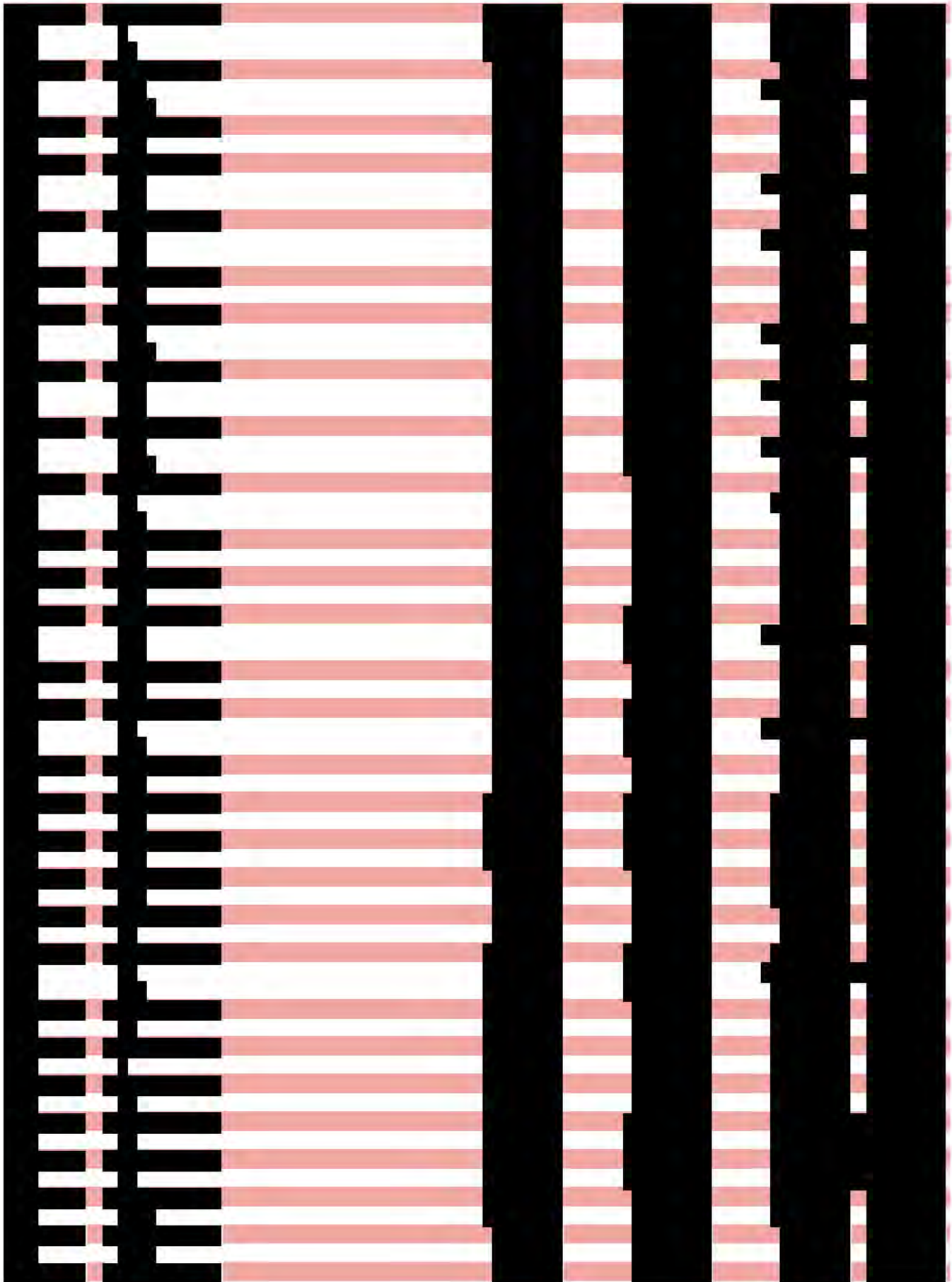


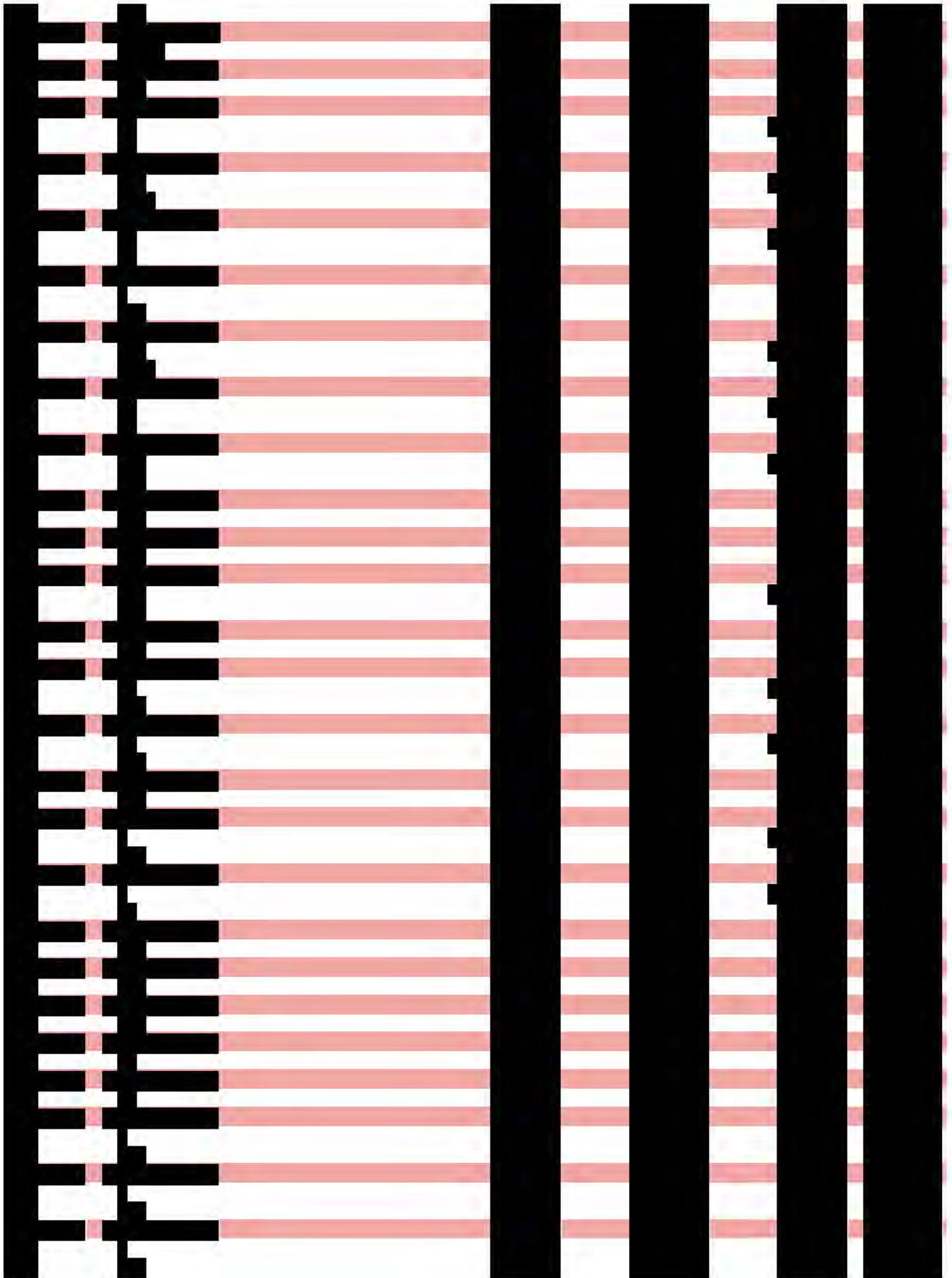


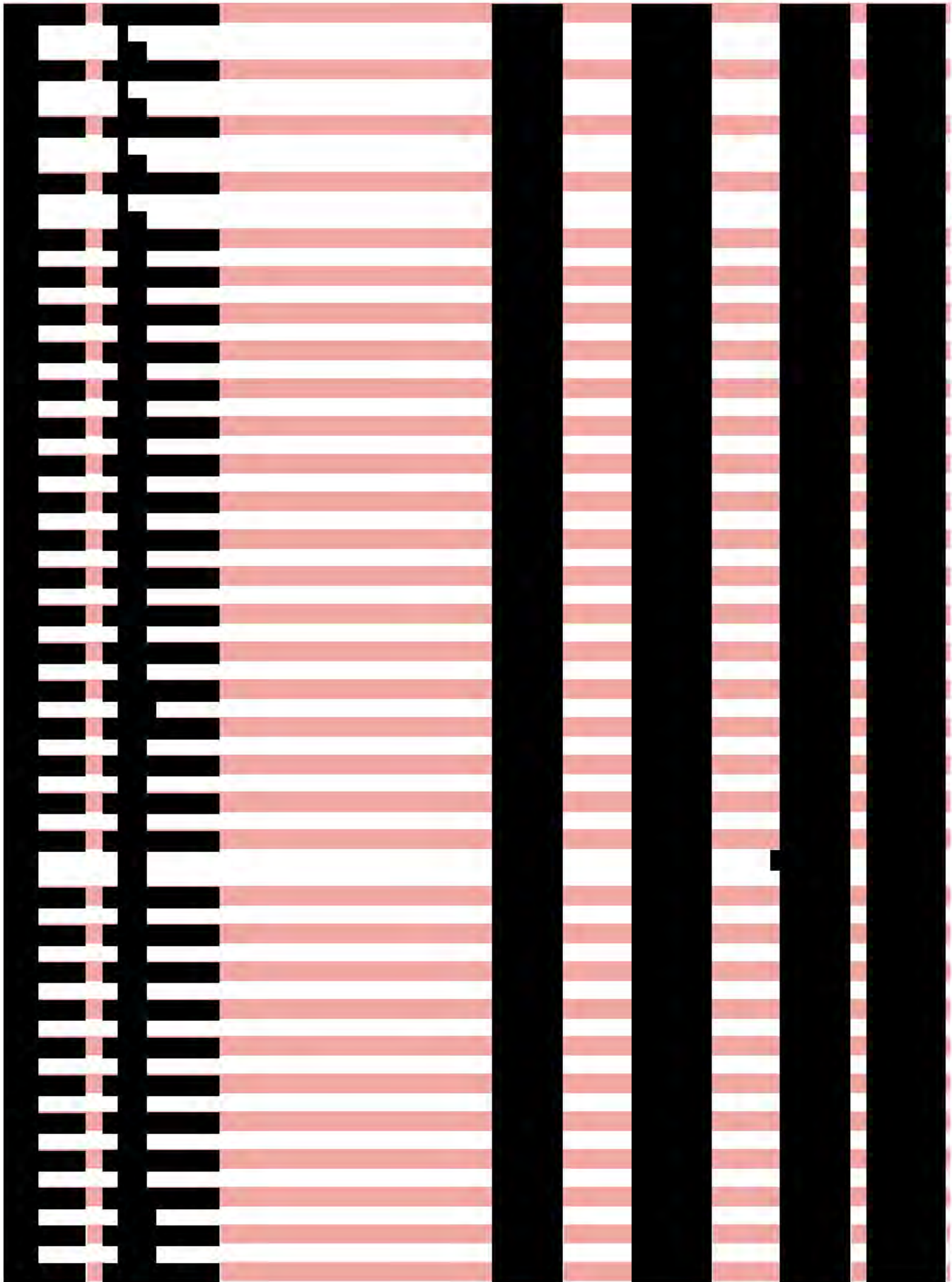


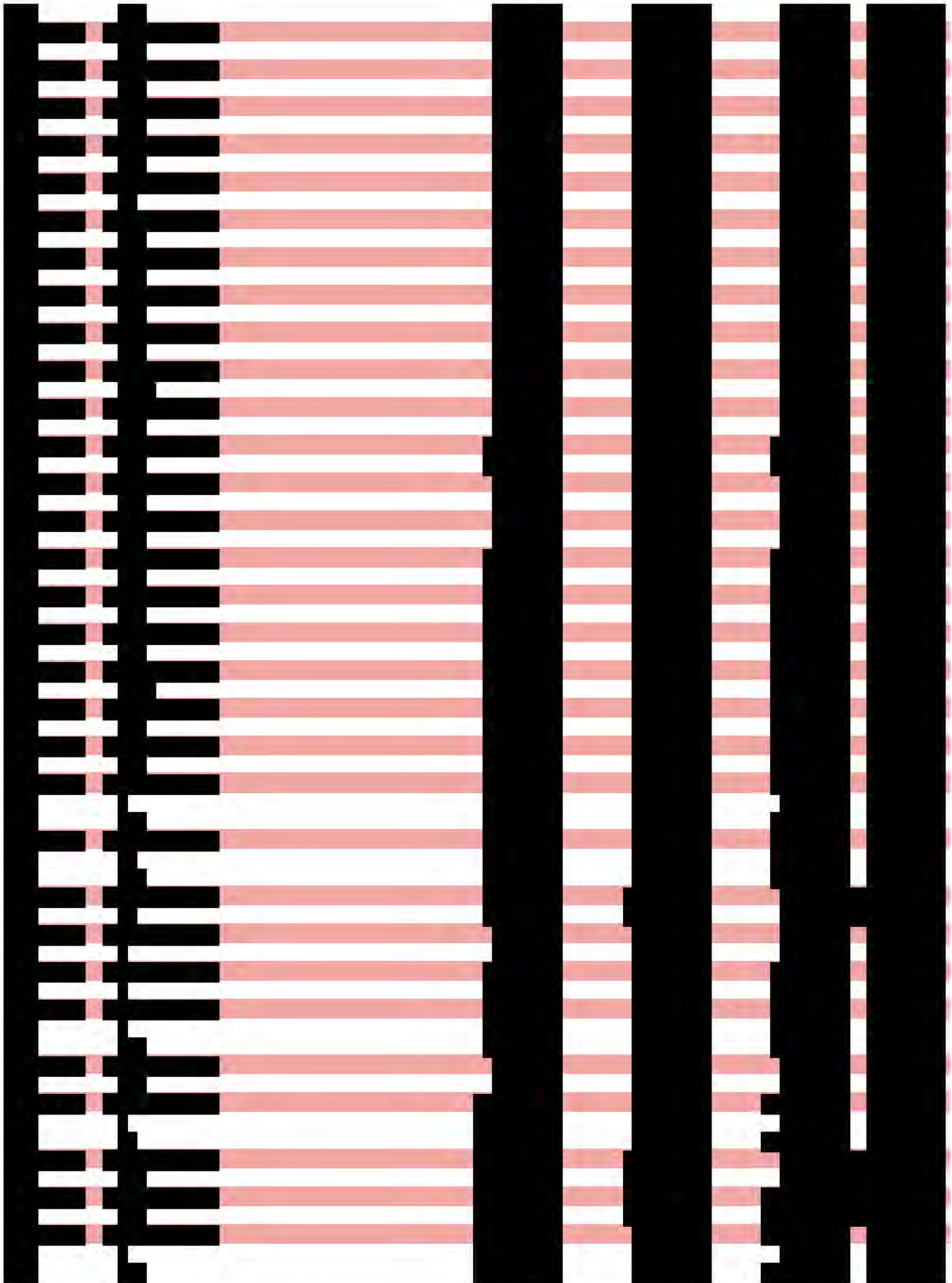


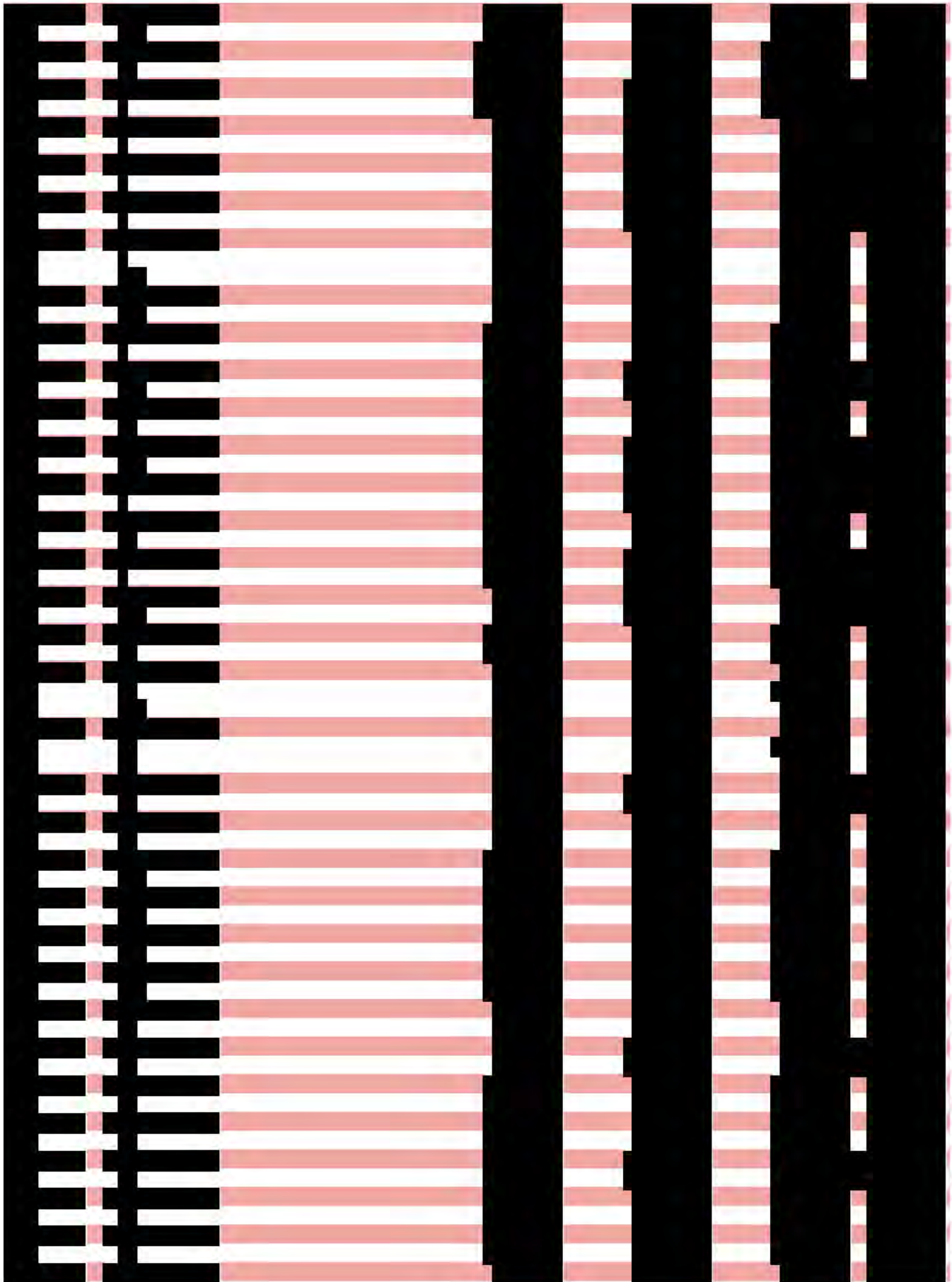




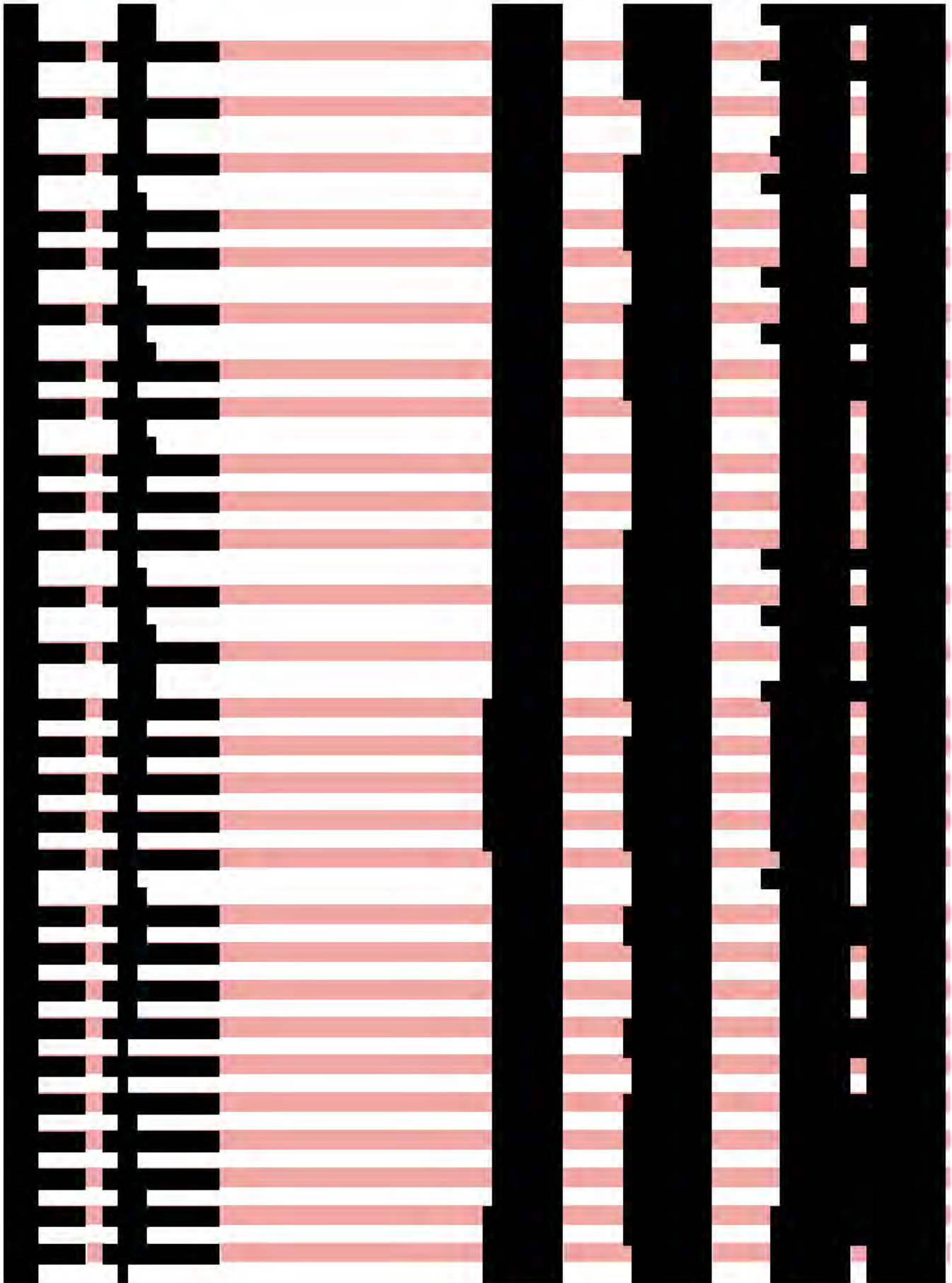






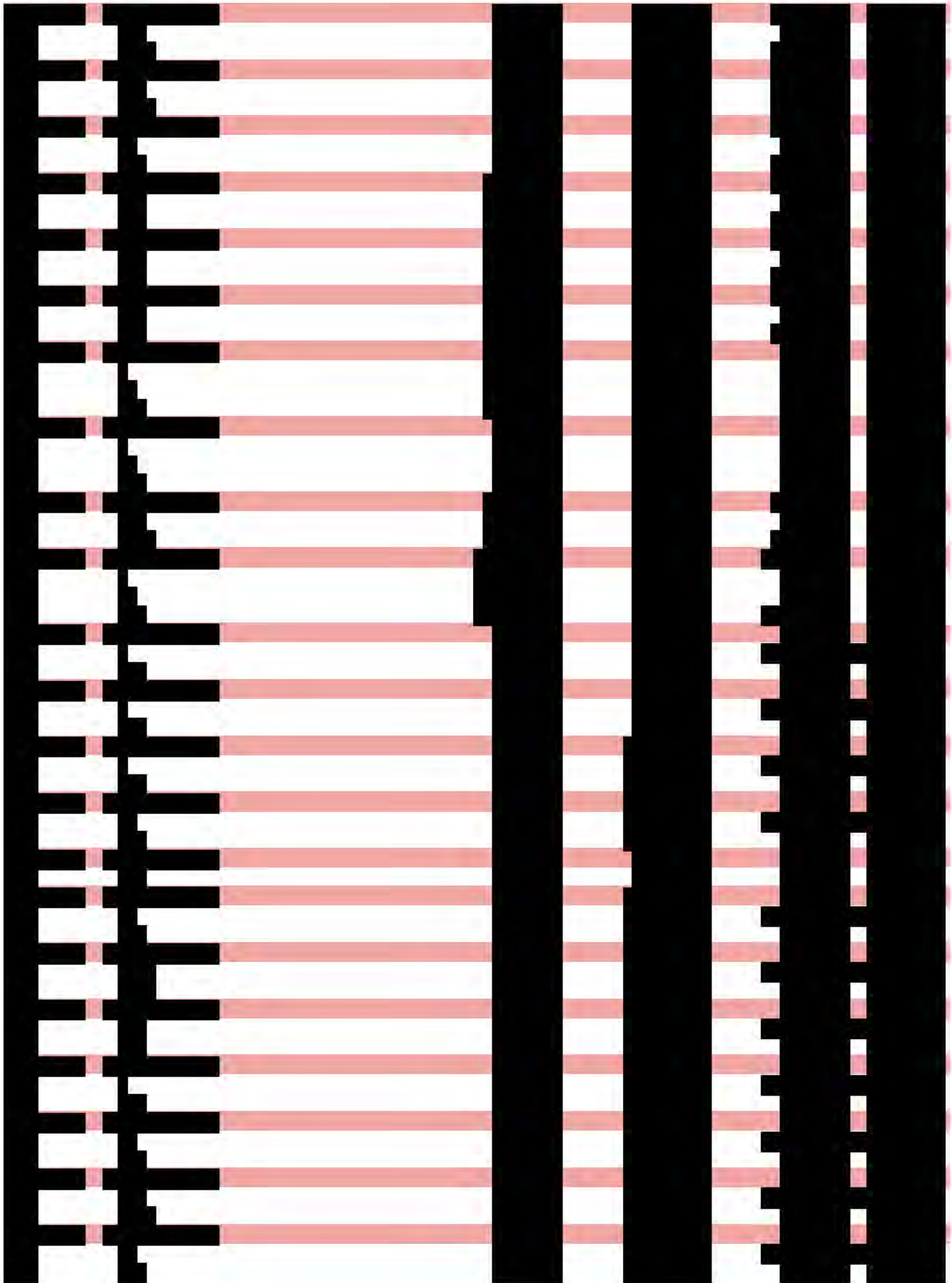


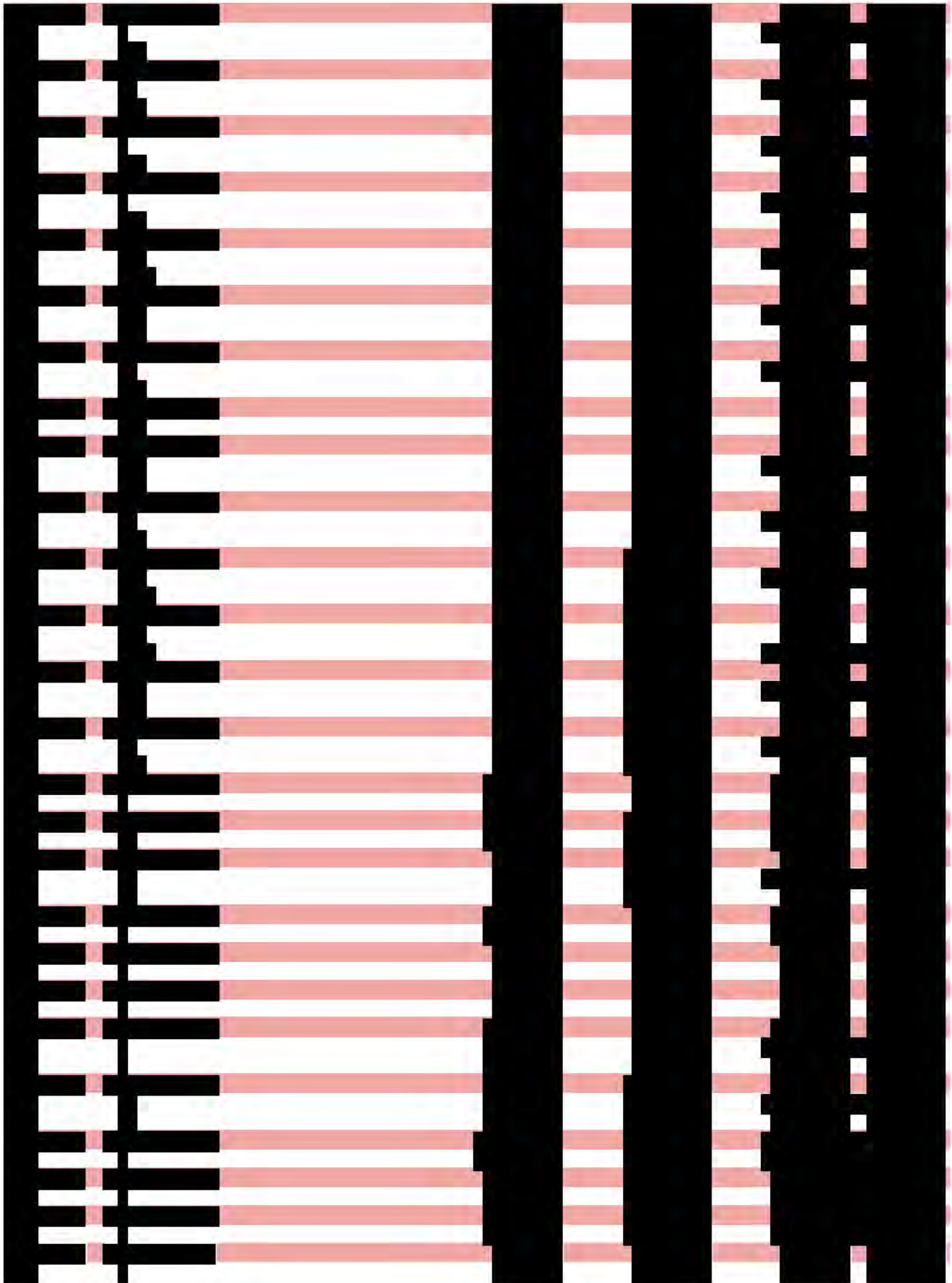
A close-up photograph of a spiral-bound notebook. The notebook is open, showing two blank, lined pages. The pages are white with light blue horizontal ruling. The spiral binding is visible on the left edge. The notebook has a red and white striped cover. The background is a solid black surface.

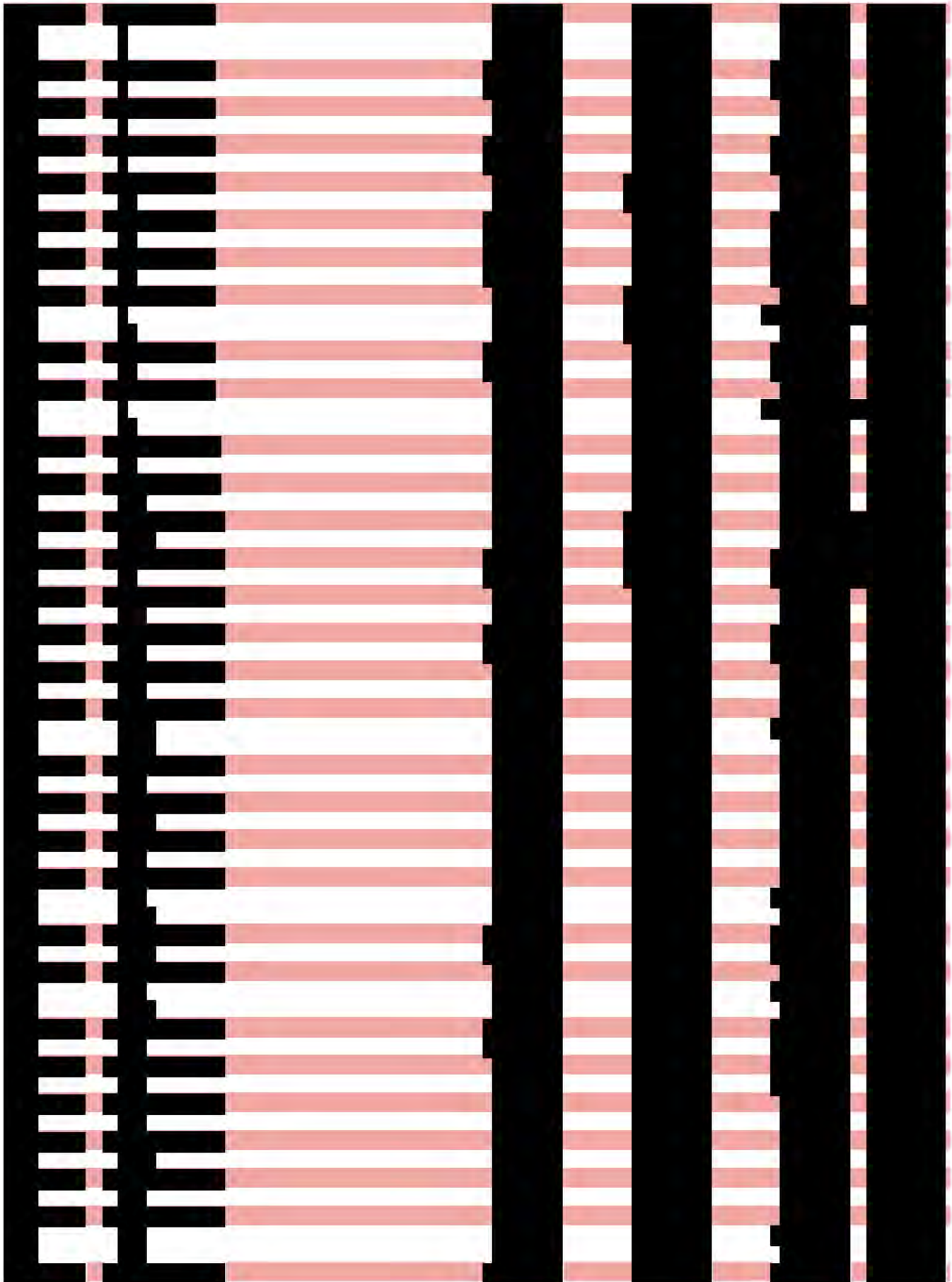


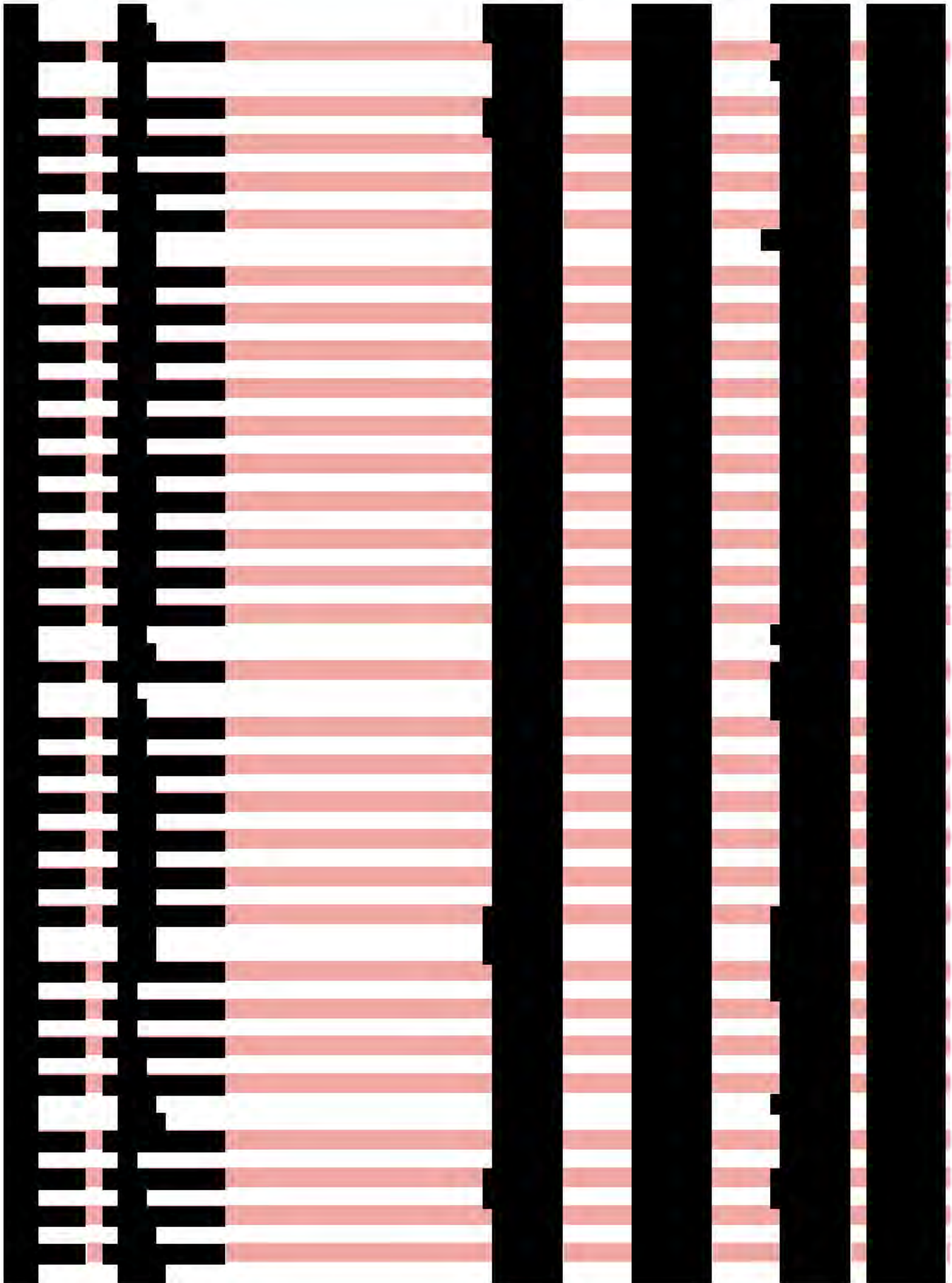
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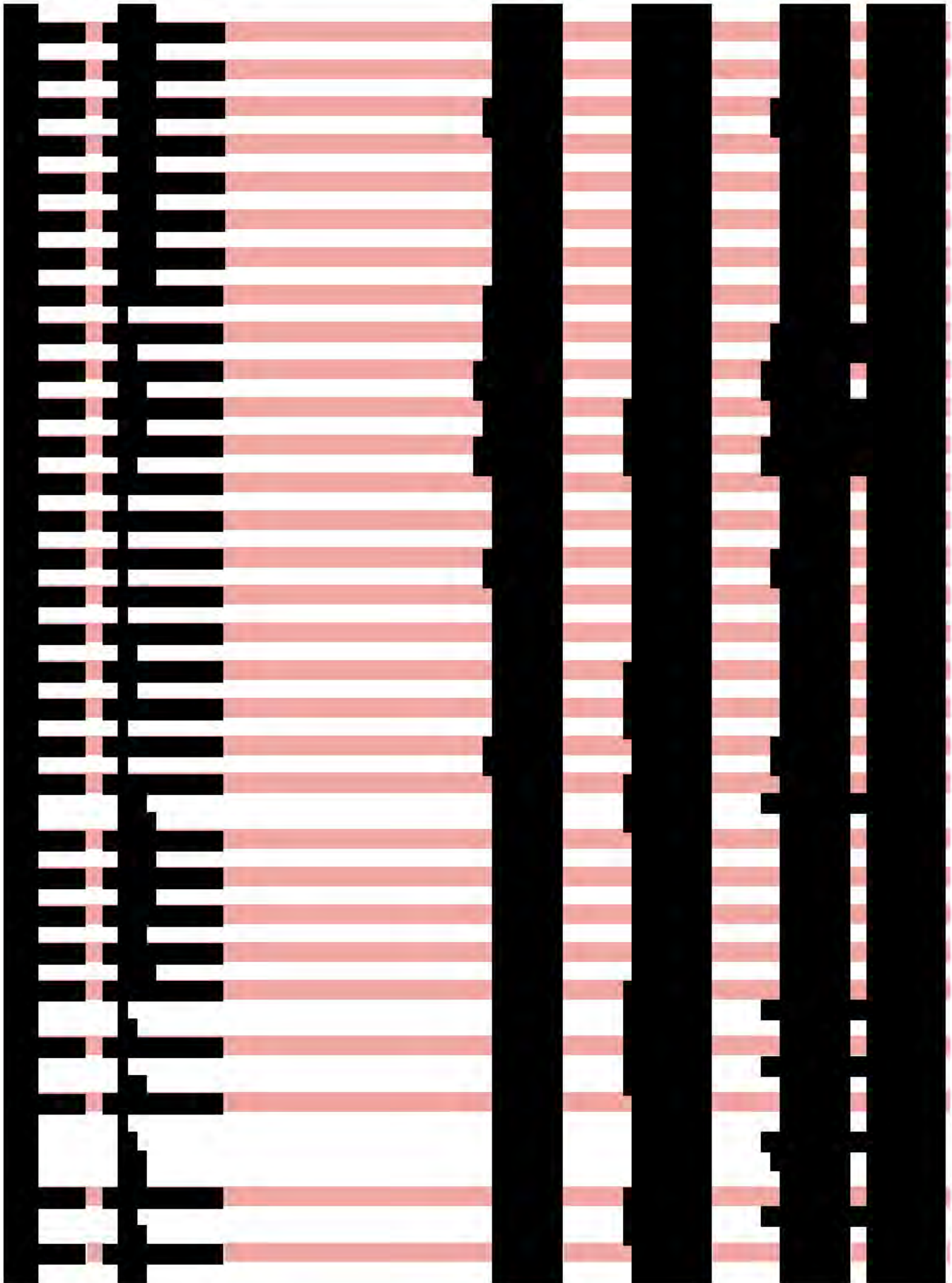


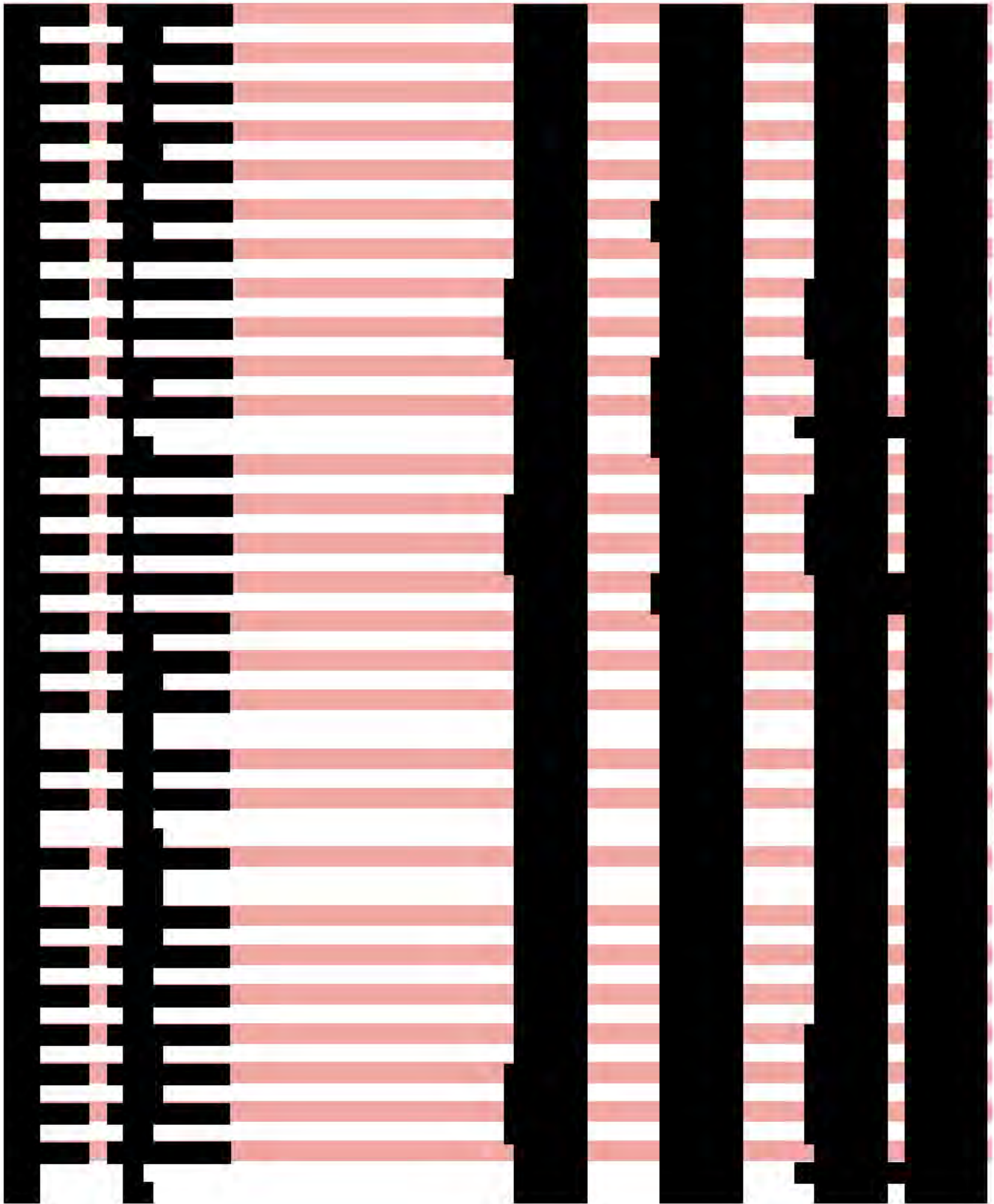






A decorative graphic featuring a black background. On the left side, there is a vertical red and white striped pattern. In the center, there is a large, stylized, abstract shape composed of horizontal red and white stripes. The shape is irregular and has a jagged, torn-edge appearance. To the right of this central shape, there is a vertical red and white striped pattern, similar to the one on the left but narrower. The overall composition is abstract and modern.





**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

v.

DOCKET NO. 21-11

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**RESPONDENT HAMBURG SÜDAMERIKANISCHE DAMPFSCHIFFFAHRTS-
GESELLSCHAFT A/S & CO KG'S RESPONSE TO COMPLAINANT OJ COMMERCE,
LLC'S FIRST SET OF REQUESTS FOR ADMISSION**

Respondent HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG ("HSDG") hereby responds to the
First Set of Requests for Admission issued by Complainant OJ Commerce, LLC.

REQUESTS FOR ADMISSION

1. Admit that during 2021, HSDG entered into at least one Service Contract with at
least one Shipper on or after April 1, 2021.

RESPONSE: Admit.

2. Admit that during 2021, HSDG entered into at least one Service Contract with at
least one Shipper on or after April 28, 2021.

RESPONSE: Admit.

3. Admit that during 2021, HSDG entered into at least one Service Contract with at least one Shipper on or after May 15, 2021.

RESPONSE: Admit.

4. Admit that during 2021, HSDG entered into at least one Service Contract with at least one Shipper on or after May 31, 2021.

RESPONSE: Admit.

5. Admit that during 2021, HSDG entered into at least one Service Contract with at least one Shipper for a MQC at least 1,000 FFEs.

RESPONSE: Admit.

6. Admit that during 2021, HSDG entered into at least one Service Contract with at least one Shipper for a MQC at least 4,000 FFEs.

RESPONSE: Admit.

7. Admit that during 2021, HSDG entered into at least one Service Contract with at least one Shipper for a MQC at least 10,000 FFEs.

RESPONSE: Admit.

8. Admit that during 2021, HSDG shipped cargo from China to Savannah, GA.

RESPONSE: Admit.^{1 *}

9. Admit that during 2022, HSDG shipped cargo from China to Savannah, GA.

RESPONSE: Admit.*

10. Admit that during 2021, HSDG shipped cargo from China to Charleston, SC.

RESPONSE: Admit.*

11. Admit that during 2022, HSDG shipped cargo from China to Charleston, SC.

^{1 *} For purposes of the response to Requests for Admission #8 through #27, HSDG assumes the term “shipped” means “transported.”

RESPONSE: Admit.*

12. Admit that during 2021, HSDG shipped cargo from Brazil to Savannah, GA.

RESPONSE: Admit.*

13. Admit that during 2022, HSDG shipped cargo from Brazil to Savannah, GA.

RESPONSE: Admit.*

14. Admit that during 2021, HSDG shipped cargo from Brazil to Charleston, SC.

RESPONSE: Admit.*

15. Admit that during 2022, HSDG shipped cargo from Brazil to Charleston, SC.

RESPONSE: Admit.*

16. Admit that during 2021, HSDG shipped cargo from Brazil to Kentucky.

RESPONSE: Admit.*

17. Admit that during 2022, HSDG shipped cargo from Brazil to Kentucky.

RESPONSE: Admit.*

18. Admit that during 2021, HSDG shipped cargo from China to Norfolk, VA.

RESPONSE: Admit.*

19. Admit that during 2022, HSDG shipped cargo from China to Norfolk, VA.

RESPONSE: Admit.*

20. Admit that during 2021, HSDG shipped cargo from Brazil to Norfolk, VA.

RESPONSE: Admit.*

21. Admit that during 2022, HSDG shipped cargo from Brazil to Norfolk, VA.

RESPONSE: Admit.*

22. Admit that during 2021, HSDG shipped cargo from China to Charlotte, NC.

RESPONSE: Deny.*

23. Admit that during 2022, HSDG shipped cargo from China to Charlotte, NC.

RESPONSE: Deny.*

24. Admit that during 2021, HSDG shipped cargo from Brazil to Charlotte, NC.

RESPONSE: Admit.*

25. Admit that during 2022, HSDG shipped cargo from Brazil to Charlotte, NC.

RESPONSE: Admit.*

26. Admit that during 2021, HSDG shipped cargo from China to Kentucky.

RESPONSE: Admit.*

27. Admit that during 2022, HSDG shipped cargo from China to Kentucky.

RESPONSE: Deny.*

28. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included a shipping price of between \$3,000 - \$3,400 per FFE for the shipping lane from China / Vietnam to Kentucky.

RESPONSE: Deny.

29. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included a shipping price of between \$1,300 - \$1,500 per FFE for the shipping lane from China / Vietnam to the Long Beach, CA.

RESPONSE: Deny.

30. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included a shipping price of between \$2,200 - \$2,800 per FFE for the shipping lane from Brazil to the United States.

RESPONSE: Admit.

31. Admit that during the 2021-2022 Service Contract year, HSDG had at least one

Service Contract that included shipping volumes of over 1,000 FFE for the shipping lane from China to the United States.

RESPONSE: Admit.

32. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included shipping volumes of over 1,000 FFE for the shipping lane from Vietnam to the United States.

RESPONSE: Admit.

33. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included shipping volumes of over 1,000 FFE for the shipping lane from Brazil to the United States.

RESPONSE: Admit.

34. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included shipping volumes of over 1,200 FFE for the shipping lane from China or Vietnam to the United States.

RESPONSE: Admit.

35. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included shipping volumes of over 2,900 FFE for the shipping lane from Brazil to the United States.

RESPONSE: Admit.

36. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included shipping volumes of over 1,400 FFE for the shipping lane from China or Vietnam to the United States.

RESPONSE: Admit.

37. Admit that during the 2021-2022 Service Contract year, HSDG had at least one Service Contract that included shipping volumes of over 3,200 FFE for the shipping lane from Brazil to the United States.

RESPONSE: Admit.

/s/Wayne R. Rohde
Wayne R. Rohde
Kathryn Sobotta
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2507

/s/ Rachelle Barstow
Rachelle Barstow
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180 Park Avenue
Florham Park, NJ 07932
(973) 738-6780

/s/ David W. Marston Jr.
David W. Marston Jr.
Jawad Muaddi
MORGAN, LEWIS & BOCKIUS LLP
600 Brickell Avenue, Suite 1600
Miami, FL 33131
(305) 415-3443

Dated: August 31, 2022

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31st day of August, 2022, the foregoing was served via electronic mail on:

Shlomo Y. Hecht
sam@hechtlawpa.com

and

Aaron Davis, Esq.
davis@valhallalegal.com

A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

Wayne R. Rohde



September 2, 2021

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & CO KG
WILLY-BRANDT-STR. 59-65
20457 HAMBURG
GERMANY

HAMBURG SUD NORTH AMERICA,
INC.
465 SOUTH STREET F 3 STE 300
MORRISTOWN NJ 07960
UNITED STATES

Re: DEMAND FOR DEMURRAGE FEES REFUND

Dear HAMBURG SÜDAMERIKANISCHE:

Please be advised that the undersigned represents OJ COMMERCE, LLC (“OJC”) against HAMBURG SÜDAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG (“HAMBURG SÜD”), in connection with improper demurrage fees that were charged to OJC.

At issue are charges related to 13 containers for which OJC was wrongfully billed a total of **\$40,680.32** in demurrage fees. These fees must be refunded. To be clear, OJC contracted for a port to door service. All these demurrage fees were incurred as a result of *HAMBURG SÜD’s delays and failures*, and therefore should have never been charged to OJC. OJC has tried repeatedly to resolve these charges with its account representatives at HAMBURG SÜD, to no avail. The details for each container/charge are outlined below:

Container No. **MRKU2875026**

The container was discharged on February 1, 2021, the last free day on port was February 5, 2021, yet gate out was not until March 3, 2021. OJC was nevertheless wrongfully charged a total of **\$7,540** in demurrage fees.

Container No. **BEAU5182625**

The container was discharged on February 2, 2021, the last free day on port was February 8, 2021, yet gate out was not until March 2, 2021. OJC was nevertheless wrongfully charged a total of **\$6,280** in demurrage fees.



Container No. **SEGU4327705**

The container was discharged on January 27, 2021, the last free day on port was February 2, 2021, yet gate out was not until March 1, 2021. OJC was nonetheless wrongfully charged a total of **\$7,855** in demurrage fees.

Container No. **MSKU0595352**

The container was discharged on May 22, 2021, yet OJC did not receive notice until May 25, 2021. Additionally, the container was subject to a VACIS exam, but OJC did not receive such notice until June 1, 2021. Gate out was on June 7, 2021. Despite that, OJC was wrongfully charged a total of **\$3,765** in demurrage fees.

Container No. **SUDU8646980**

The container was discharged on June 16, 2021. HAMBURG SÜD failed to schedule a delivery order for the trucking company altogether resulting in a gate out date of July 8, 2021. Nevertheless, OJC was wrongfully charged a total of **\$4,075** in demurrage fees.

Container No. **MRKU3142506**

The container was discharged on June 23, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Nonetheless, OJC was wrongfully charged a total of **\$2,485** in demurrage fees.

Container No. **GCXU5721300**

The container was discharged on June 23, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Nonetheless, OJC was wrongfully charged a total of **\$2,750** in demurrage fees.

Container No. **MSKU1597679**

The container was discharged on June 23, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 15, 2021 gate out date. OJC was nonetheless wrongfully charged a total of **\$3,015** in demurrage fees.

Container No. **TLLU6852525**

The container was discharged on June 23, 2021. OJC did not receive the arrival notice until June 24, 2021. Such a delay in arrival notice prevented OJC from making the proper arrangements for a timely pickup or pre-pull resulting in a July 1, 2021 gate out date. OJC was thereafter wrongfully charged a total of **\$645** in demurrage fees.

Container No. **MRSU3300327**



The container was discharged on June 25, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 13, 2021 gate out date. OJC was nonetheless wrongfully charged a total of **\$742.22** in demurrage fees.

Container No. **SUDU6976489**

The container was discharged on June 24, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 13, 2021 gate out date. OJC was nonetheless wrongfully charged a total of **\$742.22** in demurrage fees.

Container No. **MSKU1228177**

The container was discharged on June 23, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to arrange for a proper trucking company. Instead, it arranged for a trucking company that could not handle more than 3 containers per day, and this container was not one of those, resulting in a July 8, 2021 gate out date. OJC was nonetheless wrongfully charged a total of **\$392.94** in demurrage fees.

Container No. **BMOU4268879**

The container was discharged on July 1, 2021. But the prepull pickup process was delayed because HAMBURG SÜD failed to provide the proper equipment to its truckers to do a pre-pull resulting in a July 14, 2021 gate out date. Again, OJC was wrongfully charged a total of **\$392.94** in demurrage fees.

Based on the foregoing, OJC hereby demands that HAMBURG SÜD refund OJC the total of \$40,680.32 in demurrage fees by September 15, 2021, close of business. Failure to do so will result in legal action against you, including but not limited to, the filing of a formal complaint with the Federal Maritime Commission, as well as all other legal remedies available to OJC.

Nothing herein should be considered a full recitation of facts supporting OJC's position and nothing contained herein is intended to or does constitute a waiver of any right, remedy, or position of OJC, each and all of which are expressly reserved.

Sincerely,
Shlomo Y Hecht, Esq.

Michael Gast
8/16/2022

Page 1

BEFORE THE
FEDERAL MARITIME COMMISSION
DOCKET NO 21-11

OJ COMMERCE, LLC
Complainant,
v
HAMBURG SUDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and
HAMBURG SUD NORTH AMERICA, INC
Respondents

_____/

ZOOM REMOTE VIDEO TELECONFERENCE DEPOSITION OF
MICHAEL WILLIAM GAST, JR
AUGUST 16, 2022
10:06 AM TO 06:30 PM

REPORTED BY:
EDDIE ARTZE, COURT REPORTER
NOTARY PUBLIC, STATE OF FLORIDA

Page 2

1 APPEARANCES OF COUNSEL
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Page 3

1 INDEX OF EXAMINATION
2
3 WITNESS: MICHAEL WILLIAM GAST, JR.
4
5 DIRECT EXAMINATION Page
6 By Aaron Davis, Esq. 5
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

Page 4

1 INDEX OF EXHIBITS
2
3 EXHIBIT NUMBERS DESCRIPTION PAGE
4 1 AGREEMENT 55
5 2 AFFIDAVIT 57
6 3 DISCLOSURE 84
7 4 ANSWER 87
8 5 AMENDED COMPLAINT 102
9 6 ANSWER & OBJECTIONS 107
10 7 -- 212
11 8 -- --
12 9 EMAIL 125
13 10 EMAIL 122
14 11 HS13050-13051 --
15 12 EMAIL 143
16 13 CONTRACT 228
17 14 -- -
18
19
20
21
22
23
24
25

1 (Pages 1 to 4)

Page 129

Page 131

Page 130

Page 132

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FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OJ COMMERCE, LLC, *Complainant*

v.

HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-
GESELLSCHAFT A/S & CO. KG AND HAMBURG SUD NORTH
AMERICA, INC., *Respondents*.

DOCKET NO. 21-11

Served: June 29, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON RESPONDENTS' MOTION TO COMPEL AND REVISED SCHEDULE

I. Introduction and Procedural Background

On May 16, 2022, the parties filed a joint motion to modify the scheduling order. Also on May 16, 2022, Complainant OJ Commerce ("OJC") filed a motion to compel discovery and for reimbursement of attorneys' fees and costs ("Motion"). On May 23, 2022, Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft-A/S & Co. KG and Hamburg Sud North America, Inc. (collectively "Hamburg") filed their response to the motion to compel ("Opposition").

This proceeding began on December 13, 2021, when the Commission issued a notice of filing of complaint and assignment, indicating that OJC had filed a complaint against Hamburg. An amended complaint, filed on February 18, 2022, alleges that Hamburg violated 46 U.S.C. §§ 41102(c), 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10).

For the reasons set forth below, both OJC's motion to compel and the joint motion to modify the scheduling order are **GRANTED IN PART AND DENIED IN PART**.

II. Motion to Compel

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

Complainant seeks to compel scheduling, allocation of space, and pricing on relevant sailings; service contract business practices; and deposition expenses. Motion at 10-19. Hamburg asserts that the requests are burdensome or otherwise improper; the material sought does not meet the applicable legal standard; and the claim for reimbursement of attorneys' fees should be denied because it seeks relief that the presiding officer lacks the authority to grant and is also unwarranted. Opposition at 2-9.

A. Scheduling, allocation of space, and pricing on relevant sailings

OJC requests responses to interrogatory 9 ("OJC INT 9") and request for production 9 ("OJC RFP 9") which seek specific information from January 1, 2020, to the present for each sailing from specific cities in China and Vietnam to Los Angeles or Long Beach, including the date of departure and arrival; cargo capacity; unbooked or available cargo capacity; each shipper whose cargo was carried; and for each shipper, the volume of cargo, dates booked, total contractual minimum quantity commitment ("MQC"), total volume, and price charged. Motion at 10-11. OJC asserts that these requests relate directly to Complainant's allegations of offering carriage to other shippers at higher contracted or spot market rates, undue and unreasonable preference, unfair and unjust discriminatory practices, undue and unreasonable prejudice or disadvantage, and profiting from violation of the Shipping Act. Motion at 12-13.

Hamburg asserts that the information sought is not reasonably calculated to lead to the discovery of admissible evidence because there is no factual dispute with the allegation that the complainant did not receive all of the space for which it had contracted. Opposition at 4-5. Regarding these specific requests, Hamburg argues that the burden outweighs the benefit because Complainant is seeking 24 data points per week for a period of approximately 120 weeks which would need to be compiled from four different databases and that determining the rate charged may require identifying as many as 168,000 separate rates. Opposition at 5-7.

Moreover, Respondents assert that the data sought will not make any facts more or less probable as there was in all likelihood some cargo paying higher rates and some cargo paying lower rates.

OJC INT 9(a)-9(f) request information regarding the Respondents' sailings from the cities at issue, including the total cargo capacity and the cargo capacity that remained unbooked. This information is within the Respondents' control and is relevant. It is not overly burdensome to require production of information from multiple databases. *SMD Software, Inc. v. EMove, Inc.*, 2011 U.S. Dist. LEXIS 66742, at *18 (E.D.N.C. June 22, 2011) ("It is not clear why providing information readily available in databases – even if that information is spread across three or more databases – causes the undue burden described by defendants"). Therefore, OJC INT 9(a)-9(f) is compelled, although the timeframe will be limited to January 1, 2020, to January 1, 2021.

OJC INT 9(g)-9(l) request information regarding non-party customer data, including shipper identity, cargo, MQC commitments, volume, and pricing that is commercially sensitive to non-parties. While the requested responses may have marginal relevance to issues in the proceeding, the burden and expense of production outweigh their probative value. Regarding rates charged to non-party shippers, "there could be as many as 168,000 rates alone." Opposition at 7. Moreover, rates are determined based on a number of factors and the rate, without all of those other factors, has limited value. Accordingly, the information requested in OJC INT 9(g)-9(l) is not compelled.

OJC RFP 9 will be similarly limited, with only documents relevant to OJC INT 9(a)-9(f) from January 1, 2020, to January 1, 2021, compelled. The parties are encouraged to stipulate to facts to reduce discovery expenses. Stipulations should be agreed to by all parties and may be filed without a motion as they do not need to be approved.

B. Service contract business practices

OJC requests responses to requests for production 13 and 26 which seek documents concerning which shippers were offered a service contract, what MQC each of those shippers received in their service contracts as compared to what MQC they requested, and which shippers were not offered a service contract despite a request for one, including policies, considerations, decisions, or determinations concerning the reasons why each entity was offered or not offered a service contract and how prices charged for shipments under service contracts or the spot market are determined. Motion at 13-14.

Hamburg asserts that responding to these questions would require a manual review of approximately 800 service contracts; that there is no way to search for service contracts that were not signed; and the pricing information requires reviewing a massive amount of commercially sensitive materials. Opposition at 8-9.

OJC RFP 13 requests documents regarding which shippers were offered a service contract, the MQC requested versus the MQC received, and which shippers were not offered a service contract. Responding to this request would require a manual review of all correspondence as it is not maintained in the normal course of business, a burden which outweighs the potential benefit. Accordingly, OJC RFP 13 is not compelled.

OJC RFP 26 requests documents showing pricing, including how prices are determined and why prices may vary between shippers. Respondents state that “prices vary among customers based on a number of factors, including the volume committed in a particular trade lane and in other trade lanes.” Opposition at 9. This request will be narrowed to any policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charged for shipments under service contracts and on the spot market. Respondents will not be required to review or provide documents regarding pricing for individual shippers. So, for example, the negotiations with individual shippers would not be disclosed but an email with information about pricing on a specific route must be disclosed. Accordingly, OJC RFP 26 is compelled as limited.

C. Deposition expenses

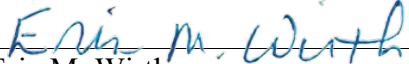
OJC seeks attorney’s fees related to a deposition of an employee who was included in Respondents’ initial disclosures but when deposed, was found not to have knowledge of the claims and defenses in this matter. Motion at 16-19. Hamburg asserts that the request for attorneys’ fees “must be denied because it seeks relief the presiding officer lacks the authority to grant and is unwarranted.” Opposition at 2.

Pursuant to the Howard Coble Coast Guard and Maritime Transportation Act of 2014, 46 U.S.C. § 41305(e), and Commission Docket No. 15-06, under certain circumstances, attorney fees may be awarded to the prevailing party in a complaint proceeding. However, there is no mechanism for the presiding officer to award fees prior to the resolution of a proceeding. Accordingly, the request for deposition expenses is denied.

III. Revised Scheduling Order

The parties seek an approximately sixty-day extension of the schedule. Given the Commission deadline for this proceeding of December 13, 2022, a shorter extension is approved and a joint status report deadline is added. The procedure for briefing outlined in the initial scheduling order remains in effect.

July 15, 2022	Joint status report.
August 5, 2022	Disclosure of initial expert reports.
August 30, 2022	Last day to serve discovery requests.
September 2, 2022	Disclosure of rebuttal expert reports.
September 16, 2022	Close of all discovery (fact and expert).
October 10, 2022	Complainant’s brief, findings of fact, and appendix.
November 14, 2022	Respondents’ brief, findings of fact, appendix, and response.
November 30, 2022	Complainant’s reply brief.


Erin M. Wirth
Chief Administrative Law Judge

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OJ COMMERCE, LLC, *Complainant*

v.

HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-
GESELLSCHAFT A/S & CO. KG AND HAMBURG SUD NORTH
AMERICA, INC., *Respondents*.

DOCKET NO. 21-11

Served: August 31, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

**ORDER ON RESPONDENTS' MOTIONS TO PARTIALLY DISMISS AND FOR A PROTECTIVE ORDER
AND COMPLAINANT'S MOTION FOR EXPEDITED RELIEF**

I. Introduction and Procedural Background

On July 26, 2022, Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG ("HSDG") and Hamburg Sud North America, Inc. ("HSNA"), collectively "Hamburg," filed a motion to partially dismiss and/or for summary judgment ("Motion"). On August 10, 2022, Complainant OJ Commerce, LLC ("OJC") filed a memorandum of law in opposition to Respondents' motion ("Opposition"). On August 17, 2022, Respondents filed a reply to Complainant's opposition ("Reply").

On August 15, 2022, Complainant filed a request for expedited relief of discovery and confidentiality designation issues ("Expedited Motion"). On August 22, 2022, Respondents filed an opposition to Complainant's expedited motion ("Expedited Opposition").

On August 22, 2022, Respondents filed a motion requesting a protective order ("Protective Order Motion"). On August 24, 2022, Complainant filed a response and memorandum of law opposing Respondents' protective order motion ("Protective Order Opposition").

This proceeding began on December 13, 2021, when the Commission issued a notice of filing of complaint and assignment, indicating that OJC had filed a complaint against Hamburg. An amended complaint, filed on February 18, 2022, alleges that Hamburg violated 46 U.S.C. §§ 41102(c), 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9), and 41104(a)(10).¹ In their motion, Hamburg does not seek to dismiss the allegations in Sections 41102(c) and 41104(a)(3).

¹ The Amended Complaint was filed prior to the June 16, 2022, changes to the Shipping Act.

For the reasons set forth below, both Respondents' motion to dismiss and/or for summary decision and OJC's expedited motion are granted in part and denied in part. Respondents' motion for a protective order is denied. Each motion is addressed separately.

II. Motion to Dismiss or for Summary Decision

A. Arguments of the Parties

Respondents argue that OJC's claim under Section 41102(b)(2) is invalid; OJC's claims under Sections 41104(5) and 41104(9) are without merit; OJC's Section 41104(10) claim should be dismissed or, alternatively, summary judgment granted in favor of Respondents; and, HSNA should be dismissed as a respondent due to the lack of jurisdiction. Motion at 3-7.

Complainant contends that Respondents' argument for dismissal and/or summary judgment of OJC's Section 41104(10) claim entirely ignores known material facts that illustrate that Respondents unreasonably refused to deal with and retaliated against OJC and must be rejected; Respondents' motion should also be denied as the parties are still engaged in discovery during which more evidence in support of OJC's claims are likely to come to light; Respondents' repetitive motion regarding HSNA has already been denied by this Court and should be rejected again; and, the remainder of Respondents' motion should be denied as well. Opposition at 10-20.

B. Motion to Dismiss and Summary Decision Standards

Although the Commission's Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *6 (FMC Oct. 29, 2020).

"When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 FMC LEXIS 216, at *6 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 FMC LEXIS 216, at *6 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43, at *36 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

Summary decision, or summary judgment, is appropriate when “there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” FRCP 56(a). The Commission has emphasized that at the summary decision stage, “the role of the judge ‘ . . . is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.’” *EuroUSA Shipping, Inc., Tober Group, Inc., & Container Innovations, Inc.*, Docket No. 06-06, 31 S.R.R. 540, 545 (FMC Dec. 18, 2008) (citation omitted). Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial. *Roberts v. Browning*, 610 F.2d 528, 536 (8th Cir. 1979); *In re Korean Air Lines Disaster*, 597 F. Supp. 613, 618 (D.D.C. 1984).

C. Discussion

1. Section 41102(b)(2)

Respondents assert that the “contract at issue in this case is a service contract between an ocean common carrier and a shipper, which is required to be filed under Section 40502 of the Shipping Act” and that because “the service contract is not required to be filed under Sections 40302 or 40305, the prohibition contained in Section 41102(b)(2) is not applicable to the service contract between OJC and HSDG, and thus no relief may be granted for any alleged violation of Section 41102(b)(2).” Motion at 4.

Complainant asserts that its “Section 41102(b)(2) claim alleges a violation of the Shipping Act and not a breach of contract, and therefore Respondents’ Motion should be denied on that claim as well.” Opposition at 20.

Section 41102(b), titled “Operating Contrary to Agreement,” states: “A person may not operate under an agreement required to be filed under section 40302 or 40305 of this title if . . . (2) the operation is not in accordance with the terms of the agreement or any modifications to the agreement made by the Federal Maritime Commission.” 46 U.S.C. § 41102(b).

Previous proceedings have found that Section 41102(b) does not apply to contracts between shippers and ocean transportation intermediaries.

Section 41102(b) provides that a “person may not operate under an agreement required to be filed under section 40302 or 40305.” 46 U.S.C. § 41102(b). Sections 40302 and 40305 govern agreements “between or among ocean common carriers,” “between or among marine terminal operators, or between or among

one or more marine terminal operators and one or more ocean common carriers,” and assessment agreements. *See* 46 U.S.C. § 40301. Neither Complainant nor Respondent is an ocean common carrier (vessel-operating-common carrier) or marine terminal operator. *See* 46 U.S.C. § 40102(18). The service contract referred to in this section is not the contract between individual consumers and NVOCC for a specific shipment but rather the contract between common carriers. Therefore, the provisions of section 41102(b) do not apply to the parties. Complainant’s section 41102(b) allegation thus does not state a plausible claim for relief.

Dukart v. Ocean Star Int’l Inc., Docket No. 20-03, 2020 FMC LEXIS 149, at *25 (ALJ July 10, 2020) (Notice Not to Review, 8/11/20); *see also Muzorori v. Canada State Africa Lines Inc.*, Docket No. 1949(F), 2015 FMC LEXIS 46, at *13-15 (ALJ Dec. 23, 2015), *aff’d* Order Affirming Initial Decision (FMC July 14, 2016).

According to the amended complaint, this proceeding involves service contracts of a shipper with a common carrier and ocean transportation intermediary, not a contract between or among ocean common carriers. Amended complaint at 1-2. This type of service contract is not required to be filed under sections 40302 or 40305. Therefore, Respondents have established that, as a matter of law, Section 41102(b)(2) does not apply to the service contract at issue. Accordingly, OJC’s claims under Section 41102(b)(2) are dismissed.

2. Sections 41104(a)(5) and 41104(a)(9)

Respondents assert that sections 41104(a)(5) and (9) apply to rates charged to different localities or ports and not to shippers within ports, so that these sections are inapplicable to this claim. Motion at 4-5. Complainant asserts that these sections are applicable to this proceeding and properly allege a violation of the Shipping Act. Opposition at 19-20.

Section 41104, titled “Common carriers,” states that “(a) In General. A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (5) for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port; [or] . . . (9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port.” 46 U.S.C. § 41104(a).

Complainant points to *MCS Industries*, in which an Administrative Law Judge denied a motion to dismiss these sections. Opposition at 19-20 (citing *MCS Industries, Inc. v. MSC Mediterranean Shipping Co., SA*, Docket No. 21-05, Order on Motion to Amend Complaint and Motion to Dismiss (ALJ Feb 4, 2022)). The *MCS Industries* decision addressed a motion to dismiss filed prior to discovery which did not clearly articulate the objections to these sections. It is not binding on this proceeding.

The parties do not cite to any cases other than *MCS Industries* addressing this issue. The Senate Report accompanying the Ocean Shipping Reform Act of 1997 states:

New sections 10(b)(5) and (9) substantially increase the discretion given to common carriers to provide different service contract terms to similarly situated shippers. In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrows the application of the prohibited acts with respect to service pursuant to common carrier service contracts. Sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would restrict common carrier service contracting flexibility in only three, narrow, ways.

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. **The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.** An example of this would include a clear pattern of service contracting by a common carrier that imposes an unreasonable disadvantage on all shipments from a specific nation or region of a nation, including the United States. Second, the amendments made by this section would retain similar protections for ports from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts as currently exist under the 1984 Act through references to ports and localities. Third, the amendments made by this section would protect shippers and ocean transportation intermediaries from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts due to their status as shippers' associations or ocean transportation intermediaries.

The Committee intends the application of sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, with respect to protection for shippers' associations and ocean transportation intermediaries to be limited to circumstances in which the prohibited actions are clearly targeted at shippers' associations and ocean transportation intermediaries in general, not to circumstances where the actions are targeted at a particular shippers' association or ocean transportation intermediary. An example of such prohibited activity would include a clear pattern of unjustly discriminatory practices by a common carrier with respect to all shippers' association service contracts. The Committee expects the amendments to the 1984 Act by the bill will result in a much more competitive environment for ocean transportation rates and services. This environment should provide shippers' associations and ocean transportation intermediaries with more options when shopping for ocean transportation services and free common carriers to compete with each other to obtain shippers' associations and ocean transportation intermediaries as customers. Therefore, the Committee believes that shippers' associations and ocean transportation intermediaries require less protection as individuals in this more competitive marketplace. The Committee intends that common carriers be afforded the maximum flexibility to differentiate

their service contract terms and conditions with respect to individual shippers and ocean transportation intermediaries in this more competitive environment. The Committee directs the FMC, and its successor, to focus the efforts of its limited enforcement resources, with respect to common carrier service contracts, on the most egregious examples of unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracting.

S. Rep. 61, 105th Cong., 1st Sess., p. 28 (1997) (emphasis added).

Section 41104(a)(5) applies to practices “against any commodity group or type of shipment or in the matter of rates or charges with respect to any port.” 46 U.S.C. § 41104(a)(5). The complaint does not identify any “commodity group” or any “type of shipment.” The complaint does raise issues about practices regarding rates or charges but does not indicate that the practices are targeted to a specific port. Rather, it appears that the alleged conduct was targeted at a particular shipper. It therefore does not appear that the allegations would fit within the requirements of this section.

Section 41104(a)(9) applies to practices “with respect to any port.” 46 U.S.C. § 41104(a)(9). The complaint does not indicate that the alleged undue or unreasonable preference or advantage or prejudice or disadvantage were targeted at a specific port. Rather, it appears that the conduct was targeted at a particular shipper. It therefore does not appear that the allegations would fit within the requirements of this section.

Respondents have established that, as a matter of law, Sections 41104(a)(5) and 41104(a)(9) do not apply to the practices alleged in the amended complaint. Accordingly, OJC’s claims under Sections 41104(a)(5) and 41104(a)(9) are dismissed. It is noted that OJC’s claims under Sections 41102(c) (unreasonable practices) and 41104(a)(3) (retaliation) were not raised in Respondents’ motion and remain pending.

3. Section 41104(a)(10): Refusal to Deal

Respondents assert that they did not refuse to deal or negotiate with OJC, and that because “HSDG was willing to do business with OJC other than under a service contract and offered to do so, OJC’s claim that there was an unreasonable refusal to deal or negotiate should be dismissed.” Motion at 6. Complainant focuses its opposition on defending the refusal to deal claim, raising a number of factual arguments in support of the claim. Opposition at 10-17.

Section 41104, regarding “Common carriers” states that “(a) In General. A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” 46 U.S.C. § 41104(a)(10).

The amended complaint alleges an unreasonable refusal to deal with OJC when Respondents “refused to renew Complainant’s service contract and forced Complainant into the spot market for virtually all its shipments.” Amended Complaint at 18. To determine whether Hamburg refused to deal with OJC and therefore violated the Shipping Act will require determination of contested facts. The complaint plausibly raises the issue and Respondents have

not established that this claim should be dismissed as a matter of law. The parties are in the process of conducting discovery and may further develop the factual record. Because material facts are disputed, this claim cannot be summarily dismissed.

4. Jurisdiction over HSNA

Respondents argue that HSNA must be dismissed because it was not a common carrier, marine terminal operator, or ocean transportation intermediary, but rather an agent, and therefore the Commission has no jurisdiction over HSNA. Motion at 7. OJC responds that this issue has already been raised and denied, and that they have not completed discovery on this issue. Opposition at 18.

This issue was squarely raised and previously denied in this proceeding. “The amended complaint alleges that Hamburg NA is an ocean transportation intermediary (“OTI”), an issue which is inextricably intertwined with the merits of the case, as an OTI is a Commission-regulated entity subject to the section 41102(c) prohibitions. The amended complaint thus raises a sufficient basis for the Commission to assert jurisdiction over the complaint, and over Hamburg NA.” Order on Motion to Amend Complaint and Motion to Dismiss at 4. Respondents’ motion is repetitive and is denied. Moreover, the parties contest material facts regarding whether or not HSNA operated as an ocean transportation intermediary. Therefore, summary decision is also not appropriate.

5. Conclusion

For the reasons identified above, the claims of violations of Sections 41102(b)(2), 41104(a)(5), and 41104(a)(9) are dismissed. The claims of violations of Sections 41102(c) (unreasonable practices), 41104(a)(3) (retaliation), and 41104(a)(10) (refusal to deal) remain pending. Therefore, it is necessary to address the other pending motions.

III. Pending Motions

A. Complainant’s Motion for Expedited Relief

OJC requests the following relief on an expedited basis:

1. The de-designation of stale, expired information that is clearly not trade secret or highly confidential but has nonetheless been so designated “Attorneys’ Eyes Only” by Respondents in order to cripple OJC’s prosecution of its case;
2. A finding of contempt against Respondents for failing to produce known responsive documents to OJC’s RFP 26, despite the fact that this Court ordered the production of such documents and said documents being readily available to Respondents;
3. The in camera review and de-designation of emails which Respondents have wrongfully identified as “work product protected” which are critical and central to OJC’s case and Respondents’ defenses; and

4. The ordering of Respondents to produce their employees Søren Skou and Patrick Jany for deposition, as they have personal knowledge of facts highly relevant to OJC's claims, including for damages.

Expedited Motion at 1-2.

1. Confidential Designations

Complainant asserts that Respondents improperly classified as "attorney's eyes only" TransPacific Eastbound ("TP EB") Spot Market Rate emails from September 20, 2019, to September 14, 2020, arguing that the information is no longer highly confidential and that their prosecution of the proceeding is hindered by being unable to share them with their client. Expedited Motion at 3-4.

Respondents contend that documents relating to pricing and pricing strategy are highly confidential and sensitive, even if historic, but that "Respondents are prepared to work with OJC to reach an accommodation that would enable OJC's personnel to use the spot rate information contained in Exhibit #1 to the Motion for purposes of calculated alleged damages." Expedited Motion Opposition at 8.

"Under Fed. R. Civ. P. 26(c)(1)(G), the court may, for good cause, issue a protective order to require that 'a trade secret or other confidential research, development, or commercial information not be revealed or be revealed only in a specified way,' and once 'the party requesting that its trade secrets only be revealed in a specified way has met its initial burden, the burden then shifts to the party seeking unrestricted disclosure to establish that such disclosure is relevant and necessary to the action' and then finally, 'the court must balance the need of the party seeking discovery of the trade secrets and confidential information against the opposing party's claim of injury resulting from the disclosure.'" *Layne Christensen Co. v. Purolite Co.*, 271 F.R.D. 240, 248-49 (D. Kan. 2010); *see also Stanislaus Food Prods. Co. v. USS-POSCO Indus.*, 2012 U.S. Dist. LEXIS 176346, at *6-7 (E.D. Cal. Dec. 11, 2012).

The D.C. Circuit has held that "district courts must evaluate three criteria when considering a request for a protective order seeking to restrict attorney-client consultation: "the harm posed by [disclosure] must be substantial and serious; the restraining order must be narrowly drawn and precise; and there must be no alternative means of protecting the public interest which intrudes less directly on attorney-client relations.'" *Doe v. District of Columbia*, 697 F.2d 1115, 1120 (D.C. Cir. 1983) (quoting *In re Halkin*, 598 F.2d 176, 191 (D.C. Cir. 1979)); *see also Broidy Capital Mgmt. LLC v. Muzin*, 2022 U.S. Dist. LEXIS 98241, at *13 (D.D.C. June 2, 2022).

Here, the spot market rates reflect pricing and pricing strategy and are the type of information that may be highly confidential. However, this information is also highly relevant to the claims in this proceeding, including to the damages calculation, and the client would benefit from being able to discuss this information with its attorney. Complainant is not a competitor of Respondents and so this does not require releasing competitively sensitive information to a competitor. Moreover, the requested rates typically are updated weekly and the rates at issue are two years old or older. Given the length of time since the rates were in effect and the need

established by Complainant, the TP EB Spot Market Rate emails from September 20, 2019, to September 14, 2020, will not be treated as attorney's eyes only, although they may still be treated as confidential. In addition, any additional spot market rate emails that are provided in discovery and are less than two years old will remain as attorney's eyes only as they are more recent and therefore more competitively sensitive. Complainant's request is therefore granted.

2. Responses to OCJ's RFP 26

Complainant asserts that Respondents have not produced all the documents ordered by the Order on Motion to Compel, issued June 29, 2022, including pricing documents from January 1, 2020, to the present. Expedited Motion at 5-6. OJC requests that Respondents be ordered to provide the documents and held in contempt for violating the order by striking any challenge to OJC's damage claims. Expedited Motion at 6.

Respondents contend that OJC failed to meet and confer regarding this issue; that relevant documents were produced; and that the discovery request may be resolved between the parties. Expedited Opposition at 6-7.

OJC's RFP 26 was previously addressed:

OJC RFP 26 requests documents showing pricing, including how prices are determined and why prices may vary between shippers. Respondents state that "prices vary among customers based on a number of factors, including the volume committed in a particular trade lane and in other trade lanes." Opposition at 9. This request will be narrowed to any policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charged for shipments under service contracts and on the spot market. Respondents will not be required to review or provide documents regarding pricing for individual shippers. So, for example, the negotiations with individual shippers would not be disclosed but an email with information about pricing on a specific route must be disclosed. Accordingly, OJC RFP 26 is compelled as limited.

Order on Respondents' Motion to Compel and Revised Schedule at 4.

Although the timeframe was limited for other requests, the timeframe for OJC RFP 26 was not limited in the prior order. For consistency, the timeframe for responses to OJC RFP 26 is hereby limited to documents prior to January 1, 2021. The parties are hereby ordered to consult with each other regarding outstanding discovery requests including OJC RFP 26. Respondents are instructed to provide the discovery which has previously been ordered, and warned that failure to do so may result in sanctions, including directing facts to be established, prohibiting claims or defenses, striking pleadings, or dismissing claims or defenses. 46 C.F.R. § 502.150(b). Respondents are again ordered to provide complete responses to OJC RFP 26 and all responsive documents must be provided within seven calendar days of the date of this order.

3. Attorney Work Product Designations

Complainant asserts that work product privilege should be denied for emails inadvertently disclosed on or around May 3, 2022, arguing that "[n]either of these emails are

eligible for work product protection, because the communications appear to be between non-attorneys made in the ordinary course of business about an upset customer, namely OJC.” Expedited Motion at 7. OJC also contends that Respondents have waived any work product protection and that OJC has a “substantial need” for the material. Expedited Motion at 8.

Respondents allege that the “two emails in question were appropriately redacted to protect information prepared in anticipation of litigation and protected by the work product doctrine” and that emails are eligible for work product protection even if they are between non-attorneys. Expedited Opposition at 3-4. Respondents further contend that there was no waiver and they redacted the two emails to protect only “portions containing the ‘mental impressions, conclusions, opinions, or legal theories’ of Respondent’s representative concerning the anticipated litigation as permitted by Fed. R. Civ. P. 26(b)(3)(B).” Expedited Opposition at 5-6.

The attorney work product doctrine “is designed to balance the need of the adversary system to promote an attorney’s preparation against society’s general interest in revealing all facts relevant to the resolution of a dispute.” *In re Sealed Case*, 856 F.2d 268, 273 (D.C. Cir. 1988). “Opinion work product includes notes, legal memoranda, and other materials that taken from client and witness interviews reveal the mental processes of the attorney.” *Alexander v. F.B.I.*, 198 F.R.D. 306, 313 (D.D.C. 2000). “The purpose of the work product doctrine is to protect an attorney’s mental processes so that the attorney can analyze and prepare for the client’s case without interference from an opponent.” 6 Moore’s Federal Practice - Civil § 26.70 (2022).

If the attorney work product protection doctrine applies, “the party seeking discovery may obtain the materials only on showing (1) substantial need of the materials in preparation of the party’s case, and (2) that the party is unable without undue hardship to obtain the substantial equivalent of the materials by other means.” 6 Moore’s Federal Practice - Civil § 26.70 (2022). An “example of materials for which a ‘substantial need’ often exists are contemporaneous statements taken from, or made by, parties or witnesses. Such statements are unique in that they provide an immediate impression of the facts.” *Id.* “‘Opinion work product,’ i.e., documents containing the attorney’s mental impressions, conclusions, opinions, or legal theories, are either absolutely protected, or require a much higher showing before production will be ordered.” *Id.*

Here, Respondents have not established that the emails at issue involve attorney work product. Respondents state that the emails involved “Respondent’s representative” but does not contend these representatives were attorneys or legal representatives. Rather, the emails appear to demonstrate contemporaneous employee statements. There is no indication that the emails include attorney’s mental impressions, conclusions, opinions, or legal theories. Therefore, the emails are not entitled to the attorney work product protections. Complainant’s request to remove attorney work product protection from the two emails in question is therefore granted.

4. Skou and Jany Depositions

OJC seeks an order compelling Respondents to produce A.P. Moller-Maersk A/S (“Maersk”) CEO Soren Skou and CFO Patrick Jany for depositions. Expedited Motion at 9-11. These depositions are the subject of Respondents’ motion seeking a protective order and are addressed below.

B. Respondents' Motion for a Protective Order

Respondents filed a motion seeking a protective order prohibiting OJC from taking the depositions of Maersk CEO Soren Skou and CFO Patrick Jany. Protective Order Motion at 1. Respondents argue that the notices of depositions are invalid as A.P. Moller-Maersk A/S is not a party to this proceeding; senior executives are protected from depositions; OJC cannot satisfy the apex doctrine test; and, the depositions are harassment. Protective Order Motion at 2-6.

Complainant asserts that Respondents' arguments belie the testimony of their witnesses and their own document production, as Skou and Jany have unique information directly relevant to Respondents' defenses; Respondents' allegation that "[t]he depositions are harassment" is pure fiction; and Respondents' have distorted the meet and confer process to run out the clock on discovery. Protective Order Opposition at 2-8.

On September 28, 2012, the Commission issued revised rules of practice and procedure which sought to "modernize and more closely conform them to the current version of the [Federal Rules of Civil Procedure] and to encourage focused and expeditious use and completion of discovery." 77 Fed. Reg. 61519-61535 (FMC Docket 11-05). The 2012 revision of the Commission's Rules imposed limitations on discovery and required initial disclosures and disclosures of expert reports. In Commission proceedings, parties "may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense" and for good cause, "the presiding officer may order discovery of any matter relevant to the subject matter involved in the action. Relevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence." 46 C.F.R. § 502.141(e)(1).

The Commission Rules allow the presiding officer to "limit the frequency or extent of discovery otherwise allowed by these rules." 46 C.F.R. § 502.141(e)(2). "The Commission or presiding officer may, for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j)(1). "It is fundamental that the scope of discovery is not limitless and is restricted by the concepts of relevancy." *American President Lines, Ltd. v. Cyprus Mines Corp.*, Docket No. 91-27, 26 S.R.R. 1227, 1234 (FMC Jan. 31, 1994). In addition, pursuant to Commission Rules, "[a]fter making every reasonable effort to resolve discovery disputes, a party may request a conference or rulings from the presiding officer on such disputes." 46 C.F.R. § 502.141(i)(2).

Complainant contends that the depositions of Maersk CEO Soren Skou and CFO Patrick Jany are relevant because of statements made by them such as "record profits" "due to significant increase in container freight rates" during the "exceptional market conditions" and financial documents which list Skou and Jany as contacts for further information. Protective Order Opposition at 1-2. These general statements about the company's financial position do not establish that that Skou or Jany have information relevant to decisions made about OJC or this particular service contract.

OJC presents deposition testimony of Hamburg's Senior VP that "pricing decisions at the end of the day came from Maersk's trade management." Protective Order Opposition at 3. It appears, therefore, that Maersk's trade management have relevant information regarding

financials, pricing, and damages, at least for the period after September of 2020. However, it is not clear who at Maersk would have this information.

The statements by the Maersk CEO Soren Skou and CFO Patrick Jany refer to general trends and not necessarily the Complainant or the particular trade routes at issue here, and therefore will not be required at this time. However, Respondents are hereby ordered to identify Maersk management who would have information regarding pricing decisions. If appropriate Maersk witnesses are provided, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will not be required. However, if appropriate witnesses at Maersk are not identified and provided for deposition, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will be permitted. Even if Maersk were considered a non-party, if their managers have relevant information then their testimony can be subpoenaed. Respondents must identify appropriate witnesses and within seven calendar days of the date of this order agree on a date and time for their depositions. Respondents' motion for a protective order is therefore denied.

Because this request can be decided on the basis of relevance, the question of whether or not the apex doctrine applies to Commission proceedings does not need to be addressed. The apex doctrine shields certain high-ranking officials from being deposed, however not all circuits have adopted it. For example, the DC Circuit states that it "has recognized that 'high-ranking *government* officials are generally not subject to depositions unless they have *some* personal knowledge about the matter and the party seeking the deposition makes a showing that the information cannot be obtained elsewhere.'" *Zimmerman v. Al Jazeera Am., LLC*, 329 F.R.D. 1, 6-7 (D.D.C. 2018) (citing *Sourgoutsis v. United States Capitol Police*, 323 F.R.D. 100, 114 (D.D.C. 2017)) (emphasis in original).

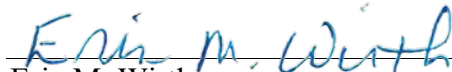
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondents' motion to dismiss and/or for summary decision be **GRANTED IN PART AND DENIED IN PART** and that OJC's claims under Sections 41102(b)(2), 41104(a)(5), and 41104(a)(9) be **DISMISSED**. It is

FURTHER ORDERED that OJC's motion seeking expedited relief is **GRANTED IN PART AND DENIED IN PART** as outlined above. It is

FURTHER ORDERED that Respondents' motion seeking a protective order be **DENIED**.


Erin M. Wirth
Chief Administrative Law Judge

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OJ COMMERCE, LLC, *Complainant*

v.

HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-
GESELLSCHAFT A/S & CO. KG AND HAMBURG SUD NORTH
AMERICA, INC., *Respondents*.

DOCKET NO. 21-11

Served: September 30, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

**ORDER ON RESPONDENTS' MOTION TO COMPEL AND
COMPLAINANT'S MOTIONS FOR EXTENSION OF TIME AND FOR CLARIFICATION**

I. Introduction and Procedural Background

On September 1, 2022, Complainant OJ Commerce, LLC ("OJC") filed a motion for expedited relief concerning extension of time for limited discovery ("Extension Motion"). Also on September 1, 2022, Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG ("HSDG") and Hamburg Sud North America, Inc. ("HSNA"), collectively "Hamburg," filed a notice of intent to oppose ("Notice") and Complainant filed a response to the notice ("Notice Opposition"). On September 7, 2022, Respondents filed an opposition to the extension motion ("Extension Opposition").

Also on September 1, 2022, Respondents filed a motion to compel responses to discovery requests ("Compel Motion"). On September 8, 2022, Complainant filed an opposition to Respondents' motion to compel ("Compel Opposition").

On September 22, 2022, Complainant filed a motion requesting clarification of an August 31, 2022, order ("Clarification Motion"). On September 26, 2022, Complainant filed an opposition to the motion for clarification ("Clarification Opposition").

Additional background is found in previous orders, including the August 31, 2022, order on Respondents' motions to partially dismiss and for a protective order and Complainant's motion for expedited relief. The notice of intent to oppose and opposition to the notice were both unnecessary and an inefficient use of the parties' and the court's time. For the reasons set forth below, both Respondents' motion to compel and OJC's motion for clarification are denied. Complainant's motion for an extension of time for limited discovery is granted in part and denied in part. Each motion is addressed separately.

II. Respondents' Motion to Compel

A. Arguments of the Parties

Respondents seek to compel OJC to provide documents relevant to OJC's damages claims including service contracts with other ocean common carriers, NVOCC service arrangements, volumes shipped with other OCCs, and volumes shipped under NVOCC service arrangements and negotiated rate agreements. Compel Motion at 2-5. In addition, Respondents seek to compel OJC to provide documents showing total volumes imported or shipped since 2018, as relevant to OJC's damages calculation. Compel Motion at 6. Thirdly, Respondents seek to compel sales and profit data, including audited financial statements; quarterly and annual profit and loss statements; and unaudited monthly internal financial reports. Compel Motion at 6-8.

Complainant contends that OJC has already provided documents to Respondents or informed them that the documents do not exist; Respondents have failed to produce documents; and Respondents should be sanctioned by precluding them from challenging OJC's claimed damages, and a hearing set to resolve all outstanding discovery disputes. Compel Opposition at 2-17.

B. Standard

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

C. Discussion

1. First Requests for Production 1-4

Respondents' first requests for production 1-4 seek: (1) All service contracts, including amendments, with ocean common carriers other than HSDG; (2) All NVOCC Service Arrangements and/or Negotiated Rate Agreements, including amendments, with any non-vessel operating common carrier; (3) Documents relating to and sufficient to show the volumes shipped under each service contract with an ocean common carrier other than HSDG; and (4) Documents relating to and sufficient to show the volumes shipped under each NVOCC Service Arrangement and each Negotiated Rate Agreement with any non-vessel operating common carrier. Compel Motion at 3-4.

Respondents assert that these requests are reasonably calculated to lead to the discovery of admissible evidence with respect to OJC's damage claims; inability to ship with other carriers allegedly resulted in OJC forgoing shipments; evidence of past performance with other ocean carriers is relevant to assess the reasonableness of OJC's assumptions regarding future cargo volumes; OJC's performance under past contracts is relevant to mitigation of damages; and the content of OJC's service contracts may be relevant to testimony given by OJC's CEO. Compel Motion at 4-5.

Complainant contends that Respondent was provided with spreadsheets that contain comprehensive data on the 737 containers shipped by OJC from June 1, 2020, through the present, and that OJC's CEO testified that "he could not get extra space from other carriers during the time Respondents were failing to meet their contractual requirements." Compel Opposition at 10.

It appears that Complainant did not provide full copies of the service contracts and agreements but rather provided a detailed spreadsheet with data on the containers shipped by OJC. Respondents may argue in their brief that the underlying documents were not provided and therefore that the spreadsheet is less probative. However, at this point in the proceeding, production of that information will not be required. Respondents have not identified specific problems with the detailed information provided in the spreadsheet. Moreover, these types of service contracts and agreements, some with Respondents' competitors, are highly sensitive and it is not clear that information beyond the data provided by Complainant is relevant. Also, given changing market conditions, it is not clear that past performance would be relevant to the timeframe at issue. Accordingly, the motion to compel responses to Respondents' first requests for production 1-4 is denied.

2. First Requests for Production 9

First requests for production 9 seeks documents "relating to and sufficient to show total volumes imported and/or shipped by You by year since 2018." Compel Motion at 6.

Respondents assert that "OJC's damages calculations are based in large part on projected cargo volumes that it alleges would have been shipped under a 2021-22 service contract. Respondents are entitled to information about OJC's shipping history to evaluate the reliability of those projections and the damages claims the projections allegedly support." Compel Motion

at 6. Respondents further assert that information about OJC's "total import volumes would be compared with the information about OJC's ocean shipments to determine if OJC may have used alternative means of transport (e.g., air cargo) to move cargo" and whether the "alternative means of transport might have been a way for OJC to mitigate the damages it claims to have suffered." Compel Motion at 6.

Complainant contends that Respondents have "no legitimate basis for OJC's shipping volumes from before June 1, 2020, as what was shipped by OJC in 2018 or 2019 has nothing to do with what OJC did and could have shipped during the 2021 and 2022" and that deposition testimony established that OJC has not used any alternative means of transport to move cargo. Compel Opposition at 11-12.

Given the changing market conditions, it is not clear that past performance would be relevant to the timeframe at issue. Moreover, Complainant has already provided testimony that alternate means of transportation were not used. Accordingly, the motion to compel responses to Respondents' first requests for production 9 is denied.

3. First Requests for Production 10, Second RFP 20 and 21

First requests for production 10 and second requests for production 20 and 21 seek Complainant's audited financial statements for the period January 1, 2018, to the present; quarterly and annual profit and loss statements from 2018 until present; and unaudited monthly internal financial reports for all months during calendar years 2019, 2020, 2021, and 2022. Compel Motion at 6-7.

Respondents argue that OJC has provided a spreadsheet supporting its alleged damages but that OJC has not provided any of the documentation upon which the spreadsheet is based, and that lost sales or profits should be reflected in financial statements or some sort of financial reports. Compel Motion at 8.

Complainant asserts that OJC is a private company which does not generate or possess any audited financials; overall company financials would not be relevant as the only line of business at issue is the import of house-brand products; OJC specifically generated the sales history of the house-brand products for Respondents; and OJC does not generate quarterly or annual profit and loss statements. Compel Opposition at 15-17.

Respondents may argue in their brief that the underlying documents used to create the spreadsheet were not provided and therefore that the spreadsheet is less probative. However, at this point in the proceeding, production of that information will not be required. Respondents have not identified specific problems with the detailed information provided in this spreadsheet. In addition, Complainant's arguments are persuasive that certain financial reports are not available or would not be probative because other product lines are included. Accordingly, the motion to compel responses to Respondents' first requests for production 9 is denied.

III. Complainant's Motions

A. Motion for Expedited Relief Concerning Extension of Time for Discovery

Complainant seeks to extend the discovery deadline by 28 days until October 14, 2022, for OJC to conduct limited discovery related to pricing, damages, and other information withheld from it; extension of the deadline for OJC's damages report until September 16, 2022; and extension of the briefing deadlines by 28 days. Extension Motion at 1-3.

Respondents agree with OJC that the parties will not be able to complete discovery by September 16, 2022, and that an extension of time is necessary for both discovery and briefing, however, Respondents requests that "(i) either party may conduct additional depositions during this period; and (ii) this extension applies only to depositions, and does not permit the service of any further requests for production of documents, interrogatories, or requests for admissions." Extension Opposition at 2. Respondents also state that they oppose an extension of time for OJC to submit an expert report as the expert report provided by OJC on September 2, 2022, should have been submitted on August 5, 2022. Extension Opposition at 2.

It is not clear whether Complainant has received the discovery previously ordered or promised. If not, it should raise those issues in its brief. For example, in Exhibit A of Complainant's counterstatements and opposition to Respondents' motion to compel, Respondents agreed to provide spot rate information through May 31, 2022, and Respondents state that they "produced spot rate information through mid-2022." Clarification Opposition at 2. If Respondents failed to provide that information and there is an impact on the proceeding, that is an issue that can be argued in the briefs.

The expert report submitted by Complainant on September 2, 2022, was not filed timely. However, striking the report or not permitting Complainant to present a damages expert would be an extreme remedy. Rather, the discovery deadline will be extended briefly. In addition, any depositions previously agreed to between the parties should be scheduled during this limited period. At this late date in the proceeding, no additional requests for production of documents, interrogatories, or requests for admissions will be permitted. The parties should be prepared to brief the merits based on the information they have obtained through the extended discovery period. Any additional concerns about discovery may only be raised in the briefs on the merits.

The parties have previously received extensions of the schedule. Given the limited additional discovery permitted and the Commission deadline for this proceeding, a shorter extension is approved, and briefing deadlines are adjusted for holidays. No additional motions will be permitted. Any concerns from a party should be raised in their brief on the merits. The procedure for briefing outlined in the initial scheduling order remains in effect.

Accordingly, the motion for expedited relief concerning extension of time for discovery is granted in part and denied in part. The parties shall follow the revised schedule below and no additional motions or requests for extensions will be entertained.

October 14, 2022 Close of all discovery (fact and expert).
November 9, 2022 Complainant's brief, findings of fact, and appendix.
December 8, 2022 Respondents' brief, findings of fact, appendix, and response.
December 23, 2022 Complainant's reply brief

B. Motion for Clarification of the August 31, 2022, Order

Complainant's motion requests clarification of the timeframe limitation for OJC RFP 26; sanctioning Respondents by prohibiting them from challenging OJC's damages for failure to produce all responsive documents on service contract and spot market rate pricing; extension of the discovery period by at least 28 days; and extension of the initial briefing deadline by at least 28 days. Clarification Motion at 4.

Respondents contend that the clarification requested by OJC is unnecessary and the request for sanctions should be denied as Respondents have responded fully to RFP 26 as limited by the June 29, 2022, order on Respondents' motion to compel and revised schedule.

OJC's RFP 26 was previously addressed in an order which stated:

OJC RFP 26 requests documents showing pricing, including how prices are determined and why prices may vary between shippers. Respondents state that "prices vary among customers based on a number of factors, including the volume committed in a particular trade lane and in other trade lanes." Opposition at 9. This request will be narrowed to any policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charged for shipments under service contracts and on the spot market. Respondents will not be required to review or provide documents regarding pricing for individual shippers. So, for example, the negotiations with individual shippers would not be disclosed but an email with information about pricing on a specific route must be disclosed. Accordingly, OJC RFP 26 is compelled as limited.

Order on Respondents' Motion to Compel and Revised Schedule at 4 ("Order on Respondents' Motion to Compel").

The parties reached an agreement on the timeframe for the OJC RFP 26 request, and that agreement addresses the issue raised for clarification. In addition, the Order on Respondents' Motion to Compel significantly limited the documents that Respondents needed to provide in response to OJC RFP 26. If Complainant contends that information relevant to this narrow category of documents was not produced, they can so argue in their brief. However, given the degree to which prices vary based on other factors, it is not clear how relevant this information would be. The briefing schedule is addressed above. Accordingly, the motion seeking clarification is denied.

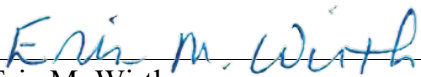
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondents' motion to compel be **DENIED**. It is

FURTHER ORDERED that OJC's motion seeking an extension of time for limited discovery be **GRANTED IN PART AND DENIED IN PART** as outlined above. It is

FURTHER ORDERED that Complainant's motion for clarification be **DENIED**.



Erin M. Wirth
Chief Administrative Law Judge

[REDACTED]

ATTORNEYS EYES ONLY

[illegible]

□



Agreement No.	AECC0000291	Partner	OJCOMMERCE	Amend. No. / Status	0	FINALIZED
Search	Header	Products	VAS/FEE	CM	Terms & Conditions	Remarks
Terms & Conditions Restrictions Bunker						

	Amend. No.	Clause Type	Seq.	Terms & Conditions Text
☐	0	GENERAL STATEMENT AND PRODUCTS	3	3. Service Commitment, Shipper, and Carrier's liquidated damages (a) Carrier agrees to make available to Shipper during the term of this Contract vessel capacity adequate to carry (1) the Minimum Volume Commitment of cargo and (2) at Carrier's option, any additional cargo tendered by Shipper during the term of this Contract.
☐	0	GENERAL STATEMENT AND PRODUCTS	4	(b) Carrier and Shipper recognize that breach of the Minimum Volume Commitment causes not only loss of freight to Carrier but also instability, adverse impact on Carrier's marketing, logistics, and stowage planning and that a precise quantification of these damages is difficult to calculate. Accordingly, in order to avoid the difficulty and expense of proving actual losses, the parties agree that in lieu of all damages relating to the obligations of Shipper with respect to the Minimum Volume Commitment, liquidated damages shall be assessed as follows: If Shipper fails to tender the Minimum Volume Commitment specified in this Contract, Carrier shall invoice Shipper and Shipper agrees to pay to Carrier liquidated damages on the difference between the quantity of cargo actually shipped and the Minimum Volume Commitment at the rate of USD250 per TEU. The total of any amounts due hereunder shall be paid directly to Carrier within thirty (30) days following written notification by Carrier.
☐	0	GENERAL STATEMENT AND PRODUCTS	5	(c) Carrier and Shipper recognize that breach of Carrier's service commitment adversely impacts Shipper's supply chain, logistics and operations and that a precise quantification of these damages is difficult to calculate. Accordingly, in order to avoid the difficulty and expense of proving actual losses, the parties agree that in lieu of all damages relating to the obligations of Carrier with respect to its service commitment, liquidated damages shall be assessed as follows: In the event Shipper is unable to secure space on any particular sailing of Carrier after having given the minimum booking notice, upon written request of Shipper, the Minimum Volume Commitment may be reduced by the quantity of cargo tendered but not carried by Carrier. In the event that the Minimum Volume Commitment of this Contract is reduced by 10% or more as a result of Carrier's failure to provide space, Carrier agrees to pay, and Shipper agrees to accept, in lieu of other damages from Carrier, liquidated damages calculated by subtracting the number of TEUs actually shipped under the Contract from 90% of the MVC and multiplying the TEU deficit, if any, by USD250 per TEU.

Yours Sincerely

Charles Ye

Branch Manager, Ningbo, GCA Hamburg Süd

Hamburg Süd (China) Limited A Maersk Company

Add: A-602, 555 Pacific Plaza JingJia Road, Yinzhou District Ningbo, Zhejiang, China 315040

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Direct: +86-574 87814899 / +86-574 87814898

Email: charles.ye@hamburgsud.com



Visit us: 8.2C2-01

China International Import Expo (CIIE)

November 05-10, 2020, Shanghai

From: Pestana, Rodrigo

Sent: Thursday, October 22, 2020 8:54 PM

To: Yang, Kiki; Lou, Yoyo; Yeung, Ella; Gast, Michael; Ma, Carrie

Cc: RNA-Claims; Han, Michael; Pan, Xiao Gang; ye, charles; Cheung, Ivan; Nancy Yi jin Qiu

Subject: RE: OJ Commerce v Hamburg Sud

Dear Kiki,

blank sailing can be managed and explained however because vessels are full unfortunately does not matter. this customer has threatened to take legal actions against Hamburg Sud and now because allocation was not honored, we'll need to increase their SPL to compensate the units not loaded.

Do I believe this customer is taking advantage of the situation? yes!! They have pushed several times for additional space which we informed only by premium rate but from what I was told, this is a low paying cargo and they can't afford so they found a way to get their additional space. In my almost 5 years with this trade I've never seen such action (and we had space issues every year) but legally is their right.

Pls make sure the allocation for this account is honored (full vessel or not). I'm waiting sales to get the volume expected by POL from this account and I'll update the SPL.

brgds,
Rodrigo

Hecht Decl.
Ex. 43

CX322

HS-004494

Re: Deposition

Aaron Davis <davis@valhallalegal.com>

Mon 10/10/2022 9:02 AM

To: Marston Jr., David W. david.marston@morganlewis.com

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobotta, Kathryn <KSobotta@cozen.com>; Sam Hecht <sam@hechtlawpa.com>; Rohde, Wayne <WRohde@cozen.com>

Bcc: Aaron Davis davis@valhallalegal.com

Counsel,

**Hecht Decl.
Ex. 44**

Your October 7, 2022 email is yet another communication from Respondents full of blatant misrepresentations:

- Respondents identified **ONE** alleged witness, Mr. Sigsgaard, in response to the Judge's Order to produce Maersk Management who would have information on pricing decisions from the relevant time period, after Respondents retaliated by refusing to renew OJC's service contract. The other witness, Ivan Cheung, you offered was a subordinate of Juergen Pump and therefore would have no more "Maersk management" *pricing decision* knowledge than him, which was essentially none
- Respondents provided two partial dates for Mr. Sigsgaard **22 days late according to the Judge's Order**, one of which (October 5) was on a Jewish holiday -- you might as well have demanded OJC take his deposition on Christmas Eve and provided no date that allowed for seven hours of deposition time as required under the FMC Rules. The fact that you continue to assert that a partial deposition on Yom Kippur was a real "opportunity" to depose Mr. Sigsgaard is incredible.
- Had Respondents provided Mr. Sigsgaard for deposition for seven hours on one date even as inexcusably late as Respondents offered him -- OJC was more than ready to depose him. Nothing in OJC's communications even remotely suggests that OJC did not want to actually depose Mr. Sigsgaard and your suggestion otherwise is plainly dishonest. Respondents' complete disregard for the Judge's Order and Respondents' attempt to push the responsibility for their willful violation onto OJC -- illustrates plainly the bad faith nature of Respondents' contempt.
- As OJC made it abundantly clear in its September 30, 2022 email, OJC was available to take Mr. Sigsgaard's deposition on October 7 for the seven hour time provided for under the FMC Rules, was willing to be flexible on start and end times to make that happen, but that OJC would not agree to Respondents' unilaterally imposed limitations on the time frame. In response, Respondents refused to provide him for the time allotted under the Rules, citing Respondents' self created scheduling issues as justification. Respondents also refused to provide an alternate date or witness.
- OJC never said that it would depose Mr. Sigsgaard as unilaterally limited by Respondents. In fact, OJC specifically stated the opposite. And OJC has **always** served a notice of deposition and as you admit -- sent Zoom information before a deposition OJC was taking. OJC did neither for Mr. Sigsgaard before your charade on October 7. Therefore, your assertion that "we had no way to know that Mr. Sigsgaard's deposition would not be going forward" is just one more absurdity that is contradicted by your own statements

We look forward to deposing Mr. Skou on Wednesday, October 12, as noticed. You can expect Zoom information.

CX323

Regards,
Aaron W. Davis, Esq.
VALHALLA LEGAL, PLLC
Phone: (763) 957-2397
davis@valhallalegal.com

From: Marston Jr., David W. <david.marston@morganlewis.com>
Sent: Friday, October 7, 2022 12:00 PM
To: Aaron Davis <davis@valhallalegal.com>
Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>; Rohde, Wayne <WRohde@cozen.com>
Subject: RE: Deposition

Counsel –

We disagree with respect to your email below.

The August 31, 2022 Order required Respondents to “identify Maersk management who would have information regarding pricing decisions.” We complied with that Order and identified multiple people within Maersk management with information regarding pricing decisions. We also offered dates -- in some cases multiple dates -- when those individuals were available for deposition in response to your requests to depose them. Mr. Sigsgaard was made available on October 5 and 7. OJC declined both opportunities. Contrary to the statement in your email below, Mr. Sigsgaard was not made available “for just a few hours,” and we did not “unilaterally limit[] the deposition to a fraction of the time permitted.” OJC apparently made a strategic decision not to proceed at all with Mr. Sigsgaard’s deposition.

Additionally, there was no “charade this morning in an attempt to fool the Judge.” You stated that you were available to take Mr. Sigsgaard’s deposition on October 7. You never told us that you had decided not to take the deposition. Given that you typically send Zoom invites shortly before depositions are scheduled to commence, we had no way to know that Mr. Sigsgaard’s deposition would not be going forward this morning.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

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david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis <davis@valhallalegal.com>
Sent: Friday, October 07, 2022 10:39 AM
To: Marston Jr., David W. <david.marston@morganlewis.com>
Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>; Rohde, Wayne

CX324

WRohde@cozen.com

Subject: Re: Deposition

[EXTERNAL EMAIL]

Counsel,

Respondents have now gone well past just violating the Judge's August 31, 2022 Order and have descended into mocking it. As you admit in your email, OJC did not send you a notice of deposition or Zoom information for an 8:45 a.m. Eastern deposition today because, as you well know, there was no agreement to depose Mr. Sigsgaard for just a few hours. Indeed, just yesterday, OJC served a notice of deposition for Soren Skou based on Respondents' failure to provide Maersk's pricing management for an agreed-upon deposition as required under the Judge's August 31, 2022 Order. Nonetheless, Respondents put on a charade this morning in an attempt to fool the Judge. That will not work.

As I clearly laid out in my September 30, 2022 email identified below, Respondents have refused -- **since August 31, 2022 (37 days!)** -- to provide an agreed-upon date and time frame for a seven-hour deposition of Maersk management witness(es) who have information regarding pricing decisions, which the Court ordered to be done by **no later than September 7**. Respondents did not even provide an initial proposed date until September 29, **22 days late**. When OJC demanded a date that complied with the FMC Rules and the Court Order, Respondents claimed that their chosen witness had no time to sit for such a deposition for the indefinite future, let alone during the discovery period. So instead of complying with the Court's Order, Respondents have tried to stifle OJC's ability to depose the Court ordered witness by unilaterally limiting the deposition to a fraction of the time permitted by solely relying on Respondents' witness's scheduling issue -- created by Respondents' own willful violation of the Court's Order -- as an excuse for non-compliance. Respondents' self-serving tactics clearly evidence bad faith. You have also refused to provide an alternate witness to sit for the required deposition.

Respondents' gamesmanship is just another example of their obstinate refusal to provide clear answers about their pricing, pricing documentation, and even their tariff rates to the public, showing that Respondents would rather risk sanctions from the FMC than be transparent about their illegal pricing practices over the past several years. OJC will be seeking sanctions for Respondents' outrageous conduct.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone (763) 957 2397

davis@valhallalegal.comMarston Jr., David W. <david.marston@morganlewis.com>

To:

- Aaron Davis;
- Sam Hecht sam@hechtlawpa.com

Cc:

- Rachelle M. Barstow <rachelle.barstow@maersk.com>;
- Sobotta, Kathryn <KSobotta@cozen.com>

+2 others

CX325

Counsel –

We have been standing by with Johan Sigsgaard since 8:45 am eastern for the deposition that you requested. Given that it is now after 9 am eastern and we did not receive a deposition notice or a dial-in from you (or a court reporter), we understand that you have decided not to proceed with Mr. Sigsgaard's deposition. We have let him know that his deposition is not going forward.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

1701 Market Street | Philadelphia, PA 19103

Direct: +1.305.415.3443 | Mobile: +1.305.998.8032

david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Friday, September 30, 2022 9:25 PM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Deposition

Counsel:

Your continued refusal to provide a date and time frame during which OJC can take a seven-hour deposition of Maersk management witness(es) who have information regarding pricing decisions is in direct violation of the Presiding Officer's Order dated August 31, 2022. Indeed, the Court ordered a **month ago**:

"Respondents are hereby ordered to identify Maersk management who would have information regarding pricing decisions. If appropriate Maersk witnesses are provided, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will not be required. However, if appropriate witnesses at Maersk are not identified and provided for deposition, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will be permitted. Even if Maersk were considered a non-party, if their managers have relevant information then their testimony can be subpoenaed. **Respondents must identify appropriate witnesses and within seven calendar days of the date of this order agree on a date and time for their depositions.**"

It is now September 30 and Respondents still have not agreed on a date and time for the deposition. OJC is under no obligation to take such a deposition piecemeal. To the contrary, the permanent FMC Rules fully supports OJC's position. § 502.143(d)(1) ("a deposition is limited to **1 day of 7 hours**"). Moreover, your comment that you "understand that OJ Commerce may not wish to take a deposition on October 5" is disingenuous, as it disregards the fact that October 5 would not work for OJC due to Yom Kippur, an important Jewish holiday, not just some scheduling conflict.

CX326

As for your statement that Mr. Sigsgaard is busy and "he has no personal knowledge of dealings with OJ Commerce," you know full well those excuses are baseless. The Court ordered that Respondents identify witnesses with certain pricing knowledge and agree upon dates by no later than September 7, not at Respondents', Maersk's, or the witness's leisure and convenience. Even when the parties met and conferred on September 12, 2022, Respondents still had not offered -- let alone agreed to -- a date and time for the ordered-witness(es)' deposition(s). Moreover, OJC did not ask for Mr. Sigsgaard specifically -- that was Respondents' choice. You can't offer up a witness of your choice and then set the terms of the deposition -- contrary to the rules and court order -- to fit your convenience and delay strategy.

Again, OJC can take Mr. Sigsgaard's deposition on Friday, October 7. But we must be offered a time frame during which the entire deposition can be completed in one session. As previously stated, OJC is willing to be flexible on start and end times to accommodate the witness(es). We can start at 6am Eastern and go until finished under the rules. If that date and time do not work for Mr. Sigsgaard, then (1) provide a different date and time on or before October 12, 2022 that would accommodate the entire deposition, (2) provide a different witness who meets the Court's requirements and can attend for the time frame the rule prescribes, or (3) provide dates and times for the depositions of Maersk CEO Soren Skou and CFO Patrick Jany, as the Court ordered must be done "if the appropriate witnesses at Maersk are not identified and provided for deposition." Order dated August 31, 2022 at 12.

OJC submits these options without prejudice as to all available remedies and claims.

Regards,
 Aaron W. Davis, Esq.
 VALHALLA LEGAL, PLLC
 Phone: (763) 957-2397
davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>
Sent: Friday, September 30, 2022 3:26 PM
To: Aaron Davis <davis@valhallalegal.com>
Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Soboia, Kathryn <KSoboia@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>
Subject: RE: Deposition

Counsel: We have offered to make Mr. Sigsgaard available for a period of more than seven hours on October 5 and 7.

We understand that OJ Commerce may not wish to take a deposition on October 5, and that it may prefer to take the deposition in a single day. However, those preferences do not alter the fact that Mr. Sigsgaard has been made available for an adequate period of time, particularly in view of the fact that he has no personal knowledge of dealings with OJ Commerce.

In addition, it must be borne in mind that the witness is a senior executive who is heavily booked with travel and other commitments that cannot be altered. After October 7, the next block of unbooked time Mr. Sigsgaard has available is 5 hours on October 31.

CX327

Regards,



Wayne R Rohde

Member | Cozen O'Connor

1200 19th Street NW | Washington, DC 20036

P: 202-463-2507 F: 202-640-5912

[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | [cozen.com](#)

From: Aaron Davis <davis@valhallalegal.com>

Sent: Friday, September 30, 2022 1:23 PM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Deposition

****EXTERNAL SENDER****

Counsel:

OJC is entitled under the rules to a deposition of seven hours. § 502.143(d)(1). Please provide a date and timeframe that permits that. OJC is willing to be flexible on start and end times to accommodate the witness.

Thank you,
Aaron W. Davis, Esq.
VALHALLA LEGAL, PLLC
Phone: (763) 957-2397
davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>

Sent: Friday, September 30, 2022 11:16 AM

To: Aaron Davis <davis@valhallalegal.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Deposition

Counsel: We note that OJC is not available on October 5.

If OJC wishes to complete the deposition in one session, we can extend the time Mr. Sigsgaard is available on October 7. He cannot be available at 6 am on that date, but can be available from 8:45 am to 1 pm US Eastern time on Friday, October 7.

Regards,

Wayne R. Rohde

CX328

**Member | Cozen O'Connor**

1200 19th Street NW | Washington, DC 20036

P: 202-463-2507 F: 202-640-5912

[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | [cozen.com](#)

From: Aaron Davis <davis@valhallalegal.com>**Sent:** Thursday, September 29, 2022 7:51 PM**To:** Rohde, Wayne <WRohde@cozen.com>**Cc:** Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>**Subject:** Re: Privilege Log****EXTERNAL SENDER****

Counsel,

Regarding the deposition of Johan Sigsgaard, October 5 will not work because that is Yom Kippur.

OJC can take Mr. Sigsgaard's deposition on Friday, October 7. But we want to get the entire deposition done in one session. We can start at 6am Eastern and go until finished under the rules. We also note that your proposed time frames did not take into account breaks. Please confirm the date and start time.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>**Sent:** Thursday, September 29, 2022 11:59 AM**To:** Aaron Davis <davis@valhallalegal.com>; Sam Hecht <sam@hechtlawpa.com>**Cc:** Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>**Subject:** RE: Privilege Log

Counsel: Thank you for the two emails you sent on September 28.

As you know, there are outstanding discovery issues on both sides, as evidenced by your emails and our pending motion to compel.

There is a motion pending before the administrative law judge to extend the time for discovery and adjust other deadlines accordingly. It is our understanding that, absent a ruling by the ALJ on that motion, discovery is concluded and OJ Commerce's brief is due October 10.

Without prejudice to the foregoing and any other relief Respondents may seek with respect to outstanding discovery issues, our responses to the issues raised in your emails are as follows:

CX329

1. Johan Sigsgaard is located in Copenhagen. Due to the time difference between Europe and the U.S. and his schedule, we propose conducting his deposition in two parts, as follows:

Wednesday, October 5, 8 am to noon, US East Coast time

Friday, October 7, 8:45 am to 11:15 am, US East Coast time (if necessary)

Please let us know as soon as possible if you will proceed with a deposition on those dates.

2. With regard to documents listed on Respondents' privilege log, you requested that we produce documents 20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, and 112. We will produce most of these documents shortly. Two will be produced with some privileged material redacted. A small number will be withheld on the grounds of privilege and, for this last group, we will provide a further explanation/description of the basis for the assertion of privilege. Per your agreement in previous correspondence, we are producing these documents on a "no waiver" basis.

Sincerely,



Wayne R. Rohde

Member | Cozen O'Connor

1200 19th Street NW | Washington, DC 20036

P: 202-463-2507 F: 202-640-5912

[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | [cozen.com](#)

From: Aaron Davis <davis@valhallalegal.com>

Sent: Wednesday, September 28, 2022 7:16 PM

To: Marston Jr., David W. <david.marston@morganlewis.com>; Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>;

Soboia, Kathryn <KSoboia@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Privilege Log

****EXTERNAL SENDER****

Counsel,

Please provide a status update on the production of documents (**20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, and 112**), or some subset based on your prior communication, from Hamburg's August 30 privilege log. Given that it has been 12 days since our last communication on the subject, I presume that the production will be yet this week.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Marston Jr., David W. <david.marston@morganlewis.com>

Sent: Friday, September 16, 2022 8:46 AM

To: Aaron Davis <davis@valhallalegal.com>; Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>;

CX330

Sobořa, Kathryn <KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: RE: Privilege Log

Aaron –

Thank you for confirming that any documents we produce from the log will be on a no-waiver basis. To clarify, we did not agree to produce all of the log entries that you have questioned. We are finishing our review of these documents and will get back to you shortly to resolve this issue by either (i) producing documents on a no-waiver basis per our agreement; or (ii) providing further explanation for why certain entries are protected by the Attorney-Client Privilege and/or the Work Product Doctrine and will not be produced.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

1701 Market Street | Philadelphia, PA 19103

Direct: +1.305.415.3443 | Mobile: +1.305.998.8032

david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Friday, September 16, 2022 12:12 AM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Marston Jr., David W.

<david.marston@morganlewis.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn

<KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Privilege Log

[EXTERNAL EMAIL]

Counsel:

Pursuant to our meet-and-confer conversation on September 12, 2022, OJC hereby agrees not to consider the **production** of documents that were on their Privilege Log served on August 30, 2022, as constituting a waiver of the privileges asserted. OJC reserves all other rights with respect thereto. Accordingly, please promptly produce document numbers **20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, and 112** from Respondents' August 30 Privilege Log.

Thank you,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Tuesday, September 6, 2022 6:15 PM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Marston Jr., David W.

<david.marston@morganlewis.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn

CX331

<KSobo@a@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Privilege Log

Wayne,

Pursuant to our phone conversation today, OJC hereby submits its list of documents from Respondents' privilege log that OJC contends must be produced without redaction or claim of privilege or work product protection, consistent with the holding from the Presiding Officer's Order dated August 31, 2022, at 9-10. Please let us know by no later than our meet and confer conversation on Thursday, September 8 whether Respondents will agree to produce the following documents without judicial intervention and if Respondents won't produce, the reasons for the refusal to produce:

Document numbers to be produced from Respondents' Privilege Log produced on August 30, 2022:

20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, 112

Thank you,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>

Sent: Tuesday, August 30, 2022 12:06 PM

To: Aaron Davis <davis@valhallalegal.com>; Sam Hecht <sam@hechtlawpa.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Marston Jr., David W.

<david.marston@morganlewis.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobo@a, Kathryn

<KSobo@a@cozen.com>

Subject: Privilege Log

Counsel: Attached is Respondents' privilege log, as requested.

Regards,



Wayne R. Rohde

Member | Cozen O'Connor

1200 19th Street NW | Washington, DC 20036

P: 202-463-2507 F: 202-640-5912

[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | cozen.com

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CX332

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**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

NOTICE OF DEPOSITION OF SØREN SKOU

PLEASE TAKE NOTICE THAT the video deposition of the individual named below
will be taken by the undersigned counsel via ZOOM video conference on the date and at the time
designated below:

Deponent(s)	Date	Time
Søren Skou	October 12, 2022	8:00 AM Eastern

upon oral examination before YM LEGAL SERVICES, Notary Public, or any other Notary
Public or other officer authorized by law to take depositions. The deposition will be recorded by

stenographic means and by video. This deposition is being taken for the purpose of discovery, for use at trial, or such other purposes as are permitted under the rules of Court.

Dated: October 6, 2022

Respectfully Submitted,

By: /s/ Shlomo Y Hecht

Shlomo Y. Hecht
Florida State Bar No.: 127144
Shlomo Y. Hecht, P.A.
4538 NW 85th Ave.
Coral Springs, FL 33065 Phone:
(954) 861-0025
Email: sam@hechtlawpa.com

Aaron W. Davis
Minnesota State Bar No.: 318255
VALHALLA LEGAL, PLLC
204 W. 7th St., PMB 222
Northfield, MN 55057
Phone: (763) 957-2397
Email: davis@valhallalegal.com
*Attorneys for OJ Commerce,
LLC*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon all of Respondents' counsel of record by emailing a copy to each such person.

Dated: October 6, 2022

By: /s/ Shlomo Y Hecht
Shlomo Y Hecht

RE: Deposition

Marston Jr., David W. <david.marston@morganlewis.com>

Tue 10/11/2022 8:08 AM

To: Aaron Davis <davis@valhallalegal.com>; Sam Hecht <sam@hechtlawpa.com>; Jacob Weiss <jacob@ojcommerce.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobotta, Kathryn <KSobotta@cozen.com>; Rohde, Wayne <WRohde@cozen.com>

Counsel and Mr. Weiss –

We disagree with your email below concerning Mr. Sigsgaard's deposition, but we do not believe there is any benefit in continuing the back-and-forth over that issue. We write concerning the deposition notice you served on October 6, 2022 seeking to depose Soren Skou, the CEO of A.P. Moller-Maersk A/S, on October 12, 2022.

The September 30, 2022 Order extended fact and expert discovery to October 14, 2022. The Order states that "any depositions previously agreed to between the parties should be scheduled during this limited period." Sept. 30, 2022 Order at 5. The deposition of Mr. Skou was not a deposition "previously agreed to between the parties." Indeed, OJC's earlier deposition notice seeking Mr. Skou's deposition was the subject of motion practice by both parties. The August 31, 2022 Order stated that Mr. Skou's deposition "will not be required at this time." Aug. 31, 2022 Order at 12. Instead, the Order required Respondents to "identify Maersk management who would have information regarding pricing decisions." *Id.* We complied with that Order and identified multiple people within Maersk management with information regarding pricing decisions. We also offered dates -- in some cases multiple dates -- when those individuals were available for deposition in response to your requests to depose them. Accordingly, there is no basis to depose Mr. Skou and he will not be appearing for deposition tomorrow.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

1701 Market Street | Philadelphia, PA 19103

Direct: +1.305.415.3443 | Mobile: +1.305.998.8032

david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Monday, October 10, 2022 11:03 AM

To: Marston Jr., David W. <david.marston@morganlewis.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobotta, Kathryn <KSobotta@cozen.com>; Sam Hecht <sam@hechtlawpa.com>; Rohde, Wayne <WRohde@cozen.com>

Subject: Re: Deposition

[EXTERNAL EMAIL]

Counsel,

Hecht Decl.
Ex. 46

Your October 7, 2022 email is yet another communication from Respondents full of blatant misrepresentations:

CX336

- Respondents identified **ONE** alleged witness, Mr. Sigsgaard, in response to the Judge's Order to produce Maersk Management who would have information on pricing decisions from the relevant time period, after Respondents retaliated by refusing to renew OJC's service contract. The other witness, Ivan Cheung, you offered was a subordinate of Juergen Pump and therefore would have no more "Maersk management" *pricing decision* knowledge than him, which was essentially none.
- Respondents provided two partial dates for Mr. Sigsgaard **22 days late according to the Judge's Order**, one of which (October 5) was on a Jewish holiday -- you might as well have demanded OJC take his deposition on Christmas Eve -- and provided no date that allowed for seven hours of deposition time as required under the FMC Rules. The fact that you continue to assert that a partial deposition on Yom Kippur was a real "opportunity" to depose Mr. Sigsgaard is incredible.
- Had Respondents provided Mr. Sigsgaard for deposition for seven hours on one date -- even as inexcusably late as Respondents offered him -- OJC was more than ready to depose him. Nothing in OJC's communications even remotely suggests that OJC did not want to actually depose Mr. Sigsgaard and your suggestion otherwise is plainly dishonest. Respondents' complete disregard for the Judge's Order -- and Respondents' attempt to push the responsibility for their willful violation onto OJC -- illustrates plainly the bad faith nature of Respondents' contempt.
- As OJC made it abundantly clear in its September 30, 2022 email, OJC was available to take Mr. Sigsgaard's deposition on October 7 for the seven-hour time provided for under the FMC Rules, was willing to be flexible on start and end times to make that happen, but that OJC would not agree to Respondents' unilaterally imposed limitations on the time frame. In response, Respondents refused to provide him for the time allotted under the Rules, citing Respondents' self-created scheduling issues as justification. Respondents also refused to provide an alternate date or witness.
- OJC never said that it would depose Mr. Sigsgaard as unilaterally limited by Respondents. In fact, OJC specifically stated the opposite. And OJC has **always** served a notice of deposition and -- as you admit -- sent Zoom information before a deposition OJC was taking. OJC did neither for Mr. Sigsgaard before your charade on October 7. Therefore, your assertion that "we had no way to know that Mr. Sigsgaard's deposition would not be going forward" is just one more absurdity that is contradicted by your own statements.

We look forward to deposing Mr. Skou on Wednesday, October 12, as noticed. You can expect Zoom information.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Marston Jr., David W. <david.marston@morganlewis.com>

Sent: Friday, October 7, 2022 12:00 PM

To: Aaron Davis <davis@valhallalegal.com>

CX337

Cc: Rachelle M Barstow rachelle.barstow@maersk.com ; Muaddi, Jawad B jawad.muaddi@morganlewis.com ; Sobořa, Kathryn <KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>; Rohde, Wayne WRohde@cozen.com
Subject: RE: Deposiřon

Counsel –

We disagree with respect to your email below.

The August 31, 2022 Order required Respondents to “idenřify Maersk management who would have informařon regarding pricing decisions” We complied with that Order and idenřified mulřple people within Maersk management with informařon regarding pricing decisions. We also offered dates -- in some cases mulřple dates when those individuals were available for deposiřon in response to your requests to depose them Mr Sigsgaard was made available on October 5 and 7. OJC declined both opportuniřes. Contrary to the statement in your email below, Mr Sigsgaard was not made available “for just a few hours,” and we did not “unilaterally limit[] the deposiřon to a fracřon of the řime permiřed.” OJC apparently made a strategic decision not to proceed at all with Mr Sigsgaard’s deposiřon

Addiřonally, there was no “charade this morning in an ařempt to fool the Judge” You stated that you were available to take Mr. Sigsgaard’s deposiřon on October 7. You never told us that you had decided not to take the deposiřon Given that you typically send Zoom invites shortly before deposiřons are scheduled to commence, we had no way to know that Mr. Sigsgaard’s deposiřon would not be going forward this morning.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

1701 Market Street | Philadelphia, PA 19103

Direct: +1.305.415.3443 | Mobile: +1.305.998.8032

david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis davis@valhallalegal.com

Sent: Friday, October 07, 2022 10:39 AM

To: Marston Jr, David W david.marston@morganlewis.com

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>;

Sobořa, Kathryn KSobořa@cozen.com ; Sam Hecht sam@hechtlawpa.com ; Rohde, Wayne

<WRohde@cozen.com>

Subject: Re Deposiřon

[EXTERNAL EMAIL]

Counsel,

Respondents have now gone well past just violařing the Judge's August 31, 2022 Order and have descended into mocking it As you admit in your email, OJC did not send you a nořice of deposiřon or Zoom informařon for an 8:45 a.m. Eastern deposiřon today because, as you well know, there was no agreement to depose Mr. Sigsgaard for just a few hours. Indeed, just yesterday, OJC served a nořice of deposiřon for Soren Skou based on Respondents' failure to provide Maersk's pricing management for an agreed upon deposiřon as required under the Judge's August 31, 2022 Order Nonetheless, Respondents put on a charade this morning in an ařempt to fool the Judge. That will not work.

CX338

As I clearly laid out in my September 30, 2022 email identified below, Respondents have refused -- **since August 31, 2022 (37 days!)** -- to provide an agreed-upon date and time frame for a seven-hour deposition of Maersk management witness(es) who have information regarding pricing decisions, which the Court ordered to be done by **no later than September 7**. Respondents did not even provide an initial proposed date until September 29, **22 days late**. When OJC demanded a date that complied with the FMC Rules and the Court Order, Respondents claimed that their chosen witness had no time to sit for such a deposition for the indefinite future, let alone during the discovery period. So instead of complying with the Court's Order, Respondents have tried to stifle OJC's ability to depose the Court-ordered witness by unilaterally limiting the deposition to a fraction of the time permitted by solely relying on Respondents' witness's scheduling issue -- created by Respondents' own willful violation of the Court's Order -- as an excuse for non-compliance. Respondents' self-serving tactics clearly evidence bad faith. You have also refused to provide an alternate witness to sit for the required deposition.

Respondents' gamesmanship is just another example of their obstinate refusal to provide clear answers about their pricing, pricing documentation, and even their tariff rates to the public, showing that Respondents would rather risk sanctions from the FMC than be transparent about their illegal pricing practices over the past several years. OJC will be seeking sanctions for Respondents' outrageous conduct.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

Marston Jr., David W. <david.marston@morganlewis.com>

To:

- Aaron Davis;
- Sam Hecht <sam@hechtlawpa.com>

Cc:

- Rachelle M Barstow <rachelle.barstow@maersk.com>;
- Sobotta, Kathryn <KSobotta@cozen.com>

+2 others

Fri 10/7/2022 7:03 AM

Counsel –

We have been standing by with Johan Sigsgaard since 8:45 am eastern for the deposition that you requested. Given that it is now after 9 am eastern and we did not receive a

CX339

deposition notice or a dial-in from you (or a court reporter), we understand that you have decided not to proceed with Mr. Sigsgaard's deposition. We have let him know that his deposition is not going forward.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

1701 Market Street | Philadelphia, PA 19103

Direct: +1.305.415.3443 | Mobile: +1.305.998.8032

david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Friday, September 30, 2022 9:25 PM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Deposition

Counsel:

Your continued refusal to provide a date and time frame during which OJC can take a seven-hour deposition of Maersk management witness(es) who have information regarding pricing decisions is in direct violation of the Presiding Officer's Order dated August 31, 2022. Indeed, the Court ordered a **month ago**:

"Respondents are hereby ordered to identify Maersk management who would have information regarding pricing decisions. If appropriate Maersk witnesses are provided, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will not be required. However, if appropriate witnesses at Maersk are not identified and provided for deposition, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will be permitted. Even if Maersk were considered a non-party, if their managers have relevant information then their testimony can be subpoenaed. **Respondents must identify appropriate witnesses and within seven calendar days of the date of this order agree on a date and time for their depositions.**"

It is now September 30 and Respondents still have not agreed on a date and time for the deposition. OJC is under no obligation to take such a deposition piecemeal. To the contrary, the pertinent FMC Rules fully supports OJC's position. § 502.143(d)(1) ("a deposition is limited to **1 day of 7 hours**").

CX340

Moreover, your comment that you "understand that OJ Commerce may not wish to take a deposition on October 5" is disingenuous, as it disregards the fact that October 5 would not work for OJC due to Yom Kippur, an important Jewish holiday, not just some scheduling conflict.

As for your statement that Mr. Sigsgaard is busy and "he has no personal knowledge of dealings with OJ Commerce," you know full well those excuses are baseless. The Court ordered that Respondents identify witnesses with certain pricing knowledge and agree upon dates by no later than September 7, not at Respondents', Maersk's, or the witness's leisure and convenience. Even when the parties met and conferred on September 12, 2022, Respondents still had not offered -- let alone agreed to -- a date and time for the ordered-witness(es)' deposition(s). Moreover, OJC did not ask for Mr. Sigsgaard specifically -- that was Respondents' choice. You can't offer up a witness of your choice and then set the terms of the deposition -- contrary to the rules and court order -- to fit your convenience and delay strategy.

Again, OJC can take Mr. Sigsgaard's deposition on Friday, October 7. But we must be offered a time frame during which the entire deposition can be completed in one session. As previously stated, OJC is willing to be flexible on start and end times to accommodate the witness(es). We can start at 6am Eastern and go until finished under the rules. If that date and time do not work for Mr. Sigsgaard, then (1) provide a different date and time on or before October 12, 2022 that would accommodate the entire deposition, (2) provide a different witness who meets the Court's requirements and can attend for the time frame the rule prescribes, or (3) provide dates and times for the depositions of Maersk CEO Soren Skou and CFO Patrick Jany, as the Court ordered must be done "if the appropriate witnesses at Maersk are not identified and provided for deposition." Order dated August 31, 2022 at 12.

OJC submits these options without prejudice as to all available remedies and claims.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>

Sent: Friday, September 30, 2022 3:26 PM

To: Aaron Davis <davis@valhallalegal.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Soboia, Kathryn <KSoboia@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: RE: Deposition

Counsel: We have offered to make Mr. Sigsgaard available for a period of more than seven hours on October 5 and 7.

We understand that OJ Commerce may not wish to take a deposition on October 5, and that it may prefer to take the deposition in a single day. However, those preferences do not alter the fact that Mr. Sigsgaard has been made available for an adequate period of time, particularly in view of the fact that he has no personal knowledge of dealings with OJ Commerce.

In addition, it must be borne in mind that the witness is a senior executive who is heavily booked with travel and other commitments that cannot be altered. After October 7, the next block of unbooked time Mr. Sigsgaard has available is 5 hours on October 31.

Regards,



Wayne R. Rohde
Member | Cozen O'Connor
1200 19th Street NW | Washington, DC 20036
P: 202-463-2507 F: 202-640-5912
[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | [cozen.com](#)

From: Aaron Davis <davis@valhallalegal.com>
Sent: Friday, September 30, 2022 1:23 PM
To: Rohde, Wayne <WRohde@cozen.com>
Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>
Subject: Re: Deposition

****EXTERNAL SENDER****

Counsel:

OJC is entitled under the rules to a deposition of seven hours. § 502.143(d)(1). Please provide a date and timeframe that permits that. OJC is willing to be flexible on start and end times to accommodate the witness.

Thank you,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>
Sent: Friday, September 30, 2022 11:16 AM
To: Aaron Davis <davis@valhallalegal.com>
Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht

CX342

<sam@hechtlawpa.com>

Subject: Deposition

Counsel: We note that OJC is not available on October 5.

If OJC wishes to complete the deposition in one session, we can extend the time Mr. Sigsgaard is available on October 7. He cannot be available at 6 am on that date, but can be available from 8:45 am to 1 pm US Eastern time on Friday, October 7.

Regards,



Wayne R. Rohde

Member | Cozen O'Connor

1200 19th Street NW | Washington, DC 20036

P: 202-463-2507 F: 202-640-5912

[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | cozen.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Thursday, September 29, 2022 7:51 PM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Soboia, Kathryn <KSoboia@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Privilege Log

****EXTERNAL SENDER****

Counsel,

Regarding the deposition of Johan Sigsgaard, October 5 will not work because that is Yom Kippur.

OJC can take Mr. Sigsgaard's deposition on Friday, October 7. But we want to get the entire deposition done in one session. We can start at 6am Eastern and go until finished under the rules. We also note that your proposed time frames did not take into account breaks. Please confirm the date and start time.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>

Sent: Thursday, September 29, 2022 11:59 AM

To: Aaron Davis <davis@valhallalegal.com>; Sam Hecht <sam@hechtlawpa.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>;

CX343

Sobořa, Kathryn <KSobořa@cozen.com>; Marston Jr., David W. <david.marston@morganlewis.com>

Subject: RE: Privilege Log

Counsel: Thank you for the two emails you sent on September 28.

As you know, there are outstanding discovery issues on both sides, as evidenced by your emails and our pending motion to compel.

There is a motion pending before the administrative law judge to extend the time for discovery and adjust other deadlines accordingly. It is our understanding that, absent a ruling by the ALJ on that motion, discovery is concluded and OJ Commerce's brief is due October 10.

Without prejudice to the foregoing and any other relief Respondents may seek with respect to outstanding discovery issues, our responses to the issues raised in your emails are as follows:

1. Johan Sigsgaard is located in Copenhagen. Due to the time difference between Europe and the U.S. and his schedule, we propose conducting his deposition in two parts, as follows:

Wednesday, October 5, 8 am to noon, US East Coast time

Friday, October 7, 8:45 am to 11:15 am, US East Coast time (if necessary)

Please let us know as soon as possible if you will proceed with a deposition on those dates.

2. With regard to documents listed on Respondents' privilege log, you requested that we produce documents 20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, and 112. We will produce most of these documents shortly. Two will be produced with some privileged material redacted. A small number will be withheld on the grounds of privilege and, for this last group, we will provide a further explanation/description of the basis for the assertion of privilege. Per your agreement in previous correspondence, we are producing these documents on a "no waiver" basis.

Sincerely,



Wayne R. Rohde

Member | Cozen O'Connor

1200 19th Street NW | Washington, DC 20036

P: 202-463-2507 F: 202-640-5912

[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | cozen.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Wednesday, September 28, 2022 7:16 PM

To: Marston Jr., David W. <david.marston@morganlewis.com>; Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>;

Sobořa, Kathryn <KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Privilege Log

****EXTERNAL SENDER****

Counsel,

Please provide a status update on the production of documents (**20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, and 112**), or some subset based on your prior communication, from Hamburg's August

CX344

30 privilege log. Given that it has been 12 days since our last communication on the subject, I presume that the production will be yet this week.

Regards,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Marston Jr., David W. <david.marston@morganlewis.com>

Sent: Friday, September 16, 2022 8:46 AM

To: Aaron Davis <davis@valhallalegal.com>; Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>;

Sobořa, Kathryn <KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: RE: Privilege Log

Aaron –

Thank you for confirming that any documents we produce from the log will be on a no-waiver basis. To clarify, we did not agree to produce all of the log entries that you have questioned. We are finishing our review of these documents and will get back to you shortly to resolve this issue by either (i) producing documents on a no-waiver basis per our agreement; or (ii) providing further explanation for why certain entries are protected by the Attorney-Client Privilege and/or the Work Product Doctrine and will not be produced.

Regards,

David W. Marston Jr.

Morgan, Lewis & Bockius LLP

600 Brickell Avenue, Suite 1600 | Miami, FL 33131

1201 N. Market St., Suite 2201 | Wilmington, DE19801

1701 Market Street | Philadelphia, PA 19103

Direct: +1.305.415.3443 | Mobile: +1.305.998.8032

david.marston@morganlewis.com | www.morganlewis.com

From: Aaron Davis <davis@valhallalegal.com>

Sent: Friday, September 16, 2022 12:12 AM

To: Rohde, Wayne <WRohde@cozen.com>

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Marston Jr., David W.

<david.marston@morganlewis.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobořa, Kathryn

<KSobořa@cozen.com>; Sam Hecht <sam@hechtlawpa.com>

Subject: Re: Privilege Log

[EXTERNAL EMAIL]

Counsel:

CX345

Pursuant to our meet-and-confer conversation on September 12, 2022, OJC hereby agrees not to consider the **product on itself** by Respondents of documents that were on their Privilege Log served on August 30, 2022, as constituting a waiver of the privileges asserted. OJC reserves all other rights with respect thereto. Accordingly, please promptly produce document numbers **20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, and 112** from Respondents' August 30 Privilege Log.

Thank you,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Aaron Davis <davis@valhallalegal.com>
Sent: Tuesday, September 6, 2022 6:15 PM
To: Rohde, Wayne <WRohde@cozen.com>
Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobotta, Kathryn <KSobotta@cozen.com>; Sam Hecht <sam@hechtlawpa.com>
Subject: Re: Privilege Log

Wayne,

Pursuant to our phone conversation today, OJC hereby submits its list of documents from Respondents' privilege log that OJC contends must be produced without redaction or claim of privilege or work product protection, consistent with the holding from the Presiding Officer's Order dated August 31, 2022, at 9-10. Please let us know by no later than our meet and confer conversation on Thursday, September 8 whether Respondents will agree to produce the following documents without judicial intervention and if Respondents won't produce, the reasons for the refusal to produce:

Document numbers to be produced from Respondents' Privilege Log produced on August 30, 2022:

20, 21, 32-37, 48-50, 58-59, 62, 68, 76, 83-84, 96, 103, 112

Thank you,

Aaron W. Davis, Esq.

VALHALLA LEGAL, PLLC

Phone: (763) 957-2397

davis@valhallalegal.com

From: Rohde, Wayne <WRohde@cozen.com>
Sent: Tuesday, August 30, 2022 12:06 PM
To: Aaron Davis <davis@valhallalegal.com>; Sam Hecht <sam@hechtlawpa.com>

CX346

Cc: Rachelle M Barstow <rachelle.barstow@maersk.com>; Marston Jr., David W. <david.marston@morganlewis.com>; Muaddi, Jawad B. <jawad.muaddi@morganlewis.com>; Sobotta, Kathryn <KSobotta@cozen.com>
Subject: Privilege Log

Counsel: Attached is Respondents' privilege log, as requested.

Regards,



Wayne R. Rohde
Member | Cozen O'Connor
1200 19th Street NW | Washington, DC 20036
P: 202-463-2507 F: 202-640-5912
[Email](#) | [Bio](#) | [LinkedIn](#) | [Map](#) | cozen.com

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CX347

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Notice: This communication, including attachments, may contain information that is confidential and protected by the attorney/client or other privileges. It constitutes non-public information intended to be conveyed only to the designated recipient(s). If the reader or recipient of this communication is not the intended recipient, an employee or agent of the intended recipient who is responsible for delivering it to the intended recipient, or you believe that you have received this communication in error, please notify the sender immediately by return e-mail and promptly delete this e-mail, including attachments without reading or saving them in any manner. The unauthorized use, dissemination, distribution, or reproduction of this e-mail, including attachments, is prohibited and may be unlawful. Receipt by anyone other than the intended recipient(s) is not a waiver of any attorney/client or other privilege.

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

JOINT MOTION FOR AMENDMENT OF PROTECTIVE ORDER

Complainant OJ Commerce, LLC (“OJC”) and Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG and Hamburg Süd North America, Inc. (together “HS” and, collectively with OJC, the “Parties”) hereby move to amend the Protective Order previously executed by the Parties to read as per Attachment A hereto. The Parties have jointly drafted the attached and agree to be bound by all the terms contained therein.

WHEREFORE, the Parties request that the Commission grant this motion for amendment of the protective order.

Respectfully submitted,

VALHALLA LEGAL, PLLC

By: /s/ Aaron W. Davis
Aaron W. Davis
davis@valhallalegal.com
Tel: (763) 957-2397
204 W. 7th St., PMB 222
Northfield, MN 55057

SHLOMO Y. HECHT, P.A.

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht
sam@hechtlawpa.com
Tel: (954) 861-0025
4538 NW 85th Ave.
Coral Springs, FL 33065

*Counsel for Complainant
OJ COMMERCE, LLC*

DATED: June 21, 2022

COZEN O'CONNOR

By: /s/ Wayne R. Rohde
Wayne R. Rohde
Kathryn Sobotta
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2504

*Counsel for Respondents
HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & CO KG and HAMBURG SUD NORTH
AMERICA, INC.*

ATTACHMENT A

BEFORE THE
FEDERAL MARITIME COMMISSION

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

CONFIDENTIALITY STIPULATION AND PROPOSED PROTECTIVE ORDER

WHEREAS, the above-captioned Federal Maritime Commission (the “Commission”) proceeding (the “Proceeding”) is likely to involve production of trade secrets, valuable commercial information, personal information, business and financial proprietary information, disclosure of which and use for any purpose other than in this Proceeding would cause specific prejudice or harm, such as annoyance, embarrassment, oppression, or undue burden or expense;

IT IS HEREBY STIPULATED AND AGREED, in good faith, by the respective undersigned counsel for Complainant OJ Commerce, LLC (“OJC”) and Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG and Hamburg Süd North America, Inc. (together “HS” and, collectively with OJC, the “Parties”) that this Confidentiality Stipulation and Proposed Protective Order shall be applicable to this

Proceeding and shall govern all hard copy and electronic information, documents, and materials produced or disclosed in relation to this Proceeding that include “Confidential Information” (defined below), including any information copied or extracted therefrom; all copies, excerpts, summaries, or compilations thereof; and testimony, conversations, or presentations by Parties or their counsel that include Confidential Information. These materials shall be referred to hereinafter as “Proceeding Material.” A person (including a Party or any person that is not a Party) that produces or discloses such information, documents, or materials in this Proceeding shall be referred to hereinafter as a “Producing Party.” Any Party to this Proceeding who receives Proceeding Material shall be referred to hereinafter as “Receiving Party.”

Definition of Confidential Information

1. Each Producing Party shall have the right to designate information or Proceeding Material it produces as “Confidential” when such information or Proceeding Material reveals or reflects:

- a. unpublished business, financial, research, or marketing data, methods or plans, internal emails, memos, trade secrets, customer information, customer negotiations or operational or technical information;
- b. private or confidential personal information;
- c. other information of a nonpublic nature that the Producing Party reasonably and in good faith believes to be commercially, competitively, or personally sensitive, proprietary in nature, or otherwise entitled to protection under 46 C.F.R. § 502.141(j)(1) of the Commission’s Rules

of Practice and Procedure, or

- d. information that is not publicly known, that is not in the public domain, or that was previously disclosed to the Receiving Party in violation of a known obligation to maintain confidentiality or restrict disclosure.

Definition of Attorneys' Eyes Only Information

2. Each Producing Party shall have the right to designate information or Proceeding Material it produces as Attorneys' Eyes Only ("Confidential AEO") when such information or Proceeding Material qualifies as "Confidential" as defined above and whose disclosure to anyone other than counsel of record has a substantial probability of jeopardizing the Producing Party's competitive business interests or the competitive or privacy interests of the Producing Party's suppliers, service providers, customers or clients, or of an individual Party in this Proceeding.

3. Information or Proceeding Material designated as "Confidential" or "Confidential AEO" shall be referred to hereinafter as "Confidential Information."

General Provisions

4. All Producing Parties designating Proceeding Material as Confidential or Confidential AEO shall have a bona fide need for confidential treatment of information including trade secret or other confidential research, development, or commercial information pursuant to 46 C.F.R. § 502.141(j)(1)(vii).

5. Proceeding Material, including Confidential Information disclosed by a Producing Party, shall be used solely in this Proceeding, and shall not be used by the Receiving Party for any business, commercial, competitive, personal, or other purpose.

6. The distribution and dissemination of any information or Proceeding Material designated as Confidential is limited to the following persons:

- a. outside counsel of record for any Party in this Proceeding including necessary paralegal, secretarial, and clerical personnel assisting counsel;
- b. any officer, manager, Board Member, or employee (including an in-house attorney) of either Party who may be consulted regarding this Proceeding;
- c. consultants or experts who are not employed by, or otherwise affiliated with, a Party in this Proceeding, and who are retained by a Party or its counsel to assist in the preparation of discovery, and/or this Proceeding;
- d. vendors retained by any of the Parties for the purpose of assisting with discovery, litigation support personnel, videographers, stenographers, and clerical employees whose duties and responsibilities require access to such materials;
- e. Chief Administrative Law Judge Wirth (the "ALJ"), the Commission, and Commission staff and personnel; and
- f. any person who created or previously received that Proceeding Material based on the face of that Proceeding Material if necessary to allow deposition of that person.

7. The distribution and dissemination of any information or Proceeding Material designated Confidential AEO is limited to the following persons:

- a. counsel of record for any Party in this Proceeding including necessary paralegal, secretarial, and clerical personnel assisting counsel;
- b. consultants or experts who are not employed by, or otherwise affiliated with, a Party in this Proceeding, and who are retained by a Party or its

counsel to assist in the preparation of discovery, and/or this Proceeding;

- c. vendors retained by any of the Parties for the purpose of assisting with discovery, litigation support personnel, videographers, stenographers, and clerical employees whose duties and responsibilities require access to such materials;
- d. the ALJ, the Commission, and Commission staff and personnel; and
- e. any person who created or previously received that Proceeding Material based on the face of that Proceeding Material, provided that such person is still employed at the time of such person's deposition by the same employer that employed such person at the time such person created or previously received that Proceeding Material.

8. All persons authorized to receive and view Confidential Information shall take reasonable steps to secure any Confidential Information against unauthorized or inadvertent disclosure, and shall limit access to Confidential Information to those persons identified above in Paragraphs 6 and 7.

9. Persons identified in Paragraphs 6(c), 6(d), 7(b), and 7(c) shall read and agree to the terms of this Confidentiality Stipulation and Proposed Protective Order, and sign a Certification form annexed at Appendix A, before receiving or viewing any information or Proceeding Material designated Confidential by any Producing Party other than the Party that retained such person.

10. A Party which learns that, by inadvertence or otherwise, it has disclosed Confidential Information in breach of this Confidentiality Stipulation and Proposed Protective Order, shall promptly: (a) notify the ALJ and the Producing Party of such Confidential

Information of the unauthorized disclosures, (b) use its best efforts to retrieve all copies of the disclosed Confidential Information, (c) inform those to whom unauthorized disclosures were made of all of the terms of this Confidentiality Stipulation and Proposed Protective Order, and (d) request such person or persons to execute the Certification form annexed at Appendix A. Thereafter, that Party shall take necessary steps to prevent further disclosures in breach of any of the provisions of this Confidentiality Stipulation and Proposed Protective Order.

11. The Parties shall either destroy all Proceeding Material, including Proceeding Material designated Confidential or Confidential AEO, received from other Producing Parties or return such Proceeding Material to the original Producing Party at that Producing Party's expense within forty-five (45) days after the final conclusion of this Proceeding, including exhaustion of all appeals.

12. Unless otherwise ordered or agreed to by a Producing Party with respect to that Producing Party's Proceeding Material, this Confidentiality Stipulation and Proposed Protective Order shall remain in force after the final conclusion of this Proceeding not subject to further appeal for a period of two years.

Privileged and Protected Material

13. The Producing Parties preserve any and all privileges and exemptions, including but not limited to the attorney-client privilege and attorney work product doctrine, which apply to any and all Proceeding Material.

14. Inadvertent disclosure shall not be deemed as a waiver of any privilege or exemption in accordance with the provisions on inadvertent disclosure in the Federal Rules of Civil Procedure and Federal Rules of Evidence.

15. Within forty-eight (48) hours of the receipt of a written notice from a Producing

Party claiming inadvertent disclosure of privileged or protected Proceeding Material, the Receiving Party shall return immediately any Proceeding Material deemed privileged by such written notice, and the Receiving Party shall also delete and/or destroy any copies of such privileged or protected Proceeding Material inadvertently produced by the Producing Party identified in such written notice, subject to and without waiving the Receiving Party's rights to challenge the disclosures as inadvertent or the designation as privileged or protected in accordance with the provisions on inadvertent disclosure in the Federal Rules of Civil Procedure and Federal Rules of Evidence.

Use of Confidential Information in Commission Hearings

16. Confidential Information disclosed to the ALJ and/or Commission in papers, including exhibits, shall be labeled in accordance with 46 C.F.R. § 502.5.

17. The provisions of this Confidentiality Stipulation and Proposed Protective Order shall govern the Proceeding, including discovery, and shall not affect the conduct of the ALJ. The ALJ shall order an appropriate procedure for the use of the Confidential Information at or during the course of the Proceeding pursuant to 46 C.F.R. §502.141(j)(1).

Designating Protected Material

18. Documents containing Confidential Information as defined in Paragraphs 1 and 2 shall be marked with the word "CONFIDENTIAL" or "CONFIDENTIAL AEO" on each page of that document that contains such information. Parties shall take reasonable steps to ensure that copies of such documents marked "Confidential" or "Confidential AEO," and any extracts, summaries, and compilations therefrom, shall also be so marked.

19. Where a Producing Party produces Proceeding Material in electronic form, it may make the confidentiality designation by a letter that identifies the Bates Numbers of the

electronic documents or that adequately describes the electronic documents that contain Confidential Information. Electronic files and documents produced in native format may be marked by using “CONFIDENTIAL” or “CONFIDENTIAL AEO” in the file names or on placeholders in the Producing Party’s document production.

20. Depositions may be designated as Confidential Information by (i) stating orally on the record that the information is Confidential Information on the day the testimony is given, or (ii) sending written notice designating testimony as Confidential Information within ten (10) days after receipt of the official deposition transcript or deposition copy. Unless otherwise agreed by the Producing Party, a transcript shall be treated as Confidential AEO until the expiration of the ten-day period. Where the Producing Party is not present at a deposition, any party using Confidential Information at the deposition shall provide the deposition transcript to the Producing Party as soon as it is available, and that Producing Party will be afforded the same ten-day period after receipt to provide notice of designating the testimony as Confidential Information.

21. Any Producing Party that designates information or Proceeding Material for protection under this Confidentiality Stipulation and Proposed Protective Order must take care to limit any such designation to specific material that qualifies for such protection.

22. Once the Receiving Party has notice that the Producing Party has designated information or Proceeding Material as Confidential Information, the Receiving Party shall treat the designated information or Proceeding Material as Confidential Information in accordance with this Confidentiality Stipulation and Proposed Protective Order regardless of how much time has passed since the Confidential Information was first disclosed or produced.

Challenging Confidential Designations

23. Any Party may challenge a designation information or Proceeding Material as “Confidential” or “Confidential AEO” at any time that is consistent with the then-operative Scheduling Order in the Proceeding.

24. The Party challenging the designation must object with particularity and give a complete explanation by letter to the Producing Party’s counsel of record in the Proceeding.

25. If the challenging Party and the Producing Party are unable to resolve the challenge, then the Producing Party may move the ALJ for a protective order or the objecting Party’s counsel may move the ALJ to challenge the designation. The Proceeding Material, however, shall continue to be deemed Confidential Information until the ALJ rules on any such motion. In the event that a Producing Party’s Confidential designation is overruled by the ALJ, the Receiving Party shall be entitled to their attorney’s fees and costs related to obtaining an order de-designating the Confidential designation.

Reservation of Rights

26. The ALJ shall retain jurisdiction over the Parties, even after termination of this Proceeding, regarding any dispute between them on the improper use of Confidential Information disclosed under protection of this Confidentiality Stipulation and Proposed Protective Order.

27. Disclosure of Confidential Information Pursuant to Legal Process. If Confidential Information in the possession of the Receiving Party is subpoenaed or sought pursuant to discovery or other legal process, or is ordered to be disclosed by the Commission, the Party to whom the request has been made or an order directed shall promptly give written notice of such event to the Producing Party. No Party shall disclose another Producing Party’s

Confidential Information pursuant to such process without first giving that Producing Party notice for an opportunity to seek an order governing disclosure of the requested Confidential Information. The Producing Party shall have the sole burden of defending against such request.

[SIGNATURE PAGE FOLLOWS]

DATED: June 21, 2022

STIPULATED AND AGREED:

VALHALLA LEGAL, PLLC

COZEN O'CONNOR

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*Counsels for Complainant
OJ COMMERCE, LLC*

*Counsel for Respondents
HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & CO KG and HAMBURG SUD NORTH
AMERICA, INC.*

SO ORDERED

Erin M. Wirth
Chief Administrative Law Judge

APPENDIX A

BEFORE THE
FEDERAL MARITIME COMMISSION

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**CERTIFICATION AND AGREEMENT TO BE BOUND BY
CONFIDENTIALITY STIPULATION AND PROPOSED PROTECTIVE ORDER**

I, _____ state as follows:

1. My current business address is: _____
2. My present occupation and/or job description is: _____
3. My present employer is: _____
4. The principal address of my employer is: _____

5. I have carefully read and understand the provisions of the Confidentiality Stipulation and Proposed Protective Order executed by the Parties in the above-referenced Proceeding, and I will comply with all provisions of the Confidentiality Stipulation and Proposed Protective Order.

6. I will hold in confidence and not disclose to anyone not qualified under

Paragraphs 6 or 7 of the Confidentiality Stipulation and Proposed Protective Order any documents and/or information designated Confidential Information.

7. I will limit use of Confidential Information disclosed to me solely for the purposes of this Proceeding.

8. At the conclusion of the above-referenced Proceeding, I will return all Confidential Information, including any summaries, abstracts, and indices thereof, that come into my possession, or destroy all such Confidential Information.

I declare under penalty of perjury that the foregoing is true and correct.

Executed on _____

Signature

Printed Name:

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**RESPONSE AND OBJECTIONS OF RESPONDENT TO
COMPLAINANT OJ COMMERCE, LLC'S SECOND SET OF REQUESTS FOR
PRODUCTION OF DOCUMENTS**

Respondent Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG ("Respondent") hereby responds and objects to Complainant OJ Commerce, LLC's ("OJC") Second Set of Requests for Production of Documents.

1. Between January 1, 2020 through the present, for each Sailing that was scheduled for the Defined Lanes, produce documents sufficient to show any sailing that was canceled, blanked, voided, or that otherwise did not actually sail, or the origin or destination of which was changed, and the reasons therefor.

Response: Respondent objects to this request on the grounds that it is duplicative of other requests, including Request for Production #7 in Complainant's First Request for Production of Documents. Respondent further objects on the grounds that the scope of the request exceeds the duration of OJC's contract and thus is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without

prejudice to the foregoing objection, to the extent that responsive, non-privileged documents exist, such documents will be produced as soon as they are available.

2. All documents – including all internal and external communications – concerning or constituting Your policies, procedures, or plans concerning blank sailings.

Response: Respondent objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without prejudice to this objection, Respondent does not have policies, procedures or plans concerning blank sailings and thus has no documents responsive to this request.

3. All documents concerning press releases or public relation statements that You have issued, authorized, or otherwise approved concerning blank sailings, pricing, spot market rates, capacity, shipping revenues, or profitability.

Response: Respondent objects to this request on the grounds that it is duplicative of other requests contained in Complainant’s First Request for Production of Documents and this Second Request. Respondent further objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without prejudice to the foregoing objections, Respondent states that, to the extent press releases or public relation statements exist on these topics, they are available to the public on Respondent’s website at link at <https://www.hamburgsud.com/en/country-information/united-states/>.

4. Documents sufficient to show Your spot market pricing or rates for the Defined Lanes, on a weekly or monthly basis, since June 1, 2021.

Response: Respondent objects to this request on the grounds that the term “spot market pricing” is not defined and is vague and ambiguous. Respondent further objects to this request on the grounds that documents sought are not reasonably accessible due to undue burden and undue cost. The request would require a manual review of customer-specific correspondence and the burden of satisfying this request outweighs any probative value of the evidence sought. Respondent further objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without prejudice to the foregoing objections, Respondent assumes for purposes of this response that the term “spot market pricing” refers to pricing other than rates in service contracts. Based on that assumption, and subject to and without prejudice to the foregoing objections, Respondent states that all non-contract rates can be found in its public tariff, available at <https://www.hamburgsud.com/en/ecommerce/tariffs-and-surcharges/ocean-tariff-overview/>.

5. All documents – including all internal and external communications – concerning or constituting Your policies, procedures, or plans concerning demurrage.

Response: Respondent objects to this request on the grounds that the issue of demurrage has been settled and because this request is not reasonably calculated to lead to the discovery of admissible evidence with regard to remaining issues between the Parties.

6. Documents sufficient to show the number of Service Contracts, including the number of TEUs for each, that You entered into with Shippers within the Defined Lanes since January 1, 2021.

Response: Respondent objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Respondent further objects to this request on the grounds that it seeks highly confidential, customer-specific information of a type the administrative law judge has declined to order produced in this proceeding. Subject to and without prejudice to this objection, Respondent is prepared to produce a list of service contracts it entered into with shippers in the defined lanes since January 1, 2021 which list would identify (a) the service contract number; (b) the effective date and termination date of the service contract; and (c) the minimum quantity commitment of the service contract.

7. All documents concerning Your pricing within the Defined Lanes as the quantity of available space has increased, decreased, or otherwise fluctuated since January 1, 2021.

Response: Respondent objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Respondent further objects to this request on the grounds that it seeks highly confidential, customer-specific information of a type the administrative law judge has declined to order produced in this proceeding. Respondent further objects to this request that it is duplicative of Request #26 in Complainant's First Request for Production of Documents.

Dated: July 22, 2022

Respectfully Submitted,

By: /s/ Wayne Rohde
Wayne Rohde
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1200 19th Street, N.W. #300
Washington, D.C. 20036
(202) 462-2507
wrohde@cozen.com
ksobotta@cozen.com

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon Complainant's
counsel of record:

Aaron W. Davis, Esq. (davis@valhallalegal.com)

Shlomo Hecht, Esq. (sam@hechtlawpa.com)

Dated: July 22, 2022

By: /s/ Wayne R. Rohde

Wayne R. Rohde

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**OBJECTIONS AND RESPONSES OF RESPONDENT HAMBURG
SÜDAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG TO
COMPLAINANT OJ COMMERCE, LLC’S THIRD SET OF REQUESTS FOR
PRODUCTION OF DOCUMENTS**

Respondent HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG (“Respondent”) hereby objects and
responds to the below Request for Production from Complainant OJ Commerce, LLC (“OJC”).

1. All documents, identified by Bates number, that support or undermine Your
contention that “[d]ue to a spike in cargo demand resulting from the Covid-19 pandemic, HSDG
was unable to provide sufficient vessel space to transport the 400 TEUs it had committed [to OJC]
to carry.” (Respondents’ Partial Motion to Dismiss and/or Summary Judgment, p. 2.) This request
is limited to the time period of June 23, 2020 to May 31, 2021.

Response: Respondent objects to this request on the grounds that it is not a request
for production of documents, but a request to identify documents previously produced.
Respondent further objects to this request on the grounds that it is duplicative of

Interrogatory #2 in OJC's Second Set of Interrogatories. Without prejudice to or waiver of the foregoing objections, and without prejudice to Respondent's ability to rely on other facts and evidence, Respondent is not aware of any documents produced to date that explicitly support or undermine this contention.

2. All documents, identified by Bates number, that support or undermine Your contention that "[n]ot only was there unprecedented demand for vessel space during the pandemic, but the enormous volumes of cargo resulted in port congestion which delayed vessels, thereby adversely impacting the amount of space HSDG and other carriers were able to provide." (Respondents' Partial Motion to Dismiss and/or Summary Judgment, p. 2.) This request is limited to the time period of June 23, 2020 to May 31, 2021.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that it is duplicative of Interrogatory #3 in OJC's Second Set of Interrogatories. Without prejudice to or waiver of the foregoing objections, and without prejudice to Respondent's ability to rely on other facts and evidence, Respondent is not aware of any documents produced to date that explicitly support or undermine this contention.

3. All documents, identified by Bates number, that support or undermine Your contention that "OJC's agents in China also hindered HSDG's ability to provide sufficient vessel space due to their own confusion with respect to the booking of cargo." (Respondents' Partial Motion to Dismiss and/or Summary Judgment, p. 2.) This request is limited to the time period of June 23, 2020 to May 31, 2021.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that it is duplicative of Interrogatory #4 in OJC's Second Set of Interrogatories. Without prejudice to or waiver of the foregoing objections, and without prejudice to Respondent's ability to rely on other facts and evidence, correspondence between OJC's agent Syntrans and OJC evidences a lack of understanding on the part of Syntrans as to the carriers with which OJC had contracted and which carriers were serving which locations. See, for example, HS-003479 and HS-003483.

4. All documents, identified by Bates number, that support or undermine Your contention that “[w]hile HSDG declined to enter into a service contract with OJC for 2021-22, it did not refuse to deal or negotiate with OJC.” (Respondents’ Partial Motion to Dismiss and/or Summary Judgment, p. 6.)

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that it is duplicative of Interrogatory #5 in OJC’s Second Set of Interrogatories. Without prejudice to or waiver of the foregoing objections, and without prejudice to Respondent’s ability to rely on other facts and evidence, correspondence between OJC and HSDG during late April of 2021 produced by Respondents in response to earlier discovery requests reflects negotiations between the parties on a possible service contract. OJC concedes that such negotiations took place. See, Verified Amended Complaint, ¶ 41. Moreover, the May 4, 2021 email from Andrea Casanova to Jacob Weiss (HS-001265) indicated Respondent was willing to deal with OJC on a case by case basis. In addition, Respondent will be producing copies of any bills of lading issued to OJC during 2021-2022 which demonstrate that Respondent moved cargo for OJC and thus did not refuse to deal with OJC.

5. All documents, identified by Bates number, that support or undermine Your contention that You did not retaliate against OJC.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that it is duplicative of Interrogatory #6 in OJC’s Second Set of Interrogatories. Respondent further objects on the grounds that the Interrogatory is not reasonably calculated to lead to the discovery of admissible evidence because it does not seek information related to the relevant statutory standard. In addition, Respondent will be producing copies of any bills of lading issued to OJC during 2021-2022 which demonstrate that Respondent moved cargo for OJC and thus did not retaliate against OJC.

6. All documents, identified by Bates number, that support or undermine Your contention in Your affirmative defenses that Your “conduct was reasonable in light of the totality of the circumstances.”

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that it is duplicative of

Interrogatory #7 in OJC's Second Set of Interrogatories. Without prejudice to or waiver of the foregoing objections, and without prejudice to Respondent's ability to rely on other facts and evidence, correspondence Respondent and OJC (including, but not limited to, letters from counsel for OJC to Respondent) support this contention.

7. All documents, identified by Bates number, that support or undermine any contention by You that You could not have fulfilled, or it would have been impossible to fulfill, a service contract with OJC for 4700 containers during 2021-2022.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that Respondent has not made any such contention and that the request is therefore not reasonably calculated to lead to the discovery of admissible evidence.

8. All documents, identified by Bates number, that support or undermine any contention by You that You were considering as early as October 2021 not renewing OJC's Service Contract based on a threat of litigation by OJC.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Without prejudice to or waiver of the foregoing objection, see HS-012481.

9. All documents, identified by Bates number, that support or undermine any contention by You that shipping cargo from China, Vietnam, or Brazil to Savannah, GA, Charlotte, NC, Norfolk, VA, Charleston, SC, or Louisville, KY during 2021-2022 was undesirable as a business matter to You.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Without waiver of or prejudice to the foregoing objection, and without prejudice to Respondent's ability to rely on other facts or evidence, see HS-004347 and HS-010662.

10. All documents, identified by Bates number, that support or undermine any contention by You that You did not ship cargo from China to Savannah, GA or Charleston, NC during 2021-2022.

Response: Respondent objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that Respondent has not made any such contention and that the request is therefore not reasonably calculated to lead to the discovery of admissible evidence.

11. Copies of all periodic forecasts, projections and/or budgets prepared for HSDG whether monthly, quarterly, or annual from 2019 to the present.

Response: Respondent objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence, is overly broad as to scope and time frame, and unduly burdensome due to its vast scope and time frame. Subject to and without prejudice to the foregoing objection, Respondent has not located any documents responsive to this request.

12. Your unaudited monthly internal financial reports for all months during calendar years 2019, 2020, 2021, and 2022.

Response: Respondent objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without prejudice to the foregoing objection, Respondent has not located any documents responsive to this request.

13. Your monthly, quarterly, and annual profit and loss statements from 2019 until present.

Response: Response: Respondent objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. Subject to and without prejudice to the foregoing objection, Respondent has not located any documents responsive to this request.

14. All Communications between You or Your counsel and any expert witness relating to compensation for the expert's study or testimony.

Response: Responsive, non-privileged documents will be produced.

15. All Communications between You or Your counsel and any expert witness relating to facts or data that You or Your counsel provided and that the expert witness considered in forming the opinions to be expressed.

Response: Responsive, non-privileged documents will be produced.

16. All Communications between You or Your counsel and any expert witness relating to any assumptions that You or Your counsel provided and that the expert witness relied on in forming the opinions to be expressed.

Response: Respondent has not located any documents responsive to this request.

17. All Documents provided to any expert witness You retained in connection with this proceeding.

Response: Responsive documents will be produced.

18. Documents sufficient to show the container volumes shipped on a monthly basis by You during 2021-2022.

Response: Respondent objects to this request on the grounds that it is overly broad and unduly burdensome because it seeks documents relating to Respondent's worldwide liftings, including trade lanes that do not involve the United States and U.S. trade lanes that are not relevant to this proceeding (e.g., Australia/New Zealand to U.S.). For cargo volumes transported in the trade lanes relevant to this proceeding, see the response to Interrogatory #17.

19. Documents sufficient to show the Service Contract rates charged on a monthly basis by You for shipping containers during 2021-2022.

Response: Respondent objects to this request on the grounds that it is duplicative of Interrogatory #10 in OJC's Second Set of Interrogatories. Respondent further objects on the grounds that this request seeks confidential, customer-specific information of a type the Administrative Law Judge has already ruled is of at best marginal relevance to the issues in this proceeding, and which has limited value. Respondent further objects to this request on the grounds that it cannot be answered without undue burden and cost. More specifically, Respondent had hundreds of service contracts covering the Shipping Lanes during 2021-22. Responding to this request would require production of all of those contracts (as well as any amendments thereto). This would be a significant administrative burden for Respondent, a burden outweighed by the marginal value of the information sought.

20. Documents sufficient to show the spot market rates charged on a monthly basis by You for shipping containers during 2021-2022.

Response: Respondent objects to this request on the grounds that it is duplicative of Interrogatory #11 in OJC's Second Set of Interrogatories. Respondent further objects on the grounds that the term "spot market rates" is not defined and is vague and ambiguous. To the extent "spot market rates" means rates not contain in service contracts, Respondent objects to this request on the grounds that the information sought is available to OJC in Respondent's public tariff. To the extent this request seeks documents other than Respondent's tariff, Respondent further objects to this request on the grounds that it cannot be answered without undue burden and cost. More specifically, assuming that the term "spot market rates" means non-contract rates, there are hundreds if not thousands of spot rates covering the Shipping Lanes in the tariff for 2021-2022. To provide documents evidencing all such rates would require at a minimum hundreds of person hours.

21. All documents, identified by Bates number, that support or undermine any contention by You that HSDG did not refuse to deal with OJC.

Response: Respondent objects to this request on the grounds that it is duplicative of Request #4 above. Respondent further objects on the grounds that this request is not a request for production of documents, but a request to identify documents previously produced. Respondent further objects to this request on the grounds that it is duplicative of Interrogatory #5 in OJC's Second Set of Interrogatories. Without prejudice to or waiver of the foregoing objections, and without prejudice to Respondent's ability to rely on other facts and evidence, correspondence between OJC and HSDG during late April of 2021 produced by Respondents in response to earlier discovery requests reflects negotiations between the parties on a possible service contract. OJC concedes that such negotiations took place. See, Verified Amended Complaint, ¶ 41. Moreover, the May 4, 2021 email from Andrea Casanova to Jacob Weiss (HS-001265) indicated Respondent was willing to deal with OJC on a case by case basis. In addition, Respondent will be producing bills of lading issued to OJC during 2021-2022 which demonstrate that Respondent moved cargo for OJC and thus did not refuse to deal with OJC.

22. All documents, identified by Bates number, that support or undermine any contention by You that HSDG did not retaliate against OJC for threatening You with litigation.

Response: Respondent objects to this request on the grounds that it is duplicative of Request #5 above. Respondent further objects to this request on the grounds that it is not a request for production of documents, but a request to identify documents previously produced. Respondents further object to this request on the grounds that it is duplicative of Interrogatory #6 in OJC's Second Set of Interrogatories. Respondent further objects on the grounds that the request is not reasonably calculated to lead to the discovery of admissible evidence because it does not seek information related to the relevant statutory standard.

23. All documents, identified by Bates number, that support or undermine any contention by You that HSDG did not retaliate against OJC for threatening You with filing a

complaint with the FMC.

Response: Respondent objects to this request on the grounds that the term “retaliate” is not defined and thus is vague and ambiguous. Respondent further objects on the grounds that the request is not reasonably calculated to lead to the discovery of admissible evidence because it misstates the applicable legal standard and thus does not seek information related to the relevant standard. Without waiver of or prejudice to the foregoing objections, without prejudice to Respondent’s ability to rely on other facts and evidence, and without admitting that Respondent retaliated against OJC, both Juergen Pump and Kevin Li testified in their depositions that they did not see the April 28, 2021 letter from Shlomo Y. Hecht, Esq. to Respondent, threatening litigation of any type. Accordingly, neither Mr. Pump nor Mr. Li were aware that OJC had threatened to file a complaint with the FMC.

24. All internal communications and meeting minutes relating to how HSDG would explain or characterize in public relation announcements, press releases, or other public statements the cause(s) of higher or increased container shipping prices, increased shipping volumes, limited vessel space, container back-ups, port congestion, blank sailings, or other alleged impacts on HSDG’s ocean carrier business. This request is limited to the time period of March 1, 2020 - the present.

Response: Respondent has not located any documents responsive to this request.

25. All documents referenced or referred to in HSDG’s interrogatory answers or responses to requests for admission.

Response: Any documents responsive to this request are identified in the interrogatory answers and have already been produced.

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Dated: August 31, 2022

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31st day of August, 2022, the foregoing was served via electronic mail on:

Shlomo Y. Hecht
sam@hechtlawpa.com

and

Aaron Davis, Esq.
davis@valhallalegal.com

A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

Wayne R. Rohde



A.P. Møller - Mærsk A/S (AMKBY) CEO Soren Skou on Q2 2022 Results - Earnings Call Transcript

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A P Møller Mærsk A/S ([OTCPK AMKBY](#)) Q2 2022 Earnings Conference Call August 3, 2022 5:00 AM ET

Company Participants

Soren Skou - Chief Executive Officer

Patrick Jany - Chief Financial Officer

Conference Call Participants

Sam Bland - JPMorgan

Michael Vitfell-Rasmussen - Danske Bank

Robert Joynson - BNP Paribas Exane

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Hecht Decl.
Ex. 50

Alexia Dogani - Barclays

Ulrik Bak - SEB

Muneeba Kayani - Bank of America

Lars Heindorff - Nordea

Carolina Does - Morgan Stanley

Dan Togo - Carnegie

Sathish Sivakumar - Citi

Anders Karlsen - Kepler Cheuvreux

Cristian Nedelcu - UBS

Marc Zeck - Stifel

Soren Skou

Good morning everybody and thank you for joining us today for our Second Quarter 2022 Earnings Call. My name is Soren Skou, I'm the CEO of A.P. Møller - Mærsk and I'm joined today by CFO, Patrick Jany.

As you've already seen from our pre-release yesterday, we delivered an exceptionally strong second quarter 2022 with an EBITDA of \$10.3 billion and EBIT of \$9 billion. This is a new record for us and it's - in fact, it's the 15th quarter in a row with year-on-year improvements in earnings.

As announced yesterday, we also increased our full year guidance to an EBIT operating result of around \$31 billion. The upgrade is a consequence both of very strong Q2 and based on an expectation of an equally good Q3, driven by higher than expected contract rates in Ocean. This means that our 16th quarter with year-on-year earnings growth is in the making.

Our record of earnings growth over the last four years has been against the backdrop of US-China trade war, the shift to more expensive low sulfur fuels in 2020, and pandemic lasting more than two years and now a real war in Europe and significant inflation.

Today Maersk is a higher quality, more resilient, more profitable, and much faster growing business than we were back in 2016 when we started our transformation journey towards becoming the global integrator of container logistics.

Our strong cash flow generation in combination with a very strong belief in our business model and growth prospects allows us to increase our share buyback program and we are adding about -- adding \$500 million per calendar year for the next four years for an annual commitment now of \$3 billion total commitment from 2022 to 2025 of \$12 billion.

Turning now to page five for some strategic transformation highlights and I will start with Ocean. The conclusion of our 2022 contracting season was very strong and better than we expected. 70% -- 71% or a little more than 7 million FFE now of our 2022 long-haul volumes are now covered in long-term contracts. 28% from these volumes are on multiyear contracts, which reprice based on rolling indices or in fixed price contracts providing greater stability of earnings going forward

As of today, the average contract rate for the year is expected to be \$1,900 per FFE higher than in 2021. The increase of \$500 compared to our expectations at the end of Q1 reflects much better performance in Q2 itself, higher conclusion of deals in the latter part of Q2 and over the summer, a positive effects from higher share of contracts being hit all than expected, and a small positive buff effects

Anticipating the Q&A session, let me add here that we are confident about contract compliance, despite spot and contract rates are now converging. Our index linked multiyear contracts -- or some of our index-linked multiyear contracts we set here on July 1 at higher levels in a smooth and orderly process. And our block space agreements with global freight forwards contained solid debt freight language. As I have emphasized many times, historically BCO compliance has remained high.

Turning to logistics. We continue to deliver profitable growth several multiples above the market growth. In Q2, we grew revenue 61% in Logistics & Services, 36 percentage points more than half of this growth was organic and we now have six quarters in a row with than 30% organic growth. And let me emphasize that our growth is volume based and based on customer wins, not rate based in logistics.

At \$3.5 billion of revenue in the quarter, our logistics business have an annual run rate of \$14 billion with much more to come. 71% of our logistics growth came from our 200 largest customers in Q2. They are clearly buying into the integrated vision and want to grow with us.

We believe that we can continue to grow well above market also in the contract of a greater macro headwinds as our value proposition has a number of differentiators. First of all is our Ocean customer base with tremendous brand loyalty and an intrinsic need for all of the container-based logistics services.

Secondly, as we integrate we aim to lead the technology that provides greater transparency, flexibility and agility than what is currently available.

And finally, our control of critical assets in the supply chain, enable us to provide not only superior service and control outcomes, but also as we decarbonizes, we can provide assurance and certification, which is key in today's ESG environment.

As the numbers demonstrate, our customers are clearly voting with their wallets. We currently have 400 new customer implementations ongoing, which is as much as we can as much growth as we can safely handle.

Growth in logistics is the single biggest opportunity for Maersk in this decade. This means that for some -- at some point in this decade, we will have a bigger business in logistics than we have in Ocean today.

This quarter, we closed on the acquisition of Pilot and Senator and the integration of both is now underway. Each bonds our capabilities in logistics in a uniquely valuable way with Pilot giving us greater reach in managed transportation and B2C delivery in the US, and Senator in global airfreight.

Early in the second quarter launched Maersk Air Cargo. And combined with Senator, we are now well-placed to add the speed, flexibility and resilience of airfreight to our customers' supply chains.

We anticipate to close LF Logistics within the third quarter. And assuming we close the LF transaction at the end of this month, we are on track to become -- to come within shouting distance of \$15 billion of revenue in logistics and deliver \$1 billion of underlying EBIT this year.

Finally on Logistics, we are pleased that Gartner has named us a leader in their 2022 Magic Quadrant for logistics companies. In their report, Gartner highlighted our mix of organic growth and acquisitions to complete our portfolio as well as our investments in digitalization and automation, and how we leverage our -- that in our customer engagements. So this is truly a certification or a ratification of our strategy as we joined the ranks of the largest global logistics companies.

On Terminals, our Terminals business had also another strong quarter on the back of improved volumes. And if we exclude the impact of the impairment of our Russian operations, we achieved a record return on invested capital of 13.1%. APMT has now improved our returns for the last seven quarters in a row.

Now on slide 6 and I will not belabor this slide, we are -- we track our transformation KPIs on our roadmap to 2024 as we announced them at the Capital Markets Day last year. And the short -- very short version is that we are in green across the entire gas port with the terminals ROIC well ahead on an underlying basis.

Now on slide 7, let me spend a little bit of time talking about acquisitions, the logic we are applying and how we think about synergies. Acquisitions in logistics do two things for us. First and most importantly, the apt capabilities that allow us to expand our portfolio of competitive logistics products and end-to-end solutions, which is really what powers our organic growth in logistics.

Second, we add value by supercharging the growth of the acquired companies, but given the acquired company's products to our more than 2500 sales reps across the world they can sell the products to our 70,000 customers in Ocean under the Maersk brand.

We have a unique advantage that our can customers all have an intrusive need of logistics services from grades and carrier audits to customs brokers, warehousing and distribution. They also need flexibility and transparency across their supply chain, which we aim to provide not only by controlling the assets and services, but also investing in the technology to provide a full view from purchase orders to distribution center or customer or consumer door.

As we gain scale in logistics, we deepen our partnership with our customers and we are moving from a transactional Ocean relationship to a strategic partnership a more sticky relationship if you will. And we increase our share of our customers' total logistics expense, which creates a very strong platform for future growth.

As you have seen for many years now, we measure success in terms of the overall organic growth in the L&S and the percentage of organic growth derived from the top Ocean customers -- top 200 Ocean customers, which are frankly our most demanding customers.

Turning now to slide 8 for a couple of proof points. On the other right-hand chart you can see that over the last three quarters our legacy -- logistics business, which strips out the impact of all acquisitions has nearly doubled, and although our M&A colleagues have been quite busy our legacy L&S business is the main driver of our growth.

As a further proof point of our acquisition strategy, if we drill down a little further into our product families on the lower right we can see that over the period the legacy business in our fulfilled by family has more than doubled, while performance team has shown an outstanding growth.

At this time, it's too early to tell for the more recently acquired businesses, but I have every confidence that, they too will contribute to our ambition to maintain organic revenue growth above 10% towards 2025. We believe that, this above market growth rate in logistics, because of the demand of our existing customer base.

Although, we are one of the largest ocean shipping companies. We know that, we touched only a tiny fraction of our customers overall logistics spend and that tremendously fragmented across the globe. But consolidated services and demonstrating increased utility transparency and resilience, we can build a partnership that creates value from both sides regardless of where we are the economic cycle.

Now, let me turn to page 9. And in conversation with investors in the past quarter, I was frequently confronted with questions around the development of global congestion. As we all know, congestion really ramped up last year in the US West Coast as import volumes jumped up at the same time as labor supply long shoreman truck drivers warehouse workers dropped because of COVID-19.

We had expected the congestion to ease by the mid this year, as demand would moderate. But as we can see on the left-hand import volumes into the US remain at very high levels. The situation on the ground have eased that, while congestion has eased a bit on the West Coast. Congestion has spread to the East Coast and to Europe, even European volumes are essentially in line with pre-pandemic levels. But containers are just not moving off the terminals as fast as we would like to see.

One simple example on the West Coast, we have massive problems getting railcars. Yesterday we had 8,500 containers in our Los Angeles terminal, waiting for railcars which is three times or four times the average railcars from a few years ago. Across the East Coast, the West Coast and Europe we see issues in getting enough labor to trucks and with customers not picking up containers, because of full inventories.

The picture means that, a quick resolution of a global supply chain issues is increasingly unlucky, but we do expect that we will see a gradual normalization from the fourth quarter towards the end of the year as headwinds keep demand down and labor markets become less tight

Now moving on to sustainability and a few highlights, our ECO Delivery product continues to show excellent traction with customers We are delighted that we have been able to accelerate with our volume growth And we now have more than four times they are now more than four times higher than the previous year's same quarter That's the definition of exponential growth

ECO delivery now represents nearly 2% of our Ocean volumes. And as an important proof point of our ECO strategy customers accepted that carbon neutral delivery does come with a higher price point. This price signal is key for us and for the entire market as we move towards a carbon-neutral future.

We'll discuss sustainability targets and progress in detail at our ESG Day November on November 22. But of course, we are working towards the golden net emissions by 2040 every quarter now across the entire company. In Q2, APMT switch to running eight of our European facilities on renewable electricity. And while APMT is a small part of our corporate emissions for the division it represents a significant step towards the segment goals and every step counts.

So, before I hand over to Patrick on slide 10, you will find our guidance for 2022 which we revised and upgraded yesterday. This upgrade of means that, we are guiding for another super strong year for Merck. Based on our volume decline in the first half and expectations for the rest of the year, we now expect global container demand growth to be essentially flat or slightly negative for the year.

Our other guidance elements such as CapEx remain unchanged. On the right-hand side of this chart, you see our 2022 agenda items, they remain unchanged. And I'm pleased that, in this quarter, despite the extreme challenges faced all of our Maersk colleagues, have put together to produce significant tangible progress, across all categories and segments.

And with that, let me hand over to Patrick.

Patrick Jany

Thank you, Soren And let me add my welcome and thanks to listening today Let's, jump straight into the next slide, for the financial highlights of the quarter As Soren just said, Q2 has again hit to record across all performance metrics, starting with revenue growth of 52% to \$21.7 billion Similar to the previous quarter, high freight rates in Ocean, were the main driver, but higher volumes in Logistics & Services and Terminals again, contributed to the strong revenue performance

We once more achieved a record quarterly profit level, with an EBIT of \$9 billion, more than doubling the previous year number of \$4.1 billion This led to a net result of \$8.6 billion for the quarter. To put this in context, it means that in the first half of 2022, we achieved a net result of \$15.4 billion, coming very the full year 2021. This continued high profitability, also increases returns, generating tremendous value generation, both in terms of increased ROIC, now reaching 62.5%. And cash flow, with a free cash flow generation of \$12.8 billion in the first half, allowing to more than cover the \$8.1 billion of returns to shareholders, in the form of dividends and share buyback and acquisitions for \$2.1 billion.

Looking at our cash generation in more details on Slide 14. We see that we had a strong operating cash flow of more than \$8 billion, equivalent to a cash conversion of 83%. This is in line with the previous year, and a slight decline on a sequential basis, as working capital has been increasing with increased revenue. Our gross CapEx was \$1 billion, in line with our expectations and primarily went towards new aircraft equipment and replacement of vessels. This resulted in \$6.8 billion of free cash flow, of which this quarter \$2.1 billion went towards the closing of Pilot and Senator, it is actually composed of the \$1.5 billion cash purchase, you see in the graph and \$600 million in debt settlement on the previous last column, at closing.

In addition, another \$1.5 billion was distributed in the form of share buybacks, and the payment of withholding tax on behalf of shareholders. In terms of resulting cash position, we have increased our net cash balance, after lease liabilities to \$3.4 billion, which means we actually have cash of \$19 billion, accounting the cash on balance sheet and the short-term deposits. This clearly, allows us to look confidently, at the years ahead and it allows us to further invest in organic growth, in target acquisitions, while offering attractive returns our shareholders, as exemplified by the announced \$2 billion increase of our four-year share buyback program, meaning \$3 billion yearly returns for the years 2022 to 2025.

Now let us turn to the development in each of our segments, starting with Ocean on Slide 15. As Soren covered earlier, Q2 saw a continuation of the global congestions, with an accumulation of several disruptions, offsetting the weakening demand and lower economic outlook and implying still a very high level freight rates. Although spot rates softened slightly, during the quarter, they remained high in absolute terms, and we continue to sign contracts at higher rates than previously, leading to an average rate increase of 64% compared the previous year. This triggered the 57% increase in revenue, despite 7% lower volumes.

Consequently, our Ocean segment produced a record EBIT of \$8.5 billion in Q2, with a record high margin of 49%, as the increase in freight rates both compared to previous year and sequentially has overcompensated the increase in costs. On Slide 16, we show this evolution visually, with on the one hand the strong positive impact of rates, complemented in other revenue, by some release of revenue recognition, as volumes were down. And on the other hand, the offsetting lower volume, the higher bunker price and the increasingly container handling and network costs when compared to previous quarter.

Turning to Slide 17. Our freight rates increased by 64% compared to prior year, and 14% sequentially. This increase was driven by the long-haul contract rates as the short-term rate actually flattened, meaning that both rates were converging in Q2 indicating that while demand outlook is certainly down, why is disruption preempted the wider erosion of freight rates, which led to an overall market development, which was very similar to that of the first quarter 2022 with both higher rates and lower volumes.

In this environment, we continued to increase capacity to alleviate the bottlenecks with a further 4% added when compared to a year ago. Sequentially, capacity stabilized at the 4.3 million TEUs, the upper end of our capacity limit. And loaded volumes increased slightly by 3%, while service delivery remained industry leading but still at rather low level.

As a continued of our strategy to be a reliable partner of our customers, the contract signing was strong. And we now have 1.9 million FFEs on multiyear contracts, a sequential increase of 19% and sharply up compared to the one million FFEs in the second quarter of last year.

Moving now to slide 18. Let us spend a moment on our operating costs. The main driver of the 18% operating cost increase this quarter is a 69% increasing bunker, which is actually due to a 74% increase in the cost of fuel, which is slightly offset by a 2.7% reduction in bunker consumption. The cost increase is being passed through in the form of our past closes with the adjustment progressively coming through in the second and the third quarter.

Other costs were up by 5.6%, which combined again with the lower volumes led to a 14% increase in unit cost at fixed income. It is important to note that while as we guided for earlier, one-third of this cost is certainly due to congestions related costs like container handling costs for instance and is expected, therefore, to recede as soon as the situation normalizes. The rest of the cost increases will actually continue to see inflationary pressure in the coming quarters.

As a side note for the quarter, you will have noticed that we were more successful than initially anticipated in evacuating containers from Russia, which has allowed us to reverse part of the impairment made in Q1.

Now turning to logistics services on slide 19. We are very pleased that demand for our logistics solutions continues to be very strong, allowing for dynamic growth in both revenue and profit of 61% and 53%, respectively. Revenue reached \$3.5 billion, an impressive number in this quarter.

In this quarter we also closed the acquisition of Pilot and Senator, which add incrementally to our capabilities as Soren touched on earlier. The integration of both has begun. And in particular we are looking forward to leveraging Senator's CargoWise straightforward IT platform for our air freight business. And overall acquisitions this quarter contributed to 25% of the growth reported.

Looking now at the development on slide 20 of the three product families. We see a very strong growth in the integrated products and services managed and fulfilled banners. In managed by Maersk, revenues reported a growth of 80% to \$570 million, driven by lead logistics, which was able to increase revenue in both existing and new customers.

For fulfilled by Maersk, revenue grew an impressive 84%, accelerating off a strong base as our contract logistics business benefited from new warehouses openings and strong customer demand. Profitability weakened slightly with an EBITA of 3% given a still weak e-commerce environment and the ramp-up of significant new contracted capacities.

Finally in transported by Maersk, revenue growth was strong at 50% with higher volumes in landside transportation and air freight rates as well, contributing to both higher revenue and profitability. In terms of airfreight volumes specifically, the consolidation of Senator's airfreight drove almost all of the 45% increase we saw in the second quarter.

On slide 21, we turn to terminals, which had another very strong quarter driven by higher rates, higher volumes and storage related revenue. Non-operational one-offs and higher costs affected the other margins, although the ability to link tariffs increase to CPI is very positive and will help to mitigate cost increases going forward. The outlook is therefore solid as well. CapEx rose significantly compared to previous year quarter, linked to the expansion particularly in the US in Mobile Alabama and the other two terminals in the US, as we work to meet increased import demand and improved terminal performance.

Turning to Slide 22, which was some detail on the Terminal's results. Volumes reflect a strong demand and were up by 1.5% or actually 3% on a like-for-like basis, when adjusting for exits and expiring concessions and average utilization was up to 79%. As the EBITDA bridge for Gateway terminal shows, EBITDA increased 8% versus the prior year, driven by the underlying business improvement and the impact of higher storage, yet mitigated by higher costs. Revenue per move increased by 13%, which is the same pace as costs allowing to offset the pies cost increases and one-offs that occurred in this particular quarter.

To finish up on Slide 23, we have a summary of our main activities in the new Towage & Maritime Services segment. Segment revenues grew by 9.5%, primarily driven by good performance at Svitzer and increased project activity as Merck Supply Services. Higher bunker costs low and impairments in our financial participation in auto liners had a negative impact on the segment profitability. But our actual business operation contributors Svitzer and MSS were stable or improving. As mentioned in Q1, MSS is on an important contract with the Empire offshore wind project in this quarter saw the first down payment for patented vertical installer solution.

Now that we have run through the segments. I'd like to hand over to the operator for the Q&A session.

Question-and-Answer Session

Operator

[Operator Instructions] Our first question comes from the line of Sam Bland at JPMorgan. Please go ahead. Your line is open.

Sam Bland

Hi. Thanks for taking the question. Just one for me and I know you touched on it. But I think on the multiyear contracts some of price I think on the 1st of July. I think I'm right in thinking that the rate on those increased on the 1st of July. Could you just talk about how the customers view that when they could obviously see spot rates coming down? Will they took to discussions, or does it generally go through quite smoothly? Thank you.

Soren Skou

Yeah, you're right. Some of the contracts did reprice here on the first of July. And yes, they did and we had a relatively smooth and normal discussion about that. Our customers know very well that an index-linked contract can go both ways. And that's what the -- that's why they are choosing to have an indexing contract because they are then not playing if you will so much in the freight market, just in the same way as we think about our bus clauses.

Sam Bland

Okay. That's understood. Thanks very much.

Operator

Our next question comes from the line of Michael Vitfell-Rasmussen of Denske Bank. Please go ahead. Your line is open.

Michael Vitfell-Rasmussen

Yes. Thank you very much. We're seeing growing tensions in the Taiwan Strait. I understand that this is a very important route for especially Asia to Europe. Assuming, we see an escalation in the area, is this something, which you think will lead to new or building up even further in terms of the congestion and vessels of the freight rates? And if you could kind of add some comments on it in terms of how much local capacity will that potentially take out of the of the supply side please?

Soren Skou

It's very hard for us to speculate and we do not know what the Chinese plans, it's clear that there will be a response to speaker Pelosi's visit to Taiwan and it seems like it will be some military exercises, but this is not something we have particular insights on. The Taiwan straight is one of the most busy straights in the world. So, obviously, if it were to close, it would have a dramatic impact on shipping capacity in the sense that everybody would have to divert around Taiwan and add to the length of voyages and that would absorb a significant capacity. But I also have to say that there seems to be no suggestion that that's where we are going.

Michael Vitfell-Rasmussen

Great. Thank you, Soren.

Operator

Thank you. Our next question comes from the line of Robert Joynson of BNP Paribas Exane. Please go ahead. Your line is open.

Robert Joynson

Good morning everybody. A question on the balance sheet please. So you had around \$9.7 billion of cash and bank balances as of the in Q1. But on top of that I estimate there was around \$9.5 billion of cash and equivalents, i.e. in terms of the short-term deposits that you referenced on Slide 14 of the presentation. So in terms of cash and cash equivalents, I think, that the total was about \$19.3 billion at the end of Q1.

And just looking at the guidance I'd be assuming that number will go to kind of \$30 billion or maybe something closer to the mid-30s by the end of the year. So that compares with Captain equivalent of just \$4 billion to \$5 billion before the pandemic. So, maybe a delta of \$25 billion to \$30 billion in excess of that by the end of the year. So sorry to throw out so many numbers here, but there's going to be a lot of cash and equivalents on the balance sheet by the end of the year in that concept. Could you just talk about what Maersk balance sheet policy is at the present time? And with share backs effect has been maxed out what are the implications for special dividends? Thank you.

Soren Skou

Yes. Thanks Rob for the question. Indeed the -- your math is correct. So I mentioned, I think, earlier on that we have more than \$19 billion cash by the end of Q2. When you actually count those the elements precisely as you do which in the cash posts as well. So, it is a good balance of cash clearly, which will continue to strengthen in the second half given our guidance. So you're totally correct on that.

I think when you look at the cash looking forward there are two components here. One is our return to shareholders, which we have increased with an increased share buyback. But also, obviously, they're not ordinary dividend right which is a significant component.

As you know last year, we distributed 40% of all the profit back of the 2021 numbers. It is a Board decision, but I guess it will be something in the same order of magnitude for the result of 2022. So that's in any case whatever the exact number is a significant outflow cash in the first quarter of 2023.

And then when you look at the balance sheet policy per sequential, I think, it is clear that we have the policy at the 2024, 2025 horizon post-normalization, right? So you know that clearly the current cash generation is slightly in excess of what is to be expected in a more normalized environment. So we look forward to have a very strong balance sheet, strong BBB once situation has normalized. That is how we say we look at it.

This clearly leaves a lot of cash but we will invest in further growth and organic growth in logistics. We certainly will continue to have a very targeted approach in logistics to reinforce our position there and the fabulous growth, which we are having there. And that probably will leave as well some further return to shareholders, but we'll talk about it once the cash is really in the house and we see our normalization sells.

Robert Joynson

And maybe you say, very quick if I may. You've previously talked about the largest acquisition that you consider in kind of low billions of dollars. Is that still the case or thinking all in that respect?

Soren Skou

No, I think, we haven't changed our view on acquisition. We are in a phase where, I think, we have prioritized capabilities at gaining acquisition, which implies that they are more focused, because they address the lack of capabilities we have. So they are I would say more targeted companies, which are good, well-run companies, which we can really integrate and pass our volume through as we always say boost our -- their turnover by channeling our volumes there to the activity. So that limits, I would say, probably as well as the score and we are still in that phase.

Robert Joynson

Great. Thank you very much.

Operator

Thank you. Next question comes from the line of Alexia Dogani of Barclays. Please go ahead. Your line is open.

Alexia Dogani

Yes. Good morning. Thank you for taking my question. Just kind of a more broad question in terms of tax. Clearly, we're seeing energy companies and the subject to windfall tax because of the contribution to cost inflation, do you see any risk in terms of a windfall tax potentially in container shipping given the current circumstances and the basic position of this very high extraordinary profits. Thanks.

Soren Skou

Well, I mean, all I can say is that we are not aware of any discussions about windfall tax that would be -- that would impact A.P. Møller - Maersk. But I mean, we are, of course, aware of the almost global discussion about tax on container shipping. Yes, that's all I can say. We're not aware of any initiatives at this point.

Operator

Thank you. Our next question comes from the line of Ulrik Bak at SEB. Please go ahead. Your line is open.

Ulrik Bak

Yes. Hello, Soren and Patrick. Also a question from my side. In your updated guidance, you state that it is based on a gradual normalization of Ocean taking place in Q4. And we have seen rates decline throughout July, which I would define as partly normalization. But I'm just curious to hear what your definition of normalization is? And what you have assumed regarding the rate level and trajectory for the rest of the year in Q3 and Q4? Thank you.

Soren Skou

Yes. So, to give you a bit of color on that, I think we have clearly said as well that we expect Q3 to be strong, right, to be in line with Q2, given the visibility we have on the quarter, which really focuses the uncertainty of the guidance on the Q4. And there we take the assumption and we actually expect that the freight rate normalization takes place.

As you have mentioned and we have seen right in the last few months, there has been an erosion of the short-term rates, which has been stopped here and thereby renewed or new disruptions. But fundamentally, we can escape the macroeconomic environment, which clearly had a lower higher inflation lower consumer confidence.

So, if you look at all those indicators, I think there's really any doubt on where the global economy is going, right? So there will be a reduced demand at one point in time. But we would expect for all the factors, which we typically have, as we discussed earlier on, that this will be a gradual development and that ultimately as well freight rates will stabilize at a higher level than they were in the past and higher than the cost scale, which is basically what we said as well back in Capital Markets Day in 2021.

And for the Q4, I think what we have said and we have changed our guidance. We had a guidance of saying we mathematically assume a sharp decline by 1st of July, just because we had no indication of how it could go. So in our previous guidance we said, well, let's say, two good quarters and then two bad quarters by assuming that the monetization happens by 1st of July so that everybody can take their own assumption and calculate with our view.

Now we take a view on the fourth quarter and we assume that what we have seen in the last few months of an erosion of short-term will actually continue to happen. So, not a one-day drop, but a progressive erosion towards that lower level of short-term rates in Q4. So, that's our [indiscernible].

Patrick Jany

Yes. If I could just add one very small comment. I mean we did \$19.4 billion of EBITDA in the half. We are seeing a similar quarter in Q3, so around \$10 billion that would get us to \$30 million and we are guiding for \$37 million. So that's the extent of the normalization. And obviously, that's because we see portfolio keeping if you will a steady high floor under the earnings of Maersk in the coming quarters. Thank you.

Operator

Thank you. Our next question comes from the line of Muneeba Kayani at Bank of America. Please go ahead. Your line is open.

Muneeba Kayani

Hi, Soren and Patrick. So, just following up on your comments on the contract rate. One quick clarification on the \$500 increase, the \$1400 going to the \$1,900. How much of is due to the bunker clause? And then just on contract like how should we be thinking about contract discussions for 2023?

If I remember correctly last year you said some of the discussions have started earlier and you've seen some of the benefit from those higher rates in the fourth quarter of 2021. Is that right? And kind of how should we be thinking about the 2023 contracting fees? And based on your expectation that part were to decline in the fourth quarter. Thank you.

Soren Skou

So, on the BAF question it's a minimal impact less than \$50 out of the \$500, but still worth mentioning. In terms of 2023, I'm sure we'll get several questions that will try to draw us into giving some kind of guidance for 2023, which we will only do in February.

And the only comment I have is that obviously the higher the freight rate environment is when negotiations are taking place the more likely, the contract rates are to roll over or to settle at a still very high level. But it's too early to tell we will negotiate that in the fourth quarter for many of them. Thanks.

Operator

Our next question comes from the line of Lars Heindorff at Nordea. Please go ahead, your line is open.

Lars Heindorff

Thank you, Soren and Patrick. I got a question regarding the guidance and the difference between the upgrade in EBITDA and EBIT, which is \$7 billion and the increase in the free cash flow guidance, which is sort to say just \$5 billion, the difference \$2 billion.

Surely, so I mean some of that can maybe be explained by more net working capital as long as rates stay at these levels here. But can that explain the whole difference of the \$2 billion? Thank you.

Soren Skou

Yes. Thank you. Lars coming to your question, I think it's not unusual for us. If you actually look at the last increase we did in Q1. We also increased our guidance of EBITDA by \$6 million the time if I remember correctly and the cash flow by \$4 billion, so we had a \$2 billion difference. And you see the same difference now as well with this increase.

And that is mainly due effectively as you correctly mentioned by increased working capital. I think what we see obviously we are having a higher revenue then obviously, we thought that generates already at the same amount of days of sales outstanding higher absorption and then therefore lower cash generation when you compare with the EBITDA.

Then we have had a few days more of DSOs in some part of the business which we obviously are monitoring but there's certainly a trend here of increasing trade receivables which is not uncommon when the economic outlook comes down. So something we are certainly monitoring.

And I must say as well we probably will have some here and there some prepayments to secure as well lower cost bases in the future, which is also I think a good way to handle our P&L and a good use of cash as well.

So, those elements I think are the main deviation here, which has been a lower conversion let's say in terms of incremental EBITDA towards incremented cash.

Operator

Thank you. And our next question comes from the line of Parash Jain at HSBC. Please go ahead, your line is open. Parash, if your phone is muted, you need to unmute that.

[Technical Difficulty]

Operator

Okay. We'll have to go to the next question; your line seem distorted there Parash.

Okay. Next question comes from the line of Carolina Does at Morgan Stanley. Please go ahead, your line is open.

Carolina Does

Hello. Good morning everyone. Thanks for this. I guess my question it is on 2022, but more on the supply side than on the demand. We are now in August, so I guess future has a better handle on the effects of the IMO 2023 from -- how are you compliant with the increase in energy efficiency in the CII index? And how do you think the industry is prepared? And what do you think the effects are going to be of the implementation of the IMO 2023, I guess, path to decarbonization metrics?

Soren Skou

Yeah. Thank you. This is a relatively new if you will legislation and we're still trying to figure out what the impact will be on supply. Because there are different ways of improving the energy rating of old ships. You can use biofuels, you can slow down speed will be the two most obvious ways of moving the energy rating from a D to a C.

And we have only at this point some if you will very high-level numbers based on our own fleet. But it looks like in order to comply we will need somewhere between 5% and 15% more capacity. If the response -- if the way we comply is by lowering the speed, so 5% to 15% more capacity, up towards 2030.

So this will only -- with that being said, so that is actually a quite significant impact if the compliance is based on slowing down speeds, which we think is the most likely given the shortage of biofuel and price of biofuel. But quite of course that's still outstanding.

Now what is also outstanding is a clear understanding of how this will be enforced and the timelines. And as far as we understand it now it will only really be enforced from 2024 or 2025. And therefore the short-term impact may be very limited. But longer-term it's actually -- the way we understand the regulation at this point are quite significant.

Operator

Thank you. Our next question comes from the line of Dan Togo at Carnegie. Please go ahead. Your line is open.

Dan Togo

Yes. Thank you question along those same lines, because everybody is looking at the many orders that have been placed for new capacity getting more at 2023 and 2024. And as you just alluded to here we have an IMO2023 coming up taking out capacity. We also have software demand and we potentially have been scrapping.

So how should we look at the market balance going forward and the impact it will have because -- and don't be -- is the risk as the added vessels coming on stream they probably are just going to make things worse in terms of congestion.

I mean the province today, are not like a vessel basically, it's basically the ports and the intermodal part. So how should we view this if so let's say, 2023 and 2024 I would love your view on that? Thanks.

Soren Skou

What matters in our view in container shipping is not so much how many ships exist. What matters is how much capacity we deploy in our networks, compared to the demand that we have.

And if you to 2020, we saw that in action very clearly, because in the second quarter -- in the first quarter demand was down. In the second quarter demand was sharply down by 15% global demand, but prices stayed flat because all of the networks adjusted capacity and basically item the tonnage that was not needed.

And certainly going forward will also be our philosophy in, how we operate the network that we will provide the capacity that our customers need but we will not sell all the capacity that we have unless there's demand for it. This is very similar to the way the Korea express package operators they operate their networks.

They're not flying the airplane they've got no packages. And so that's what I see for this industry going forward. Clearly this is assuming that everybody will continue to operate networks the way they do today, but I see little reason to think that people would do something different. Thank you.

Operator

Thank you. Our next question comes from the line of Sathish Sivakumar of Citi. Please go ahead. Your line is open.

Sathish Sivakumar

Thanks again for taking my question. So finalized regarding the international cargo they issued the authorities due to the transshipment between two Chinese port. Could you actually explain what does it mean for you and actually for the other foreign carriers? And what will be the likely impact on capacity and ease and congestion? Thank you.

Soren Skou

Transshipment of Chinese containers in China means that, we are moving the transshipment from -- basically from Busan in Korea or Hong Kong or somewhere else, Japan to Shanghai and will shorten, if you will a bit the distances. But in terms of overall impact on capacity and so on for the industry, I don't will be in have a meaningful impact.

Sathish Sivakumar

Okay. Thanks.

Operator

Next question comes from the line of Anders Karlsen at Kepler Cheuvreux. Please go ahead. Your line is open.

Anders Karlsen

Thank you. I have a question on volumes. I mean in your guidance you alluded to a small decline in volumes for this year. But still that means that volumes are going to be up in the second half compared to the first half, what are you seeing in terms of volumes into Q3? And are you expecting a seasonal improvement in volumes towards end of the year here?

Soren Skou

Yes, I think there's a momentum here to highlight to your point is that, obviously you have to consider the previous year basis, right which makes an optical change here. We actually do not see volumes coming up significantly in the second half. It's just probably the reduction will be lower because the volumes in the previous year were low as well, right?

But the environment we see today is very much a continuation of Q2 which is a reduction of volumes pretty much. Mainly, I would say towards Europe and on the back exports from Europe into China and also quite a weak North, South and that is expected to pretty much continue this year.

Operator

Thank you. Next question comes from the line of Cristian Nedelcu of UBS. Please go ahead. Your line is open.

Cristian Nedelcu

Hi, thank you for taking my question. Maybe one on North-South rates. I think over the last months on the spot rates, we have seen some meaningful increases on the routes like Asia to LatAm or Europe to LatAm. And this seems to be indicating that Q3 rates are going to be higher than Q2. So just wanted to confirm, if you indeed you're seeing this in your portfolio and maybe if you can give us a bit more granularity on what is happening demand and capacity-wise on these trade lanes? Thank you.

Soren Skou

Thanks for your question. I think we can just probably maintain what we just said on the earlier question, right? I mean North-South has been actually quite weak. It always depends a bit on how capacities are reallocated. But we don't see that there is an upswing so to say, from the macroeconomic point of view which would underline a durable increase.

So, there will always be variations back and forth depending on the reallocation of vessels. As you know, many vessels have been transferred from those trades into the Asia trade to make more capacity that can go some disruptions here and there. But overall, we don't see that as a major component for the evolution of the rates looking forward.

Operator

Thank you. Our next question is from Muneeba Kayani Bank of America. Please go ahead. Your line is open.

Muneeba Kayani

Thank you. I just had one more question from the demand side. So you're seeing good volumes still in... [Technical Difficulty]

Operator

It looks like line is disconnected. The next person is Lars Heindorff. Please go ahead. Your line is open.

Lars Heindorff

Thank you. So, it was actually for you because I think in your opening statement, you mentioned that you were very confident about contract compliance. I don't know how far you believe this is compliance will extend. But if you look into next year '23, I mean what are the reasons here why you are so confident in that? I mean historically, contract compliance has not been very good in the industry. So, I mean views on for the moment changes which makes you so certain about this compliance?

Soren Skou

Well, I think I mean the confidence applies to the contracts that we have, right? So however long they run, most are one-year contracts and some are multiyear contract. I think what's important to understand, when we look at our portfolio today is that, our portfolio is heavily weighted towards BCOs, and they have a traditional been quite compliant in contracts. And the risk has been more -- basically only on the volume, not on the price.

And then, when it comes to the contracts, we today have with the global freight forwarders, they have dramatically changed in the way they are structured. So, it is a block space agreement. It is take or pay, the language is very, very clear. There's a debt rate provision and so on. And we are building our freight forward clients for this. So that's why we believe we have high contract compliances. It's a very different scenario from when almost half of our business was with freight forwarders which is not where we are today.

Lars Heindorff

Thank you.

Operator

Thank you. We've been able to get Muneeba back on the line, apologies to those technical issues. So, Muneeba Kayani of Bank of America. Please go ahead. Your line is open.

Muneeba Kayani

Thank you for that. I'll just repeat because I don't know where I was cut off. So, I was just asking around the demand picture. So what we've seen from the headlines -- from the big US retailers is about inventories building up and kind slower consumer demand. And what we're seeing in the numbers on import volumes into the US as you mentioned. Those remain quite strong. So, how should we square this off? Is there a lag in terms of timing? Is there a mix effect? How are you thinking about it? What are you seeing? We'd love to know.

Soren Skou

A couple of effects effectively. Some of the inventory that we see particularly in the US where there's good data is, if you will the wrong inventory. So our customers are complaining that they have the wrong inventory. And still it has to import if you will the right inventory. And the other effect plays at certain product categories, especially in the durable goods. I mean pretty much everybody have bought the new couch, the new set of lounge furniture, the new TV screen, whatever, all the things that we were all spending our money on during the pandemic. And that means that they cannot be -- you're not going to buy another TV screen, right? Whereas a lot of the fast moving stuff and especially in the retail, lifestyle and retail goods actually there's still very strong demand and we see our customers being very busy in terms of imports to the US.

So these are some of the effects that are at play. But with inflation and also being rampant also in the US, people are able to afford less than they were a few months ago and that should have point any impact on the US imports. The only caveat to that is of course that the savings are also very, very high. And money-wise, people have said that we should always be careful not to count out the US consumer. But one would think that demand would come down also in the US because of inflation.

Muneeba Kayani

Thank you

Operator

And we have time for one further question. That's from the line of Marc Zeck of Stifel. Please go ahead. Your line is open.

Marc Zeck

Yes, thank you for taking my question. Just a short one on capacity employed that you see in the market, especially on the term specific. I feel there's a bit of confusion with employed capacity for peak season for August is actually up or down? What do you currently see in the market in terms of capacity offered on this strengthen for beginning of the peak season? Thank you.

Soren Skou

I'm not sure we have that data. I think what we can say for Maersk is that we have significant grown the capacity that we have deployed in the Pacific to meet customer demand. We probably have 50% more capacity in the Pacific today than we had in 2019. And it is actually the one of the reasons for why our volumes are – have been dropping this year because we – we're taking the capacity from the interregional trades, where we have more container turns so to see per ship per year and moving those ships into the Pacific, where they have less turns per year. But so we have much more specific capacity but I can't say I don't know about the market. Thank you.

Soren Skou

And now with that let me leave you with a few final remarks. So we are of course pleased that we present yet again another record quarterly financial results. It's driven by continued exceptional market conditions but also – and I think that's very important for us fundamental progress in our transformation strategy.

We see continued global congestion. It's – and it's not likely to clear up in the very short term. And combining that with a successful closure of our 2022 contract decision that allows us to increase the full year guidance, as previously announced and the strong cash flow generation allows us to increase cash return to shareholders through the share buyback program.

Even so, this increase leaves us with ample funds to continue our investment into organic growth and especially in logistics services as well as continue what we believe is a quite successful acquisition strategy. With the markets normalize in the coming quarter in the coming year, we will continue to work towards a closer partnership with our customers with the improvement and resilience and sustainability of the world's supply chains and our business.

In closing, I would like to highlight our refreshed corporate purpose, which we launched this year and thank all of the Maersk colleagues worldwide for their dedication and efforts as we seek to improve life to all by integrating the world. Thank you and look forward to talking to you again in the next quarter.

Comments

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Page 1	Page 2
BEFORE THE FEDERAL MARITIME COMMISSION DOCKET NO 21-11 OJ COMMERCE, LLC Complainant, v HAMBURG SUDAMERIKANISCHE DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG and HAMBURG SUD NORTH AMERICA, INC Respondents _____/ ZOOM REMOTE VIDEO TELECONFERENCE DEPOSITION OF KEVIN LI AUGUST 12, 2022 10 00 AM TO 04:40 PM REPORTED BY: EDDIE ARTZE, COURT REPORTER NOTARY PUBLIC, STATE OF FLORIDA	1 APPEARANCES OF COUNSEL 2 3 ON BEHALF OF THE COMPLAINANT: 4 AARON W. DAVIS, ESQ. 5 VALHALLA LEGAL, PLLC 6 PHONE: (763)-957-2397 7 8 9 10 11 ON BEHALF OF THE RESPONDENTS: 12 WAYNE R. ROHDE, ESQ. 13 COZEN O'CONNOR 14 1200 19TH STREET NW 15 WASHINGTON, DC 20036 16 17 18 19 20 21 22 23 24 25
Page 3	Page 4
1 INDEX OF EXAMINATION 2 3 WITNESS: KEVIN LI 4 5 DIRECT EXAMINATION 6 By Aaron Davis, Esq. 5 Page 7 8 9 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25	1 INDEX OF EXHIBITS 2 3 EXHIBIT NUMBERS DESCRIPTION PAGE 4 1 NOTICE 6 5 1A WEBSITE 49 6 2 EMAIL 62 7 3 EMAIL 123 8 6 EMAIL CHAIN 140 9 7 EMAIL 04.29.21 156 10 8 EMAIL 162 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25

1 (Pages 1 to 4)

Page 125	Page 126
1 Q Okay. How about Gonzalo Maldonado, also 2 copied? 3 A Okay. He was also a sales. 4 Q It looks like the e-mail is addressed to you 5 and Ivan, see that? 6 A Yes. 7 Q She says customer OJCommerce contract is 8 expiring on May 31, 2021. And the customer wants to 9 renew the contract, and if possible to increase MQC and 10 add the route to Louisville, Kentucky, see that? 11 A Yes. 12 Q Now, what is MQC mean? 13 A MQC would means the Minimum Quantity 14 Commitment. 15 Q So, it sounds like the customer wanted to 16 renew or to renew the contract and increase that 17 minimum quality -- quantity to from the previous years 18 contract. Is that what you understood? 19 A Yes. 20 Q And then she goes on to state that the 21 current contract identifies the number out of validity 22 of year, and contains routes to City of Industry 23 California and MQC of 400 TEUs. You see that? 24 A Yes. 25 Q Then it goes on according to the customer	1 they moved 3500 times 40HC in 2020. Do you see that? 2 A Yes. 3 Q What did that convey to you, 3500 at 40HC? 4 A That means potentially they have 3540 high 5 cubic container that they can -- that they ship in 6 2020. 7 Q You said 3540 high cube containers in 2020? 8 A In 2010, yes. 9 Q Okay. And then the sentence goes on and 10 says, and plans to move between 4200 to 4700 FFE in 11 2021. See that? 12 A Yes. 13 Q What is FFE stands for? 14 A Forty Foot Equivalent. 15 Q So, that also -- would that include 40 foot 16 high cube? 17 A It could be 40 high cube, it could be 40 18 standard. 19 Q Okay. So, it looks like they were saying 20 they had -- they shipped 3540 high cube in 2020, and 21 they were planning to increase that to between 4200 and 22 4700 Forty Foot Equivalents in 2021, correct? 23 A Yes. 24 Q And then it goes on the next sentence saying 25 70% of this volume is to Kentucky and the remaining is
Page 127	Page 128
1 to California. And also it says, if we were interested 2 in Kentucky business their warehouse is very close to 3 the CSX rail yard for the drop and pull moves. You see 4 that? 5 A Yes. 6 Q What is to your understanding the CSX rail 7 yard? 8 A CSX rail yard would mean the specific rail 9 facility that is operated by CSX. 10 Q And where was that located? 11 A I do not know the exact location for that. 12 Q Do you know the city? 13 A Not exactly, no. 14 Q Okay. So, what was this last sentence do you 15 think -- how did you take it was, what was this 16 conveying to you? Sentence it starts, if we are 17 interested in Kentucky business, what did the rest -- 18 that sentence, what did you understand from it? 19 A My understanding of it is that if we want to 20 -- if we want to pursuit for the cargoes that is 21 heading to Kentucky or Kansas City then we will have an 22 opportunity there. 23 Q Okay. And the next it looks like paragraph 24 it says, attached is the contract lanes, current rates 25 and below is the customers performance from Tableau.	1 What is Tableau? 2 A Tableau is a reporting system. 3 Q Internal at the company or is it external? 4 A It is internal. 5 Q And what does that do is, some kind of 6 collects data, makes reports that sort of thing? 7 A Yes. 8 Q The next sentence goes on says appreciate any 9 advice. There is any new guideline regarding TPEB 10 contract so we can start working on this contract 11 renewal. Do you see that? 12 A Yes. 13 Q I take a TBEB means Trans-Pacific Eastbound? 14 A Yes. 15 Q Okay. So, then she -- looks like she 16 includes this chart. This looks like it is a customer 17 performance from Tableau sort of a screenshot or 18 something for OJCommerce. Is that right? 19 A Yes. 20 Q And can, you know, as best you can, I guess, 21 we can like to walk through this a little bit. You do 22 not need to do every little single thing. But I would 23 like to understand little better what this document 24 shows. Is it -- first of all, is this you recognize 25 this document as a document that is created in the

Page 133	Page 134
1 that. Can you repeat what NAM was again? 2 A That basically, you mean North America. 3 Q Okay. And then there is looks like two 4 regions listed APA and LAM, is that right? 5 A Yes. 6 Q And what does APA mean? 7 A APA would means the Asia area. 8 Q Okay. What is LAM mean? 9 A That should mean the Latin America. 10 Q Okay. So, looks like -- and it is giving 11 some numbers on the NAM column. What is this regions 12 little chart within this bigger report? What is this 13 to convey to you? 14 A This is sort of a different way to look at 15 the info which is on the left bottom, up the left 16 bottom. So, it just telling me that how much volume 17 that they shipped from Asia to North America versus how 18 much they shipped from Latin America to North America. 19 Q Okay. So, this is just kind of a historical 20 snapshot of what OJCommerce had done shipping wise with 21 Hamburg Sud up to the point this report was generated. 22 Is that right? 23 A Yes. 24 Q So, she is providing this to you is kind of 25 a, you know, to give you some perspective on the	1 customer. Is that right? 2 A Yes. 3 Q Okay. Let me go up. It looks like the 4 response e-mail from Gonzalo Maldonado to the same 5 group of people including you dated April 27, 2021. 6 And it says, hi, Kevin J, I guess, it is you, correct? 7 A Yes. 8 Q And it says this is the count that we spoke 9 during the TPEB the count review that you need to add 10 to our list, do you see that? 11 A Yes. 12 Q What was he referring to there where he sent 13 that message to? 14 A During the time that I was sort of helping 15 during the transition period. So, I would involve on 16 call between our management and sales. And so then 17 they review on accounts, which account that we should 18 target for the next year. 19 Q Okay. So, when it says added to our list, 20 what was he referring to as far as our list there? 21 A That means that during one of those review we 22 were saying that this account should be added to our 23 target for the coming contract season. 24 Q When you say target, what do you mean? Is 25 that a positive connotation?
Page 135	Page 136
1 MR. ROHDE: Objection to the form of the 2 question. The witness can answer. 3 A Target would mean that there would be an 4 account that we can either pursuit for renewal, or if 5 there is a customer then potentially we may want to 6 sign a new contract with our new customer. 7 Q (By Mr. Davis) Okay. So, if either to be on 8 a target -- the target list that either means we were 9 looking at renewing with this customer, or it is a 10 customer that is a potential customer that we may be 11 interested in signing a service contract, correct? 12 A Right. So, in either case that would be a 13 potential business for the next year. 14 Q Okay. And then this timeframe it would have 15 been for the 2021 through 2022 contract season, 16 correct? 17 A Yes. 18 Q Okay. So, let us go on up from here, and 19 then you respond to him on also April 27h, 2021 to the 20 same group of people saying, hi, Gonzalo, as per below, 21 this will be a 100% P1 opportunity. What is a 100% P1 22 opportunity? What were you meaning when you said that? 23 A Well, that means based on the information 24 that was being provided, or the shipment that involved 25 with this business will be -- it will be all being	1 shipped via Trans-Pacific Ocean to all the US 2 -- west coast. 3 Q Okay. And then it says your e-mail says, 4 what is the MCQ target for this account? So, you are 5 asking for what are they seeking for a minimum quantity 6 target for the account? 7 A Yes. 8 Q Okay. I am going to go on to the next line. 9 MR. ROHDE: Counsel, before you get into the 10 next document, we have been on for about an hour 11 and 20 minutes since launch. So, I think it might 12 be appropriate to take a short break when we have 13 a chance. 14 MR. DAVIS: Yeah, I am good with that. Mr. 15 Li, are you -- you like that now? 16 THE WITNESS: That would be -- that would be 17 a good idea. 18 MR. DAVIS: Okay. Well, why do not we come 19 back at 3:00? 20 MR. ROHDE: That is fine. 21 THE WITNESS: Okay. That is fine, yes. 22 MR. DAVIS: Thank you. 23 THE WITNESS: Thank you. 24 (Thereupon, a short discussion was held off 25 record.)

Page 141	Page 142
1 Gonzalo about it being 100% P1 opportunity asking about 2 the MQC target for the account, correct? 3 A Yes. 4 Q Okay. So, then we break off into continuing 5 that same chain. So, Exhibit 3 went off to a later 6 conversation with Mr. Gassed clarifying what P1 meant. 7 Now, in Exhibit 6, we were on Page 5 of 7. Do you see 8 this e-mail from Andrea Casanova to you in the same 9 group dated April 28, 2021? 10 A Yes. 11 Q And it says, hi, Kevin, thank you. The 12 client did not mention a specific MQC target. But he 13 mentioned the projected volume and is open to our 14 proposal. You see that? 15 A Yes. 16 Q And did you understand the projected volume 17 to be this volume down here on the first e-mail of 18 plans to move 4200 to 4700 FFE in 2021? 19 A Sorry, what was -- what was the question? 20 Q Yes. So, in the e-mail Ms. Casanova is 21 referring to the projected volume and OJCommerce being 22 open to Hamburg Suds proposal. You see that? 23 A Yes. 24 Q Did you understand what she meant by the 25 projected volume being this plan by OJCommerce to move	1 4200 to 4700 FFE in 2021? 2 MR. ROHDE: objection to the form of the 3 question. The witness may answer. 4 A So, my understanding here is that she was 5 saying that as aforementioned below which is the 6 sentence that you highlighted here, that would be the 7 potential volume for the following year. So, that will 8 be the projected volume that they may have. 9 Q (By Mr. Davis) And that would be the 4200 to 10 4700 FFE in 2021? 11 A Yes, that is how I read it. 12 Q Okay. Go back to that e-mail of April 28. 13 Going on to the next sentence, it says, they are 14 willing to give us also Kentucky business, if we can 15 carry it in the past. It was declined since we were 16 not pursuing business in this IPI. Do you see that? 17 A Yes. 18 Q So, the IPI, again, what was this referring 19 to, or at least what did you take it from 20 -- 21 A So, this will refer to shipment going to the 22 inland location with a rail both involved. 23 Q Okay. And you respond to that also on April 24 28, 2021 to Andrea in the same group. You see that? 25 A Yes.
Page 143	Page 144
1 Q It says, hi, Andrea, we will need a clear 2 target in order to put this on target list. They 3 signed 200 FFE last year for City of Industry 4 California and almost fulfill that this year. Based on 5 what -- based on that what would be the MQC target for 6 next year with and without the Kentucky business? I 7 dully suggest to maintain focus on local destination 8 only. What are you attempting to convey to Andrea 9 Casanova in this response? 10 A So, I was asking if she were able to give me 11 the customer target MQC that they want to negotiate 12 with us. And out of that I wanted to ask, I mean, if 13 we are to pursue what the Kentucky business then, I 14 mean, put that target change are different. Then if we 15 are only focusing on the port to port business. So, 16 and she had and I finally made the suggestion that 17 based on our company strategy, I would suggest that we 18 focus on the local destination meaning the port 19 business. 20 Q The port business. Is that what you said? 21 A Yeah, so meaning that shipment that do not 22 involve the rail mostly. 23 Q Okay. I am sharing my screen with you, which 24 goes back to Exhibit 6, which actually was Pump 25 Deposition Exhibit Number 5 and it shows an e-mail from	1 you to Juergen Pump and Alexandra Blackford. You see 2 that? 3 A Yes. 4 Q Dated Thursday, April 29, 2021 at 2:04 p.m., 5 yes? 6 A Yes. 7 Q Who was Juergen Pump to you at that time? 8 A He was our North America President at that 9 moment. 10 Q For who? 11 A For Hamburg Sud. 12 Q Okay. And looks like you have -- and who is 13 Alexandria Blackford at that point? 14 A He was -- she was our department manager, and 15 I report to her at that moment. 16 Q And was that during your time as part of the 17 sales contract, excuse me, sales coordination and 18 marketing team? 19 A Yes. 20 Q Okay. Say, hi, Juergen, sorry to trouble 21 you, but I need your executive decision on this 22 account. It was the one being mentioned in our call 23 with AEC this Tuesday. Do you see that? 24 A Yes. 25 Q Do you recognize or this refreshes your

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

DECLARATION OF RICHARD C. BERNING

I, Richard C. Berning, do hereby state and declare as follows:

1. I have personal knowledge of the facts described below and believe, to the best of my knowledge, information, and belief, that the facts stated herein are true and correct.
2. Attached hereto and incorporated herein as **Exhibit 200** is a true and correct copy of the Expert Report of Richard C. Berning, dated September 2, 2022.
3. Attached hereto and incorporated herein as **Exhibit 201** is a true and correct copy of the Supplemental Expert Report of Richard C. Berning, dated October 17, 2022.
4. The bases for my opinions in the above-referenced Reports include the documents referred to in those Reports.
5. The opinions given in the above-referenced Reports are my own, are based on my education and professional experience, and are true and correct to the best of my knowledge.

**I DECLARE UNDER PENALTY OF PERJURY THAT THE FOREGOING IS TRUE AND
CORRECT.**

Dated: November 9, 2022


Richard C. Berning

Before the Federal Maritime Commission

Docket No. 21-11

OJ Commerce, LLC,

Complainant,

v.

**Hamburg Südamerikanische
Dampfschiffahrts-Gesellschaft A/S & CO KG**

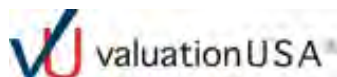
and

Hamburg Sud North America, Inc.,

Respondents

**Expert Report of
Richard C. Berning, CPA/ABV/CFF, CBA, CVA, ABAR, CMA**

September 2, 2022



**Berning Decl.
Ex. 200**

Table of Contents

Description	Page
Cover Sheet	1
Table of Contents	2
Introduction	3
Assignment	3
Work Performed	3
Summary of Opinions	4
Opinions and Bases	4
Background	4
Approaches to Determine Potential Damages	8
Calculated Lost Profits	8
Shipping Rate Differentials	12
Market Value of Lost Revenue	16
Maersk/Hamburg Sud	18
Damages Beyond 2021 Contract	22
Summary of Opinions	22
Documents and Information Considered	23
Prior Testimony	24
Background, Experience and Fees	24
EXHIBITS	
Weekly Shortfalls Calculations	A
Excess Shipping Calculations	B
Prior Testimony	C
Curriculum Vitae of Richard C. Berning, CPA/ABV/CFF, CBA, CVA, ABAR, CMA	D

Introduction

I have been retained by Shlomo Y Hecht, PA, counsel for Complainant OJ Commerce, LLC (“OJC”) in the above referenced Complaint relating to certain claims by Complainant against Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & CO KG and Hamburg Sud North America, Inc., (collectively as “Hamburg Sud”). I have no financial interest or contemplated financial interest in any of the entities that are the subject of this report or this Complaint.

Assignment

I have been retained in this engagement to quantify the damages suffered by Complainant as the direct result Respondents’ alleged actions as outlined in this expert report, as well as respond to certain criticisms and allegations contained in the expert report of Ricardo Zayas dated August 5, 2022. I have prepared this report of my opinions to be expressed through testimony at trial, along with the bases for these opinions, concerning the above.

It is my understanding that our analysis is not a comprehensive compilation of damages, but rather an analysis of specific damages as outlined in this report.

Our analysis and consultation will be used in connection with the above referenced Complaint and is restricted to this use unless approved in writing and signed by ValuationUSA. As discovery in this matter is ongoing, additional materials could be produced which may impact my opinions. It is my understanding that fact and expert discovery have not been completed and I may be asked to update this report and/or provide additional opinions on any expert report that may be produced on behalf of the Respondents. Therefore, I respectfully reserve the right to revise or expand my opinions before trial.

Work Performed

I performed the following tasks in forming the opinions presented in this report:

1. Read and analyzed the documents provided through discovery.
2. Prepared the schedules and made the calculations presented in this report.

To the extent that new information and documents are produced, an amendment to this report may be necessary.

Summary of Opinions

It is my opinion Claimant suffered the following damages as a result of Respondent's wrongful actions:

OJ Commerce, LLC Summary of Damages				
Alternative Method	Range of Damages			
Calculated Lost Profits	\$	96,469,820	to	\$ 107,916,059
Shipping Rate Differential	\$	52,919,909	to	\$ 66,163,510
Market Value of Lost Revenue	\$	55,184,208	to	\$ 61,753,757

Opinions and Bases

My opinions are predicated on the assumptions that Respondent's behavior renders them liable to Claimant on one or more of the legal claims asserted in Claimant's Verified Amended Complaint and that Claimant's damages were proximately caused by Respondent's actions or otherwise recoverable by Claimant.

Background

Note: The following Background section is a direct excerpt from **Complainant's Verified Amended Complaint** filed February 2, 2022:

IV. FACTUAL ALLEGATIONS

15. Both Hamburg entities are owned by Maersk A/S, see Docket No. 21-11, Affidavit of Michael Gast, Jr., filed January 18, 2022, one of the two largest shipping container lines in the world. Maersk's profits for 2021 exceeded its profits for the past nine years combined. See <https://www.usfunds.com/resource/bad-news-is-good-news-for-containershipping-investors> (accessed February 2, 2022).

16. In years past, Complainant had secured the bulk of its ocean freight via service contracts with Respondents and other ocean carriers. Such contracts specify a minimum quantity commitment ("MQC") for cargo to be shipped and set forth pricing for port-to-port lanes, and/or port-to-door, subject to the service commitment.

17. Once the COVID-19 pandemic began, however, global ocean carriers, including Respondents, began taking actions to exploit ocean carriage pricing and engage in unprecedented profiteering at the expense of shippers, including Complainant, and the public. This has led to record profits for the shipping companies, including Maersk, and has greatly contributed to rapid inflation and a global supply chain crisis

in the past two years. The shipping industry's, including Maersk's, outrageous profits during that time and the negative effect on the United States' (and the world's) economy has been widely covered by the media.

18. In 2020 and 2021, Respondents engaged in a variety of unjust and unreasonable practices with respect to Complainant's cargo. Instead of honoring the commitments in its service contracts with Complainant, Respondent began a practice of systematically failing to meet its quantity and price commitments to Complainant. As a result, Complainant was forced to obtain space on the spot market at enormous expense or forgo making shipments of goods to the United States altogether.

19. Respondents' unreasonable practices coincided with an unprecedented increase in spot market pricing for ocean freight. Respondents sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases to secure needed freight carriage. Respondents benefitted from being able to sell previously contracted capacity on the spot market, or to shippers willing to pay a premium, rather than honoring its service contract commitments with Complainant, and others.

20. Respondents have also engaged in a deliberate practice of seeking to condition their compliance with its contractual service commitments on extracting additional payments from Complainant, above and beyond the pricing set forth in the parties' service contract, despite the fact that the contract does not permit Respondents to assess such surcharges unilaterally.

21. Respondents' actions are contrary to what they, and their representatives, have been telling Congress and other regulatory bodies. For example, during the June 15, 2021 House Subcommittee on Coast Guard and Maritime Transportation entitled "Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain," John Butler, President and CEO of the World Shipping Council, of which Maersk is a member, when asked about shipping companies reneging on contracts with shippers in order to request more money to make shipments, testified that "ocean carriers are quite serious about fulfilling their end of the bargain with their service contracts. That's how they keep relationships with their customers." See <https://transportation.house.gov/hearings/watch?hearingid=A48307B6-BE35-1AC6-AABB-39963851E908> (01:58:55 - 02:01:50). But Mr. Butler's testimony on behalf of the World Shipping Council is belied by Respondents' habitual conduct of violating service contracts just like the example given by the House Subcommittee member on a normal, customary, and continuous basis, not only with respect to Complainant, but also with respect to other shippers, including but not limited to the complainant in FMC Docket No. 21-05.

22. Although the global ocean carriers, including Maersk, have publicly bemoaned the supply chain crisis brought on, according to the carriers, solely by COVID, the carriers have shown no shame in exploiting the situation by preying on their affected customers in the quest for record profits, with no end in sight. As shown above, the strategies have worked exceeding well for the carriers and have been devastating for shippers. Maersk has done this in part by gouging consumers such as Complainant and tacking on and demanding sky-high fees in addition to the contracted-for fees in the Agreement. Respondents have enormously profited from their wrongful actions, profiting more in 2021 than they did in the previous nine years combined and reporting their best quarter in 117 years. These profits have come at the expense not only of Complainant and numerous other shippers, but also the general public, which has been suffering

with massive inflation since the beginning of 2021. Indeed, likely few entities have profited more in the past two years than Respondents' parent company, Maersk.

23. Respondents' violations of the Shipping Act have substantially harmed and damaged Complainant, and other shippers, in several ways.

25. On or about June 23, 2020, OJC entered into a service agreement with Respondents, for the shipment of goods by sea and delivery to warehouse facilities within the United States via truck, a copy of the agreement is hereby attached as Exhibit A. (the "Agreement").

26. The Agreement was required to be filed under section 40302(a), as it is an "ocean common carrier agreement," as defined by section 40301(a). The Agreement also contains a term that states "[t]his Contract shall be subject to the U.S. Shipping Act of 1984, as amended."

27. The Agreement governed the parties' relationship between June 23, 2020 to May 31, 2021 (the "Active Term").

29. Additionally, pursuant to the Agreement, Respondents agreed to a minimum volume commitment of 400 TEU, which is equivalent to 200 containers.

30. Beginning in or around August 2020, Respondents regularly engaged in unjust and unreasonable practices toward Complainant. Instead of providing space at the contracted rates, Respondents began a systematic practice of failing to make space available under its service contract, resulting in increasing monthly shortages and a backup of Complainant's containers to be shipped.

31. During the Active Term, for its part, Complainant provided adequate booking notice to schedule shipment of containers, pursuant to the Agreement, but Respondents refused to schedule such shipments. Respondents made these refusals throughout August, September, October, November, and December 2020, including in or around August 20, September 30, October 12, and numerous other dates in 2020, and throughout January, February, March, April, and May 2021, including in or around April 13, May 5, May 11, and numerous other dates in 2021.

32. During the Active Term, Respondents provided a total of 185 containers, which is 30 TEUs below the 400 TEU MQC in the Agreement. But even those containers that were shipped by Respondents were not shipped in a timely manner. On multiple occasions, Complainant wanted more containers shipped on a certain week than in another week, but Respondents refused, stating that the containers would have to be equally distributed by week. However, Respondents then would skip shipping Complainant's containers for multiple weeks as they received more money for the space from other shippers, thereby pushing Complainant's shipments off for weeks at a time. Upon information and belief, this happened not only to Complainant but also to other shippers.

33. Respondents also stated, throughout the 10-month time period from August 2020 - May 2021 that they would ship Complainant's shipments in a timely manner, as mandated by the Agreement, if and only if paid higher rates than those included in the Agreement. When Complainant refused to submit to

Respondents' extortion, Respondents pushed off Complainant's shipments for weeks, regularly refusing to operate under the terms of the Agreement and in violation of the Shipping Act.

36. As a result of Respondent's wrongful conduct, on some occasions OJC was forced to retain alternate shipping carriers at significantly higher shipping rates per container.

37. Also as a result of Respondent's wrongful conduct, on some occasions OJC was unable to retain alternate shipping carriers at all, and incurred significant economic damages well over \$1.6 Million and upwards of over \$2.7 Million, for Respondents' failure to honor the minimum 400 TEU commitment on a normal, customary, and continuous basis over the span of many months.

38. Throughout the time period in which Respondents' systematically and unjustly charged Complainant demurrage fees and refused for over 10 months to meet the MQC mandated in the Agreement, Complainant was forced to patronize other carriers or forego shipments altogether.

39. Complainant also informed Respondents throughout August 2020 – May 2021 that Complainant would be forced to file a complaint with the FMC if Respondents did not meet its obligations in the parties' service contract and withdrawal the wrongful demurrage charges, as these were violations occurring on a normal, customary, and continuous basis.

40. As a result of Complainant's attempts to mitigate its damages by filing a complaint with the FMC against Respondents, Respondents' refusals to provide Complainant cargo space and their unfair and unjustly discriminatory methods became more common and frequent leading up to discussions on the renewal of the parties' service contract in April 2021.

41. During April 2021, the parties were engaged in discussions about renewing the parties' service contract. Throughout those discussions, there were conversations about the MQC of the renewal, but never about there being no renewal at all.

42. Out of the blue and with no prior notice, on May 4, 2021, Respondents unilaterally notified Complainant that there would be no service contract renewal under any terms, but instead that Respondents would "work case by case" with Complainant using spot market rates. Thereafter, Complainant attempted to negotiate a contract with an even more limited scope – such as a port-to-port only contract – but Respondents rejected Complainant's proposal out of hand within hours, leaving Complainant entirely without a shipping service contract of any sort past May 31, 2021.

43. Respondents' dumping of Complainant without warning and without a service contract, and their refusal to negotiate or deal with Complainant, has massively damaged Complainant's ability to have its goods shipped to the United States. Indeed, Respondents' refusal to renew the parties' service contract has crippled Complainant's business and its supply chain access since June 2021.

44. Complainant's threats of filing a FMC complaint against Respondents for their normal, customary, and continuous refusals to meet the MQC of the parties' service contract and their charging of unjust and unreasonable demurrage fees that were the fault of Respondents and not Complainant, caused Respondents to (a) refuse to deal or negotiate with Complainant for a renewal of the parties' service

contract, (b) retaliate against Complainant by refusing available cargo space to Complainant, and (c) unjustly or unfairly discriminating against Complainant in the allocation of cargo space, to Complainant's great detriment. This is evidenced in part by Respondents' ever-increasing failures to abide by the parties' service agreement and violations of the Shipping Act in parallel with Complainant's criticisms of Respondents' unjust and unreasonable practices and its threats to file a complaint with the FMC against Respondents.

45. Respondents' aforementioned actions to refuse Complainant a service contract have forced Complainant into the spot market for nearly all its shipments – which are five to over 15 times the cost per container of a service contract price – and as a result, driven up Complainant's shipping costs exponentially. Respondents' refusals, failures, and retaliation have threatened the very existence of Complainant's business.

Approaches to Determine Potential Damages

To estimate the range of potential damages, we have considered the following alternative methods to calculate damages:

1. Calculated Lost Profits
2. Shipping Rate Differentials
3. Market Value of Lost Revenue

Calculated Lost Profits

OJC's lost profits consist of the following categories or damages:

1. Loss for failure to meet minimum TEU during fiscal year 2020
2. Loss due to failure to provide regular weekly shipments during fiscal year 2020
3. Freight charges above contract rates during fiscal year 2021
4. Loss due to refusal to renew contract during fiscal year 2021

Definitions:

Fiscal Year 2020: Shipping contracts generally cover the period starting June 1 through May 31 the following year. Fiscal year 2020 would be for the period June 1, 2020 through May 31, 2021.

Fiscal Year 2021: Fiscal 2021 would be for the period June 1, 2021 through May 31, 2022.

Average Revenue Per Container: OJC has compiled an average revenue per container shipped during the period June 1, 2020 through July 16, 2022. These amounts are based on actual products shipped and the selling price of the products. The average revenue per container is computed to be \$60,250.30.

Average Gross Profit Per Container: Based on the same containers that were used for the average revenue calculations above, OJC computed the average gross profit per container to be \$22,892.48. Gross profit is revenue less the costs of the product. To compute the cost of the product, OJC has captured all of the costs including the purchase cost, sales commissions, fulfillment center costs, shipping costs and any other costs directly associated with the product. OJC utilizes third parties for shipping, fulfillment, warehousing and other needed tasks to sell the product. All of these costs have been captured. Even though OJC was projecting significant increase in sales in fiscal 2021 (and resulting need for additional containers), their increase in fixed costs would be nominal due to the structure of the company. Accordingly, the direct variable costs included produce the net profit per container. Respondent's expert, Ricardo Zayas states that a gross profit calculation does not capture all costs associated with the sale of a product. As described above, and with a better understanding of how OJC operates, it can be understood that Claimant has captured the vast majority, if not all, of the costs relating to the sale of products.

Expected Containers for Fiscal 2021: OJC was experiencing incredible demand for their products in late 2020 and early 2021. This was especially true for the Company's Naomi Home private label brand. The products sold through the Naomi Home private label brand produces higher profit margins than products that were sold on behalf of other companies. This growth is what precipitated OJC's need for more containers in fiscal 2021. Prior to the start of fiscal 2021, OJC undertook a study to estimate the number of containers that they may need during fiscal 2021. These projections estimated the sales of each product and the number of containers that would be needed. The calculations indicated that 4,598 containers would be needed for fiscal 2021. Because of these calculations, OJC communicated their desire to Respondent for 4,200 to 4,700 containers for fiscal 2021. These amounts are corroborated in an April 27, 2021 email from Andrea Casanova (account executive for Respondent) sent to Ivan Cheung and Kevin LI (also with Respondent) which states that OJC "plans to move between 4200 to 4700 FFE in 2021". (HS-012573). Claimant's increased expectations at this time was consistent in the marketplace for the types of products that Claimant was offering. These increased expectations are also consistent with Respondent's observations and experience with increasing volume at that time. Respondent's expert, Ricardo Zayas, criticizes Claimant's assumption of the expected 4,700 containers in Claimant's preliminary damage calculations. The support for 4,700 containers can be found in Respondent's own statements about increasing volume, OJC's detailed calculations used to plan the number of containers that would be needed, and the general increased demand for household goods, especially in an e-commerce setting. Mr. Zayas correctly states that he was provided with preliminary calculations of damages and that is exactly what was provided by Claimant. To this day Respondent, despite orders from the Federal

Maritime Commission, has refused to provide certain information that could be useful for Claimant to more accurately measure the extent of the damage caused by Respondent.

1. **Loss for failure to meet minimum TEU during fiscal year 2020:** Respondent was required to provide a minimum of 200 containers and only produced 185, or a deficit of 15 containers. To compute this specific loss, the deficit of 15 containers would be multiplied by the anticipated average net profit per container of \$22,892.48. The result is a loss of \$343,387.18 computed as follows:

OJ Commerce, LLC Failure to Meet Minimum TEU FY 2020	
Total Containers Promised	200
Total Containers Shipped	185
Deficit of Containers	15
Gross Profit per Container	\$ 22,892.48
Loss Sustained	\$ 343,387.18

2. **Loss due to failure to provide regular weekly shipments during fiscal year 2020:** Respondent was required to provide a minimum number of weekly shipments during fiscal year 2020. Respondent often missed the weekly minimum and by the end of the year the weekly shortfalls totaled 105 containers. See **Exhibit A**. The weekly minimum is confirmed in an email between Michael Gast and Andrea Casanova (both of Hamburg Sud) which is on page HS-011343, with the relevant portion reproduced here:

4. Was there any formal documentation confirming our obligation to carry the additional 2 TEUs a week or does this fall under the terms of the contract which stipulate we can accept more cargo at our discretion [3.(a)(2)]. There was not a formal documentation. Customer was informed by email that SP was increased to 10 TEU per week on 08/03/2020 (Third attachment)

To compute this specific loss, the deficit of 105 containers would be multiplied by the anticipated average net profit per container of \$22,892.48. The result is a loss of \$2,403,710.25 computed as follows:

OJ Commerce, LLC Failure to Provide Regular Weekly Shipments	
Deficit of Weekly Containers	105
Gross Profit per Container	\$ 22,892.48
Loss Sustained	\$ 2,403,710.25

3. **Freight charges above contract rates during fiscal year 2021:** Claimant was forced to pay spot rates for containers during fiscal year 2021 as Respondent did not renew their shipping contract. Spot prices increased dramatically during this time frame and Claimant was forced to pay historically high shipping rates. During this time, OJR shipped 143 containers at spot prices that exceeded the contract rates. The expected contract rates used for this analysis were:

From	To	Code	Rate	BAF	EFF	ISPS	Total	Source
Fuzhou	CA	Fuzhou:CA	\$1,875.00	\$ 264.00			\$2,139.00	2020 Contract Rates
Ho Chi Minh	CA	Ho Chi Minh:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Ningbo	CA	Ningbo:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Shanghai	CA	Shanghai:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Qingdao	CA	Qingdao:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Xiamen	CA	Xiamen:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Dalian	CA	Dalian:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Yantian	CA	Yantian:CA	\$1,625.00	\$ 264.00			\$1,889.00	2020 Contract Rates
Brazil	CA	Brazil:CA	\$3,135.00		\$ 169.00	\$ 16.00	\$3,320.00	Agreement No. NOAQ1006436
Brazil	KY	Brazil:KY	\$3,488.00		\$ 169.00	\$ 16.00	\$3,673.00	Agreement No. NOAQ1006436
Fuzhou	KY	Fuzhou:KY	\$3,450.00				\$3,450.00	Proposal
Ho Chi Minh	KY	Ho Chi Minh:KY	\$3,200.00				\$3,200.00	Proposal
Ningbo	KY	Ningbo:KY	\$3,200.00				\$3,200.00	Proposal
Shanghai	KY	Shanghai:KY	\$3,200.00				\$3,200.00	Proposal
Qingdao	KY	Qingdao:KY	\$3,200.00				\$3,200.00	Proposal
Xiamen	KY	Xiamen:KY	\$3,200.00				\$3,200.00	Proposal
Dalian	KY	Dalian:KY	\$3,200.00				\$3,200.00	Proposal
Yantian	KY	Yantian:KY	\$3,200.00				\$3,200.00	Proposal

The total of excess shipping charges paid for these 143 containers (actual less contract rates) was **\$847,936.99**. See **Exhibit B** for a detailed listing.

4. **Loss due to refusal to renew contract during fiscal year 2021:** Respondent refused to renew the shipping contract with Claimant for fiscal year 2021. Claimant had no choice but to go to the spot market and pay prices that were considerably higher than contract rates. As discussed in the paragraph above, OJC was able to hire 143 containers at highly inflated prices. OJC had anticipated using between 4,200 and 4,700 containers. By refusing to renew the contract, Respondent forced Claimant to either pay much higher prices, or not ship product at all. The damages for this section are measured by multiplying the shortfall of containers by the profit margin per container. These calculations are done using either the 4,200 or 4,700 total containers expected for fiscal year 2021 and the damages are computed to be \$92,874,785.49 or \$104,321,024.77 for either 4,200 or 4,700 containers, respectively as follows:

OJ Commerce, LLC Loss Due to Refusal to Renew Contract		
Total Expected Containers	4,200	4,700
Actual # Containers Shipped	143	143
Shortfall of Containers	4,057	4,557
Gross Profit per Container	\$ 22,892.48	\$ 22,892.48
Loss Sustained	\$ 92,874,785.49	\$ 104,321,024.77

Based on the four types of losses discussed above, the total lost profits are calculated to be:

OJ Commerce, LLC Total Lost Profits		
	<u>Assumed Total Containers</u>	
	4,200	4,700
Failure to Meet Minimum TEU FY 2020	343,387.18	343,387.18
Failure to Provide Regular Weekly Shipments	2,403,710.25	2,403,710.25
Freight Charges Above Contract Rates	847,936.99	847,936.99
Loss Due to Refusal to Renew Contract	92,874,785.49	104,321,024.77
Total Lost Profits	\$ 96,469,819.91	\$ 107,916,059.18

Shipping Rate Differentials

I have also computed the difference between the contract shipping cost and the spot rate shipping costs as an alternative indication of damages. The difference between the contract cost to ship either 4,200 or 4,700 containers and the spot cost to ship the same containers is the measure of damages.

To determine the contract price to ship the containers, the starting point is to determine the number of containers that will be included on each route. Then the contract rate for each route is determined. For the China to California route, drayage fees are eliminated to compute an ocean shipping rate so that there is a direct comparison to the spot rates which will be used later in this calculation. Then, the containers per route are multiplied by the respective contract shipping rates to determine the total contract shipping costs as follows:

OJ Commerce, LLC Contract Shipment Costs							
Route	Contract		Ocean	4,200 Containers		4,700 Containers	
	Rate (\$)	Drayage (\$)		#	\$	#	\$
China to CA	1,889	589	1,300	2,681	3,485,300	3,000	3,900,000
China to KY	3,200	-	3,200	1,117	3,574,400	1,250	4,000,000
Brazil to CA	3,320	-	3,320	134	444,880	150	498,000
Brazil to KY	3,673	-	3,673	268	984,364	300	1,101,900
				4,200	8,488,944	4,700	9,499,900

The next step is to do the same exercise using spot prices rather than contract prices. To determine the spot prices, we used the following sources or made the following assumptions:

- I used spot rates from Xenta and Drewry for the China to California routes.
- For the China to Kentucky routes, neither Xenta or Drewry had sufficient data points that allowed them to confidently publish rates. Rather, I used a multiplier of China to California, at the same ratio as the contract rates.
- For the Brazil to California and Brazil to Kentucky routes, the spot rates were not available. I used \$12,000 for all periods as this amount approximates what OJC actually paid during this time frame.

I then computed the average of the monthly rates for each of the sources to be:

OJ Commerce, LLC Average Monthly Spot Rates: Xenta				
Month	China to		Brazil to	
	CA	KY	CA	KY
21-Jun	11,000.00	27,076.92	12,000.00	12,000.00
21-Jul	8,322.00	20,484.92	12,000.00	12,000.00
21-Aug	11,236.00	27,657.85	12,000.00	12,000.00
21-Sep	10,683.00	26,296.62	12,000.00	12,000.00
21-Oct	11,801.00	29,048.62	12,000.00	12,000.00
21-Nov	11,500.00	28,307.69	12,000.00	12,000.00
21-Dec	12,523.00	30,825.85	12,000.00	12,000.00
22-Jan	12,697.00	31,254.15	12,000.00	12,000.00
22-Feb	13,217.00	32,534.15	12,000.00	12,000.00
22-Mar	12,178.00	29,976.62	12,000.00	12,000.00
22-Apr	12,088.00	29,755.08	12,000.00	12,000.00
22-May	11,503.00	28,315.08	12,000.00	12,000.00
Avg.	11,562.33	28,461.13	12,000.00	12,000.00

OJ Commerce, LLC Average Monthly Spot Rates: Drewry				
Month	China to		Brazil to	
	CA	KY	CA	KY
21-Jun	8,548.00	21,041.23	12,000.00	12,000.00
21-Jul	10,503.00	25,853.54	12,000.00	12,000.00
21-Aug	11,326.00	27,879.38	12,000.00	12,000.00
21-Sep	12,424.00	30,582.15	12,000.00	12,000.00
21-Oct	11,173.00	27,502.77	12,000.00	12,000.00
21-Nov	10,085.00	24,824.62	12,000.00	12,000.00
21-Dec	10,221.00	25,159.38	12,000.00	12,000.00
22-Jan	11,197.00	27,561.85	12,000.00	12,000.00
22-Feb	11,030.00	27,150.77	12,000.00	12,000.00
22-Mar	10,986.00	27,042.46	12,000.00	12,000.00
22-Apr	8,824.00	21,720.62	12,000.00	12,000.00
22-May	8,720.00	21,464.62	12,000.00	12,000.00
Avg.	10,419.75	25,648.62	12,000.00	12,000.00

The next step is to compute the total spot shipping costs for both sources (Xenta and Drewry) and both volumes of containers (4,200 and 4,700) as follows:

OJ Commerce, LLC Spot Shipment Costs: Xenta (4,200)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	11,562.33	28,461.13	12,000.00	12,000.00
# Containers	2,681	1,117	134	268
Cost (\$)	30,998,615.67	31,791,080.21	1,608,000.00	3,216,000.00
Total Cost				\$ 67,613,695.87

OJ Commerce, LLC Spot Shipment Costs: Xenta (4,700)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	11,562.33	28,461.13	12,000.00	12,000.00
# Containers	3,000	1,250	150	300
Cost (\$)	34,687,000.00	35,576,410.26	1,800,000.00	3,600,000.00
Total Cost				\$ 75,663,410.26

OJ Commerce, LLC Spot Shipment Costs: Drewry (4,200)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	10,419.75	25,648.62	12,000.00	12,000.00
# Containers	2,681	1,117	134	268
Cost (\$)	27,935,349.75	28,649,503.38	1,608,000.00	3,216,000.00
Total Cost				\$ 61,408,853.13

OJ Commerce, LLC Spot Shipment Costs: Drewry (4,700)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	10,419.75	25,648.62	12,000.00	12,000.00
# Containers	3,000	1,250	150	300
Cost (\$)	31,259,250.00	32,060,769.23	1,800,000.00	3,600,000.00
Total Cost				\$ 68,720,019.23

Finally, the difference between the contract cost and the spot cost is computed as an indication of damages:

OJ Commerce, LLC Shipping Cost Differential				
	4200 Containers		4700 Containers	
	Xenta	Drewry	Xenta	Drewry
Total Spot Shipping Cost	67,613,696	61,408,853	75,663,410	68,720,019
Total Contract Shipping Cost	8,488,944	8,488,944	9,499,900	9,499,900
Total Damages	59,124,752	52,919,909	66,163,510	59,220,119

Note that Xeneta also provides information on surcharges beyond the rates that were used in this analysis. These can range anywhere from \$2,000 to more than \$5,000 per container and include surcharges for peak season, fuel and congestion. These surcharges have not been included above. Including these surcharges would increase the spot costs above and therefore the damages as well.

I also understand that Respondent (despite direct orders from the Federal Maritime Commission) has not released their spot shipping prices for the time periods used in the above calculations. My report may be updated if/when this information is ultimately received.

Market Value of Lost Revenue

As an alternative method to compute lost profits, we have looked to the loss of market value of Claimant based on the lost revenue. Based on the revenue per container defined above (██████████) and the anticipated range of containers needed of 4,200 to 4,700, we estimate the potential lost revenue to be ██████████ computed as follows:

██████████			
██████████			
██████████	██████████	██████████	██████████
██████████	██████████	██████████	██████████
██████████	██████████	██████████	██████████

In 2020, Claimant retained two investment banking firms to conduct a company valuation to determine Claimant's market value in the event of the sale of OJC. There was significant interest from private equity groups about purchasing the OJC during this time period. Appraisals were obtained from BTIG and Nomura.

In Mr. Ricardo Zayas' expert report (Respondent's expert), he references the BTIG and Nomura valuations, recognizing that these were prepared in September of 2020 in anticipation of a possible sale. Mr. Zayas also correctly states that no such sale took place.

The fall of 2020 was an incredibly strong time for the value of companies engaged in e-commerce. Mr. Zayas' references Wayfair in footnote 14 on page 10 of his report. In the summer/fall of 2020, Wayfair stock was trading at approximately \$340 per share. That was the peak for Wayfair's stock price. This is the environment that encouraged Claimant to consider a sale of the business to take advantage of the unprecedented market conditions at that time. Unfortunately, due to Respondents actions during this time frame, OJC was not able to ship products as they had intended and the results were reflected in worsening financial results. These deteriorating financial results contributed to OJC's inability to successfully market their company for sale. This was at the same time that publicly traded e-commerce companies were experiencing record stock prices. That unprecedented positive time for the value of e-commerce company valuations is now gone. This can most clearly be seen by the price of Wayfair which is currently trading at around \$50 per share, an 85% reduction in value.

[REDACTED]

[REDACTED]

[REDACTED]

However, these values assume that the revenue stream will continue indefinitely. In this case, we are only looking at the lost revenue for one year.

To estimate the value of 1 year of lost revenue (compared to the market multiple of 2.4 which includes an indefinite number of years), we have looked to the Nomura valuation. The lost market values above include the present value of the net cash flow for an indefinite number of years.

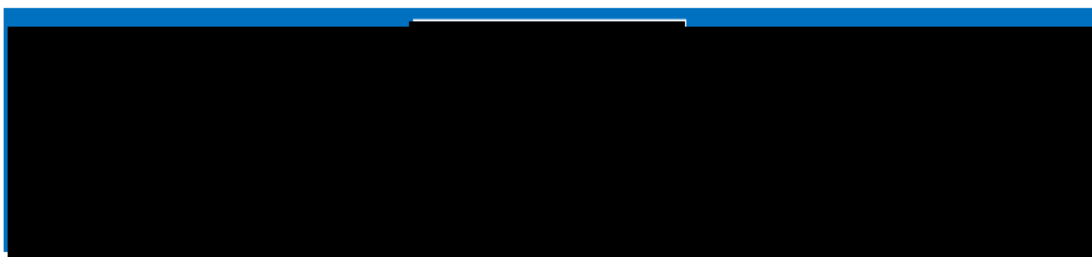
One of the methodologies used in the Nomura valuation (and commonly used in many if not most business valuations) is the discounted future cash flow method. The discounted future cash flow method projects future cash flow and brings those cash flows to a present value by applying a discount rate. [REDACTED]

[REDACTED]

[REDACTED]

This exercise provides a way of allocating the overall value to a specific time period. In this case, 9.09% of the total value is due to Year 1. The allocation of value decreases in each year due to the discount rate which brings the future cash flows to a present value. A dollar received in year 1 is worth more than a dollar received in year 2.

To estimate the loss of market value based only on Year 1, the loss relating to year 1 (█████% of the total loss of market value) would be applied to the total market value resulting in Year 1 losses of ██████ computed as follows:



██
 ██
 ██

Maersk/Hamburg Sud

During the time in question, in addition to e-commerce companies such as Wayfair experiencing record stock prices as discussed above, Maersk (owner of Respondent) reaped record profits with the explosion of pricing on international shipping. In the fourth quarter of 2020, Maersk was experiencing record profits due to increasing demand, decreasing costs and by charging significantly higher rates.

Maersk is one of the largest shipping companies in the world and controls approximately one-sixth of the world's container trade. Numerous articles have been written describing how Maersk's revenue and profits have skyrocketed since 2020. An August 2, 2022 article by Bloomberg ("*Maersk Sees Record \$31 Billion Profit as Shipping Rates Surge*") states:

"Underlying earnings before interest and tax will be around \$31 billion in 2022, the Copenhagen-based company said on Tuesday. That compares with a previous forecast of around \$24 billion and an average estimate of \$28.4 billion in a Bloomberg survey of analysts".

Bloomberg reports that just for the second quarter of 2022, revenue is expected to be \$21.7 billion, with earnings (measured by EBITDA) representing 47% of revenue at \$10.3 billion.

The full article can be found at:

<https://www.bloomberg.com/news/articles/2022-08-02/maersk-raises-profit-forecast-as-congestions-boost-freight-rates>

The shipping industry's near monopolistic control and the high shipping prices have attracted the attention of the White House and the Federal Maritime Commission. On July 9, 2021, President Biden signed an Executive Order on Promoting Competition in the American Economy. The Executive Order provides for the following:

“Similarly, the global container shipping industry has consolidated into a small number of dominant foreign-owned lines and alliances, which can disadvantage American exporters”.

The full Executive Order can be found at:

<https://www.whitehouse.gov/briefing-room/presidential-actions/2021/07/09/executive-order-on-promoting-competition-in-the-american-economy/>

In the related FACT SHEET: Executive Order on Promoting Competition in the American Economy, further clarification is provided as follows:

“In the Order, the President:

Encourages the Surface Transportation Board to require railroad track owners to provide rights of way to passenger rail and to strengthen their obligations to treat other freight companies fairly.

Shipping: In maritime shipping, the global marketplace has rapidly consolidated. In 2000, the largest 10 shipping companies controlled 51% of the market. Today, it is more than 80%, leaving domestic manufacturers who need to export goods at these large foreign companies’ mercy. This has let powerful container shippers charge exporters exorbitant fees for time their freight was sitting waiting to be loaded or unloaded. These fees, called “detention and demurrage charges,” can add up to hundreds of thousands of dollars.

In the Order, the President:

Encourages the Federal Maritime Commission to ensure vigorous enforcement against shippers charging American exporters exorbitant charges”.

The full Fact Sheet can be found at:

<https://www.whitehouse.gov/briefing-room/statements-releases/2021/07/09/fact-sheet-executive-order-on-promoting-competition-in-the-american-economy/>

The article “FMC Onboard for Biden’s Ocean Carrier ‘Crackdown’” provides in part:

“[T]hree global ocean carrier alliances now control more than 80% of the container market. ‘That concentration has contributed to a spike in shipping costs and fees during the pandemic. The executive order calls on the Federal Maritime Commission to crack down on unjust and unreasonable fees and work with the Justice Department to investigate and punish anticompetitive conduct.’” .. “Excessive fees charged to U.S. importers and exporters for failing to expeditiously move containers off docks and container terminals – known as detention and demurrage – “is a huge issue we’re working on and it’s important to get to the bottom of it because it’s unfair to shippers,” [Federal Maritime Commission Chairman Daniel] Maffei said. “If those practices are abused it tends to decrease capacity, which makes things worse,”

The full article can be found at:

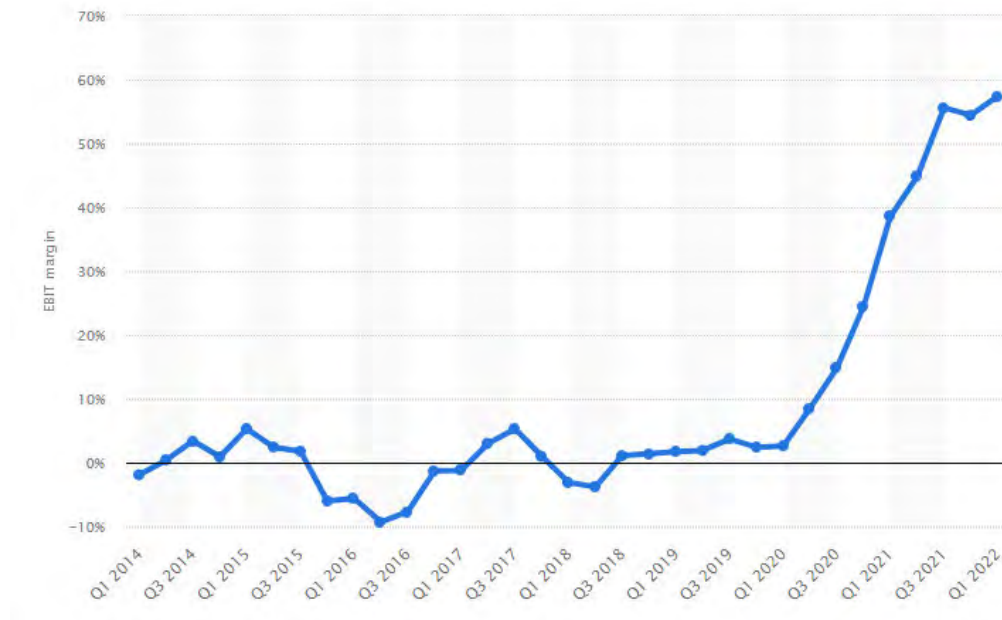
<https://www.freightwaves.com/news/fmc-onboard-for-bidens-ocean-carrier-crackdown>

Information regarding Maersk's operational and financial condition is reflected in the following graphs:

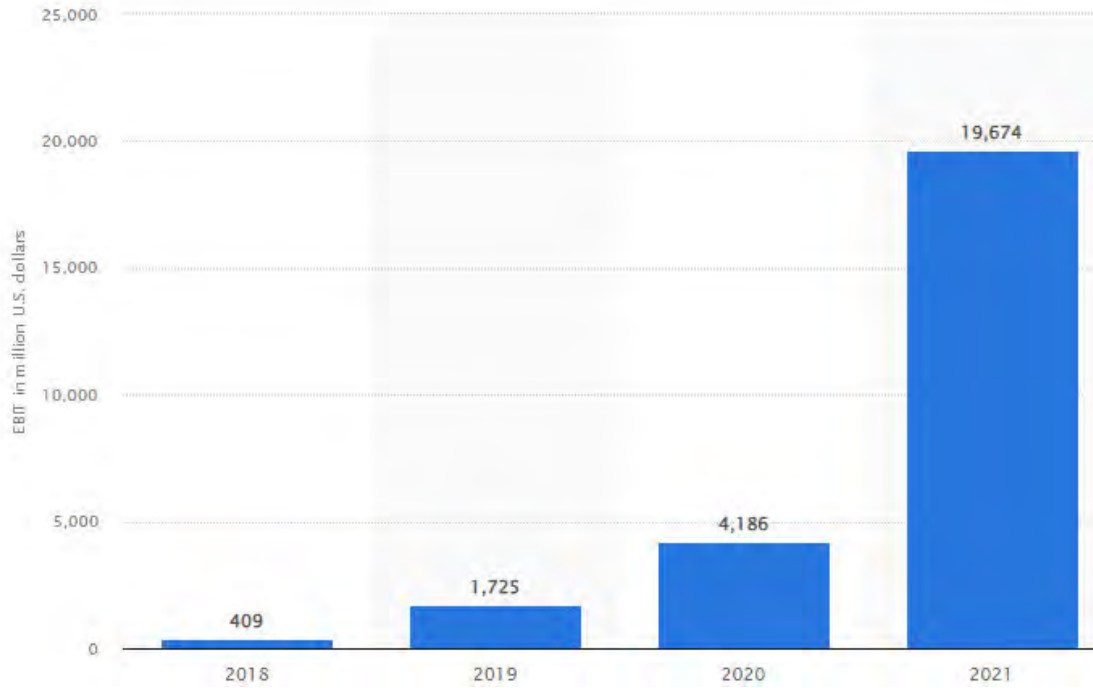
Maersk Financials 2019-2022



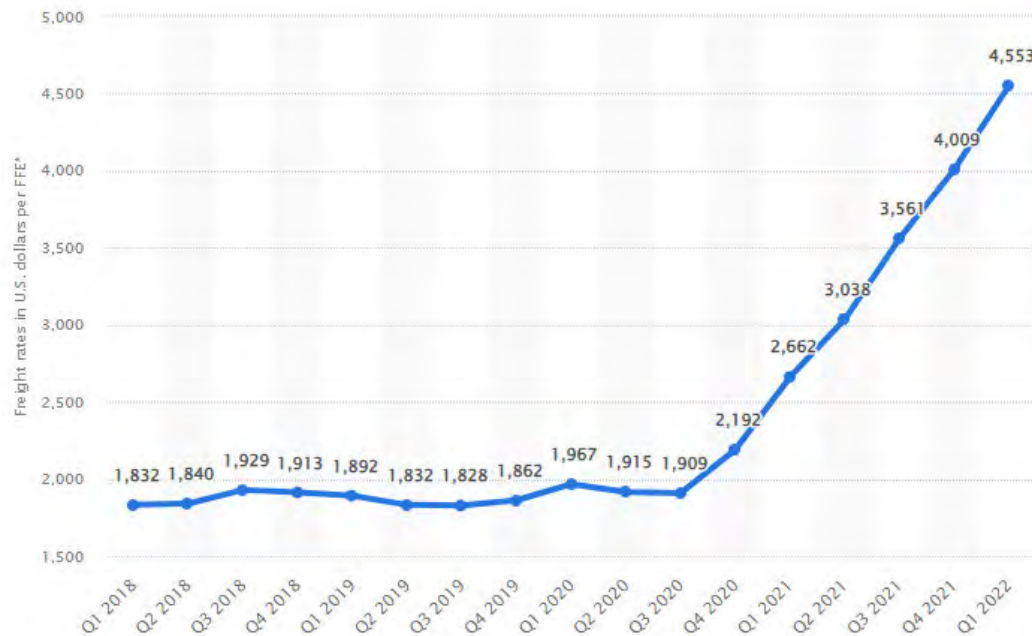
“Average EBIT margins of main container carriers from the first quarter of 2014 to the first quarter of 2022” (Source: Statista)



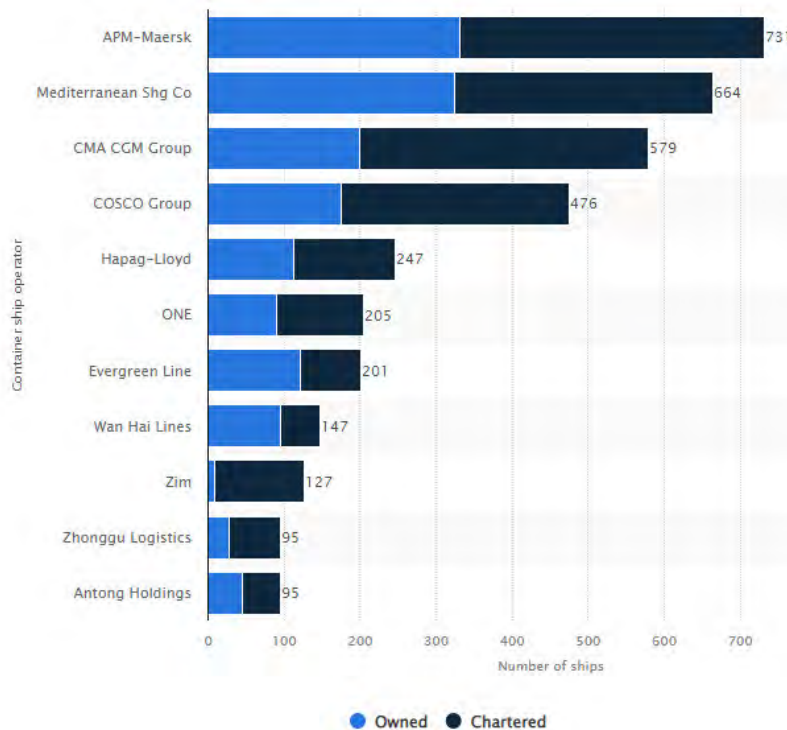
“Moeller-Maersk's EBIT from FY 2018 to FY 2021” (Source: Statista)



“Container freight rates of A.P. Møller - Maersk A/S globally from Q1 2018 to Q1 2022” Source: Statist)



“The world's leading container ship operators as of April 30, 2022, based on number of owned and chartered ships” (Source: Statista)



Damages Beyond 2021 Contract

All of the damages computed in this expert report relate only to the period ending May 31, 2022. It is possible that damages continued after May 31, 2022, but these additional damages have not been quantified at this time.

Summary of Opinions

Using the various alternative methods outline in this expert report, I compute the damages caused by Respondents' alleged actions to be:

OJ Commerce, LLC Summary of Damages				
Alternative Method	Range of Damages			
Calculated Lost Profits	\$	96,469,820	to	\$ 107,916,059
Shipping Rate Differential	\$	52,919,909	to	\$ 66,163,510
Market Value of Lost Revenue	\$	55,184,208	to	\$ 61,753,757

I reserve the right to amend this opinion once discovery is complete. My opinions are given to a reasonable degree of professional certainty.

Documents and Information Considered

Documents reviewed to complete my expert report include:

- Contract No. AECC0000291 between Hamburg Sud and OJC effective June 23, 2020
- Verified Complaint dated November 23, 2021 and served December 13, 2021, Docket No. 21-11 (FMC)
- Amended Verified Complaint dated February 2, 2022, Docket No. 21-11 (FMC)
- Preliminary Damages Calculation Statement
- Hamburg Sud Supplemental Preliminary Damage Calculations Summary
- OJC Damages Data
- BTIG Valuation Deck
- Nomura Valuation Deck
- Affidavit of Michael Gast, Jr.
- Excel File titled HS007241
- Expert report of Ricardo Zayas dated August 5, 2022
- Respondent's (Hamburg Germany) Answers dated March 1, 2022
- Respondent's (Hamburg NA) Answers dated March 1, 2022
- Excel File titled Container Projections 2021
- HS - 010443-010444
- HS – 011342-011345
- HS – 012481-012487
- HS – 012567-012573
- <https://www.bloomberg.com/news/articles/2022-08-02/maersk-raises-profit-forecast-as-congestions-boost-freight-rates>
- <https://www.whitehouse.gov/briefing-room/presidential-actions/2021/07/09/executive-order-on-promoting-competition-in-the-american-economy/>
- <https://www.whitehouse.gov/briefing-room/statements-releases/2021/07/09/fact-sheet-executive-order-on-promoting-competition-in-the-american-economy/>
- <https://www.freightwaves.com/news/fmc-onboard-for-bidens-ocean-carrier-crackdown>
- <https://www.statista.com/>
- <https://www.drewry.co.uk/supply-chain-advisors/supply-chain-expertise/world-container-index-assessed-by-drewry>
- <https://www.xeneta.com>
- <https://investor.maersk.com/>
- <https://investor.maersk.com/static-files/799655a0-4b8d-4c88-ac6b-e9e81baf9e8b>

Prior Testimony

A listing of cases where I have recently provided testimony is listed as **Exhibit C**.

Background, Experience and Fees

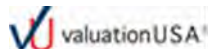
The bases for my opinions include the documents referred to above my professional experience and educational background.

I have been involved in hundreds of matters involving damages and business valuations in a variety of venues over the past thirty years. I have been appointed by the Courts as an expert witness and Financial Early Neutral Evaluator and testified on more than 145 occasions. I am a frequent speaker locally and nationally on business valuation, damages and related topics, having developed and/or taught more than 170 courses to various professional and business organizations. **Exhibit D** to this report is my formal curriculum vitae.

ValuationUSA is being compensated for my time at my standard rate of \$375 per hour. My fees are not contingent upon the outcome of this matter or any opinions expressed.



Richard C. Berning, CPA/ABV/CFF, CBA, CVA, ABAR, CMA
Shareholder



Dated: September 2, 2022

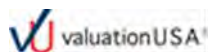


EXHIBIT A

Week Number	week	ending	containers	Expected	Shortfall
26	6/23/2020	6/29/2020	0	4	4
27	6/30/2020	7/6/2020	0	4	4
28	7/7/2020	7/13/2020	8	4	0
29	7/14/2020	7/20/2020	2	4	2
30	7/21/2020	7/27/2020	3	4	1
31	7/28/2020	8/3/2020	2	4	2
32	8/4/2020	8/10/2020	6	5	0
33	8/11/2020	8/17/2020	2	5	3
34	8/18/2020	8/24/2020	2	5	3
35	8/25/2020	8/31/2020	9	5	0
36	9/1/2020	9/7/2020	2	5	3
37	9/8/2020	9/14/2020	0	5	5
38	9/15/2020	9/21/2020	3	5	2
39	9/22/2020	9/28/2020	6	5	0
40	9/29/2020	10/5/2020	0	5	5
41	10/6/2020	10/12/2020	3	5	2
42	10/13/2020	10/19/2020	2	5	3
43	10/20/2020	10/26/2020	2	5	3
44	10/27/2020	11/2/2020	3	5	2
45	11/3/2020	11/9/2020	8	5	0
46	11/10/2020	11/16/2020	20	5	0
47	11/17/2020	11/23/2020	3	5	2
48	11/24/2020	11/30/2020	13	5	0
49	12/1/2020	12/7/2020	6	5	0
50	12/8/2020	12/14/2020	3	5	2
51	12/15/2020	12/21/2020	3	5	2
52	12/22/2020	12/28/2020	5	5	0
53	12/29/2020	1/4/2021	6	5	0
2	1/5/2021	1/11/2021	1	5	4
3	1/12/2021	1/18/2021	2	5	3
4	1/19/2021	1/25/2021	6	5	0
5	1/26/2021	2/1/2021	8	5	0
6	2/2/2021	2/8/2021	2	5	3
7	2/9/2021	2/15/2021	1	5	4
8	2/16/2021	2/22/2021	4	5	1
9	2/23/2021	3/1/2021	0	5	5
10	3/2/2021	3/8/2021	1	5	4
11	3/9/2021	3/15/2021	1	5	4
12	3/16/2021	3/22/2021	2	5	3
13	3/23/2021	3/29/2021	2	5	3
14	3/30/2021	4/5/2021	4	5	1
15	4/6/2021	4/12/2021	4	5	1
16	4/13/2021	4/19/2021	1	5	4
17	4/20/2021	4/26/2021	0	5	5
18	4/27/2021	5/3/2021	2	5	3
19	5/4/2021	5/10/2021	7	5	0
20	5/11/2021	5/17/2021	4	5	1
21	5/18/2021	5/24/2021	3	5	2
22	5/25/2021	5/31/2021	1	5	4
				Total Shortfall	105

EXHIBIT B

id	po_number	waybill	received	origin	destination	shipping	shipper	shipped	Profits	Revenue	HS Est Rate	Overcharge
4990763	8859766432	GXCUS721300	7/20/2021	Yantian	LA/LB	\$ 2,233.94	Hamburg Sud	6/1/2021	\$ 31,084.64	\$ 69,700.44	\$ 1,889.00	\$ 344.94
4990762	8863146434	MRKU3142506	7/20/2021	Yantian	LA/LB	\$ 2,233.94	Hamburg Sud	6/1/2021	\$ 31,043.66	\$ 69,577.22	\$ 1,889.00	\$ 344.94
5294619	8877253240	TLLU6852525	7/13/2021	Yantian	LA/LB	\$ 2,115.44	Hamburg Sud	6/1/2021	\$ 32,067.53	\$ 72,523.49	\$ 1,889.00	\$ 226.44
4990764	8822958155	MSKU1597679	7/19/2021	Yantian	LA/LB	\$ 2,112.94	Hamburg Sud	6/1/2021	\$ 27,960.27	\$ 67,102.94	\$ 1,889.00	\$ 223.94
5294622	8850148293	GXCUS705892	7/13/2021	Yantian	LA/LB	\$ 2,115.44	Hamburg Sud	6/1/2021	\$ 30,999.38	\$ 71,267.05	\$ 1,889.00	\$ 226.44
5341390	8803522173	PONU7957303	8/6/2021	Ho Chi Minh	LA/LB	\$ 2,122.94	Hamburg Sud	6/2/2021	\$ 15,152.46	\$ 71,282.94	\$ 1,889.00	\$ 233.94
4751519	8837954598	TRHU8489601	7/14/2021	Yantian	LA/LB	\$ 2,115.44	Hamburg Sud	6/2/2021	\$ 30,482.66	\$ 68,920.26	\$ 1,889.00	\$ 226.44
4816669	8825174683	MSKU1228177	7/14/2021	Yantian	LA/LB	\$ 2,115.44	Hamburg Sud	6/2/2021	\$ 26,102.45	\$ 63,800.55	\$ 1,889.00	\$ 226.44
4816647	8800272092	BMOU4268879	7/19/2021	Shanghai	LA/LB	\$ 2,236.44	Hamburg Sud	6/2/2021	\$ 10,438.14	\$ 34,603.22	\$ 1,889.00	\$ 347.44
4844516	8805570562	SUDU6976489	7/16/2021	Shanghai	LA/LB	\$ 2,236.44	Hamburg Sud	6/2/2021	\$ 10,895.02	\$ 34,296.26	\$ 1,889.00	\$ 347.44
5186536	8864657741	TRHU8490330	7/13/2021	Ningbo	LA/LB	\$ 2,243.94	Hamburg Sud	6/2/2021	\$ 10,312.25	\$ 33,811.50	\$ 1,889.00	\$ 354.94
5186535	8819495957	TRHU8491759	7/14/2021	Ningbo	LA/LB	\$ 2,243.94	Hamburg Sud	6/2/2021	\$ 10,307.01	\$ 33,766.15	\$ 1,889.00	\$ 354.94
5233051	8848267457	MSKU8709467	7/16/2021	Brazil	Louisville	\$ 4,038.00	Hamburg Sud	6/6/2021	\$ 50,017.82	\$ 99,408.91	\$ 3,673.00	\$ 365.00
5186548	885373410	FCIU9678283	8/13/2021	Xiamen	CRISOSA	\$ 7,581.94	Cosco	6/22/2021	\$ 48,739.92	\$ 103,897.03	\$ 1,889.00	\$ 5,692.94
4751515	8897213595	OOLU8517105	8/30/2021	Yantian	CRISOSA	\$ 7,581.94	Cosco	6/22/2021	\$ 30,066.36	\$ 60,972.95	\$ 1,889.00	\$ 5,692.94
5268424	8895259411	DFSU6796711	8/30/2021	Shanghai	CRISOSA	\$ 7,500.00	Cosco	6/30/2021	\$ 23,631.66	\$ 47,789.43	\$ 1,889.00	\$ 5,611.00
5126667	8809218925	TGBU4716895	8/25/2021	Shanghai	CRISOSA	\$ 7,500.00	Cosco	6/30/2021	\$ 23,631.66	\$ 47,789.43	\$ 1,889.00	\$ 5,611.00
4990755	8820216974	OOLU8756033	8/30/2021	Ningbo	CRISOSA	\$ 7,500.00	Cosco	7/10/2021	\$ 23,258.10	\$ 60,723.66	\$ 1,889.00	\$ 5,611.00
4891221	8837321915	TGBU8018547	9/13/2021	Dalian	CRISOSA	\$ 7,500.00	Cosco	7/23/2021	\$ 12,547.79	\$ 32,374.87	\$ 1,889.00	\$ 5,611.00
4816662	8802267926	BMOU5126776	9/13/2021	Dalian	CRISOSA	\$ 7,500.00	Cosco	7/23/2021	\$ 9,983.05	\$ 29,100.94	\$ 1,889.00	\$ 5,611.00
5418106	8885207516	MRSU3702748	10/1/2021	Brazil	Louisville	\$ 5,798.00	Hamburg Sud	8/6/2021	\$ 48,839.03	\$ 99,740.95	\$ 3,673.00	\$ 2,125.00
5135858	8802893116	MRKU4101570	10/11/2021	Brazil	Louisville	\$ 6,697.00	Hamburg Sud	8/6/2021	\$ 23,629.86	\$ 73,450.34	\$ 3,673.00	\$ 3,024.00
5245310	8873629594	TCNU8678725	10/15/2021	Brazil	Louisville	\$ 5,273.00	Hamburg Sud	8/27/2021	\$ 41,190.39	\$ 103,623.12	\$ 3,673.00	\$ 1,600.00
5245311	8858934493	TCLU5518290	10/13/2021	Brazil	Louisville	\$ 5,273.00	Hamburg Sud	8/27/2021	\$ 40,519.01	\$ 101,726.41	\$ 3,673.00	\$ 1,600.00
5245312	8851613894	HASU4222548	10/8/2021	Brazil	Louisville	\$ 5,273.00	Hamburg Sud	8/27/2021	\$ 40,184.95	\$ 101,360.00	\$ 3,673.00	\$ 1,600.00
5418108	8873322440	MRKU2322355	10/11/2021	Brazil	Louisville	\$ 5,468.00	Hamburg Sud	8/27/2021	\$ 49,013.59	\$ 100,515.36	\$ 3,673.00	\$ 1,795.00
5245313	8842951644	MSKU9538883	10/14/2021	Brazil	Louisville	\$ 5,273.00	Hamburg Sud	9/8/2021	\$ 40,518.70	\$ 103,177.37	\$ 3,673.00	\$ 1,600.00
5418107	8803043320	MRKU2425775	11/15/2021	Brazil	Louisville	\$ 5,351.00	Hamburg Sud	9/30/2021	\$ 48,029.31	\$ 98,267.21	\$ 3,673.00	\$ 1,678.00
5093091	8887597699	UETU5161421	11/22/2021	Xiamen	CRISOSA	\$ 9,650.00	Cosco	10/9/2021	\$ 40,290.73	\$ 97,153.98	\$ 1,889.00	\$ 7,761.00
5294595	8854234967	MEDU8523818	12/3/2021	Fuzhou	CRISOSA	\$ 12,250.63	MSC	10/10/2021	\$ 46,155.96	\$ 103,693.14	\$ 2,139.00	\$ 10,111.63
5093090	8832503081	OOLU6756163	11/23/2021	Xiamen	CRISOSA	\$ 9,000.00	Cosco	10/14/2021	\$ 37,681.10	\$ 104,142.49	\$ 1,889.00	\$ 7,111.00
5093092	8821698136	CCLU7046216	12/3/2021	Xiamen	CRISOSA	\$ 10,702.42	Cosco	10/16/2021	\$ 34,384.21	\$ 111,492.83	\$ 1,889.00	\$ 8,813.42
5341386	8805481079	BMOU5221834	12/10/2021	Ningbo	CRISOSA	\$ 8,880.00	Evergreen	10/16/2021	\$ 36,324.98	\$ 106,168.26	\$ 1,889.00	\$ 6,991.00
5186543	8873890182	BMOU5449803	12/20/2021	Xiamen	CRISOSA	\$ 12,429.46	Evergreen	10/17/2021	\$ 44,004.23	\$ 88,420.55	\$ 1,889.00	\$ 10,540.46
5186570	8815494020	BMOU4481903	12/7/2021	Yantian	CRISOSA	\$ 10,509.00	Evergreen	10/17/2021	\$ 33,909.71	\$ 72,833.23	\$ 1,889.00	\$ 8,620.00
5294627	8818027935	TCLU1662000	11/30/2021	Yantian	CRISOSA	\$ 9,000.00	ONE	10/19/2021	\$ 33,988.83	\$ 72,993.03	\$ 1,889.00	\$ 7,111.00
5294624	8800497653	TCNU5867155	12/2/2021	Yantian	CRISOSA	\$ 12,853.84	Cosco	10/20/2021	\$ 31,260.15	\$ 71,795.67	\$ 1,889.00	\$ 10,964.84
5294623	8872750124	CSNU6165590	11/30/2021	Yantian	CRISOSA	\$ 9,000.00	Cosco	10/23/2021	\$ 34,934.93	\$ 76,127.69	\$ 1,889.00	\$ 7,111.00
5186574	8867628791	TCLU6468147	1/17/2022	Fuzhou	CRISOSA	\$ 10,620.46	Evergreen	11/12/2021	\$ 45,833.39	\$ 103,197.56	\$ 2,139.00	\$ 8,481.46
5186547	8811785617	BMOU4628208	12/20/2021	Xiamen	CRISOSA	\$ 10,690.46	Evergreen	11/12/2021	\$ 33,572.27	\$ 78,275.30	\$ 1,889.00	\$ 8,801.46
5418111	8834225772	TCLU6216142	12/30/2021	Brazil	Louisville	\$ 11,002.00	Hapag-Lloyd	11/19/2021	\$ 43,328.77	\$ 106,759.05	\$ 3,673.00	\$ 7,329.00
5294605	8871814471	HLXU6501763	12/29/2021	Brazil	Louisville	\$ 11,024.00	Hapag-Lloyd	11/19/2021	\$ 41,446.07	\$ 102,986.40	\$ 3,673.00	\$ 7,351.00
5294604	8813128761	UACU5781048	12/30/2021	Brazil	Louisville	\$ 11,059.00	Hapag-Lloyd	11/19/2021	\$ 41,443.03	\$ 102,981.20	\$ 3,673.00	\$ 7,386.00
5454300	8894705363	UACU5751280	1/5/2022	Brazil	Louisville	\$ 11,024.00	Hapag-Lloyd	11/19/2021	\$ 48,706.65	\$ 99,527.17	\$ 3,673.00	\$ 7,351.00
5245314	8861632760	UACU5556828	12/28/2021	Brazil	Louisville	\$ 10,905.00	Hapag-Lloyd	11/19/2021	\$ 37,593.71	\$ 98,439.02	\$ 3,673.00	\$ 7,232.00
5126661	8815790097	TRHU5793400	1/12/2022	Yantian	CRISOSA	\$ 9,814.46	Cosco	12/8/2021	\$ 25,472.87	\$ 57,969.50	\$ 1,889.00	\$ 7,925.46
5294611	8861216548	CBHU8914196	1/12/2022	Yantian	CRISOSA	\$ 9,814.46	Cosco	12/8/2021	\$ 24,239.33	\$ 55,241.41	\$ 1,889.00	\$ 7,925.46
5294620	8879408465	OOCU7087657	2/1/2022	Yantian	CRISOSA	\$ 9,779.46	Cosco	12/8/2021	\$ 25,593.96	\$ 58,494.05	\$ 1,889.00	\$ 7,890.46

5294630	8876798506	BMOU4920020	1/12/2022	Yantian	CRISOSA	\$ 9,669.46	Cosco	12/8/2021	\$ 18,558.96	\$ 46,574.90	\$ 1,889.00	\$ 7,780.46
5186569	8849497241	OOLU9870143	1/20/2022	Yantian	CRISOSA	\$ 9,474.46	Cosco	12/10/2021	\$ 31,060.60	\$ 67,189.01	\$ 1,889.00	\$ 7,585.46
5186546	8860939880	TCNU2927374	3/8/2022	Xiamen	CRISOSA	\$ 9,511.42	MSC	12/12/2021	\$ 53,614.85	\$ 103,207.37	\$ 1,889.00	\$ 7,622.42
5268425	8882265623	MSDU7986610	2/24/2022	Shanghai	CRISOSA	\$ 9,471.42	MSC	12/12/2021	\$ 23,633.81	\$ 47,811.39	\$ 1,889.00	\$ 7,582.42
5126668	8836381967	MSDU7572970	2/25/2022	Shanghai	CRISOSA	\$ 9,331.42	MSC	12/12/2021	\$ 23,631.66	\$ 47,789.43	\$ 1,889.00	\$ 7,442.42
5126675	8859998465	TCLU5337327	2/16/2022	Fuzhou	CRISOSA	\$ 9,191.42	MSC	12/12/2021	\$ 12,250.62	\$ 38,471.24	\$ 2,139.00	\$ 7,052.42
5186554	8864163928	MEDU4771930	3/1/2022	Fuzhou	CRISOSA	\$ 9,226.42	MSC	12/12/2021	\$ 11,494.65	\$ 37,976.79	\$ 2,139.00	\$ 7,087.42
5268428	8866392414	MSMU8318870	2/18/2022	Ningbo	CRISOSA	\$ 9,266.42	MSC	12/12/2021	\$ 11,514.00	\$ 34,235.27	\$ 1,889.00	\$ 7,377.42
5734713	8832022779	OOCU7512606	1/19/2022	Yantian	CRISOSA	\$ 9,719.46	Cosco	12/17/2021	\$ 24,986.92	\$ 60,935.33	\$ 1,889.00	\$ 7,830.46
5734721	8880205042	CAIU7016736	1/20/2022	Yantian	CRISOSA	\$ 9,754.46	Cosco	12/17/2021	\$ 22,298.38	\$ 52,530.83	\$ 1,889.00	\$ 7,865.46
4750049	8856476020	OOCU8565386	3/17/2022	Xiamen	CRISOSA	\$ 11,341.42	Cosco	1/20/2022	\$ 25,365.42	\$ 77,419.36	\$ 1,889.00	\$ 9,452.42
5126669	8815417215	PONU8192970	3/25/2022	Xiamen	CRISOSA	\$ 6,146.42	Maersk	1/23/2022	\$ 34,460.09	\$ 111,726.08	\$ 1,889.00	\$ 4,257.42
5126671	8870334794	MRSU4412656	4/1/2022	Xiamen	CRISOSA	\$ 6,181.42	Maersk	1/23/2022	\$ 40,290.73	\$ 97,153.98	\$ 1,889.00	\$ 4,292.42
5734726	8855125356	MRKU2110459	3/24/2022	Yantian	CRISOSA	\$ 6,111.42	Maersk	1/23/2022	\$ 31,398.37	\$ 67,766.29	\$ 1,889.00	\$ 4,222.42
5734720	8801665052	TCNU1723611	4/4/2022	Yantian	CRISOSA	\$ 6,111.42	Maersk	1/23/2022	\$ 21,582.80	\$ 51,350.77	\$ 1,889.00	\$ 4,222.42
5664910	8891872230	MRKU3290268	3/23/2022	Yantian	CRISOSA	\$ 6,111.42	Maersk	1/23/2022	\$ 18,501.83	\$ 46,827.35	\$ 1,889.00	\$ 4,222.42
5186541	8869547880	MSKU1358340	3/29/2022	Xiamen	CRISOSA	\$ 6,186.42	Maersk	1/23/2022	\$ 16,705.49	\$ 42,325.93	\$ 1,889.00	\$ 4,297.42
5186555	8865409955	MRKU3249330	4/8/2022	Fuzhou	CRISOSA	\$ 6,076.42	Maersk	1/23/2022	\$ 9,566.91	\$ 38,021.69	\$ 2,139.00	\$ 3,937.42
5186560	8849038161	BMOU4179935	4/5/2022	Fuzhou	CRISOSA	\$ 4,245.00	Maersk	1/23/2022	\$ 10,320.09	\$ 36,148.62	\$ 2,139.00	\$ 2,106.00
5126680	8826457734	MSKU1977318	3/30/2022	Fuzhou	CRISOSA	\$ 4,245.00	Maersk	1/23/2022	\$ 9,938.22	\$ 35,534.03	\$ 2,139.00	\$ 2,106.00
5126666	8893889971	MRKU3160921	4/4/2022	Yantian	CRISOSA	\$ 6,286.42	Maersk	1/27/2022	\$ 20,104.95	\$ 67,645.42	\$ 1,889.00	\$ 4,397.42
4990789	8882725709	MRSU4533874	3/28/2022	Yantian	CRISOSA	\$ 4,245.00	Maersk	1/27/2022	\$ 18,033.47	\$ 46,586.47	\$ 1,889.00	\$ 2,356.00
5689841	8810036998	BEAU6346410	4/1/2022	Yantian	CRISOSA	\$ 4,245.00	Maersk	1/27/2022	\$ 20,351.17	\$ 50,111.45	\$ 1,889.00	\$ 2,356.00
5454301	8881930426	APMU8072659	7/1/2022	Brazil	Louisville	\$ 10,065.00	Maersk	2/7/2022	\$ 47,373.29	\$ 99,577.85	\$ 3,673.00	\$ 6,392.00
5245315	8856442361	UETU5494320	7/1/2022	Brazil	Louisville	\$ 10,092.50	Maersk	2/10/2022	\$ 37,217.29	\$ 97,541.07	\$ 3,673.00	\$ 6,419.50
5418112	8841876534	TRHU8316925	6/28/2022	Brazil	Louisville	\$ 10,137.50	Maersk	2/14/2022	\$ 39,110.03	\$ 102,137.52	\$ 3,673.00	\$ 6,464.50
5454303	8874973986	TLLU5260136	6/2/2022	Brazil	Louisville	\$ 9,236.00	Maersk	2/18/2022	\$ 47,373.29	\$ 99,577.85	\$ 3,673.00	\$ 5,563.00
5664906	8886565287	OOCU7199132	3/24/2022	Xiamen	CRISOSA	\$ 9,400.00	OOCL	2/20/2022	\$ 42,712.50	\$ 90,582.53	\$ 1,889.00	\$ 7,511.00
5721886	8838593771	CSNU7684815	4/8/2022	Fuzhou	CRISOSA	\$ 9,400.00	Cosco	2/21/2022	\$ 24,874.62	\$ 77,946.71	\$ 2,139.00	\$ 7,261.00
5664905	8873619279	CBHU7022786	4/11/2022	Xiamen	CRISOSA	\$ 9,400.00	Cosco	2/21/2022	\$ 27,572.98	\$ 65,195.57	\$ 1,889.00	\$ 7,511.00
5341382	8882217660	OOLU6810114	4/8/2022	Xiamen	CRISOSA	\$ 9,400.00	OOCL	2/21/2022	\$ 16,311.15	\$ 59,703.35	\$ 1,889.00	\$ 7,511.00
4750045	8800217179	OOLU9115754	4/7/2022	Qingdao	CRISOSA	\$ 9,400.00	OOCL	2/25/2022	\$ 40,906.54	\$ 90,770.96	\$ 1,889.00	\$ 7,511.00
5294609	8858130235	CBHU9145624	3/17/2022	Ningbo	CRISOSA	\$ 11,166.42	Cosco	2/25/2022	\$ 22,771.87	\$ 48,387.71	\$ 1,889.00	\$ 9,277.42
5186545	8829931205	TCKU6684724	4/11/2022	Xiamen	CRISOSA	\$ 9,400.00	Cosco	2/28/2022	\$ 38,416.61	\$ 77,741.75	\$ 1,889.00	\$ 7,511.00
5245316	8818818050	TCNU8212906	4/25/2022	Brazil	Louisville	\$ 9,355.00	Maersk	3/1/2022	\$ 37,593.71	\$ 98,439.02	\$ 3,673.00	\$ 5,682.00
5454302	8893715131	UESU4667290	4/22/2022	Brazil	Louisville	\$ 9,669.00	Maersk	3/1/2022	\$ 34,736.84	\$ 98,209.05	\$ 3,673.00	\$ 5,996.00
5294593	8857066560	DFSU6864626	4/14/2022	Xiamen	CRISOSA	\$ 11,142.40	Cosco	3/6/2022	\$ 46,083.39	\$ 103,197.56	\$ 1,889.00	\$ 9,253.40
5664904	8882563313	CSNU6760973	4/15/2022	Xiamen	CRISOSA	\$ 11,142.40	Cosco	3/6/2022	\$ 51,916.25	\$ 99,567.48	\$ 1,889.00	\$ 9,253.40
5186544	8817593084	OOCU7336153	4/15/2022	Xiamen	CRISOSA	\$ 11,142.40	Cosco	3/6/2022	\$ 38,416.61	\$ 77,741.75	\$ 1,889.00	\$ 9,253.40
4916488	8855867385	MSDU7216711	5/4/2022	Qingdao	GLM	\$ 11,408.33	MSC	3/7/2022	\$ 15,043.95	\$ 36,132.86	\$ 1,889.00	\$ 9,519.33
4751532	8880206665	FFAU2500332	5/4/2022	Qingdao	GLM	\$ 11,408.33	MSC	3/7/2022	\$ 15,090.92	\$ 36,276.39	\$ 1,889.00	\$ 9,519.33
5294612	8869326368	CAIU7755870	4/5/2022	Yantian	CRISOSA	\$ 11,196.42	MSC	3/9/2022	\$ 32,209.08	\$ 72,028.60	\$ 1,889.00	\$ 9,307.42
5341387	8832677013	MEDU9364623	5/9/2022	Ningbo	GLM	\$ 10,608.33	MSC	3/14/2022	\$ 38,927.37	\$ 124,436.88	\$ 1,889.00	\$ 8,719.33
5341385	8808526143	TEMU7878185	5/9/2022	Ningbo	GLM	\$ 10,608.33	MSC	3/14/2022	\$ 34,465.48	\$ 96,738.96	\$ 1,889.00	\$ 8,719.33
5268426	8887717470	CAIU9584817	5/9/2022	Ningbo	GLM	\$ 10,608.33	MSC	3/14/2022	\$ 10,620.84	\$ 35,049.75	\$ 1,889.00	\$ 8,719.33
5186537	8875230726	MSMU8142414	5/9/2022	Ningbo	GLM	\$ 10,608.33	MSC	3/14/2022	\$ 10,699.27	\$ 34,760.29	\$ 1,889.00	\$ 8,719.33
5454312	8894172173	CAXU8023259	5/18/2022	Brazil	Louisville	\$ 9,684.00	Maersk	3/17/2022	\$ 37,728.73	\$ 103,857.69	\$ 3,673.00	\$ 6,011.00
5454309	8843295142	MSKU1034850	5/24/2022	Brazil	Louisville	\$ 9,764.00	Maersk	3/17/2022	\$ 37,997.11	\$ 103,501.28	\$ 3,673.00	\$ 6,091.00
5454311	8802908123	MSKU0822482	5/24/2022	Brazil	Louisville	\$ 9,644.00	Maersk	3/17/2022	\$ 37,997.11	\$ 103,501.28	\$ 3,673.00	\$ 5,971.00

5454304	8859136850	MSKU8689360	6/15/2022	Brazil	Louisville	\$ 9,028.50	Maersk	3/17/2022	\$ 37,997.11	\$ 103,501.28	\$ 3,673.00	\$ 5,355.50
5454305	8859074810	MRSU3120201	5/13/2022	Brazil	Louisville	\$ 9,644.00	Maersk	3/17/2022	\$ 37,103.58	\$ 102,604.97	\$ 3,673.00	\$ 5,971.00
5418113	8815257922	MRSU3274681	6/15/2022	Brazil	Louisville	\$ 9,028.50	Maersk	3/17/2022	\$ 40,203.70	\$ 101,422.17	\$ 3,673.00	\$ 5,355.50
5854540	8893156293	HAMU1321946	5/16/2022	Brazil	Louisville	\$ 9,493.00	Hapag-Lloyd	3/17/2022	\$ 47,611.56	\$ 100,164.30	\$ 3,673.00	\$ 5,820.00
5454310	8817484447	TCLU9343966	5/27/2022	Brazil	Louisville	\$ 9,644.00	Maersk	3/17/2022	\$ 34,899.93	\$ 97,210.31	\$ 3,673.00	\$ 5,971.00
5186573	8839891601	OOCU9044280	5/4/2022	Xiamen	GLM	\$ 8,100.00	Cosco	3/24/2022	\$ 47,696.25	\$ 105,675.43	\$ 1,889.00	\$ 6,211.00
5904165	8857009207	CBHU9051124	5/4/2022	Xiamen	GLM	\$ 8,100.00	Cosco	3/24/2022	\$ 27,778.06	\$ 86,468.53	\$ 1,889.00	\$ 6,211.00
5854547	8841057390	WHLU5727082	5/16/2022	Ningbo	GLM	\$ 10,400.00	WHL	3/24/2022	\$ 26,800.45	\$ 58,666.58	\$ 1,889.00	\$ 8,511.00
5186550	8808552364	CBHU9411365	5/4/2022	Xiamen	GLM	\$ 8,100.00	Cosco	3/24/2022	\$ 12,726.39	\$ 45,933.33	\$ 1,889.00	\$ 6,211.00
5186551	8806667690	CSNU6487278	5/4/2022	Xiamen	GLM	\$ 8,100.00	Cosco	3/24/2022	\$ 12,726.39	\$ 45,933.33	\$ 1,889.00	\$ 6,211.00
5294626	8816173899	OOLU6799925	5/16/2022	Yantian	GLM	\$ 10,100.00	OOCL	3/27/2022	\$ 31,304.63	\$ 70,937.60	\$ 1,889.00	\$ 8,211.00
5186539	8853430725	WHSU6367854	6/2/2022	Ningbo	CRISOSA	\$ 8,465.00	WHL	4/13/2022	\$ 10,701.26	\$ 34,779.02	\$ 1,889.00	\$ 6,576.00
4844510	8881274888	OOLU8801277	6/16/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/14/2022	\$ 19,899.92	\$ 65,864.17	\$ 1,889.00	\$ 6,311.00
5294600	8862595452	OOCU7757023	6/14/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/14/2022	\$ 12,130.34	\$ 47,464.76	\$ 1,889.00	\$ 6,311.00
5186552	8845104777	FFAU3167951	6/17/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/14/2022	\$ 14,043.09	\$ 45,933.33	\$ 1,889.00	\$ 6,311.00
5854539	8839699396	BSIU9403940	6/15/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/15/2022	\$ 54,835.82	\$ 105,719.77	\$ 1,889.00	\$ 6,311.00
5851186	8865399458	TCKU7897386	6/15/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/15/2022	\$ 42,167.42	\$ 91,326.52	\$ 1,889.00	\$ 6,311.00
5950110	8840283193	GXCXU5154341	6/14/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/15/2022	\$ 31,571.09	\$ 81,001.23	\$ 1,889.00	\$ 6,311.00
5664912	8837430048	OOLU9956186	6/16/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/15/2022	\$ 20,122.55	\$ 70,316.53	\$ 1,889.00	\$ 6,311.00
5813222	8882261703	TGBU8776505	6/14/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/15/2022	\$ 11,886.60	\$ 54,572.93	\$ 1,889.00	\$ 6,311.00
5854551	8830175724	CSNU6260427	6/15/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/15/2022	\$ 6,557.08	\$ 27,398.50	\$ 1,889.00	\$ 6,311.00
5294602	8808174154	TGBU8943290	5/20/2022	Xiamen	CRISOSA	\$ 8,400.00	Cosco	4/18/2022	\$ 12,726.39	\$ 45,933.33	\$ 1,889.00	\$ 6,511.00
5186553	8877952802	CAAU6121992	5/20/2022	Xiamen	CRISOSA	\$ 8,400.00	Cosco	4/18/2022	\$ 12,726.39	\$ 45,933.33	\$ 1,889.00	\$ 6,511.00
4751533	8825771449	FSCU9349116	6/30/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/20/2022	\$ 15,090.92	\$ 36,276.39	\$ 1,889.00	\$ 6,311.00
5691128	8855788444	OOLU9961670	6/28/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/20/2022	\$ 11,240.49	\$ 34,301.83	\$ 1,889.00	\$ 6,311.00
4916496	8874909572	OOLU9314838	6/30/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	4/20/2022	\$ 10,700.52	\$ 33,735.11	\$ 1,889.00	\$ 6,311.00
5691126	8860184558	APHU7092725	6/2/2022	Shanghai	CRISOSA	\$ 8,465.00	APL	4/22/2022	\$ 22,068.29	\$ 60,746.83	\$ 1,889.00	\$ 6,576.00
5854548	8860911534	BEAU5778023	5/16/2022	Xiamen	GLM	\$ 9,900.00	Cosco	4/23/2022	\$ 8,432.87	\$ 32,576.28	\$ 1,889.00	\$ 8,011.00
5950093	8832688815	CBHU9127359	6/6/2022	Xiamen	CRISOSA	\$ 8,265.00	OOCL	4/25/2022	\$ 38,960.64	\$ 79,082.85	\$ 1,889.00	\$ 6,376.00
5950102	8847934661	DFSU7327344	6/6/2022	Xiamen	CRISOSA	\$ 8,265.00	OOCL	4/25/2022	\$ 28,936.26	\$ 68,950.43	\$ 1,889.00	\$ 6,376.00
5950101	8899674245	OOCU8310929	6/6/2022	Xiamen	CRISOSA	\$ 8,265.00	OOCL	4/27/2022	\$ 28,936.26	\$ 68,950.43	\$ 1,889.00	\$ 6,376.00
5721887	8823982421	OOLU9701225	6/3/2022	Ningbo	CRISOSA	\$ 8,265.00	OOCL	4/28/2022	\$ 26,205.62	\$ 69,198.20	\$ 1,889.00	\$ 6,376.00
5294621	8874998789	FSCU9348737	7/1/2022	Yantian	CRISOSA	\$ 8,400.00	Cosco	4/28/2022	\$ 27,393.33	\$ 69,502.11	\$ 1,889.00	\$ 6,511.00
5294628	8835015535	CBHU8578933	7/6/2022	Yantian	CRISOSA	\$ 8,400.00	Cosco	4/28/2022	\$ 28,091.47	\$ 69,003.45	\$ 1,889.00	\$ 6,511.00
5348757	8864553317	TRHU4201656	6/3/2022	Shanghai	CRISOSA	\$ 8,265.00	OOCL	4/28/2022	\$ 22,741.31	\$ 63,213.65	\$ 1,889.00	\$ 6,376.00
5294625	8894168457	TGBU4744515	6/30/2022	Yantian	CRISOSA	\$ 8,400.00	Cosco	4/28/2022	\$ 25,482.51	\$ 66,908.06	\$ 1,889.00	\$ 6,511.00
5268429	8887501558	MSMU6397308	5/31/2022	Ningbo	CRISOSA	\$ 8,465.00	MSC	4/28/2022	\$ 10,633.66	\$ 35,070.34	\$ 1,889.00	\$ 6,576.00
5186534	8869214787	BMOU6163305	5/31/2022	Ningbo	CRISOSA	\$ 8,465.00	MSC	4/28/2022	\$ 10,702.91	\$ 34,694.60	\$ 1,889.00	\$ 6,576.00
5294614	8805878902	TCNU1381870	7/1/2022	Yantian	CRISOSA	\$ 8,400.00	Hapag-Lloyd	5/7/2022	\$ 36,029.11	\$ 76,317.14	\$ 1,889.00	\$ 6,511.00
5294615	8892113543	CAIU4256800	7/1/2022	Yantian	CRISOSA	\$ 8,400.00	Hapag-Lloyd	5/7/2022	\$ 33,521.30	\$ 71,269.71	\$ 1,889.00	\$ 6,511.00
5963189	8887070526	CMAU5403019	7/11/2022	Ningbo	CRISOSA	\$ 8,400.00	CMA CGM Securities B.V.	5/12/2022	\$ 11,287.30	\$ 34,118.93	\$ 1,889.00	\$ 6,511.00
5854541	8814197336	HLBU2128377	7/1/2022	Brazil	Louisville	\$ 10,459.00	Hapag-Lloyd	5/18/2022	\$ 47,611.56	\$ 100,164.30	\$ 3,673.00	\$ 6,786.00
5294607	8838677159	OOLU8545236	6/21/2022	Ningbo	CRISOSA	\$ 8,200.00	OOCL	5/20/2022	\$ 22,325.86	\$ 61,581.56	\$ 1,889.00	\$ 6,311.00
4751534	8888897936	TRHU6339515	8/16/2022	Ningbo	Louisville	\$ 13,200.00	Evergreen	5/20/2022	\$ 8,779.87	\$ 32,633.98	\$ 3,200.00	\$ 10,000.00
5186540	8883055516	TRLU8042015	6/6/2022	Xiamen	CRISOSA	\$ 8,200.00	OOCL	5/23/2022	\$ 16,705.49	\$ 42,325.93	\$ 1,889.00	\$ 6,311.00
4903151	8878467257	OOCU8796446	6/20/2022	Fuzhou	CRISOSA	\$ 8,400.00	OOCL	5/29/2022	\$ 14,192.27	\$ 59,395.79	\$ 2,139.00	\$ 6,261.00
											Totals	\$ 847,936.99

EXHIBIT C

Richard C. Berning
Testimony Experience
Since 2017

Name	Court	Description	County	Case File Number
Ford v. Minneapolis Public Schools	Fourth Judicial District - MN	Jury Trial Testimony	Hennepin	27-FA-10-17809
Muschik v. Muschik	Tenth Judicial District - MN	Trial Testimony	Sherburne	71-FA-16-131
Veit v. Veit	Tenth Judicial District - MN	Trial Testimony	Wright	86-FA-16-2446
Jeffrey D. Gordon v. Consulting Radiologists, Ltd., Norman Arslanlar, and Christopher L. Tiltonson	Fourth Judicial District - MN	Jury Trial Testimony	Hennepin	27-CV-16-15092
Danielle DePietto v. Sarah Schrantz, Patrick Whelan, and Muddy Waters, LLC	Fourth Judicial District - MN	Deposition Testimony	Hennepin	27-CV-16-8426
Gerczak v. Gerczak	Second Judicial District - MN	Trial Testimony	Ramsey	62-FA-17-2045
Across Big Sky Flow Testing, LLC v. Jared Stowe, Steve Chappell, Zain Kelly, Aaron Burlison, Christopher Vaught, John Vaught, Vann Frost and Superior Oilfield Services	District Court for the Southwest Judicial District of North Dakota.	Deposition Testimony	Stark	45-2018-cv-00320
Center for Diagnostic Imaging vs. Radiology Associates of Fox Valley	Wisconsin Circuit Court	Deposition Testimony	Winnegago	2017-CV-001024
Gerring Properties, Inc. and Quality Car Wash Operations, Ltd v. Martin Gerring and Lori-Ann Gerring	Fourth Judicial District - MN	Evidentiary Hearing Testimony	Hennepin	27-CV-16-12570
Center for Diagnostic Imaging vs. Radiology Associates of Fox Valley	Wisconsin Circuit Court	Deposition Testimony	Winnegago	2017-CV-001024
Reda v. Facente-Reda	First Judicial District - MN	Trial Testimony	Scott	70-FA-18-1331
Schwickert's Tecta America, LLC vs. Scott A. St. Pierre and Albers Mechanical Contractors, Inc.	Second Judicial District - MN	Jury Trial Testimony	Blue Earth	07-CV-17-3428
Laumann vs. Laumann	Fourth Judicial District - MN	Trial Testimony	Hennepin	27-FA-19-2719
Zarn vs. Zarn	Fifth Judicial District - MN	Trial Testimony	Martin	46-FA-18-976
Slaughter v. Newman	Sixth Judicial District - MN	Trial Testimony	Cook	16-FA-19-19
Marko v. Marko	Fourth Judicial District - MN	Deposition Testimony	Hennepin	27-FA-19-2338
Annen v. Annen	First Judicial District - MN	Trial Testimony	Scott	70-FA-19-10720

**Richard C. Berning
Testimony Experience
Since 2017**

Name	Court	Description	County	Case File Number
Zimmer v. Zimmer	First Judicial District - MN	Trial Testimony	Scott	70-FA-19-18855
Adams v. Adams	Fourth Judicial District - MN	Trial Testimony	Hennepin	27-FA-20-2490
Cady v. Cady	Tenth Judicial District - MN	Trial Testimony	Wright	86-FA-21-1265

EXHIBIT D

Richard C. Berning, CPA/ABV, CBA, CVA, ABAR, CFF, CMA

PROFESSIONAL CREDENTIALS

- Certified Public Accountant, 1985
- Accredited in Business Valuation, 1998
- Certified Business Appraiser, 1997
- Certified Valuation Analyst, 1996
- Accredited in Business Appraisal Review, 2011
- Certified in Financial Forensics, 2008
- Certified Management Accountant, 1986
- Certified Financial Planner, (1990-2009)

PROFESSIONAL EXPERIENCE

Shareholder, Valuation USA (owned and operated by Berning & Heidebrecht, Ltd.) (1997 to present)

Preparation of business valuations for gift and estate tax transactions, ESOPs, charitable contributions, marital dissolutions, business succession planning, management planning, mergers and acquisitions, buy-sell arrangements, dissenting shareholder actions, purchase price allocations, bankruptcy, lost profits and other tax and litigation matters.

Expert witness, Court appointed neutral expert, FENE and mediator for business valuations, tax and cash flow projections, lost profits/damages calculations, marital/non-marital asset determinations and other litigated matters. Testified more than 145 times in various federal and district courts.

Frequent speaker having made more than 165 presentations to local and national legal, accounting, business valuation and other professional organizations and groups.

Adjunct Professor of Economics, University of Northwestern – St. Paul (2013 to 2015)

Manager, Baune Dosen & Co., PLLP (1986 to 1997)

EDUCATION

- Studied at University of Copenhagen (International Finance); DePaul University (Accounting)
- Graduated with a Bachelor of Arts from Luther College, Decorah, IA with majors in Accounting and Economics.

PROFESSIONAL AFFILIATIONS

- American Institute of Certified Public Accountants
- Minnesota Society of Certified Public Accountants
- President and Founder of the National Association of Certified Valuators and Analysts State Chapter of Minnesota
- National Association of Certified Valuators and Analysts
- Minnesota Association of Business Valuation Professionals
- Institute of Management Accountants
- Training Development Team, Quality Enhancement Team and Technical Support Group of the National Association of Certified Valuators and Analysts
- Northstar Chapter of the Institute of Management Accountants
- Former member *Professional Programming Center Advisory Board*, William Mitchell College of Law
- Former Chairman, *Accounting Careers Committee* and former member, *Continuing Professional Education Committee* of the Minnesota Society of CPAs

FACULTY, PUBLICATIONS, SPECIALIZED EDUCATION AND HONORS

2022

- Faculty: Developed and Presented Minnesota CLE's *Buy-Sell Agreements and Business Succession Planning* Live Webcast Seminar
- Faculty: Presented *Business Valuations in an Ag World* at *Agriculture Tax & Accounting Conference*, Minnesota and Iowa Society of CPAs
- Faculty: Developed and Presented Business Law Institute: *Buy-Sell Agreements and Business Succession Planning*, Minnesota State Bar Association CLE
- Faculty: Developed and Presented Minnesota CLE's *Essential Financial Concepts and Strategies: Understanding Tax Returns and Schedules* Live Webcast Seminar
- Planning Task Force: *22st Annual Business Valuation Conference*, Minnesota Society of CPAs

2021

- Faculty: Presented *Minnesota Court Case Update* at *21th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Moderator/Education: *20th Annual Business Valuation Conference*, Minnesota Chapter National Association of Certified Valuators and Analysts
- Faculty: Developed and Presented Minnesota CLE's *Family Law Institute - The Impact of the Pandemic on Business Valuations and Other Financial Matters in Divorce* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Business Valuations for Shareholder Disputes* Live Webcast Seminar
- Planning Task Force/Education: *21st Annual Business Valuation Conference*, Minnesota Society of CPAs

2020

- Faculty: Presented *Minnesota Court Case Update* at *20th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Planning Task Force/Education: *20th Annual Business Valuation Conference*, Minnesota Society of CPAs

2019

- Education: *Business Valuation Deep Dive: Market Approach*, Minnesota Society of CPAs

- Faculty: Presented *Minnesota Court Case Update* at 19th Annual Business Valuation Conference, Minnesota Society of CPAs
- Faculty: Developed and Presented Minnesota CLE's *Family Law Finance: Update on the Impact of the New Tax Plan on Divorce Clients and Lawyers* Live Webcast Seminar
- Moderator/Education: 19th Annual Business Valuation Conference, Minnesota Chapter National Association of Certified Valuators and Analysts
- Faculty: *Family Law Institute – Update on the Impact of the New Tax Plan on Divorce Clients and Lawyers* Minnesota State Bar Association CLE
- Planning Task Force/Education: 19th Annual Business Valuation Conference, Minnesota Society of CPAs

2018

- Faculty: Presented *Minnesota Court Case Update* at 18th Annual Business Valuation Conference, Minnesota Society of CPAs
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Business Valuations in Divorce* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Understanding the Tax Aspects of Divorce Under the New Tax Law* Live Webcast Seminar
- Moderator/Education: 18th Annual Business Valuation Conference, Minnesota Chapter National Association of Certified Valuators and Analysts
- Faculty: Developed and Presented Minnesota CLE's *The Impact of the New Tax Plan on Divorce Clients and Lawyers* Live Webcast Seminar
- Education: *Hitchner's New Year Business Valuation Update*, Valuation Products & Services, LLC
- Planning Task Force/Education: 18th Annual Business Valuation Conference, Minnesota Society of CPAs
- Faculty: Developed and Presented Minnesota CLE's *Advanced Business Valuation Concepts* Live Webcast Seminar

2017

- Faculty/Moderator/Education: 17th Annual Business Valuation Conference, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: Presented *Minnesota Court Case Update* at 17th Annual Business Valuation Conference, Minnesota Society of CPAs
- Planning Task Force/Education: 17th Annual Business Valuation Conference, Minnesota Society of CPAs
- Faculty: Developed and Presented *Tax Consequences to Assets in Light of Curtis v. Curtis*, Minnesota Chapter American Academy of Matrimonial Lawyers

2016

- Moderator/Education: 16th Annual Business Valuation Conference, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Understanding Basic Family Law Accounting Principles* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: The Top 10 Financial Cases Every Family Lawyer Must Know* Live Webcast Seminar
- Faculty: Developed and Presented *Real Estate Institute: Beyond the Basics: Considerations that Influence the Business Valuation for Holding Companies/Family Limited Partnerships* Minnesota State Bar Association CLE
- Planning Task Force/Education: 16th Annual Business Valuation Conference, Minnesota Society of CPAs
- Faculty: Presented *Proposed Changes to Regulations under IRS Code Section 2704*, United States Law Firm Group

- Faculty: Developed and Presented *Probate & Trust Law Section Conference: Holding Company/Family Limited Partnerships – Focused on Ag-Related Issues and Holdings* Minnesota State Bar Association CLE
- Faculty: Developed and Presented Minnesota CLE's *Business Valuation: Understanding Key Concepts* Live Webcast Seminar
- Faculty: Developed and Presented *International Valuation for Corporate Professionals*, Minnesota Society of Certified Public Accountants
- Faculty: Developed and Presented *Business Law Institute – Buy-Sell Agreements* Minnesota State Bar Association CLE
- Education: *26th Annual Business Valuation Conference*, University of St. Thomas
- Faculty: Developed and Presented Minnesota CLE's *Business Law Series: Buy-Sell Agreements* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Business Law Series: Business Valuations for Shareholder Disputes* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Real Estate Series: Real Estate and Estate Planning* Live Webcast Seminar

2015

- Moderator/Education: *15th Annual Business Valuation Conference*, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: Developed and Presented *Tax and Financial Aspects of Divorce* Twin Cities Chapter – Society of Financial Service Professionals
- Planning Task Force/Education: *15th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Business Valuations in Divorce* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Non-Marital Tracing* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *New Lawyer - Accounting* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Buy-Sell Agreements* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Family Law Non-Marital Tracing* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Family Law Business Valuations* Live Webcast Seminar
- Faculty: *Family Law Institute – The Top 10 Cases Every Family Lawyer Must Know* Minnesota State Bar Association CLE
- Faculty: Developed and Presented Minnesota CLE's *Business Law Series: Advanced Business Valuations* Live Webcast Seminar
- Planning Task Force/Faculty/Education: *25th Annual Business Valuation Conference*, University of St. Thomas
- Faculty: Developed and Presented Minnesota CLE's *Business Law Series: Buy-Sell Agreements* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Business Law Series: Business Valuation Basics – What Judges and Attorneys Really Need to Know* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Bankruptcy/Debtor-Creditor Series: Valuations* Live Webcast Seminar

2014

- Education: *Valuing Family Limited Partnerships; and Analysis of Leading Tax Court Cases*, Consultants' Training Institute

- Moderator/Host/Education: *2014 Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Non-Marital Tracing and Other Complex Financial Issues in Divorce* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Understanding the Tax Aspects of Divorce* Live Webcast Seminar
- Planning Task Force/Education: *14th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: *Business Valuations in the Planned Giving Context* for Minnesota Planned Giving Council 2014 Minnesota Planned Giving Conference
- Faculty: Developed and Presented Minnesota CLE's *Buy-Sell Agreements* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *New Lawyer Experience: What the New Lawyer Needs to Know about Accounting – Understanding Business Valuations, Financial Statements, Property Division, and Tax Returns* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Reading/Understanding Financial Statements & Tax Returns for Attorneys* Live Webcast Seminar
- Education: *Valuation of Oil and Gas Reserves*, AICPA
- Faculty: Developed and Presented Minnesota CLE's *Business Valuations: What Judges and Attorneys Really Need to Know* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Business Law Series: Business Valuation for Shareholder Disputes* Live Webcast Seminar
- Education: *24th Annual Business Valuation Conference*, University of St. Thomas

2013

- Moderator/Host/Presenter: *2013 Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Real Nightmares Tracing Non-Marital Interests in Real Property*
- Faculty for Minnesota Society of CPA's 59th Annual MNCPA Tax Conference. Presentation entitled, *Tax and Financial Aspects of Divorce*
- Faculty: Developed and Presented Minnesota CLE's *Family Law Series: Business Valuation for Divorce* Live Webcast Seminar
- Faculty, Planning Task Force and Education: *13th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Interviewed and quoted: *Changing the Owner's Mindset: Business Valuation for the Real World*, The Suit Magazine, October/November 2013
- Faculty: Minnesota State Bar Association CLE's *Business Valuations – What You Need to Know* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota CLE's *Reading/Understanding Financial Statements & Tax Returns for Attorneys* Live Webcast Seminar
- Faculty: Minnesota CLE and Minnesota State Bar Association's *34th Annual Family Law Institute*. Presentation entitled, *Buying and Selling a Law Practice*
- Faculty: Minnesota State Bar Association CLE's *Business Law Series: Buy-Sell Agreements* Live Webcast Seminar
- Planning Task Force and Education: *23rd Annual Business Valuation Conference*, University of St. Thomas

2012

- Moderator/Host/Presenter: *2012 Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts

- Faculty: Minnesota State Bar Association CLE's *Intellectual Property Series: Damages – a Financial Perspective* Live Webcast Seminar
- Faculty: Minnesota State Bar Association CLE's *Introduction to Minnesota Family Law: Divorce Math – Financial Calculations in Divorce Cases* Seminar
- Faculty: Minnesota State Bar Association CLE's *Business Valuation; What Judges and Attorneys Really Need to Know* Live Webcast Seminar
- Faculty: Minnesota State Bar Association CLE's *Managing Complex Family Law Non-Marital Issues* Live Webcast Seminar
- Planning Task Force and Education: 22nd *Annual Business Valuation Conference*, University of St. Thomas
- Faculty: Minnesota CLE and Minnesota State Bar Association's 33rd *Annual Family Law Institute*. Presentation entitled, "Understanding Complex Non-Marital Issues"
- Education: National Association of Certified Valuation Analysts *Current Update in Valuations*

2011

- Faculty: Minnesota State Bar Association CLE's *Intellectual Property Series: Damages – a Financial Perspective* Live Webcast Seminar
- Moderator/Host/Presenter: 2011 *Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Planning Task Force and Education: 11th *Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: *Business and Holding Entity Valuations* for Minnesota Planned Giving Council 35th Annual Planned Giving Conference
- Faculty: *Business Valuations for CPAs Who Won't Be Preparing Independent Valuations* for the Minnesota Society of Certified Public Accountants
- Education: *Purchase Price Allocation Tax Issues*, Consultants Training Institute
- Presented: *Tax Reform Act of 2010 - Overview and Opportunities from an Estate Planning Perspective*, Financial Planning Association of Minnesota
- Presented: *Reviewing Valuation Reports: Credibility, Reliability and Relevance*, Twin Cities Chapter of the American Society of Appraisers
- Faculty: Minnesota CLE and Minnesota State Bar Association's 32nd *Annual Family Law Institute*. Presentation entitled, "Managing Complex Non-Marital Issues"
- Developed and Presented Minnesota State Bar Association CLE's *Business Valuation for Probate & Estate Lawyers* Live Webcast Seminar
- Planning Task Force and Education: 21st *Annual Business Valuation Conference: Is this the New Normal?*, University of St. Thomas
- Faculty: Minnesota State Bar Association CLE's *Introduction to Minnesota Family Law: Divorce Math – Financial Calculations in Divorce Cases* Seminar
- Presented: *Reviewing Valuation Reports: Credibility, Reliability and Relevance*, North Central Chapter of Institute of Business Appraisers

2010

- Awarded the 2009-2010 *New Discussion Leader Award* by the Minnesota Society of Certified Public Accountants
- Faculty: Developed and Presented Minnesota State Bar Association CLE's *Intellectual Property Series: Damages – a Financial Perspective* Live Webcast Seminar
- Faculty: Hennepin County Bar Association's *Business Valuation Implications in the Current Economy* local seminar

- Faculty: *Basic Family Law Math: Financial Calculations in Divorce Cases*, Minnesota CLE Live Webcast Seminar
- Education: *Business Valuations for SBA Loan Purposes*, National Association of Certified Valuation Analysts
- Education: *Advanced Techniques for Exceptional Report Writing, Parts I and II*, National Association of Certified Valuation Analysts
- Moderator/Host/Presenter: *2010 Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Education: *Estate & Wealth Transfer Planning for Complex Blended Families*, Society of Financial Service Professionals
- Education: *10th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Education: *Buy-Sell Agreements for Closely Held and Family Business Owners*, Mercer Capital
- Education: *3rd Annual Summit on Business Valuation in Divorce*, Business Valuation Resources and Morningstar Valuation Services, held in Chicago
- Education: *Early Case Management and Early Neutral Evaluation*, Minnesota State Bar Association CLE
- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE

2009

- Faculty: *Solving the Most Difficult Problems in Divorce Cases*, Minnesota State Bar Association CLE
- Education: *9th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: *Business Valuations: Family Law Topics*, 10th Judicial District Law Clerks Continuing Legal Education
- Faculty: Developed and Presented Minnesota State Bar Association CLE's *Family Law Series: Advanced Business Valuation and Accounting* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota State Bar Association CLE's *Family Law Series: General Valuation and Accounting* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota State Bar Association CLE's *Basic Family Law Math: Financial Calculations in Divorce Cases* Live Webcast Seminar
- Faculty: Developed and Presented Minnesota State Bar Association CLE's *Business Valuation in the Economic Downturn* Live Webcast Seminar
- Faculty: Developed and Presented: *Business Valuations for CPAs Who Won't Be Preparing Independent Valuations* for the Minnesota Society of Certified Public Accountants
- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: Developed and Presented: *Business Valuations for CPAs in Industry* for the Minnesota Society of Certified Public Accountants
- Faculty: Hennepin County Bar Association's *Business Valuation in the Economic Downturn* local seminar
- Moderator/Host/Presenter: *2009 Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Education: National Association of Certified Valuation Analysts *Current Update in Valuations*
- Education: American Society of Appraisers' 19th Annual Business Valuation Conference. *"Riding out the Storm: How Do You Assess Risk and Determine Value in a Turbulent Economy?"*

2008

- Faculty: *Probate and Trust Law Section Conference*, Minnesota State Bar Association CLE
- Education: *8th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: Developed and Presented Minnesota State Bar Association CLE's *Business Valuation: What You Really Need to Know* Live Webcast Seminar

- Faculty: Minnesota Paralegal Association's October meeting. Presentation entitled *Fundamentals of Business Valuation*
- Education: *How to Properly Understand and Use Ibbotson Data*, Financial Consulting Group
- Faculty: Hennepin County Bar Association's *What is a Business Worth? What the Numbers Really Mean* Local Seminar and Live National Webcast
- Attended VPA/FCG's *Cost of Capital: A Consensus View?* Conference
- Faculty: Minnesota CLE and Minnesota State Bar Association's New Lawyer Experience. Presentation entitled, "*Reading Financial Statements and Tax Returns for Lawyers.*"
- Education: *18th Annual Business Valuation Seminar*, University of St. Thomas

2007

- Faculty: Developed and Presented: *Advanced Buy/Sell Agreements and Business Continuation Planning*, Live Webcast Seminar, Minnesota State Bar Association CLE
- Education: *Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Education: *Working Through the Business Valuation Standards Maze*, National Association of Certified Valuation Analysts
- Education: *7th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: *Divorce Camp 2007*, Minnesota Chapter of the American Academy of Matrimonial Lawyers
- Faculty: Developed and Presented: *Avoiding the Six Mistakes that can Destroy Your Client's Business and Future*, Live Webcast Seminar, Minnesota State Bar Association CLE
- Faculty: Hennepin County Bar Association's *Business Valuation: What Attorneys and Judges Need to Know* Seminar
- Presented (repeat presentation) Minnesota State Bar Association CLE's *Reading Financial Statements and Tax Returns for Lawyers* Live Webcast Seminar
- Presented (repeat presentation) Minnesota State Bar Association CLE's *Introduction to Business Valuation for Attorneys* Live Webcast Seminar
- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: Developed and Presented: *Understanding Non-Marital Tracing* Live Webcast Seminar, Minnesota State Bar Association CLE
- Faculty: *Business Killers': Avoiding the 6 Mistakes that Can Destroy Your Business and Your Future* Seminar
- Interviewed and quoted: *Net Worth: How and When to Start Thinking About Increasing Your Businesses' Value*, Minnesota Technology Magazine, Winter 2007

2006

- Faculty: *Divorce Camp 2006*, Minnesota Chapter of the American Academy of Matrimonial Lawyers
- Faculty: Developed and Presented: *Reading Financial Statements and Tax Returns for Lawyers* Live Webcast Seminar, Minnesota State Bar Association CLE
- Faculty: *Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Education: *6th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Faculty: Developed and Presented: *Introduction to Business Valuation for Attorneys* Live Webcast Seminar, Minnesota State Bar Association CLE
- Education: *Early Stage Company Valuations*, Business Valuation Resources
- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Moderator for Minnesota CLE and Minnesota State Bar Association's *The Lawyer's Guide to Business Valuations* video replay

- Education: *Critiquing Business Valuation Reports*, The Institute of Business Appraisers held in Fort Lauderdale, Florida.
- Education: *Calculating Goodwill: What is Personal and What is Professional?*, Business Valuation Resources
- Education: *Mediation Training for Financial Professionals*, Dispute Resolution Services

2005

- Course Chair and Faculty: *The Lawyer's Guide to Business Valuations*, Minnesota State Bar Association CLE
- Faculty: *Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Education: *Succeeding as an Expert Witness*, Business Valuation Resources

2004

- Moderator/Host: *Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Education: *How to Discount for Trapped-In Capital Gains Tax* Business Valuation Resources
- Education: *Entity vs. Personal Goodwill Revisited* Business Valuation Resources
- Education: *4th Annual Business Valuation Conference*, Minnesota Society of CPAs
- Education: *14th Annual Business Valuation Seminar*, University of St. Thomas

2003

- Moderator/Host: *Current Topics in Business Valuation*, Minnesota Chapter National Association of Certified Valuation Analysts
- Faculty: *49th Annual Tax Conference*, Minnesota Society of CPAs
- Education: *3rd Annual Business Valuation Conference*, Minnesota Society of CPAs
- Education: *Advanced Valuation Issues in Divorce and Other Litigation Disputes*, American Institute of CPAs
- Faculty: *13th Annual Business Valuation Seminar*, University of St. Thomas
- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE

2002

- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: *Educational Meetings*, National Association of Certified Valuation Analysts Minnesota Chapter
- Author: *Tax and Financial Aspects of Divorce*, Practical Estate Planning published by CCH Incorporated
- Education: *2nd Annual Business Valuation Conference*, Minnesota Society of CPAs
- Education: *Current Updates in Valuation*, National Association of Certified Valuation Analysts
- Education: *Legal and Tax Consequences of Divorce*, Bisk Education

2001

- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: *Tax Institute*, Minnesota State Bar Association CLE
- Faculty: *Educational Meeting*, National Association of Certified Valuation Analysts Minnesota Chapter
- Author: *Business Valuations: Choosing an Expert and the Report You Need*, Family Law Forum published by Minnesota State Bar Association Family Law Section
- Author: *At Least They Didn't Call it Tax Simplification*, Family Law Forum published by Minnesota State Bar Association Family Law Section
- Reviewer: *International Valuation Handbook* by Leadenhall Australia Limited
- Education: *Annual Business Valuation Conference*, National Association of Certified Valuation Analysts in Chicago, Illinois

2000

- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: *Business Valuations: Maximizing the Most Valuable Assets of Many Estates*, Financial Planning Association
- Faculty: *10th Annual Business Valuation Seminar*, University of St. Thomas
- Faculty: *Probate & Trust Law Conference*, Minnesota State Bar Association CLE
- Faculty: *Probate & Trust Week: Estate Entity Selection*, Minnesota State Bar Association CLE

1999

- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: *Divorce Camp X*, American Academy of Matrimonial Lawyers Minnesota Chapter
- Faculty: *Minnesota Planned Giving Conference*, Minnesota Planned Giving Council
- Faculty: *Tax Aspects of Divorce in Minnesota*, National Business Institute
- Faculty: *MEGA Conference*, Minnesota Society of CPAs
- Faculty: *Business Valuations for the Family Law Attorney*, Ramsey County Bar Association Family Law Section
- Faculty: *A Guide to Business Valuations and Divorce Taxation Issues*, Minnesota Society of the Institute of Certified Financial Planners
- Faculty: *1999 National Conference*, Institute of Business Appraisers in Orlando, Florida
- Co-author: *Effective Use of the Business Appraiser in a Divorce Case*, Judges and Lawyers Business Valuation Update published by Business Valuation Resources, LLC.
- Education: *Valuation Ethics, Standards & Reporting – An Update*, National Association of Certified Valuation Analysts
- Education: *Business Valuation: Cutting Edge Issues and the Practitioner*, University of St. Thomas Fall Symposium
- Education: *Current Valuation Developments for Transactions and Litigation* Willamette Management Associates
- Education: *How to Build a Profitable Charitable Practice* Minneapolis Jewish Federation and Shalom Foundation
- Education: *Quantifying Marketability Discounts*, The Institute of Business Appraisers Master Class in Orlando, Florida
- Education: *ADR Institute*, Minnesota State Bar Association CLE

1998

- Faculty: *Family Law Institute*, Minnesota State Bar Association CLE
- Faculty: *Minnesota Planned Giving Conference*, Minnesota Planned Giving Council
- *Advanced Life Underwriting Institute*, Faculty: Minneapolis Association of Life Underwriters
- Faculty: *Learning Institute*, National Association of Certified Valuation Analysts in Reno, Nevada and Cincinnati, Ohio
- Faculty: *1998 National Conference*, College for Financial Planning in Denver, Colorado
- Faculty: *Business Valuations and the Expert Witness, Faculty*, Olmsted County Bar Association Family Law Section
- Faculty: *Certified Family Law Mediation Training*, Minnesota State Bar Association CLE
- Education: *ADR Institute*, Minnesota State Bar Association CLE
- Education: *Corporate Consumers of ADR Services: What do they Use and Why?* Minnesota State Bar Association
- Education: *Neutral Accountants – CPAs as ADR Neutrals* Minnesota State Bar Association

1997

Professional Qualifications

Page 11

- Faculty: *Tax Aspects of Divorce in Minnesota*, National Business Institute
- Faculty: *Certified Family Law Mediation Training*, Minnesota State Bar Association CLE
- Faculty: *Equitable Distributions in Divorce Settlements in Minnesota*, National Business Institute
- Faculty: *Working With or Against a Business Appraiser*, Ramsey County Bar Association Family Law Section
- Faculty: *Effective Marital Dissolution Practice*, Minnesota State Bar Association CLE
- Education: *Certified Mediation Skills Training*, Minnesota State Bar Association CLE
- Education: *Family Law Institute*, Minnesota State Bar Association CLE

1996

- Faculty: *Tax Aspects of Divorce in Minnesota*, National Business Institute
- Faculty: *Effective Marital Dissolution Practice*, Minnesota State Bar Association CLE
- Education: *Family Law Institute*, Minnesota State Bar Association CLE
- Education: Successfully passed American Society of Appraisers Examination
- Education: *National Business Valuation Conference*, AICPA in Phoenix, Arizona

1995

- Faculty: *Effective Marital Dissolution Practice*, Minnesota State Bar Association CLE
- Education: *Family Law Institute*, Minnesota State Bar Association CLE
- Education: *Cost of Capital Workshop*, Ibbotson Associates in Chicago, Illinois

1994

- Education: *Business Valuation Engagements* Practitioner Publishing Company
- Education: *Divorce Related Services* Practitioners Publishing Company

1993

- Faculty: *Valuing Closely-Held Businesses and Professional Practices*, Lorman Education Services, Cincinnati and Columbus, Ohio
- Education: *Divorce Related Services* Practitioners Publishing Company
- Education: *National Conference on Divorce*, AICPA in Las Vegas, Nevada

1992

- Faculty: *Taxation, Management Accounting and LOTUS*, Minnesota School of Business
- Education: *National Conference on Litigation*, AICPA in Las Vegas, Nevada
- Education: *Valuations of a Closely Held Business* Minnesota State Bar Association CLE

1991

- Faculty: *Taxation, Management Accounting and LOTUS*, Minnesota School of Business

Before the Federal Maritime Commission

Docket No. 21-11

OJ Commerce, LLC,

Complainant,

v.

**Hamburg Südamerikanische
Dampfschiffahrts-Gesellschaft A/S & CO KG**

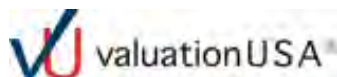
and

Hamburg Sud North America, Inc.,

Respondents

**Supplemental Expert Report of
Richard C. Berning, CPA/ABV/CFF, CBA, CVA, ABAR, CMA**

October 17, 2022



**Berning Decl.
Ex. 201**

Table of Contents

Description	Page
Cover Sheet	1
Table of Contents	2
Introduction	3
Assignment	3
Additional Information Receivedf	3
Shipping Rate Differentials	4
Summary of Supplemntal Opinions	6
Prior Testimony	6
Background, Experience and Fees	6
EXHIBITS	
Prior Testimony	A
Curriculum Vitae of Richard C. Berning, CPA/ABV/CFF, CBA, CVA, ABAR, CMA	B

Introduction

I have been retained by Shlomo Y Hecht, PA, counsel for Complainant OJ Commerce, LLC ("OJC") in the above referenced Complaint relating to certain claims by Complainant against Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & CO KG and Hamburg Sud North America, Inc., (collectively as "Hamburg Sud"). I have no financial interest or contemplated financial interest in any of the entities that are the subject of this report or this Complaint.

Assignment

In a report dated September 2, 2022, I concluded my opinion that Claimant suffered damages as a result of Respondent's wrongful actions. To estimate the range of potential damages, I considered the following alternative methods to calculate damages:

1. Calculated Lost Profits
2. Shipping Rate Differentials
3. Market Value of Lost Revenue

In this supplemental expert report, I will only be supplementing method #2 above, shipping rate differentials.

Additional Information Received

In my September 2, 2022 report I state on pages 15 and 16 of 24:

Note that Xeneta also provides information on surcharges beyond the rates that were used in this analysis. These can range anywhere from \$2,000 to more than \$5,000 per container and include surcharges for peak season, fuel and congestion. These surcharges have not been included above. Including these surcharges would increase the spot costs above and therefore the damages as well.

I also understand that Respondent (despite direct orders from the Federal Maritime Commission) has not released their spot shipping prices for the time periods used in the above calculations. My report may be updated if/when this information is ultimately received.

As Respondent still has not released their spot shipping prices, I have been asked to include an estimate to include the surcharges. Management has determined that surcharges during the relevant timeframe ranged from \$4,000 to as much as \$10,000. I have been asked to update my initial expert report to include \$4,000 (low end of the range) of surcharges per container.

Shipping Rate Differentials

The calculations below update my original expert report by adding an assumed \$4,000 per container surcharge to all spot prices as follows:

OJ Commerce, LLC Spot Shipment Costs: Xenta (4,200)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	11,562.33	28,461.13	12,000.00	12,000.00
Surcharge Per Container	4,000.00	4,000.00	4,000.00	4,000.00
Total Cost Per Container	15,562.33	32,461.13	16,000.00	16,000.00
# Containers	2,681	1,117	134	268
Cost (\$)	41,722,615.67	36,259,080.21	2,144,000.00	4,288,000.00
Total Cost				\$ 84,413,695.87

OJ Commerce, LLC Spot Shipment Costs: Xenta (4,700)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	11,562.33	28,461.13	12,000.00	12,000.00
Surcharge Per Container	4,000.00	4,000.00	4,000.00	4,000.00
Total Cost Per Container	15,562.33	32,461.13	16,000.00	16,000.00
# Containers	3,000	1,250	150	300
Cost (\$)	46,687,000.00	40,576,410.26	2,400,000.00	4,800,000.00
Total Cost				94,463,410.26

OJ Commerce, LLC Spot Shipment Costs: Drewry (4,200)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	10,419.75	25,648.62	12,000.00	12,000.00
Surcharge Per Container	4,000.00	4,000.00	4,000.00	4,000.00
Total Cost Per Container	14,420	29,649	16,000	16,000
# Containers	2,681	1,117	134	268
Cost (\$)	38,659,349.75	33,117,503.38	2,144,000.00	4,288,000.00
Total Cost				\$ 78,208,853.13

OJ Commerce, LLC Spot Shipment Costs: Drewry (4,700)				
	China to		Brazil to	
	CA	KY	CA	KY
Average Rate (\$)	10,419.75	25,648.62	12,000.00	12,000.00
Surcharge Per Container	4,000.00	4,000.00	4,000.00	4,000.00
Total Cost Per Container	14,420	29,649	16,000	16,000
# Containers	3,000	1,250	150	300
Cost (\$)	43,259,250.00	37,060,769.23	2,400,000.00	4,800,000.00
Total Cost				\$ 87,520,019.23

Finally, the difference between the contract cost and the spot cost is computed as an indication of damages:

OJ Commerce, LLC Shipping Cost Differential				
	<u>4200 Containers</u>		<u>4700 Containers</u>	
	Xenta	Drewry	Xenta	Drewry
Total Spot Shipping Cost	84,413,696	78,208,853	94,463,410	87,520,019
Total Contract Shipping Cost	8,488,944	8,488,944	9,499,900	9,499,900
Total Damages	75,924,752	69,719,909	84,963,510	78,020,119

Summary of Supplemental Opinions

I have computed three alternative methods to compute damages. This supplemental expert report only changes the shipping rate differential alternative while the other two alternatives remain unchanged. Using the various alternative methods outline in this expert report, I compute the damages caused by Respondents' alleged actions to be:

OJ Commerce, LLC Summary of Damages				
Alternative Method	Range of Damages			
Calculated Lost Profits	\$ 96,469,820	to	\$ 107,916,059	
Shipping Rate Differential	\$ 69,719,909	to	\$ 84,963,510	
Market Value of Lost Revenue	\$ 55,184,208	to	\$ 61,753,757	

I reserve the right to amend this opinion once discovery is complete. My opinions are given to a reasonable degree of professional certainty.

Prior Testimony

A listing of cases where I have recently provided testimony is listed as **Exhibit A**.

Background, Experience and Fees

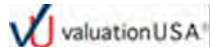
The bases for my opinions include the documents referred to above my professional experience and educational background.

I have been involved in hundreds of matters involving damages and business valuations in a variety of venues over the past thirty years. I have been appointed by the Courts as an expert witness and Financial Early Neutral Evaluator and testified on more than 145 occasions. I am a frequent speaker locally and nationally on business valuation, damages and related topics, having developed and/or taught more than 170 courses to various professional and business organizations. **Exhibit B** to this report is my formal curriculum vitae.

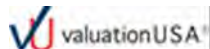
ValuationUSA is being compensated for my time at my standard rate of \$375 per hour. My fees are not contingent upon the outcome of this matter or any opinions expressed.



Richard C. Berning, CPA/ABV/CFF, CBA, CVA, ABAR, CMA
Shareholder



Dated: October 17, 2022



**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

DECLARATION OF JACOB WEISS IN SUPPORT OF COMPLAINANT’S BRIEF

I, Jacob Weiss, do hereby state and declare as follows:

1. I have personal knowledge of the facts described below and believe, to the best of my knowledge, information, and belief, that the facts stated herein are true and correct. I am submitting this Declaration in Support of Complainant’s Brief in this case.

2. I am the President and CEO of Complainant OJ Commerce, LLC (“OJC”), a Delaware limited liability company with its principal place of business in Broward County, Florida.

3. OJC’s claim of unreasonable practices under 46 U.S.C. § 41102(c) is no longer at issue, as Maersk paid the full amount of the wrongful demurrage charges sought in its Verified Amended Complaint (\$40,680.32).

4. OJC is an e-commerce retailer that sells dropship products from domestic inventory of hundreds of brands. OJC also has a direct import program where OJC buys household goods, including a wide variety of furniture and office products, globally for sale in the United States. OJC's imports come from Asia and Brazil, and are delivered to California or Kentucky. This case primarily concerns the latter, import business of OJC.

5. The relevant Parties' relationship began on or about June 23, 2020, when OJC entered into a "Service Contract" with Maersk for the shipment of goods by sea from foreign countries to the United States and for the delivery to warehouse facilities within the United States via truck. The Contract governed the Parties' relationship between June 23, 2020 to May 31, 2021 (the "Active Term"), with minimum volume/quantity commitment ("MQC") for 400 TEU containers with shipping lanes from Asia to North America West Coast. The Parties had a separate contract with shipping lanes from Brazil to North America East Coast and North America West Coast. TEU is short for "Twenty-Foot equivalent unit" – which is the same as 200 FFE, short for "Forty-Foot Equivalent." In other words, two TEUs equals one FFE.

6. Andrea Casanova is an Account Executive for Respondents and point person in Maersk's dealings with OJC.

7. As of March 2021, OJC was still not receiving its contracted-for space from Maersk under the Parties' Contract.

8. In order to entice OJC to consolidate all its shipping with Maersk, Casanova promised that Maersk will make OJC a priority customer by supplying more containers, dedicated space protection (or "SP"), and committed personnel to ensure better service for OJC's shipments. In reliance on Maersk's promises, OJC did not renew its service contracts with other carriers it had been using in 2020-2021 and agreed to consolidate all its imports with Maersk.

9. With the Contract set to expire on May 31, 2021, the Parties began negotiating in early 2021 about a service contract renewal for the 2021-2022 season. Casanova of Maersk and I were the lead negotiators.

10. I informed Casanova that OJC had the demand during the 2020-2021 season to move 3500 High Cube (“HC”) FFEs had Maersk provided OJC the space it was asking for, and that based on that demand, OJC could ship 4200 to 4700 containers with Maersk in 2021. The goal of both sides was to lock in a higher MQC/week to better meet OJC’s increasing demand for containers.

11. OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022, and Casanova worked on getting the new contract drafted.

12. All the Parties’ contract negotiations and the agreements for 2021-2022, and Maersk’s retaliation, took place **before** the spot market rates went through the roof.

13. Consistent with her internal email, Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s shipping volume. Casanova and I reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.

14. As a result of Maersk’s retaliation, in 2021-2022, OJC was forced to mitigate its losses, and obtain what limited space it could on the spot market at extremely high rates. But often OJC was unable to secure shipments, and in most cases was forced to forgo making shipments of goods to the United States altogether because the spot rates became too expensive to justify the cost of container freight. Due to Maersk’s retaliating against OJC for complaining

about its violations of the Shipping Act, Maersk massively harmed OJC's direct import product line and in the process caused enormous amount of damages to OJC. Because Respondents retaliated against OJC so late in the contract season, OJC could not obtain a shipping contract with any other carrier. Nonetheless, I tried to do so, to no avail.

15. OJC had an additional contract with Maersk for shipments from Brazil.

16. OJC demanded that Maersk "[i]dentify how many Service Contracts [Maersk] entered into during 2021 on or after April 28, 2021, including for each such Service Contract the date it was entered into, total FFEs or TEUs, the shipping lines included, and the shipping prices." Maersk refused to produce the shipping prices, but it did produce a list of such contracts and the MQC for each. That list showed that Maersk had entered into service contracts with a prefix of NOAC for 25,402 TEUs after Maersk made the "executive decision" on April 29, 2021 to retaliate against OJC. I reviewed and made that calculation myself.

17. The only dispute that the Parties had about payment occurred after Maersk retaliated against OJC – when Maersk charged OJC baseless demurrage fees and OJC was forced to pay them to obtain its shipments. OJC was right in challenging the fees, as Maersk ended up refunding them all after this case was filed.

18. Along with Richard Berning, I have calculated OJC's damages based on the mathematics outlined in the Brief, this declaration, and Mr. Berning's reports. I have 30 years of experience calculating damages, profits, costs, financials, and other business- and litigation-related calculations.

19. OJC's lost profits resulting from Maersk's violations consist of the following categories of damages: (1) Loss for failure to meet minimum TEU during fiscal year 2020; (2) Loss due to failure to provide the committed weekly MQC during fiscal year 2020; (3) Freight

charges above contract rates during fiscal year 2021; and (4) Loss due to refusal to renew contract during fiscal year 2021.

These damages use the following defined terms for the calculation of each of the four categories of lost profits:

Fiscal Year 2020: Shipping contracts in this instance cover the period starting June 1 through May 31 the following year. “Fiscal Year 2020” is for the period June 1, 2020 through May 31, 2021.

Fiscal Year 2021: “Fiscal Year 2021” is the period June 1, 2021 through May 31, 2022.

20. I, along with Mr. Berning, made the following calculations as part of determining the damages caused by Maersk:

Average Revenue Per Container: OJC compiled an average revenue per container shipped during the period June 1, 2020 through July 16, 2022. These amounts are based on actual products shipped and the selling price of the products. The average revenue per container was computed to be \$60,250.30. *See* Ex. 101.

Average Gross Profit Per Container: Based on the same containers that were used for the average revenue calculations above, OJC computed the average gross profit per container to be \$22,892.48. *See* Ex. 101. Gross profit is revenue less the costs of the product. To compute the cost of the product, OJC captured all the costs including the purchase cost, sales commissions, fulfillment center costs, shipping costs and any other costs directly associated with the product. OJC utilizes third parties for shipping, fulfillment, warehousing and other needed tasks to sell the product. All these costs were captured and deducted. Even though OJC was projecting significant increase in sales in fiscal 2021 (and resulting need for additional containers), their increase in fixed costs would be nominal due to the structure of the company. Accordingly, the direct variable costs included produce the net profit per container. As a result, OJC has captured

the vast majority, if not all, of the costs relating to the sale of products. The calculations are included on an attached spreadsheet.

Expected Containers for Fiscal Year 2021: OJC experienced incredible demand for its products in late 2020 and early 2021 due in large part to the COVID pandemic during which millions purchased household goods – such as those sold by OJC – while they sheltered at home. This increased demand was especially true for the company’s direct import program. The products sold through the direct import program produce higher profit margins than products that were sold from domestic inventory. This growth – driven by so many working from and staying home – is what precipitated OJC’s need for more containers in Fiscal Year 2021.

21. Prior to the start of Fiscal Year 2021, OJC undertook a study to estimate the number of containers that they would need in that coming year. These projections estimated the sales of each product and the number of containers that would be needed, and came to the conclusion that 4,598 containers would be needed for Fiscal Year 2021. Because of these calculations, OJC communicated their desire to Respondents for 4,200 to 4,700 containers for fiscal 2021. Attached hereto and incorporated herein as **Exhibit 100** is a true and correct copy of a spreadsheet entitled Container Projections 2021.

22. **LOST PROFIT DAMAGE CATEGORY #1: Loss for failure to meet minimum TEU during fiscal year 2020:** Maersk was required to provide a minimum of 200 containers and only produced 185, or a deficit of 15 containers. To compute the specific loss caused by that retaliation, the deficit of 15 containers would be multiplied by the anticipated average net profit per container of \$22,892.48. The result is a loss of \$343,387.18 computed on CX 424.

23. **LOST PROFIT DAMAGE CATEGORY #2: Loss due to failure to provide regular weekly shipments during fiscal year 2020:** Maersk was also required to provide a minimum number of weekly shipments during Fiscal Year 2020. Respondents repeatedly missed the weekly minimum and by the end of the year the weekly shortfalls totaled 105 containers. To compute this specific loss, the deficit of 105 containers would be multiplied by the anticipated average net profit per container of \$22,892.48. The result is a loss of \$2,403,710.25 computed as on CX 424.

24. **LOST PROFIT DAMAGE CATEGORY #3: Freight charges above contract rates during Fiscal Year 2021:** OJC was forced to pay spot rates for containers during Fiscal Year 2021 as Maersk retaliated against OJC and did not renew their shipping contract. During this time, OJC could only ship 143 containers because the prices greatly exceeded the contract rates. Indeed, in most cases, OJC was either unable to procure shipments, or was forced to not ship product at all because the containers would cost more than the goods in the containers. The expected contract rates used for this analysis were those contained in the Contract and the Brazil agreement addition. They are listed in the chart on CX 425. The total of excess shipping charges OJC paid for these 143 containers (actual less contract rates) was **\$847,936.99**. The detailed calculation is contained in Exhibit B of the Berning Expert Report (CX 441-444).

25. **LOST PROFIT DAMAGE CATEGORY #4: Loss due to refusal to complete renewal of contract during Fiscal Year 2021:** Maersk's violations caused OJC to go to the spot market and pay prices that were considerably higher than contract rates. OJC was able to hire 143 containers at highly inflated prices. OJC had anticipated using between 4,200 and 4,700 containers.

26. OJC's damages are tremendous, but calculating these damages only requires simple arithmetic. The damages for this category are measured by multiplying the shortfall of containers by the profit margin per container. These calculations are done using either the 4,200 or 4,700 total containers expected for Fiscal Year 2021, minus the 143 containers actually shipped, \$92,874,785.49 and \$104,321,024.77, respectively (calculations on CX 426).

28. To summarize the four categories of lost profits discussed above, OJC's **total lost profits** are calculated as:

OJ Commerce, LLC Total Lost Profits		
	<u>Assumed Total Containers</u>	
	4,200	4,700
Failure to Meet Minimum TEU FY 2020	343,387.18	343,387.18
Failure to Provide Regular Weekly Shipments	2,403,710.25	2,403,710.25
Freight Charges Above Contract Rates	847,936.99	847,936.99
Loss Due to Refusal to Renew Contract	92,874,785.49	104,321,024.77
Total Lost Profits	\$ 96,469,819.91	\$ 107,916,059.18

27. **OJC's Damages related to Shipping Rates Differences.**

As another method of calculating its damages, I computed the difference between the contract cost – that OJC would have had but for Maersk's retaliation – to ship either 4,200 or 4,700 containers and the spot market cost to ship the same containers is the measure of OJC's actual injury.

In order to calculate the shipping rate difference damages, OJC projected how many containers it would have shipped on each route, such as, how many containers shipped from China, Brazil, and how many containers delivered to California and Kentucky. Next, I looked at the contract rates for each of those routes and multiplied those rates by the number of containers projected to be shipped in each of those routes. The contract between OJC and Respondent included also drayage fees, however, the spot rates does not include drayage. Therefore, in order

to compare apples to apples, I removed drayage from this computation. The result is calculated and contained on CX 427.

28. The next step was to do the same exercise using spot prices rather than contract prices. To determine the spot prices, I used the following sources or made the following assumptions absent Maersk's actual data that the Court ordered produced but Maersk refused to provide:

- OJC used spot rates from Xenta and Drewry for the China to California routes.
- For the China to Kentucky routes, neither Xenta or Drewry had sufficient data points that allowed them to confidently publish rates. Rather, OJC used a multiplier of China to California, at the same ratio as the contract rates.
- For the Brazil to California and Brazil to Kentucky routes, the spot rates were not available. OJC therefore used \$12,000 for all periods as this amount approximates what OJC actually paid during this time frame.
- As Respondents still have not released their spot shipping prices including all surcharges, OJC added an estimate to include the surcharges. OJC determined that surcharges during the relevant timeframe ranged from \$4,000 to as much as \$10,000. The \$4,000 (low end of the range) of surcharges has been added per container.

29. I then computed the average of the monthly rates for each of the sources, with the calculations on CX 427-428.

30. I then computed the total spot shipping costs for both sources (Xenta and Drewry) and both volumes of containers (4,200 and 4,700). The calculations are on CX 463-464.

31. Finally, the difference between the contract cost and the spot market cost was computed for damages:

OJ Commerce, LLC Shipping Cost Differential				
	<u>4200 Containers</u>		<u>4700 Containers</u>	
	Drewry	Xenta	Drewry	Xenta
Total Spot Shipping Cost	84,413,696	78,208,853	94,463,410	87,520,019
Total Contract Shipping Cost	8,488,944	8,488,944	9,499,900	9,499,900
Total Damages	75,924,752	69,719,909	84,963,510	78,020,119

32. Had Maersk not retaliated and had it dealt with OJC as promised, OJC would not have incurred these losses.

33. Mr. Berning and I calculated and provided two alternative methods to compute its damages, with the totals for each summarized below:

OJ Commerce, LLC Summary of Damages				
Alternative Method	Range of Damages			
Calculated Lost Profits	\$	96,469,820	to	\$ 107,916,059
Shipping Rate Differential	\$	69,719,909	to	\$ 84,963,510

34. OJC's plan to move between 4200 to 4700 FFE was based on projections that OJC had put together during 2020-early 2021 by analyzing product sales, quantities of product in stock, consumer demand, clicks and queries about products in and out of stock, and calls into the company about products, with the analysis indicating that 4,598 containers would be needed for fiscal 2021. Maersk was told of these projections months before the expiration of the 2020-2021, and it led to Maersk enticing OJC to consolidate all its shipping needs with Maersk. As a result of Maersk's promises, the Parties agreed to ship 4200-4700 FFE in 2021-2022.

35. It was OJC's ideal breakdown to ship around 70% of its 4200-4700 FFE volume from Asia to Kentucky, and the remainder to California. That said, I informed Casanova that if Kentucky was again an issue, OJC could ship all the 4200-4700 FFE through California, as OJC's California had warehouses that could accommodate all the additional space. Maersk knew that OJC could be flexible with where its shipments were sent because 100% of its containers were sent to California during the first Contract.

36. Attached hereto and incorporated herein as **Exhibit 101** is a true and correct copy of a spreadsheet entitled Updated Hamburg Sud Damage Calculations.

37. Attached hereto and incorporated herein as **Exhibit 102** is a true and correct copy of a spreadsheet entitled Containers Required 2020

38. Attached hereto and incorporated herein as **Exhibit 103** is a true and correct copy of a spreadsheet entitled containers required 2019-20.

39. Attached hereto and incorporated herein as **Exhibit 104** is a true and correct copy of a spreadsheet entitled WCI data for OJCommerce.

40. Attached hereto and incorporated herein as **Exhibit 105** is a true and correct copy of a spreadsheet entitled Xeneta Trends Graph 2022-08-23 20_19.

41. Attached hereto and incorporated herein as **Exhibit 106** is a true and correct copy of a spreadsheet entitled Maersk_Financials.

42. Attached hereto and incorporated herein as **Exhibit 107** is a true and correct copy of a spreadsheet entitled Xeneta Surcharge Levels Ocean 2022-08-30 20_52.

43. Attached hereto and incorporated herein as **Exhibit 108** is a true and correct copy of a spreadsheet entitled Presentation Financials – July 2020.

44. Attached hereto and incorporated herein as **Exhibit 109** is a true and correct copy of a document entitled OJ Commerce Discussion Materials (September 2020).

45. Attached hereto and incorporated herein as **Exhibit 110** is a true and correct copy of a document entitled OJCommerce Discussion Materials 10.12.20.

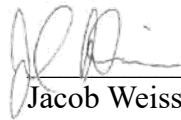
46. Exhibits 100-110 were relied upon and used by me in calculating OJC's damages

47. The documents that OJC filed under seal with its Brief, Findings of Fact, and Appendix are Highly Confidential Trade Secrets that are not generally known or otherwise ascertainable from outside sources. Access to these confidential documents, including financial-related documents, projections, sales records, container numbers, and the related

calculations is strictly limited to OJC employees and attorneys on a need-to-know basis. As a private company, these documents and the information contained herein are not known outside of OJC, unless disclosed, as they were in this case, under the Confidentiality Agreement with Respondents. Any public disclosure of OJC's private, proprietary information, or to those outside of the Parties to this litigation and the FMC, would be extremely and irreparably damaging to OJC and would allow its competitors and others to review OJC's most valuable business secrets. They should be sealed and not publicly filed.

**I DECLARE UNDER PENALTY OF PERJURY THAT THE FOREGOING IS TRUE
AND CORRECT.**

Dated: November 9, 2022



Jacob Weiss